

eClerx Services Ltd. (ECLERX)

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Call: Aug 2022

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August 16, 2022

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter ended June 30, 2022

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on August 10, 2022 with respect to the financial results of the Company for the quarter ended June 30, 2022 .

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
Company Secretary & Compliance Officer
F8538

Encl.: as above
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eClerx Services Limited
Q1FY23 Earnings Conference Call

August 10 , 2022
eCLERX MANAGEMENT :
PD MUNDHRA – CO-FOUNDER AND EXECUTIVE DIRECTOR
ANJAN MALIK – CO-FOUNDER AND DIRECTOR
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS :
HITESH ARORA - UNIFI CAPITAL
MANIK TANEJA - JM FINANCIAL INSTITUTIONAL
RUCHI BURDE - BOB CAPITAL
SAMEER PARDIKAR - ICICI DIRECT
SAMEER DOSANI - ICICI PRUDENTIAL
SANDEEP SHAH - EQUIRUS SECURITIES
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES

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Asha Gupta :

Good evening participants, and good evening to the management. Welcome to the Q1 FY '23 Earnings Call of eClerx Services Limited. Please note that this webinar is being recorded.

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by Mr. PD Mundhra, Co-founder and Executive Director, Mr. Anjan Malik, Co-founder and Director, Mr. Srinivasan Nadadhur, Chief Financial Officer. We will start the call with brief opening remarks by Srinivasan and then we will open the floor for Q&A session.

I would like to remind you that anything that is said on this call, which gives any outlook for the future or which can be construed as forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risk and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual report which you can find on our website.

With that said, I now hand over the call to Mr. Srinivasan. Over to you, sir.

Srinivasan Nadadhur :

Thanks, Asha. Good evening, everyone. Welcome to eClerx's Q1 FY '23 Earnings Call for the quarter ended June 30.

Operating revenue for the quarter was US D 79.5 million, which is sequentially up 3% and 3.9% in constant currency terms. And year-on-year, it was up 22.9% and 25.2% in constant currency terms. The total revenue for the quarter was INR 6,398 million, which is up 6.4% sequentially and 29.4% Y-o-Y. EBITDA was INR 1,870 million at a margin of 29.2% . Due to strong double-digit Q-o-Q growth of the Personiv business, we made a provision of INR 215 million in this quarter for final earnout related costs. This led to a PAT of INR 992 million at a margin of 15.5%. Without this one-off provision, PAT would have been INR 1,162 million at a margin of 18.2%. Revaluation income this quarter was higher than usual because of the sharp depreciation in rupee.

Coming to the other key business metrics, we would like to point out that the reduction in offshore seat count that you see on the metrics slide

is temporary because of the ongoing seat consolidation in Chandigarh. Once this is complete, the seat count will back to original levels. We have no plans of reducing seat capacity in any location. The other business metrics are more or less unchanged. DSO is at 75 days and top 10 client concentration is at 60%. On the people side, there has been an increase of 1,000 people in overall headcount, most of it in offshore delivery. A key reason for the increase is that we are carrying a higher than usual bench to counter attrition, and the remainder is for future growth. And thirdly, our investments in productized services. This also reflects in the lower utilization percentage for the quarter. As we had mentioned last quarter, we have changed the attrition percent report from this quarter onwards and have excluded attrition in the bottom quartile. So, the reported attrition figure of 39% for this quarter is not directly comparable with those of previous quarters. Between 30% to 40% of our staff are currently work from office, and this figure will go up over the next few months, especially in our SEZ facilities as we ramp up to become compliant with the government's norm of 50% work from home.

The Board has appointed 3 additional independent directors whose appointment will be proposed in the forthcoming AGM. The investor deck carries a brief profile of each of them. The 3 directors have
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extensive experience in emerging technologies, financial services and consumer industries, respectively. They are very highly regarded in the industry, and we are very pleased to have them on our Board.

With a view to improving the liquidity of the stock, specifically for small investors, the Board has approved a proposal for a 1:2 bonus, and this will also be put up for shareholder approval shortly.

Finally, given the performance in Q1 and the pipeline, we continue to expect to have a strong FY '23

in revenue terms. We expect travel and return to office costs to go up in the near-term, and therefore, EBITDA margin in the next 1 or 2 quarters may be in the lower half of the 28% to 32% range that we typically guide towards. We see some indicators of challenges in the macro environment, and while we believe it will not affect FY '23 revenues, we will get a better indication of likely FY '24 environment in a couple of quarters.

With this, we come to the end of our opening remarks, and we will now move on to the Q&A.

Thank you very much. Back to you, Asha.

Asha Gupta:

Thank you, Srinivasan. We will now open the floor for Q&A session. We have first question from the line of Manik Taneja. Manik, please go ahead.

Manik Taneja :

Yes. So the question was with regards to the significant offshore headcount increase that we've seen in the current quarter, if you could help us understand which particular areas are driving this increase in terms of headcount? That's question number one. The second question was with regards to the broader business outlook. How are you seeing the high inflationary environment essentially impact customer and the location preference in your business?

Srinivasan Nadadur :

Okay. So, I take the first one, and then I'll hand it over to PD for the second one. So, areas driving the increase in headcount is across digital and financial markets. And part of this is an investment in our productized service. The second part of it, as I mentioned, is an increase in bench. Some of it will be temporary as billing for the services that we are providing will start off from Q2 onwards and some of it is to counter attrition. And that may last for a longer period depending on how attrition pans out. So, the second part of the question, PD, can you jump in?

PD Mundhra:

Sure. So Manik, just to make sure I understood your question, it is about how we see the outlook in the context of high inflation

in the U.S.? Is that correct?

Manik Taneja:

High inflation essentially is a problem that most of the world essentially is struggling with. I was just interested to understand how is that playing a role in terms of customers' preference for location when it comes to delivery? And if you could help us understand is that driving a lot more work offshore for us as well?

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PD Mundhra:

So, I don't think, Manik. If you look at our metrics, this quarter, our proportion of onshore work actually picked up just a little bit from 20% of overall revenue last quarter to 21% this quarter. So as offices are opening up in client locations, there is the opportunity to do more on-premises work, consulting type work, staff augmentation work despite the high inflation that you mentioned. I think the other factor to keep in mind is not so much because of high inflation, but because of the somewhat challenging macro environment. In certain pockets, we are seeing clients take little longer to confirm buying decision than they may have taken in the past. So there is a greater propensity to want to do a pilot or have a higher degree of conviction before they finally pull the trigger. So I think for us, that would mean that sales cycles potentially on some part of the business may be slightly longer going forward than they have been in the immediate past.

Having said all of that to Srinivasan's opening remarks, I think at least for FY '23, given that we are almost sort of in the fifth month of the year, we continue to expect a reasonably strong outcome from a revenue growth perspective. For FY '24, I think in 3 to 6 months, we should have a much better picture of the environment that's likely to prevail. So as of now, I don't think our clients are under pressure, but I think they're being cautious. This is the way I would characterize it.

Asha Gupta:

Thank you Manik. We have next question from the line of Hitesh Arora. Hitesh, please go ahead.

Hitesh Arora :

Yes. So just my question is regarding Personiv. What is the total earnouts that we paid there's one we paid was INR 25 crores almost paid this quarter? In total, how much have we paid? If you could just remind us.

PD Mundhra:

Yes. So, Hitesh, I think in keeping with the disclosures we made, there was a substantial amount paid upfront at closing to all the share holders of the company. And then there were 2 earnouts linked with performance in calendar year 2021 and calendar year 2022. So, the calendar year 2021 earnout has duly been paid based on the business performance. And I think our provision for that was more or less accurate. We had done a small top -up in Q3 of 2021. I think that number was in the USD 300,000 to USD 400,000 range, but Srini can keep me honest.

For 2022, the performance has been substantially stronger than what we had provided for, which is why we have increased this provision. So, without getting into the specifics of what each of those earnouts were, I would say that the 2021 earnout was more or less along the expected lines. 2022, we are happy, in fact, very happy that the business has been performing soundly. So, we've had to make a value provision.

Hitesh Arora :

And so, is it done now? Or is there any more a contractual obligation to pay?

PD Mundhra:

No. So the actual payment will be made after the performance for calendar 2022 is known so probably, let's say, in the first calendar quarter of 2023. But we believe that the provision that we now made should cover us for that payment because given that again we are in August, hopefully, eClerx Services Limited
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there won't be that much change from now and December .

Hitesh Arora:

Okay. Fair enough. And just to clarify on the accounting aspect of it. You expensed all this. Normally, wouldn't you capitalize a payout like this? Or is this a conservative method

of accounting if you could
just help my understanding.

PD Mundhra:

So again, I'll ask Srini to comment if he wants to add. But in this instance, the earnouts are now being paid to people who are on the management team and employees of Personiv. And therefore, it is in the nature of additional bonuses effectively because they are on payroll of the company. And because of that, my understanding is that it has to be expensed. But you are right, in some sense, it is a capital payment because it's a payment for the business. And therefore, we make the disclosures of showing what it is as a one -off item. But Srini, please, correct or anything I've said.

Srinivasan Nadadhur:

You're right, PD. That's what it is.

Hitesh Arora:

Okay. So, they are payments to employees rather than I would have thought the original owners, they are payments to the management of the company and hence expense.

PD Mundhra:

Who were also shareholders in the company, right? So yes.

Asha Gupta:

Thank you Hitesh. We have the next question from the line of Shradha Agrawal . Shradha, please go ahead.

Shradha Agrawal :

Sir, would it be possible for you to share the like -to-like attrition number for this quarter?

Srinivasan Nadadhur:

Yes, it is around 45%, which typically is not unusual for a Q1 every year because between Q4 and Q1, it generally goes up by 3% to 4% and because of the increment.

Shradha Agrawal:

Right. And sir, also puts and takes for margins this quarter because of this time around the impact of salary hike seems to be a bit on the higher side. So can you call out the impact of salary hike and the other expenses on the margins front?

Srinivasan Nadadhur:

It will be around 250 to 300 basis points. And I think you are right, this time, the salary hikes are higher than what we did last year and the year before last.

Shradha Agrawal :

Right. And possible to share the number of on-site wage hike that we have given out?

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Srinivasan Nadadhur :

Onsite wage hikes typically are in the 3% range.

Shradha Agrawal:

Okay. And sir, 1 question to PD. How do you see the CLX Europe business given the chances of a recession in Europe? I mean, chances of recession, Europe are stronger than in the U.S. So in that perspective, how do you see the CLX Europe panning out in the next year per se.

PD Mundhra:

So CLX has continued to perform very strongly for us. I think the segment that which are the large luxury brands have continued to fortunately perform strongly despite the challenges in China, which is typically a large market for most of those brands, whether it's LVMH Group or Kering group .

I think the challenge has come on the currency front because most of that book is denominated in euros. And given the weakness of the euro against the dollar, if you see the delta between our reported and constant currency growth, most of that is attributable to the CLX book because obviously, all the euro revenue is translating into far fewer dollars. But leave aside the currency and the cross-currency effects, I think the native book continues to do well. And I think underlying sort of pleasing indicators are that the quality of work has improved. It's become more contemporary cutting edge, and therefore, I would think more resilient than future proof in the nature of services that are being provided to clients.

Shradha Agrawal:

So as of now, you've not client specific instances or any deferments or roll-offs from any of the clients in Europe?

PD Mundhra:

No.

Shradha Agrawal:

Right. And no indications of such things panning out at least near-term?

PD Mundhra:

No. I mean I think CLX is on track for the business plan for this year.

Shradha Agrawal:

Right. And 1 question that typically, we've seen that the higher employee addition that we see reflects in a very strong revenue to the next q

uarter. So do we have visibility for strong revenue growth in Q2 and which is why a very strong hiring that was done in Q1?

Srinivasan Nadadhur:

So as I mentioned, some of the addition in headcount is definitely to the growth in revenue that we think, some of it is in response to attrition, and some of it is due to investment in the productized services that we have made, which we called out as part of our analytics and automation slides in the last quarter. So not all of it will translate into higher billable revenues. Not in the immediate quarter, but maybe in the future.

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Shradha Agrawal:

Right. But we can be sure at least of the 4%, 5% CQGR trend that we have been showing for the past many quarters, at least, given the 8% plus kind of strength in employee addition that we've shown this quarter.

Srinivasan Nadadur:

I guess we'll have to wait and watch.

Asha Gupta :

Thank you Shradha. We have next question from the line of Sandeep Shah . Sandeep, please go ahead

Sandeep Shah :

I look at the BSE listing to arrive at the EBITDA and EBIT margin. And there, if I even adjust for the amount, the EBITDA margin has declined by 410 basis points on a Q-on-Q basis. And this is largely explained because of the wage inflation. And I believe major hikes were due in 2Q? Is it been preponed to 1Q as a whole? And what were the other headwinds as a whole? And when you say lower half of the 28 %, 32% band so that you expect in the next 3 quarters, the margins could be between 28%, 30%, right? That is the right way of looking at it?

Srinivasan Nadadur:

Yes, I'll take that. Thanks, Sandeep So to the last question that you asked, yes, 28 % to 30 % is what we are talking about , for the next couple of quarters. And to the first question that you asked, our wage hikes are always in Q1, and this time again, they were in Q1 only, and a large proportion of the decline in EBITDA margin that you see is because of wage hikes and some amount can be attributable to the increase in facility cost and some to the increase in travel.

Sandeep Shah :

Okay. And what is the current percentage of work from home? And where are you targeting for FY '23, FY '24?

Srinivasan Nadadur:

So the current percentage is somewhere between 35% to 40% are in office, but not all 5 days a week. And I'm not sure if you are aware, but there's been a recent notification from the Ministry of Commerce, that from October 15th, a maximum of 50% is permitted work from home, which means that the remaining 50% have to come to the office at least in the SEZ facilities that we have. And therefore, we will be filing in the next couple of months, all the paperwork to get the application processed. But we see that at least 50% will be in office from October 15th onwards.

Sandeep Shah:

And that could be the reason to say that our margin could be at the lower half of the band of 28%, 32% because this may increase the travel cost, facility-related costs.

Srinivasan Nadadur:

Yes, there is certainly one of the reasons.

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Sandeep Shah:

Okay. Okay. PD, just wanted to understand when the macro slowdown happens, how the business reacts, your nature of business because clients may be looking for more cost takeout kind of deals. So, is it fair to say if U.S. does not go into a deeper recession, there could be more outsourcing and more demand for your kind of work?

PD Mundhra:

Sandeep, I will take a stab and I request Anjan to also share his thoughts. I think given a choice, what we found is typically, we do better when clients are doing well because budgets are free -er they are more inclined to take decisions and so on. So certainly, we prefer that kind of macro as opposed to a macro where they are cautious and pulling back on spends, point 1.

Point 2, I would say that compared to, let's say,

the IT business, our work on average tends to be less discretionary. So, I would say it's less volatile and lower EBITDA perhaps than the IT business. So it's more defensive even in the context of a slowing macro. But definitely, from a growth perspective, we typically see better growth opportunities in a positive economic situation than our software situation. But Anjan, please add your thoughts.

Anjan Malik:

Yes, PD, obviously, to mirror your thought process on this. I'd say that obviously, if we have clients that are reducing spend, the first thing that tends to go is onshore spend. So, to the extent that we have a larger book today of onshore spend, then that becomes vulnerable. The flip side of it is if you're a vendor that has a large offshore presence, then there is an opportunity to move migrate much of that work offshore. So, you do find in those cost compression times that your onshore book is to migrate offshore. So, there could be an element of revenue reduction, but possibly a margin improvement. But there's a hedge.

The second aspect of it, I guess, is broadly that you could have a reduction on overall spend that happens because of more M&A activity. So certain businesses might shut down, you might have made some acquisitions. And I think that's where vendors come in - for a vendor of our size, you could have events where a competitor gets bought by another company. And that company happens to be your client, then that's great for you. But if you're the guy that got bought, that may have not great for you. Because obviously, in this time, a lot of private equity money that's out there that's buying up assets that are potentially becoming cheaper. So, event risk continues. And I think for guys like us, your first order of demand will ultimately be whether your client stays in business or not and whether or not the businesses that they run, the business line they are continuing to stay active.

And obviously, I would say the third driver of it is volume. So, to the extent that you're doing phases in your plans, volumes are decreasing because of slowdown. You feel that there tends to a third order effect.

Sandeep Shah:

This is helpful. Just a follow-up, Anjan, if one has to put an estimate percentage of revenue, which could be coming for us from start-ups or unicorns or semi established start-ups as a whole, any number you can say? Or is it a big risk for eClerx?

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Anjan Malik:

Well, yes, I'm not sure that I guess we have to take some time off-line to calibrate on all the terminology that you use. But I'd broadly say that I think 3/4 of our book of business comes from the Fortune 500. And I think it's something like 80% of our book of business comes from clients we've had for over 5 years. And these guys are a well-established company. So, I wouldn't say that majority or a large percentage of our business comes from guys that would be at risk, right, of just going out of business. But like I said, onshore is a substantial percentage of our business. It's a smaller percentage than it used to be given the size growth that we've had in the business and the acquisitions that we've done. But I'd say there was something that was vulnerable. I would be that the onshore spend is, firstly, the most vulnerable. And then you have to look at your client list and see which one of those guys is likely to be taken up. And that you're sort of going into tarot card reading territory. So I wouldn't want to speculate on that second point.

Asha Gupta:

Thank you Sandeep. We have follow-up question from the line Hitesh Arora. Hitesh, please go ahead.

Hitesh Arora :

Yes. last quarter, you had talked about the funnel you had mentioned. While it was good, it wasn't as great as same period last year. So just wanted to check how has it moved over the last 3 months? Have we improved from the funnel perspective, how things look like?

Srinivasan Nadadur:

So, I think the pipeline looks pretty much similar as it was 3 months back in the sense that it's about the same size as last year at this time, which means that we may have a good year in absolute dollar terms, but it is on a higher base therefore the percentage growth will certainly be smaller than last year. The remarks that we made in the beginning of this meeting, there may be some slowdown in

the conversion as people or clients take more time to think through the trends that they are doing. And so that's on the pipeline. I think roll-offs, we have seen are also lower than last year's this time and last quarter as well.

Hitesh Arora:

Any specific visibility on the rollout?

Srinivasan Nadadhur:

Specifically, what around what?

Hitesh Arora:

Do we see any negative surprises coming in essentially?

Srinivasan Nadadhur:

Not that we are aware of.

Hitesh Arora:

Okay. I mean, any bigger negative surprises now?

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Srinivasan Nadadhur:

Nothing as of now.

Asha Gupta:

Thank you Hitesh. Next question comes from the line of Sameer Dosani. Sameer, please go ahead.

Sameer Dosani :

Just wanted to get an outlook around the financial services part of the business. What we've seen typically and maybe you can correct me if I'm wrong, there is a lot of volatility in that business where capital markets go through a very volatile phase. So if you can share your outlook around that part of the business and also help us through what is that we can expect around this business

Anjan Malik:

Yes, sure. So I think if you look back at our business over the last 15 years and both the GFC or the great financial crisis, we sort of went through a period of great volatility, which probably affected the financial services industry much, much more than anything that is anticipated in the current environment. And what we found during that period was a sort of a confirmation of the assumptions we had. And I guess it was a studied assumption, which is that I think our business is much more correlated to the complexity of the functions that we run versus the volume of transactions. And what we find is that when you have some GFC like events, volumes can come down or they can go up depending on which part of the business you support. But what you identified is that there are more sort of remediation projects & programs that come on board, where skill sets are needed in short-term and potentially more automation and reconciliation and regulatory reporting opportunities that come up. Now that certainly happened after the GFC last time. We actually think that probably that volatility in our market certainly in the financial markets industry is generally positive as opposed to a negative, certainly, for type of businesses that we support. So in summary, I'd say that the greater driver of our growth tends to be our penetration, upstream and downstream and in concentric circles are the functions that we support as opposed to sort of any single indicators such as volume, which may be affected by what you define as volatility in the marketplace.

Sameer Dosani:

So our business overall remains resilient despite the volatility in the end market so to say?

Anjan Malik :

Well, I would say that that is subject to the caveat that I made in my previous comment, which is that you could end up in situations where certain clients don't make it through and your orders have to shut in certain businesses. Then all bets are off, right, if you don't, because you will definitely feel the breadth of it because if there's no business, there's nothing to service. So I would say that it's broadly very positive until sort of the boundary condition that your client no longer exists in the current shape, way or form.

Sameer Dosani:

And that possibility would be much lower

because our clients are much larger in size and they are not at the survival risk, right?

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Anjan Malik :

Never say never. But I would say that the GFC did a very good job of creating a pecking order I think you saw a lot of clients migrate towards their home markets, migrate to the period today that's their areas of strength. I mean, that process has been going on for 15 years. It's not a new thing. So the people that we today support by definition of the winners in the survivals because you cannot support the guys that there.

So yes, I think you have to make the assumption that this time around, the financial services industry is better set up for it. And maybe the risk exists in parts of the industry that maybe we don't support as much which maybe what we call the shadow economies is just, for example, the private equity shops and distressed debt shops .

So there is risk, but we broadly feel that at least our pool of revenue in that marketplace, I feel that there's more opportunity than there is a downside . But hey if you remember those famous last words – never say never.

Sameer Dosani:

That's good to hear. And I think in a way this question has been answered through questions asked by previous participants. We have generally seen outsourcing to be the major theme when pressures are on clients. Now have you started observing conversations around how clients can give more work to you? And have you started pitching , how can you take more clients, more work out of your clients just to help them go through this volatile period?

Anjan Malik:

So, I would argue that if we're not doing the second bit, then I think we've got a problem, which is that we're pitching to clients all the time to try and take on more work. So, I think that's sort of business as usual. In terms of do we see more demand for outsourcing? I would actually argue that when you get into positions like this that your #1 demand from client is on automation, right? So there, obviously, every client wants to automate everything straight through process everything and have 0 people. For the bits and pieces that are left, you need to try and find the most efficient and the cheapest way of doing that, right? Outsourcing is definitely one part of it. But engineering transformation and all those fancy words that people use, AI /ML, all those things are actually a part of that, too. that's why over the last 5 or 7 years, our focus has been on what we would call end -to-end service delivery, where there's been a focus on building out more consulting onshore, more transformations in this is an overused word, but like more sort of change in design services. So we can help our clients determine what can be taken, what can't be taken and for the bits that can be taken taking offshore, it can run much more efficiently in a much more sort of cost reduced and more efficient way than ever before. So, I think our clients are looking for more automation, and some bits that they can't automate, they're looking for smarter ways to reduce cost and run that in a managed way. So yes, but in a roundabout way.

Sameer Dosani:

And automation, when they need automation, we have the platforms ready that can help them? Or is it like they are turning to ITs? Is it scope of a that we provide? Or is it something which...

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Anjan Malik:

Yes. So I think in those areas and those sort of what I would call our productized buckets of services, which we are showing more and more in our managed services breakout. We have, I would say, a multiplier of platforms, people services, right? So those things solve those problems for our clients in a very efficient way. I think what our technology and our automation team allow us to do is build

APIs also to market standard platforms and to the platforms that our cl

ients are using, which allows

us to be sort of a n efficiency multiplier in a way that they can 't otherwise be. What we don't do unlike a lot of the big SIs and platform and product companies, is come in and say, look, we're just going to take out this entire stack, and we'll replace it because we feel t hat's a holy grail and those time periods is just too long to pay for our clients. So again, in periods of volatility, financial stress, cost pressure, they will turn to us because we can help identify what can be automated. What we can do, they'll get an SI to do or they'll do it themselves. But what we can do, we will take those functions, automate away as much as big as possible, run it on more efficient platforms we can. And if we don't have those platforms, run them on platforms that we can build APIs to leverage clients, third parties or whatever.

Sameer Dosani:

And the kind of the work that we have done would have only increased, I mean, the scope of work that we can do has only increased using for that period of time?

Anjan Malik:

I would hope so , it is an early phase right now.

Asha Gupta :

Thank you Sameer. Next question comes from the line of Ruchi Burde . Ruchi, pleas e go ahead.

Ruchi Burde :

When I look at your numbers, over last 2 quarters, the on -site revenue mix has increased by about 2 percentage points. So, can you help us understand 2 things. First, what is driving this? And secondly, as you look into your pipeline of executable orders, do you see similar trends?

PD Mundhra:

So Ruchi, I think one of the names driving this is that in the COVID era when client themselves were working from offices, they didn't see much value in doing work onshore because there was no opportunity to do it on premise, and therefore, over that period of time, over the last couple of years, you would have seen a steady increase in the proportion of offshore work being done by us. In the last few months, as the world has opened up, finance clients have come back to their offices, as there is the opportunity to do more on-premises work with them, we have seen increase in demand for onshore work.

In terms of the future, I would say, I think our pipeline is more or less balanced. So broadly speaking, if you see, ou r has been in and around that 80 -20 kind of range, 80 offshore, 20 onshore for the last few quarters, and I don't expect a significant change in that number.

Asha Gupta:

Thank you Ruchi. Next question is a follow -on question from the line of Sandeep Shah . Sandeep, please go ahead.

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Sandeep Shah :

Just a question. I think you answered about CLX, you also answered about capital markets. How is the cable and wireless as a segment doing and any other industries which we are forgetting in terms of a demand outlook?

Anjan Malik:

The cable and telecom industry, you mean. Well, I mean, that industry continues to be under pressure, right? Because I mean, there's, for example, some of our largest clients have seen reductions in subscriber growth. So demog raphically, the industry continues to be challenged because of what they call over -the-top providers of services, fiber providers, et cetera, et cetera.

But in that context, there's more focus on cost reduction than ever before. So I would argue that. An d we're seeing this from our clients that there's the most aggressive plan for offshoring that we've certainly seen in the past. And it's generally a very sort of made -at-home culture or buy -at-home culture traditionally. And I think the past 2 or 3 years has opened eyes, obviously, because of sort of the work from anywhere, I think that happened during COVID, opened eyes on what is possible.

And so I think the offshore providers are especially Indian ones, have generally been a very large beneficiary of that trend. And I think the trend is actually likely to continue and accelerate. Th

e flip

side of it is, obviously, we expect more consolidation in that industry. So like the banking space is not really a regulated space except from a monopoly perspective. So we'd expect to see more consolidation over the next 18 months to 2 years.

Sandeep Shah:

Okay. Okay. And Malik, in this industry, how is sort of penetration in terms of some of the new age providers like OTT players as a whole?

Anjan Malik :

It is currently low for what I would call new age providers. It is high with the large multisystem operators.

Sandeep Shah:

Okay. And just a strategic question. I think post the COVID start, we have done extremely well, both organically and also including personnel. So do you believe this is largely to do with the way the spend is happening in the industry on the digital adoption? Or it is also because the way eClerx is now approaching go-to-market, which is helping us to add new business higher versus the rollout which used to happen earlier. How do you put a weightage on these 2 elements?

PD Mundhra:

Yes, I can. I think Sandeep, that's a very good question. It's very hard to do that attribution precisely. But I would say it's a mix of tailwinds for the industry and probably a couple of things that we've been working on. So on the industry side, 2 things that come to mind. One is the tight labor markets in the west. So that definitely help people like us who can provide talent and capacity at short notice.

The second thing I would say is the COVID experience, where clients have come to the realization that a much broader set of things can be done remotely than what they may have previously. And therefore, effectively, the addressable market for people like us have been structurally increased over

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the last couple of years. So, these 2 factors, I would say, are not specific to they've helped the industry as a whole.

In terms of our initiatives, I would say a couple of things again. One is the focus on productized services, which is a journey that we began in 2016, is to try and pick the areas that we believe we have some and unique capabilities in and try and really add analytics and automation to those service offerings and ideally where possible, come up with a managed service or a BPaaS[Business Process as a Service] model, where you can give clients certainty of the cost per transaction. And I think that's broadly helped. Because if I look at where both our pipeline is as well as where the wins have come from, there's a much larger proportion coming from these focused areas. So, I would say that's one big factor.

And the last one, which is, again, from specific is, as you guys who follow the company for a while will know, between 2016 and 2019, we were unfortunate to have suffered from a couple of very large client-specific events, which hurt us in terms of losing large chunks of revenues in single events. That has not happened in the last couple of years. And therefore, whatever new sales we've made have largely translated to net growth for the firm. So, I would say these 4 things, 2 of which are industry specific, 2 of which are more things specifically, But I can't sort of attribute percentages to those buckets.

Asha Gupta :

Thanks Sandeep. Next question comes from the line of Manik Taneja. Manik, please go ahead.

Manik Taneja :

So, the question was with regards to something that PD already alluded to. So, what we've been hearing from some of the peers who are essentially focused on the digital operations piece is that they are saying there is significant velocity in terms of new deals, new customer wins enabled by greater acceptance of chat as the primary medium for customer care. Are you also seeing something similar with regards to that particular business segment for you? And how do you see that business grow over the next 3, 4 years?

PD Mundhra:

So, I thin

k, Manik, this comes down to how people classify digital. So, for us, that work around chat support, we house more in our customer operations business. And you're absolutely right that there is a substantial appetite for clients to migrate customer support or customer contact more generally from voice channels to chat just because of cost efficiencies. So, the idea is that whatever you can automate and move to self-serve, do that because then you eliminate the cost. For whatever is left do chat and for things that can't be done by a chat, only then use voice. So that sort of is typically the sequence of preferences we see with clients.

And we have been beneficiaries of that as well because obviously chat is accent agnostic, right? So, in that sense, it's easier to deliver from offshore than voice might be. So yes, we've been beneficiaries of that, that has contributed substantially to the growth in our customer over the last couple of years. But we see it within the context of that business. For us, digital is sort of more digital marketing type work that we do for clients.

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Manik Taneja :

Do you essentially foresee a scenario that India become from a customer care standpoint, option that had lost out to Philippines when it was with dealing with voice-based work?

PD Mundhra:

I think that's hard to say, Manik. I would say more generally as much as you can make that characterization, India as a destination has done well in the last couple of years in COVID. So, if you compare India and the Philippines and I'm saying this because we have some visibility to both countries. I think India's ability to pivot in March 2020 to a work-from-home model and create the necessary infrastructure and connectivity and maintain business continuity was probably higher than the Philippines. And so, I think clients were also pleasantly surprised because this was an untested capability, unplanned for situation. And so, I think the response of all providers and captives pleasantly surprised plans. So, India already, I think, does occupy a very prime position in their sourcing destinations. I do think that in certain cases, perhaps they're overweight India. So, they may want to balance a little bit by going to other geographies or Philippines then becomes on top of that list. But I think both geographies are attractive. I think India has done well in the past. Going forward, at least with our limited client set, we see more appetite to do non-India as well just to balance out the risk.

Asha Gupta:

Thank you Manik. We have next question from the line of Sameer Pardikar . Sameer, please go ahead .

Sameer Pardikar:

Sir, what explains some muted growth in the top 5 lines for us in the last couple of quarters.

Srinivasan Nadadhur :

Let me take that. So generally, it is difficult to expect constant increase in top 5 clients. What we have seen is that the non-top 5 and the emerging clients have grown faster than the top 5 clients are done. So if you look at what the year-on-year growth for the top 5, top 10 clients is, it's around 20%, whereas the non-top 10 have grown faster.

Sameer Pardikar:

Any particular client in the top 5 you are seeing some moderation?

Srinivasan Nadadhur :

No, not that we can focusing those specific clients.

Sameer Pardikar:

And again, from a territory perspective, we have seen some muted growth in the European territory. So, any particular reason for the growth?

Srinivasan Nadadhur :

That is largely because of currency. So that is showing up because the weak euro, it is showing up as a reduction in the contribution of Europe as a geography.

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Sameer Pardikar:

Okay. And can you help us with the corresponding number of attrition we have reported 29% for this particular quarter? What was the corresponding number for the last quarter?

ter?

Srinivasan Nadadhur :

So, 29% for this quarter is not directly comparable with the last quarter's number that is there on the deck. So, the comparable number this quarter, comparable to the 42% that we reported for last quarter, is 45 %.

Asha Gupta:

Thanks Sameer. We have follow-up question from the line Sandeep Shah . Sandeep, please go ahead.

Sandeep Shah:

Just in the Q4 presentation, we have shared that roughly 21% of the revenue comes out of analytics and the automation and 26% of the revenue comes out of BPO as a platform. So, is it fair to assume both of these does not overlap with each other? And how sticky these kinds of businesses ? And any rough cut in terms of how the growth in these 2 things versus the company average where one can expect that these things as a percentage to revenue will keep increasing going forward?

Srinivasan Nadadhur :

So, I'll take that. So, in that presentation itself, we had mentioned there is an overlap between analytics and automation and the gross revenue. And that's because you can sell technology as a managed service, you can sell analytics services as a managed service. So, there is an overlap.

And to your second question on how that is growing. I think typically, we will go on to give an update again on these 2 areas at the end of the year. So there is a meaningful period of 4 quarters during which we can look at the growth and see whether it has really made sense. So, we'll comment on that at the year-end.

Sandeep Shah:

And is it large part of the business is sticky repeatable business?

Srinivasan Nadadhur :

Yes, the contract and contract durations are more or less similar to the other services that we have.

Asha Gupta:

Thank you Sandeep. We have follow-up question from the line Sameer Dosani . Sameer, please go ahead.

Sameer Dosani:

Can you also speak about integration of Personiv acquisition? Because if we look globally, finance and accounting is an outsourced service growing and doing much better as compared to any other outsourcing horizontals . So can you share some light how are we thinking about this business? And how meaningfully we can scale this business up?

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PD Mundhra:

So in terms of integration, I would say it's a loose integration so far because the earn-out period is still happening. And so it's important to be able to measure the performance of that business on a stand-alone basis. So, we are working together where there's an opportunity, as we mentioned in prior calls, there have been a number of successful cross-sell pursuits sharing capabilities and clients across both firms.

From a back-end perspective, also from a delivery perspective, there are re-engagements, where share deliveries happening between our native facilities and Personiv facilities. And also, on things like standardizing on certain platforms, whether it's internal HR platforms, COVID response measures like vaccination, et cetera, there is a lot of collaboration across the companies.

In terms of the outlook, so Personiv really has sort of 2 or 3 businesses or 2 or 3 segments that we're working. One is quite aligned with our customer operations business, one is more aligned with our digital business and then there's, of course, the authentic piece. We actually think that there are growth opportunities across all those 3 pieces, including F &A. And I think certainly in the last quarter, the double -digit growth that Srini alluded to on the Personiv side, a good chunk of that did come from F&A. So, I think as we come closer to the end of the year now towards the end of this calendar year, we'll be able to draw up a formal plan, goes for integration and the go -forward go -to-market for Personiv.

Asha Gupta:

Thank you, everyone. As there are no further questions, I hand over the floor back to the management for closing comments.

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Srinivasan Nadadthur :

Thank you very much. Thanks to all the participants. Thank you, Asha, and we'll see you again in 3 months. Thank you.

Asha Gupta:

Thank you, everyone. This ends the Q1 FY '23 earnings call for eClerx. Thanks, we can join again next quarter.

Call: Nov 2022

eClerx/SECD/SE/2022/118

November 15, 2022

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter and half year ended September 30, 2022

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on November 11, 2022 with respect to the financial results of the Company for the quarter and half year ended September 30, 2022 .

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
Company Secretary & Compliance Officer
F8538

Encl.: as above
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eClerx Services Limited
Q2FY23 Earnings Conference Call

November 11, 2022
eCLERX MANAGEMENT :
PD MUNDHRA – CO-FOUNDER AND EXECUTIVE DIRECTOR
ANJAN MALIK – CO-FOUNDER AND NON -EXECUTIVE DIRECTOR
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS :
DARSHAN ENGINEER – KARMA CAPITAL
HITESH ARORA - UNIFI CAPITAL
MANIK TANEJA - JM FINANCIAL INSTITUTIONAL
RUCHITA AGARWAL – EMKAY GLOBAL
RUCHI BURDE – ELARA CAPITAL
SAMEER DOSANI - ICICI PRUDENTIAL

SANDEEP SHAH - EQUIRUS SECURITIES
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES
SIDDHARTH VORA – L&T MUTUAL FUND
SUNDAR ESAN – SPARK CAPITAL

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Srinivasan Nadadur :

Hello everyone and good evening. Welcome to eClerx earnings call for Q2 FY '23. The performance in this quarter was robust. So, revenues came in at USD 82.5 million, which is up 3.7% quarter-on-quarter and 4.6% in constant currency. Total revenues for the quarter were INR 6,712 million, up 4.9% quarter-on-quarter. Due to the strong revenue growth as well as operating efficiencies that we were able to generate, and also helped by the depreciating rupee, margin performance was stronger with EBITDA of INR 2,023 million at a margin of 30.1%, which is up 8.8% quarter-on-quarter. Net profit was INR 1,259 million at 18.8% margin. The Board has approved a share buyback of up to INR 300 crores through the tender offer route at a maximum price of INR 1,900 per share. This will be put up for shareholder approvals shortly. Do note that our payout to shareholders remains consistently high as per our stated policy. So, from FY'18 to FY'22, we have paid out approximately 70% of net profit and 70% of approximately of free cash flow to shareholders, including taxes. In Q2, we also paid out our dividend of INR 1 per share. We also completed the process of issuance of bonus shares.

The indicators on the key metrics slide are largely stable. We do want to call out one important metric. The number of clients in the \$1 million to \$3 million bucket has moved up from 22 to 27, which I think is reflective of our ability to deepen relationships and grow with our clients.

Headcount in Q2 was slightly higher than Q1. This is because of 2 factors. One is the lesser hiring in Q2. And the second is something that I alluded to in the Q1 call itself, we were carrying excess bench in Q1, which now has converted into billable staff. Attrition moved up by 8% points from Q1 to Q2, which is slightly lower than the 10% increase in the same period last year. We do see attrition easing. We see the number of resignations going

down in Q3, and we believe that the peak is behind us.

Given the uncertainties in the global macro environment, we expect to get better visibility into calendar 2023 outlook in the next quarter or 2. On margins, we continue to believe that our goal of 28% to 32% remains appropriate. As always, thank you for your support and belief in us. We can now move to the Q&A. So, the first question is from Ruchita.

Ruchita Agarwal :

I had a couple of questions. So the first one is regarding the outlook for topline. I would see the growth in the past quarters since we have primarily been led by our top ten clients. I just wanted to understand what growth momentum do we expect in these clients going forward? And if there are any signs of weaknesses consent macro environment also an extension of that, our emerging clients don't seem to be a growing at same pace as our top 10 clients. So just wanted to understand how should one does this indicate any signs of slower decision-making or a potential slowdown. And second question pertains to the BPaaS segment. Growth seems to have remained good for the past 2 quarters. So just wanted to understand the consistency.

PD Mundhra:

Yes, I can take the first one, and perhaps Srinu, you can take the second one. So, in terms of growth composition across times, if you look at the revenue mix slide in the deck, you'll see our top 10 have been growing at about 20% year-over-year for the last 2 or 3 quarters, but our emerging clients, the \$0.5 billion-plus segment has actually been growing closer to 30% if you take an average of the last 3 quarters. So, I do think that overall the goal of the company, which is to grow emerging faster than the top 10 and therefore, create less concentration, that is broadly working. And the other data point to eClerx Services Limited
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that, I think if you go back and look at the metrics slide, and the number of million-dollar-plus clients today, we have about, as of last quarter, 43 clients that are \$1 million plus. And if you look at that same number a year ago, that number was only 36. I think both of those are reasonable indicators that

growth has been broad-based and our client concentration, we do think it will come down. Having said that, it's great for us that the top 10 are also growing at 20%. They still continue to be a large chunk of our revenue base. If you don't see growth there that would have had an adverse effect on overall growth rates. So we are very happy to see growth in the top 10, but it's good to see that growth outside the top 10 has also been strong. Srin, you can talk about BPaaS, please.

Srinivasan Nadadur:

I think when you look at BPaaS revenues, there is usually not much variation from one quarter to another. It may be more helpful to look at a longer-term view and get year-on-year performance and you will see that it has actually increased. That is one. The second is that usually, a lot of the BPaaS revenue for us is in quarter 3 and quarter 4 because of pending work that our clients have, which are based on transactions and unit price. So you'll see that quarter 4 is usually the highest in terms of BPaaS revenue. Note that excluding FY '21, quarter 4 because there was Personiv revenue addition in that quarter, which is all 100% FTE. So that's broadly it. But otherwise, I think long term, you will see this metric up and it's difficult to move the metric in very sharp terms (in the short term) because it requires having a conversation with clients and getting them and convincing them to move from FTE-based pricing, which is what they are used to into managed service process. So, it will take time to move up, but that is what our goal is.

Ruchita Agarwal:

Just wanted to follow up, we do not see any weakness in our top lines. What is our outlook going forward from the client?

Anjan Malik:

That's a hard one.

But I think if you look at 3 metrics. One is internally, we look at the pipeline, and I guess we look at conversion rates. And I'd say pipeline continues to be pretty strong, but conversion rates have definitely slowed. So if that's an indication of a slowdown, then I would take it as one. So certainly, while people want to spend, there's a slowdown at which they're making decisions, and that's been noticeable. The second part of it, obviously, is uncertainty at our clients. So you'll see as many of our customers, many of whom make up the global indices are facing their own headwinds. So many of these guys are reducing headcount, they're reducing spends. So you would expect in the medium term that to have an impact on the IT and the BPO industry. But it's unquantifiable at this stage.

Srinivasan Nadadur:

The next question from Manik Taneja. Manik please go ahead.

Manik Taneja

So I had a couple of questions. Clearly, you mentioned about the aspect that you've done very well in terms of the number of \$1 million-plus customers increase in terms of customers at the lower end. When I look at our client metrics, it appears that, we might be doing well with our top customers as well as probably adding customers at the lower end, but the migration of some of these customers to higher revenue buckets, that is something that still remains low. So would that be a fair reading? That's question number one. And the second question was to essentially get a sense of what you are seeing across the 3 parts of our business in terms of Financial services, Customer care and Digital, if you eClerx Services Limited

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could help us understand that?

PD Mundhra:

Thanks for your questions. I'll take the first one, and I request Anjan to respond to the second one on segment-wise outlook. I think, yes, broadly speaking, you're right that the larger the revenue threshold you apply, the harder it is for us to consistently migrate people up into those tiers. So for example, it's much easier for us to migrate a client from \$500k to \$1 million, than it is to migrate a client from 1 to 3 or 3 to 5. And there will be a drop-off. So, in terms of percentage of clients in any given tier whom we are able to successfully migrate up to the next threshold, there will be a drop-off. Having said that, I think even if you look at the larger clients, the \$3 million-plus clients, we have seen an increase from 12 to 16 over an 8-quarter period. So over 2 years, we've seen a 33% increase in that cohort. And obviously, if you look at the \$1 million to \$3 million clients, there's been a much larger increase there from 16 to 27 over that same 2-year period of time. So I think you're right, creating \$10 million clients for us is a difficult event, and it's not a very common event, but it does happen. But hopefully, if we can create lots of \$2 million, \$3 million, \$5 million clients that will help us maintain the momentum. And I'll hand over to Anjan to respond to the second part of the question.

Anjan Malik :

I feel that the broad strategy of specialization, product investment, combination of onshore and offshore has continued to play out for us, which means that demand in the pools that we play in has continued to be strong. So I think there was an observation made there about slowdown in emerging clients. But I think certainly because a lot of our growth continues to come from existing clients, as you know. That pool of demand, we've seem to be strong. I think as I've said, there's been some slowdown because of uncertainty at the edges, but we still seem to be growing relatively quickly. And there seems to be a fair amount of demand for the book of work at least that we service. And I would say that that's consistent across the 2 big books and markets, which is client life cycle and trade life cycle and the 2 big books in customer Operations, on Care and Engineeri

ng Services and broadly

around the high level of three books that we have in digital, which is focused on Content, Marketing Automation and Analytics. And I think the one other thing I'd say that that's helped us in the last year, a year and half, this pivot towards Automation and Analytics, where we're beginning to win more work on the periphery of those big product areas where guys are hiring us to do what we call subject matter expertise related Automation and Analytics. So, I think all in all, we feel, I would say, relatively sanguine. But obviously, if you start seeing clients just disappear or entire markets shut down, then I think it will be a different game. But we can't predict that microlevel demand.

Manik Taneja :

The other thing that I wanted to get your thoughts is on the fact that you alluded to in your opening remarks that you've paid more than 70% to shareholders, so while our historical policy has been to pay 50% of our earnings as in the form of dividend buybacks. But over FY '18 to '22, that payback that returned to shareholders has been much higher. So should we assume that as the new normal in terms of our policy in terms of returning cash to shareholders?

PD Mundhra :

So Manik, we see 50% as a target. One thing to keep in mind is the other competing application of cash could be acquisitions. So to some degree, where we end up in terms of payout ratios is also a function of acquisition opportunities that we see and we are able to close on. So, over the 5-year period that Srinidhi did the measurement for, we had one deal that we closed with Personiv. And so eClerx Services Limited
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therefore, there was more cash availability to return to shareholders. I think broadly speaking, we all feel that there is not much utility to accumulating large cash balances in the company because given our conservative investment philosophy, return on cash (on) our treasury cash will be low. And I'm sure shareholders have a much higher opportunity cost of capital that they would target. So, we will keep some buffer for CapEx and for OpEx and some for liquidity. But beyond that, excess cash - we want to return.

Srinivasan Nadadur:

The Next question from Hitesh Arora. Hitesh please go ahead.

Hitesh Arora :

Congratulations on a good set of numbers. Just any visibility on the roll-off thus far? And any specific outlook for FY '24 that you have, you can throw a little more light on?

Srinivasan Nadadur:

So roll off this year has been lower than FY '22, which itself was a much lower year of roll-offs. So, I think we may help by that. I think in terms of the future, we don't see anything significant or material, which is coming up. And I think that's been a positive situation as far as the roll-offs are concerned.

Hitesh Arora:

And that visibility you would have, let's say, for the next 6 months or something or more?

Srinivasan Nadadur:

Well, usually, it's about 2 to 3 months. And bear in mind, most of our clients can terminate contracts with 30 or 60 days of notice.

Hitesh Arora:

Fair enough. And we are presumably given our run rate, we are still, should be comfortable with the double-digit growth, I presume for FY '23 at least?

Srinivasan Nadadur:

Yes.

Hitesh Arora:

Anything specific on the outlook from the clients or from your conversations? I know you alluded to in the previous question, but anything more specific that you can talk about what your clients are saying in terms of offshoring the business, etc, to India or in your other marketing verticals? Anything more that you can help us understand your business better would be very helpful.

Anjan Malik :

I think the demand for India continues to be pretty strong. where we have clients that already have very large GIC s and already have very large exposure to India n vendors. They are looking at second sites. But I would say, in gen

eral, that's peripheral and the demand for India is very strong. So I'd say

I think there's certainly the geopolitical risk on 1 and 2, India's performance during the whole Covid lockdown was v ery, very positively received. I think broadly, that's a very good positive for India - based work. I think anything beyond that, again, is client specific [and] we don't really share. And I think it's , there's no specific trend to speak of as opposed to the one that I just mentioned.

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Srinivasan Nadadhur:

The Next question from Sandeep Shah . Sandeep please go ahead.

Sandeep Shah:

Just a question in terms of recruitment. So , this quarter is a soft recruitment where we have added 0.6% of the last quarter base. And generally, there has been a good correlation of your recruitment with the future quarters ' growth. So is it more to do in anticipation of some sluggishness of demand in the second half? Or is it more to expect that bench coming on a billable role and there could be a utilization improvement and the growth is unlikely to slow down from what we have seen on a Q -on-Q basis in the first half and second half?

Srinivasan N adadhur:

I think largely, we are , it is the second. So we were carrying very high benches in Q1, mostly because the attrition was high plus we were expecting some work to get billed in Q2. And attrition has slowed up significantly in the first couple of months of Q3. And we've been able to get our utilization up by getting some of the people on the bench billed . And that is why you don't see a significant jump in the headcount numbers as we saw in Q1.

Sandeep Shah:

Okay. So this is helpful. And just a follow-up, Srini, last time, you said that the SEZ regulation in terms of working from home threshold from mid of October, which I believe got delayed. So , in that scenario, is it fair to say now our expectation of 28% to 32% is restated versus earlier because of which you were saying it could be 28%, 30% rather than 28% to 32%? And in terms of follow -up to earlier question, with expected higher utilization, is it fair to say with wage hikes also behind margin may have an upside on a going -forward basis rather than downside?

Srinivasan Nadadhur:

So the second question first. Yes, I guess so high utilization should definitely help and because the return to work norms have been relaxed and the government is not in hurry to ask SEZs people to come back to work. I think that will also probably help our margins in some way.

PD Mundhra :

I do want to add one thing Sandeep, is that if you look at our numbers, we have been beneficiaries of rupee depreciation in terms of revaluation income. So we've had between INR 15 crores and INR 18 crores of revaluation income, both in Q2 and Q1. And obviously, nobody knows if that will continue or in what direction the rupee will go. So to some degree, all of these benefits that we've been talking about may potentially be required to fill the gap that goes away exactly if the rupee depreciation stops. So that's why I think we , Srini made that comment in his opening remarks that that range of 28% to 32% is appropriate.

Sandeep Shah:

Okay. And just last thing, in terms of what Mr. An jan has said, some uncertainty in decision -making and conversion of the deal pipeline being slightly slower. So do you believe that this may have an impact even in the second half? And secondly, what proportion of our portfolio or revenue which you

can describe as a discretionary versus annuity sticky or defensive portfolio?

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Anjan Malik :

Yes. I think I would say a very large percentage of our book of business is what I would call critical services, which is what we've always maintained, and I think that is continuing. I think I had prefaced my previous comment by saying that the overall pipeline is bigger,

but conversion rates are slower.

So, if you do the math, I guess, on that you shouldn't expect a slowdown basis of that. I was giving anecdotal color that decision-making cycles are definitely slower because people are waiting

PD Mundhra :

We may have lost Anjan temporarily. But just also, to supplement his remarks, I'll quantify this a little bit. If memory serves me correctly, if you look at last financial year, in terms of sequential growth rates, we were usually 5% plus in almost all the quarters. Whereas if you look at this year in the 2 quarters so far, that number has been somewhere between 3% and 4%. So to some degree, there is already a reflection of a slowdown as compared to last year. But I would also submit in the same breath that last year was an exceptional year for us and for the industry because we grew 20% year-over-year, and many of our much larger peers also had scorching growth rates. So undoubtedly, there is a slowdown from last year, maybe things continue as they are, maybe slow down a little bit more. But regardless, I think at least for this year, to a question somebody else asked, we still anticipate a fairly decent year and certainly double-digit growth rates.

Sandeep Shah :

Okay. And just any quantification on the discretionary portfolio percentage as a percentage to total?

Srinivasan Nadadhur:

It's about 70% on annuity and 30% is discretionary .

Asha Gupta :

Thank you, Sandeep . Next question comes from the line of Shradha Agrawal. Shradha please go ahead.

Shradha Agrawal :

So just wanted to understand the demand trends in Europe, especially in the context of CLX Digital. Are we seeing anything particularly soft compared to other segments or other does?

PD Mundhra :

I would break up the CLX business into 2 parts. I think the part that faces the luxury brands, which is the majority of the book - We continue to see fairly strong demand. So there has been no slowdown there yet. There is a smaller part of the revenue that faces retailers and also industrial clients. There, we seem to have seen more of a slowdown. But on a consolidated basis, we still expect CLX to grow this year compared to the last year. Of course, the last thing I'll say is in reported terms, they will have a tougher year because the euro has depreciated, whatever, 15% against the dollar. So, in reported dollar terms, the picture doesn't look as strong but at least in native euro terms, we should see decent growth this year on the portfolio as a whole.

Shradha Agrawal :

Got it. And sir, in the total headcount number, we've seen the jump up in the tech services headcount numbers. So what does that relate to?

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Srinivasan Nadadhur:

So there is some investment that we've been making on the tech for the last, I think, 6 to 9 months in productizing services, making tools available for the chosen line of service product. So that is one of them. And the second is that, in general, our tech services have seen a good pick up. So that is the second reason .

Shradha Agrawal :

Got it. And just one clarification, what is the number between annuity and discretionary that we give

out to the last participant? I just missed out on that.

Srinivasan Nadadhur:

The 70% is annuity and 30% discretionary .

Asha Gupta:

Thank you , Shradha. Next question we'll take from the line of Sameer Dosani. Sameer please go ahead.

Sameer Dosani:

I think on financial market side , 2 parts of the business, one is trade cycle and client cycle. Can you just give an outlook because the capital markets has been very volatile? And if you can just throw some light, what's the outlook there in terms of overall segment?

Anjan Malik :

I think it's been pretty bullish. It's been one of our fastest -growing businesses over the last 3 years, and we haven't really seen any slowdown in that business. So both those

areas, for example, the client life

cycle business tends to be driven by regulatory pressures and compliance pressures [and] that has only continued as there's been more government -focused and more regulation put on our banks and other financial institutions. And the trade life cycle business, the area that we play in, which is the institutional part of the business continues to be very volatile and it's driven largely by volatility and complexity of businesses. And I think that's continued. So the clients that we work with, which tend to be the large global banks, they have seen their market share increase. And so as a result, we've seen our business increase. So , both those demand books we're seeing are healthy at the moment.

Sameer Dosani:

Okay. So , a few banks across the world have been facing issues in terms of their mortgage businesses or some of them are also having bankruptcy issues . So are there any clients that we deal with are at the risk of that? If you can speak about that? And also second part, client life cycle, whenever there are recessionary pressures, do you think there is some regulatory leeway available to the clients where they will say, let's do KYCs or just updating data services we can delay it for 12 months?

Anjan Malik:

Again, yes, it's hard for me to answer what regulators think. But if you look at past history, I feel that regulators don't seem to really care much about recessions or growth. I think they care a lot about compliance. And I think once , I think broadly, there's a feeling that the banks have made a fair amount of money over the last decade and compliance is number 1. So , we don't see a reducing overhead and compliance , we're seeing an increasing one, and that's continuing. I think the second part of the question, which I think you asked first was do we have any clients that we see under the financial stress . That's hard to say. I think certainly, we don't have any clients in the banking space that are on eClerx Services Limited

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the verge of bankruptcy. I'm very happy to say, which was more than we could have said in 2008. We do see some clients that may have to sell parts of the business, but that's the minority of our business. The majority of our business, I think, as I said, are the large global banks that actually increasing market share in this marketplace. So as I said, it's a wait -and-watch, but the immediate to medium term still looks pretty sanguine.

Sameer Dosani:

Understood. And my second question is around this , the BPO business and the customer care business that we do. So here, I think if you can just throw some light, what is the outlook? Because if you can just share overall color or what is the outlook?

Anjan Malik:

So I think if you were to ask anybody about the long -term prospects of the call center business care business, we all know that voice is moving towards chat, or towards self -help and what we call omnichannel help, which is SMS, text. web, etc. So, in our businesses, I would say, well -poised because that's the transition that we've been really helping our clients make because our first foray into the space when we started almost 6 or 7 years ago was in that chat what we call the intelligent chat space. And that's a growing part of the business for us , that I think we're probably seeing that a lot of people that had left India in the care business in the first part of the 2000s, are reassessing India, given I guess, broadly improvements in communication capability in terms of technology and in terms of scale.

PD Mundhra :

So to the point that Anjan was making, at least in the near to medium term, we continue to see reasonably good demand, especially for the kind of work we are doing because we are not really doing a lot of level 1 work. Most of the work we are doing is either in chat or I would say, level 2, level 3 support for clients.

And there's also some consulting work that we are doing with clients in terms of helping them improve the efficacy of their customer contact processes. And also, in the last couple of years, if I look at actual growth, the business has performed fairly well. So a long way of saying, at least I think in the short to medium term, we remain positive about prospects.

Sameer Dosani:

Understood. And lastly, if I can squeeze in. So I'm not sure whether our business has impact of furloughs because IT services has this impact of furloughs because of lower working days. So do we also see that impact? And do you have some visibility on that because you would have 2 to 3 months of visibility? So if you can just share the color on that.

Srinivasan Nadadhur:

So for us, it is much lower. So for the operations part of business, there is no concept of furloughs. And to the extent that we are doing IT support and staff augmentation work within the IT services - like area. And there might be some impact of the furloughs for those specific ones, but I think it is a very small portion of our revenues.

Sameer Dosani:

But our financial markets would deal with volumes and volumes are generally lower in Q3, that could have an effect?

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Srinivasan Nadadhur:

So that is not to do with IT.

Sameer Dosani :

Okay. No. I think overall financial markets as a segment, the volumes, the derivative volumes and everything would be lower. So that would have an impact or...

Srinivasan Nadadhur:

No, that will not have an impact to clients pay mostly in that world by on an FTE basis, and they don't go up and down that dramatically.

Asha Gupta:

Thank you, Sameer. Next question we'll take from the line of Siddharth Maheshwari.

Siddharth Maheshwari :

I have a small question. If I look at the utilization percentage, then except Q1 of FY '23 and Q2, utilizations were quite high in the range of 78% to 80%. I'm talking about, let's say, last 6 quarters before FY'23. So what is the reason for that? Is that, you just said that since the constant currency growth rate has also come down. So whether these 2 things are connected or anything else?

Srinivasan Nadadhur:

So it is not related to currency, but it is related to the on/off of bench that we are carrying and the amount of attrition that we are facing. And therefore, we have to carry that excess bench. So in the last 3 or 4 quarters, our bench across the businesses has been pretty high. And it's only now that we are seeing attrition going down a bit. And therefore, I expect that the utilization should improve in the next 1 or 2 quarters. So, well in mind that it takes some time for the utilization to pick up as people are more confident that attrition is going down. Therefore, they don't need to carry some excess staff and so on. I think 80% is unusual, it was probably a one-off. 77%, 78% is probably the long-term average for us.

Asha Gupta:

Thank you, Siddharth. Next question comes from the line of Ruchi. Ruchi please go ahead

Ruchi Burde :

I joined the conversation slightly late, so pardon me if it is a repeat. I can see the on-site revenue has declined here. So, we got challenging macro typically concerning is what gets impacted, that's more

discretionary in nature. Is that the reason for the on -site revenue decline? Or there is some other explanation for this?

Srinivasan Nadadhur:

There is actually no reason , the decline is only minimal. And I don't think we should be looking too much into it.

PD Mundhra:

And could the CLX conversion into dollars be part of that? Does that get included in on -site revenue?

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Srinivasan Nadadhur:

I will have to check and maybe that is one, let me check that. Yes. We can check and come back to you.

Asha Gupta:

Thank you , Ruchi . Next q

question is a follow -up question from Sandeep Shah . Please go ahead

Sandeep Shah :

Yes, I think in the initial remarks, we clearly said that FY '23 IT budget clarity will come with the Q3 results. But any interaction with the clients gives you slight worry that FY '23 could be a tough year versus FY '22? Or do you believe it could be other way where macro slowdown mainly to incremental outsourcing and offshoring which even Mr. Anjan was saying that demand from India and offshoring from India has been becoming much, much in demand in the last 2, 3 years?

PD Mundhra:

So Sandeep, I think given a choice, we'd always want clients to be having enjoying or strong trading conditions as opposed to having challenges in their business because we feel broadly speaking, that environment is more constructive for people like us than situations where there are slashing budgets and so on and so forth. In terms of , I think it's hard to see , but given everything you read about the global economy, and you guys will know better than us on this front, it doesn't seem like 2023 is going to be stronger than 2022 from a macro perspective. So I think if we are able to continue these the growth rates that we are currently experiencing, the 3%, 4% quarterly growth rates that we've seen for the last couple of years, that would not be a bad outcome. But I think you'll get more clarity as we said in the opening remarks in the next quarter or 2 as to what the environment looks like. But in terms of aspirations, I think if we're able to match FY '24 with what we do in FY '23, that would be a good outcome.

Sandeep Shah :

Okay. And just a little follow -up. How to read this 30% discretionary portfolio in a challenging environment, which could be the case in FY '23. So how the pattern for this portfolio in terms of revenue growth in the years of slowdown?

PD Mundhra:

So again, Sandeep, I think we have to look at it on a portfolio basis. So , we have a portfolio where it's good to have something that are defensive, some things that are more, if I can use that term, higher beta. And the combination of those 2 things hopefully helps us deliver at least some steady performance across cycles. So , I don't think we are uncomfortable about that mix in the portfolio. And all the remarks and the outlook that we are sharing with you is based on the specifics of our book.

Asha Gupta:

Thank you , Sandeep . Next question is a follow -up question from Sameer Dosani. Please go ahead

Sameer Dosani :

So a lot of these banks are putting freezing on hirings and they are also laying off people. So broadly, I understand there would be 2 things. One is that they would rather than firing people, they would rather in -source the work and make their resources utilized or they would , since there is a high increase they would incrementally give more volumes to companies like you? So what is the scenario that is

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playing on you think and which is a more beneficial scenario. So , if you can just highlight that?

Srinivasan Nadadhur:

I think, obviously, it is more beneficial for us if the world does not look at in-sourced. But I believe that there is a difference between the kind of work that we do versus what traditionally gets done by the captives. And clients tend to keep that in mind because the profile and the skills of the people that is required for each of these pieces of work are different. So , in-sourcing is typically not as straightforward as saying that you want to pull because you don't want to fire your guys. What was the second part of your question , Sameer?

Sameer Dosani:

I was asking whether clients would much would in-source rather than hiring people? Or if there is a fee, they would give more work to you? Is there some any of the scenarios playing out in place?

Srinivasan Nadadhur:

Exist pricing that if clients want

to variabilize their costs as I expect that they would want to do if they are under cost pressures. Then they will prefer outsourcing because that's the scenario where it can mix up and down more easily than you can do with your own staff.

Anjan Malik :

In fact, Srini, can you hear me because I think I want to add one observation on this. But in the last 2 years, actually, we've seen a lot of roles move from GICs and captives to vendors, partly because a lot of captives felt that they weren't very resilient during the COVID period and the period of high attrition. And I think in recent times, we've had more conversations with banks and actually not banks were to Srini's point, they want to show reductions in overall FTE because today, the GICs and the India capitals don't get treated as a low-cost center, they just treated as an FTE center. So, when there's a push for reduction in headcount, the centers get treated the same way. So actually, in a neurotic way, that's an opportunity for vendor organizations, including ones like us. And actually, that I can have a larger impact on discretionary spend, i.e., the part of our book that shows up as discretionary spend could actually flex upwards in times like this because people are looking to variabilize their costs. Therefore, it's better for them to have those things done by third parties and have it done by themselves.

Sameer Dosani:

Okay. So since you highlighted that a lot of the work has moved to , I mean, there's a portion of that would have moved to us. So , if you can just quantify, what is the portion of work that you would be doing is still in-house or with the captives versus what you are doing for the client? If you can just , if there's something, something possible to just share?

Anjan Malik :

There is no way to do that because it's not a function. We do different things for different organizations. So actually, that's felt exercise.

Sameer Dosani:

Okay. Understood. And this would be more limited financial markets or the large segments of the customer care segment .

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Anjan Malik :

I think the financial markets tends to be the part of the industry that's the most what I would call outsourced. So they're the most mature buyers. The care business, by definition, is very, very vendor-oriented. So there, it's more a decision between vendors and a decision between locations versus doing it in-house versus outside because very few people today would still want to run care centers in-house simply because of the cost advantage that third parties provide. And I think in the digital part of our business, it's really about scale in many instances, the skill set just doesn't exist in-house. So a lot of that skills has to be brought from the outside.

Sameer Dosani:

Okay. I was asking this portion of work moving from captives to your organizations like yours I mean which segment this has happened more? Is it the financial markets or the other two?

Anjan Malik :

That tends to be across all 3, but it's been most in the banks recently.

Asha Gupta:

Thank you, Sameer. Next question is coming from the line of Sundaresan. Sundaresan please go ahead.

Sundaresan:

Congratulations on the good set of numbers. I just have a couple of questions. What will be the revenue mix from Personiv during the quarter? And what would be your outlook on headcount addition going forward?

PD Mundhra :

Let me take the second one, and Srini can take the first one. So honestly, I think headcount addition, we don't have any target. It's a more dynamic thing, which is a function both of where we are in terms of benches and what we see in terms of plan conversions. Because ultimately, I think our staffing model is fairly flexible and we can respond reasonably quickly to changes in either direction. So even in our internal budgeting, we don't really

set any headcount targets. And that is managed more dynamically through the year. In terms of where we sit right now, Srini had mentioned in response to an earlier question that we are at about 75% utilization. If you see longer term, we've been closer to the 78% kind of range. So clearly, there is some room for us to float utilization up a little bit. So, we don't need to hire as aggressively right now. But that's just a near-term outlook. Srini, over to you on Personiv.

Srinivasan Nadadur :

On Personiv, I think this quarter, we have grown pretty much in line with the rest of the business. But in Q1, they had very strong growth. When we acquired them, they were about 10% of revenues give or take. So that may have moved up slightly.

Asha Gupta :

Thank you, Sundaresan. Next question comes from the line of Darshan. Please go ahead.

Darshan :

First of all congratulations for a good set of numbers. Sir, I had a question relating to your acquisition strategy. In the previous quarters, you had alluded to the fact that because of low-interest rate regime, eClerx Services Limited
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there was a lot of PE funds who were acquiring entities at a much higher valuation multiples. Now that the scenario has reversed, are you seeing any possible acquisition opportunities in the coming quarters? Do you think that the valuations have become more reasonable now and there are potential gaps that you can fill through acquisitions now?

Srinivasan Nadadur :

We are looking at opportunities. And I think qualitatively speaking, what we've seen is a little more opportunities than we used to see in the past. And I'm not sure the valuations are at a level where it is still interesting for us. And we take quarter for that to come to levels which would be interesting for someone like us. But we are seeing more opportunities being shown to us.

Darshan:

And what would be the areas be in terms of opportunities? Which particular segments, which particular geographies are you seeing there?

Srinivasan Nadadur :

Your question is which geographies are we seeing today?

Darshan:

Which geographies and which particular gaps that you feel you want to fill up possibly?

Srinivasan Nadadur :

Okay. So in terms of, if I look at our 3 businesses, then in financial markets, something on the buy side would be of interest to us; in digital, anything on analytics in areas that we don't service today. It is that we do a lot of work in product marketing and operative intelligence. So I think that is around that or that would be of interest. And in customer operations, something on providing care services in non-telco - that would be interest to us.

Darshan:

Right. And secondly, in terms of the cable business in U.S., are you seeing any slowdown? Or are you seeing any revival -- how is the current opportunity set over there? Because of late, we have seen that a lot of the traditional media channels have also become have adopted OTT in a big way. So how is it impacting our cable business?

Anjan Malik :

I think cable cutting has been a trend over the last decade. So that's something that has continued. I think you've seen that as a result, most of our clients have moved on to streaming themselves as opposed to just being cable providers or connectivity providers. And we are certainly seeing a part of our business growing, providing servicing to the streamers directly. And of course, as I said, one part of our business is around engineering services. And obviously, if you're in the business of providing any connectivity, you're also providing help desk support to those people that get their connectivity. So that's been an area of growth for us. So net-net, yes, I think our client base is mutating. They're moving towards a different set of services, including obviously becoming owners and providers of content. But so far like the nature of demand has changed, but the demand has stayed or, in fact, increased.

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Darshan:

Right. So net-net, it has been still a growth engine for you?

Anjan Malik :

Yes, because, I think the industry is mutating and we support the industry in aggregate.

Asha Gupta :

Thank you Darshan. Next, again, there is a follow-up question from the line of Sandeep Shah. Please go ahead.

Sandeep Shah :

Just last bookkeeping question. Srini, if you look at the realized rupee the dollar for us slightly between then the average quarter rates, which we see for the others. So, is it fair to say all the gains and losses on the matured hedges goes in the revenue line?

Srinivasan Nadadhur :

It will go into operating revenue. That is correct.

Sandeep Shah :

Okay. And how do you see based on the hedge rate going forward? Will it improve in terms of gain in the revenue line? Or do you believe it may have some more impact because rupee is depreciating as well?

Srinivasan Nadadhur :

I think currently the rupee rate is at 80.5 now average rate, you can see for Q3 is 78.8. So I think that tells you what Q3 is likely to be in terms of gains or losses in the hedge.

Asha Gupta :

Thank you Sameer. Next question is again a follow-up question from the line of Sameer Dosani.

Sameer Dosani:

Just a clarification. So this 20% to 32% gains margin rate that we get includes our other income.

Srinivasan Nadadhur :

Yes, our EBITDA calculation is based on total income, not operating.

Sameer Dosani :

And just to understand, so if you can explain me how does our ESOP policy work because as we have a fund advise. So if you can just explain how does the ESOP policy work overall?

Srinivasan Nadadhur :

So, ESOPs are granted to staff in the top 1% both India and onsite. And ESOPs are granted at the money at the prevailing market price on the day we have the Board meeting for the year, and there is a lock-in for 3 years. And after the 3 years period is over, the employees can exercise the options. Typically, half of the ESOPs are time-based on 3 years and the remaining half is based on the performance of the employees.

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PD Mundhra:

Sorry to intervene. I think we're almost out of time. So I would suggest that if you have a follow-up on ESOPs you can connect separately.

Asha Gupta:

As there are no further questions, we will now close the earnings call. I'll hand over back to the management for closing comments.

Srinivasan Nadadur :

Thank you, everyone, for joining the call. I hope it was useful and informative, and we'll see you back in the next quarter. Thank you very much.

Asha Gupta:

Thank you, everyone. Have a nice weekend. Thanks.

Call: Feb 2023

eClerx/SECD/SE/2023/011

February 7, 2023

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter /period ended December 31, 2022

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on February 3, 2023 with respect to the financial results of the Company for the quarter /period ended December 31, 2022 .

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
Company Secretary & Compliance Officer
F8538

Encl.: as above
eClerx Services Limited
February 03, 2023
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eClerx Services Limited
Q3FY23 Earnings Conference Call

February 03, 2023
eCLERX MANAGEMENT :
PD MUNDHRA – CO-FOUNDER AND EXECUTIVE DIRECTOR
ANJAN MALIK – CO-FOUNDER AND NON -EXECUTIVE DIRECTOR
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS :
DARSHAN ENGINEER – KARMA CAPITAL
DIPESH MEHTA – EMKAY GLOBAL
GUNIT SINGH – INDIVIDUAL INVESTOR
HITESH ARORA - UNIFI CAPITAL
RUCHI BURDE – ELARA CAPITAL
SAMEER DOSANI - ICICI PRUDENTIAL

SANDEEP SHAH - EQUIRUS SECURITIES
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES
TEJVINDER SHARMA – INDIVIDUAL INVESTOR
VIMAL GOHIL – ALCHEMY CAPITAL MANAGEMENT

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Asha Gupta :

Good evening participants and good evening to the management. Welcome to the Q3 FY '23 Earnings Call of eClerx Services Limited. Please note that this webinar is being recorded.

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by Mr. PD Mundhra, Co -Founder and Executive Director; Mr. Anjan Malik, Co - Founder and Director; Mr. Srinivasan Nadadhur, Chief Financial Officer. We will start the call with brief opening remarks by Srinivasan, and then we will open the floor for Q&A session.

I would like to remind you that anything that is said on this call, which gives any outlook for the future or which can be construed as a forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report, which you can find it on our website.

With that said, I will now hand over the call to Mr. Srinivasan. Over to you, sir.

Srinivasan Nadadhur

Thank you , Asha. Ladies and gentlemen , good evening. Welcome to eClerx earnings call for Q3 FY '23. We are pleased to report a very strong performance for Q3 with revenues of \$85.1 million, which is up 3.2% quarter -on-quarter, both in USD as well as in constant currency. Total revenues for the quarter were INR 7,045 million, up 5% quarter -on-quarter. Margins in this quarter also held up well with EBITDA of INR 2,084 million at a margin of 29.6% , which is up 3% quarter -on-quarter and net profit of INR 1,312 million at 18.6%. Our Airoli delivery center comprises of two buildings in the same premises. We intend to vacate the older of the two buildings and have taken two floors in the newer one, so as to consolidate our presence in contiguous floors of a single building. This has led to a reassessment of the lease term of

the older building, resulting in INR 54.6 million being added to other income in this quarter. There is also an increase in S&D costs in this quarter part of which is attributable to the final earn-out for the Personiv acquisition , and the remainder to an increase in marketing and travel spend. The increase in DSO from 75 to 82 is attributable to delays in receiving purchase orders from some clients. There is a marginal sequential decline in the top 10 client revenues as clients chose to cut onshore spend. Attrition has reduced , our benches have consequently reduced and therefore, utilization has increased. As you must be aware of the buyback tendering window is open from today till February 16, we expect to close a buyback process by end of this month.

Finally, a few words about the future, and then we'll move on to Q&A. So , the macro environment continues to be uncertain, and we do expect moderation in demand in CY2023. Other income in Q4 will be lower compared to the previous two quarters as the payout from the buyback will happen in this quarter, and the lease reassessment was a one -time event in Q3. We believe EBITDA margins will be towards the lower end of the 28% to 32% range. With this, we come to the end of our opening remarks. We can now move on to Q&A. Thank you very much.

Asha Gupta :

Thank you , Srinivasan. We have first question from the line of Ruchi Burde.

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Ruchi Burde :

Thank you and congratulations on a good set of numbers. You mentioned outlook is uncertain, and you see demand moderation. Are there certain specific areas where you see this concern being more pronounced? Or this is a general caution that you are trying to highlight?

PD Mundhra :

Ruchi, I think it's more of a general phenomenon than isolated to any specific area. I think what we have seen is some slowdown in decision-making with clients particularly in committing to new spends because they also are uncertain about economic prospects in the near to medium term. So, from that perspective, while we still have a strong pipeline, I think it's probably fair to say that we expect conversion will slow down in the weeks and months ahead.

Ruchi Burde :

Follow on to that, what we pick up from your peers or similar peer sets is that this is the caution led by macro is kind of leading to sideways or indecisive, I would say, the activity. Do you see that kind of having impact on the roll-off business that we ran, are typically delays in peer signing or decisions and which can have an impact on the revenue?

PD Mundhra :

Yes. I think Ruchi, apologies if I was not clear, but that is exactly what I was trying to say in my previous response that we are already starting to see some slowdown in decision-making, which we think will impact the conversion of our existing pipeline. So, to that extent, we think that growth rates will moderate in the quarters ahead. I don't know if that answers your question, but that is essentially what I was trying to convey.

Ruchi Burde :

Yes. That answers. Thank you very much and all the best for next quarter.

Asha Gupta:

Thank you Ruchi. Next question comes from the line of Vimal Gohil

Vimal Gohil :

Sir, just to take the previous participant's question forward on the uncertainty you have highlighted, probably some of your peers have actually upgraded their guidance to some extent. That is point number one. And in the similar context, you can correct me if I'm wrong here, but the typical assumption is that there will be more sort of offshoring to players like us where we come into play to execute some of their cost takeout projects. So, is the slowdown expectation coming in from your normal projects? And how is the digital piece to it? If you can explain your expectation of a slowdown in these 3 contexts, please.

PD Mundhra :

Yes. So, I'll take a stab and then

Anjan perhaps you can chime in. I think you're right that when there are cost pressures, clients will look at reducing cost by using offshoring among other levers that they might have. Having said that, I think our experience has shown that we tend to do far better in more positive economic environment and when clients have a freer hand to commit new or spend. So given a choice, if you ask us, would we prefer a more bullish economic environment or a bearish economic environment?

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environment, I would say hands down the former. So as things become a little bit more uncertain in the West, we do expect that will have, to some degree, an adverse impact on growth rates.

On the digital business, more specifically, I think of our 2 or 3 businesses, it's probably the one that has a relatively higher proportion of discretionary spend compared to the other two businesses. And therefore, I think we will also see some slowdown there in the quarters ahead. But with that, I'll hand over to Anjan, if he wants to supplement with some thoughts.

Anjan Malik :

I echo PD's point, I think actually, our industry is a very, very high beta to U.S. and European GDP growth rates. So, I think what we are finding now is that we have large customers that are basically pulling in spending because they feel that there might be a recession looming. So, there's just generally a conservation of spend that we're seeing, which is what makes us cautious. I think it's not anything specific, but we generally do get the sense that Fortune 2000, the enterprise customers are definitely

reining in spending right now. Having said that, I think your demographic argument (is) exactly right, which is that broadly it's a supportive story for India because customers do want to do more in locations like India or a lower -cost location. So definitely, we anticipate that the industry has what I would call demographic tailwinds. We continue to be very bullish on the industry sort of more medium term. But I guess we're raising this caution to dampen some of the expectations that might have been set over the last 2 years of growth that we've seen.

Asha Gupta:

Thank you, Vimal. Next question comes from the line of Dipesh Mehta.

Dipesh Mehta :

I just want to get sense on 2, 3 things. First question is about the top 10 clients. You indicated some kind of softness and clients are decided to defer some kind of spending. So, if you can provide some more details on it, how you expect this top 10 client /any client where we see more weakness in terms of cut in spending and something of that sort?

Second question is about Personiv earn -out. Can you help us understand are we done with the Personiv earn-out related provisions? Or you think it will continue in coming quarters? And whether the cash out is already happened, or it will happen in subsequent period?

And last question is about EBIT margin. If I adjust for other income, we are not seeing rupee depreciation benefit in margin. So, if you can help us what played out?

Srinivasan Nadadhur :

PD, do you want to take the question on the top 10 clients and I can take the other two.

PD Mundhra :

Yes. I think on the top 10 clients, as Srini mentioned briefly, we have seen some pullback, particularly in onshore spends because in a sort of cost -constrained environment, that is the first area where they would want to cut spend. And as you can see, the change is very marginal, it's less than a 1% change quarter -on-quarter in top 10 clients spend. So, I wouldn't draw too much conclusions from that movement. It's really a small number. I'll hand over to Srini to talk about the other two points.

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Srinivasan Nadadhur :

Thanks, PD. So, on the Personiv earn -out, we are done with the earn -out for CY2022 is the last period for which the earn -out will run for and the pa

yout will actually happen in this quarter, but the provision has already been made. And to your question on EBIT margins, the rupee has not depreciated significantly against the U.S. dollar in Q3, which is why probably we will not see that impact.

Dipesh Mehta :

Understood. Just on the first question, I understand in Q3, we have not seen much impact in top 10 clients. But because your broad outlook was about moderation in growth compared to what we did in Q3, so are we seeing more implications in the top 10 clients going forward?

PD Mundhra :

So again, I can take a stab at that. I think it's a portfolio effect. I fully expect with a couple of those names, we will see some reduction in spend in CY'23, but conversely, with a couple of other names, we have a very strong pipeline, which we are quite optimistic about. So, on the whole, I think the top 10 performance for us will not be very dissimilar to what's happening with the rest of the business.

Asha Gupta:

Thank you, Dipesh. We have the next question from the line of Hitesh Arora.

Hitesh Arora :

One is the cost of technical subcontracting, this has been sharply increasing over the past few quarters, which obviously impacts the margins. If you could kindly throw some light over there, what's happening there that's causing this jump in expenses there?

Srinivasan Nadadhur

Right. So, I think there are two aspects. One is the subcontractors that we hired in Europe because there was significant demand in our luxury clients, which we were not able to hire people in time to

service, and we had to hire contractors over there in our European location. So due to that, the cost grew up a little bit. And in India, the cost peaked around October and November and has been going down. So, I do expect that it will continue to go down.

Hitesh Arora :

Okay. And so even in Europe, is that has peaked or do we see an increase? Because presumably, the cost in Europe would be higher because we're paying in foreign currency.

Srinivasan Nadadhur :

Yes, the cost is higher, and I think it has peaked.

Hitesh Arora :

So, it has peaked.

Srinivasan Nadadhur :

Yes.

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Hitesh Arora :

So hopefully, we should see some improvement in margins in the coming quarters purely on account of that?

Srinivasan Nadadhur :

Yes.

Hitesh Arora :

Just to confirm this Personiv, the impact on P&L, so this was the last payout, right? I think the previous participant asked the question, just to confirm.

Srinivasan Nadadhur :

That's correct.

Hitesh Arora :

And the last one was, we had discussed in the last quarter, Mr. Mundhra had said that, not as a guidance but he said that even if we do 3% Q -o-Q growth in revenue, that would be a good outcome. So, over the last 3 months, how are we looking now that we would have presumably better visibility over the next year, how are we looking at things in terms of growth, et cetera ?

PD Mundhra :

Yes, Hitesh, thanks. Very honestly, nothing more to add to sort of the remarks and the responses to earlier questions. I think if you look at a year -over-year basis, we are up about 18%, 19% for the 9 -month period. And I think that's actually a pretty good outcome so far. As we've indicated, we think that number will trend down for sure in the quarters ahead. But I think to Anjan's point, the medium -term environment is still good. We expect to see some moderation in growth in the near term, but medium term, we see no reason for concern.

Hitesh Arora :

And any visibility of the roll -offs?

PD Mundhra :

I think we'll see some roll -offs as clients' re set budgets, especially those who are taking more conservative cost transit s with respect to their businesses. B ut I would say, to some degree, at least, that level of roll -off is factored into our outlook. If we see something lumpy that we don't have visibilit

y to now, that may change the picture. But I would say, a normal level of roll -offs is factored into our ou tlook.

Hitesh Arora :

And just one last question, please. See, previously, you talked about M&A. You said easy liquidity conditions, increased valuations, increases competition from hand funds. But now the liquidity scenario is much more different. How do you see M&A opportunities here? Now you've got

presumably some more compelling valuations, less competition now. Any thoughts there in this context for M&A's opportunities for you?

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Srinivasan Nadadhur :

We are certainly seeing more target s being presented. I think whether the valuations work out and whether the business is of interest to us and whether we'll be able to make something of that business in the long term , those questions still remain , we a re open to it. And I think the point that you made about liquid ity not being as easy as it used to be. I think that is sort of reflected in the higher number of deals getting shown.

Hitesh Arora :

Are you looking actively at deals ? Sorry, I missed it if you said that.

Srinivasan Nadadhur :

Yes. I mean we are always looking actively at deals.

Hitesh Arora :

Is it more within domestically or outside India as well?

Srinivasan Nadadhur :

Our preference is for businesses that have a greater offshore business, offshore doesn't necessarily mean India for greater offshore presence and supporting maybe Europe or North American geographies.

Asha Gupta:

Thank you , Hitesh. We have next question from the line of Sandeep Shah.

Sandeep Shah :

Sir, just wanted to understand when you see uncertain macro environment and impacts on the growth rates in the coming quarters, do you mean on a Y -o-Y basis, in terms of Y -o-Y growth in the coming quarters versus Q -on-Q basis? Or what do you mean exactly in terms of moderation in growth? I think you meant on a Y -o-Y basis.

PD Mundhra :

Sandeep, I think the outcome is not that different, depending on whichever of those two metrics you look at. I mean big picture, if you look at it, FY '22 for us was about 25% growth year. FY '23, we are at about 19% for the 9 months so far. So , there's already a deceleration between '22 and '23. And to the remarks that we've shared, we think that deceleration will continue in FY '24. So inevitably, the quarter -on-quarter n umbers will also come down from, let's say, we were averaging 5% last year. This year has probably been somewhere between 3% and 4%. And I think that number may edge down in the near term.

Sandeep Shah :

Okay. And despite some moderation in demand and the utilization is still not at the peak levels where we used to operate around a few quarters back, the recruitment in this quarter has been healthier. And on a net addition basis, it amounts to close to 5% Q -on-Q addition. So , what leads to this good health y recruitment as a whole?

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Srinivasan Nadadhur :

So, the utilization number I should clarify is, we have restated the numbers for FY'23 - Q1 to Q3 because some of the Personiv calculation was not correct. So , we had to restate that. And we think that a more stable figure, including for the overall firm may not be the 78% or 80% that we have seen in the past. It will be a lower number. On the recruitment per se, I think at least between Q1 to Q2 and Q2 to Q 3, you can clearly see that our headcoun t addition has gone down. Part of it is because of

demand. Part of it is also because we don't need to replace people as much.

PD Mundhra :

Sandeep, sorry, just on a factual note, I think we've added about 5 00 employees between Q2 and Q3. So that's about 3%, not 5%.

Sandeep Shah :

Yes. And in terms of the payout of the Personiv, which you said may hit the cash flow starting from Q4 of this financial year. What could be the quantum, if you can?

Srinivasan Nadadhur :

I think the big provision that we made was in Q1, and that was disclosed at that point of time, I think it was something like INR 21 crores or something like that if I'm not mistaken. The one in this is a top up to that. So, it's not a very material amount, which is why we have not pointed out separately, and it flows down from EBITDA onwards. So, it is just a top up to the big provision that we made in Q1 of this year.

PD Mundhra :

And in terms of cash flow, I guess, the big payout this quarter will be for the buyback. So, the buyback and associated taxes is the vast majority of the cash outflow that will happen. The Personiv payout is a small rounding error to that.

Sandeep Shah :

Yes, I agree. And you expect the buyback to conclude and the money to be transferred to the shareholders by end of this year itself, before March.

Srinivasan Nadadhur :

By the end of February.

Sandeep Shah :

Okay. And the payout for Personiv would be INR 21 crores, right?

Srinivasan Nadadhur :

Give or take, yes.

Sandeep Shah :

Okay. And last question, sir. Srin, I actually missed some of your initial remarks, which you called out related to lease facilities as well as margins because my line was not clear. So, if you can repeat the same will help me.

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Srinivasan Nadadhur

Yes. On the other income, you can see an INR 54 million increase, that is because of lease modification. We are present in two buildings in Airoli, we have given up the older one and we have taken up two floors, which is contiguous to the three floors that we already have in the new building, so that we will be in five floors in a single building. And that change has led to a reassessment of the lease term of the older building. So that's why the INR 54.6 million added to other income in this quarter. The difference between the lease liability and the ROU asset has got added to the P&L. So that was on the lease. And on the margins, I was just speaking some factual points on the EBITDA INR 208 crores and the net profit INR 131 crores.

Sandeep Shah :

So, what is the put and takes for the margin movement in this quarter? And what is the expectation on margin?

Srinivasan Nadadhur :

We think that other income in Q4 will not be as strong as the previous two quarters because we have been making a payout for the buyback plus this lease assessment, which got added to other income, is a one-time event. So, all in all, we feel that EBITDA margins will be at the lower end of FY'23. On the positive side, the lower attrition, easing of supply side constraints, I think those will help, lower subcontracting fees also I expect as I think to the point that someone asked earlier.

Asha Gupta

Thank you, Sandeep. Next question comes from the line of Shradha Agrawal.

Shradha Agrawal :

So, you did indicate about demand trends in digital, but possible to talk about demand in financial services and cable and telecom?

Anjan Malik :

In financial markets and in customer operations, which is sort of CX business , I think it's pretty much driven by what's happening in the macro market. If you look at our broad book of business, there's an element of consulting, which is onshore, there's pieces of work that we do, which are more project - oriented or longer -term sales which are onshore and then there's offshore work. So , I think we've certainly seen spending restrictions on the onshore book of work affecting our onshore business. Our offshore book of work hasn't really been impacted that much across both those businesses. We see demand coming back over the next 18 months. But at the moment, we are cautious fo r the next year because we feel that a lot of our clients are under pressure in their own businesses, which is making them very cautious about spending money with third -party

vendors .

Shradha Agrawal :

But if I ask you look at the growth numbers reported by some other pure -play BPO companies or even integrated IT BPO companies, their growth rates in BPO segment does indicate that traction seems to be continuing at least from their perspective. So , do you think it's just more of some client -related issues that is making us more cautious compared to our other peers?

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Anjan Malik :

Shradha, it's hard to talk about the composition of the peer group because first of all, certainly, the IT sector is not really what I would call a comparison because the kind of business they do versus the kind of business we do is very different. We've had very strong growth rates up until now, which is in line with what other people in the industry seem to have enjoyed. I'd say that the only difference is that we may ha ve divergent views of the immediate future. And I think we're taking a more cautious view on the future than other people are. It may be that doesn't turn out to be the case because if, for example, the U.S. recession is avoided, European recession is avoi ded, rates normalized, it could be that consumer spending continues, and our clients come back and start spending a lot of money towards the second half of the year. And that's entirely possible. All I'm saying is that I think if you were to look at now ve rsus the last 2 years, it certainly seems a little more muted from a demand perspective.

Shradha Agrawal :

Right. And just one question. In ROW, we have been seeing some strong growth rates for the last 2, 3 quarters. So what exactly is driving growth in ROW for us?

Anjan Malik :

Do you m ean rest of the world ? PD , do you want to take it?

Shradha Agrawal :

Yes, rest of world.

PD Mundhra :

I think a lot of that growth actually probably is more on the digital side of the house, where I think we've created quite a good footprint in Asia , specifically in Singapore and Australia. So , I think clients there are probably contributing to t he growth that you see for the rest of the world.

Shradha Agrawal :

Right. And one bookkeeping question, if I can ask. The realized rupee -dollar rate for this quarter seems to be low compared to the actual rupee -dollar rate. So , any thoughts on how is it calculated? And why is it low vis -a-vis the actual rates of the quarter?

Srinivas an Nadadhur :

This is an average rate. So , I don't know what you are looking at.

Shradha Agrawal:

Sir, it is coming to be INR 80.7 for us, whereas the average rate for the quarter has been close to INR 82.

Srinivasan Nadadhur

Okay. We can talk off -line, Shradha.

PD Mundhra :

Sorry, Shradha, just one point that I can make on that is I think probably the way our accounting would work is for all the hedges, we would recognize the revenue at the hedge rate. And most of those hedges would be at lower rate than spot given the recent depreciation that has happened, right? So , our average

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that you see of INR 80.7 or whatever the number is, is some weighted average of the old hedges that have matured during the quarter at not great rates and whatever we may have sold at spot.

Shradha Agrawal :

Right. That's helpful, PD. And just one last question, if I can squeeze in. I don't know if I missed out on this part, but the sales and marketing expenses and depreciation expenses also seem to have shot up significantly this quarter. So does the Personiv payout provision fall into S&M?

Srinivasan Nadadhur :

The Personiv payout provision does fall in selling and distribution costs and also there has been an increase in travel and other marketing spend. So , these two points together have caused the increase in S&D costs. And the depreciation is on account of the equipment that we have bought. I think, quarter -on-quarter, we will see

an increase in CapEx and consequent depreciation.

Asha Gupta :

Thank you Sh radha Agrawal. The next question comes from the line of Ruchi.

Ruchi Burde :

This is more a clarification to Srini, for the facility consolidation in the Airoli facility, do we see some margin implications also at play in the coming quarter?

Srinivasan Nadadhur :

No, I don 't think so.

Asha Gupta:

Thank you Ruchi. There's a follow -up question from line of Sandeep Shah.

Sandeep Shah:

Srini, just wanted to understand what are the current regulations for SEZ in terms of work from office and what is the percentage which we track in terms of people working from home and people working from office. And do you expect a headwind towards that going forward in targeted facility -related costs ?

Srinivasan Nadadhur :

The current regulations are that people working from SEZ facilities are allowed to work from home 100% if required till December 31st of this year. And anything beyond that, I think we'll have to wait for any announcements to come. At the moment, we are somewhere between 45% and 50% work from office, which means that on any given day, half of our staff is coming to office. And at the point that is let's say, everybody were to come to office, there would be an increase in transportation cost . Transportation, housekeeping , facility, all those costs will increase.

Sandeep Shah :

So this 45%, 50% can continue in CY'23?

Srinivasan Nadadhur :

Yes.

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Sandeep Shah :

Okay. In this quarter, in the margin slide, we have also mentioned a n earnout payment of INR 24 million towards Personiv. So this is over and above what we have provided earlier, right?

Srinivasan Nadadhur :

Yes, that is the provision for this month, for this quarter.

Asha Gupta:

Thank you , Sandeep. Next question is from the line of Hitesh Arora.

Hitesh Arora :

Sir, just a little more strategic. While we have seen the slowdown and we've talked about it, any thoughts on how are we looking to tackle the slowdown in terms of maybe trying to onboard more clients or are we so rt of more mature already in the financial services space? Or maybe is it via getting more book of work from the same set of clients or diversifying into more geographies. If you could just give some thoughts there, how can we tackle the slowdown for the c oming year?

Anjan Malik

So Hitesh, I think it's pretty much the same things that we've been doing in the past, right? So I think we've talked about the last 5 years where we've set out a bunch of initiatives. And I think those initiatives helped us tremendously over the last 2 years when demand came back. And I would say we doubled down those initiatives. So there would be, for example, sort of a productization initiative we've identified 5 or 6, what we would call arrows in where we have technology and c apabilities that differentiate us sufficiently from competition and our clients find resonant , that service is resonant . We want to invest more in those business because we feel that those are high demand areas. So they could be, for example, areas like KYC or client onboarding , market operations, the work we're doing around, let's say, logistics in a FieldTech operat ions space, work we are doing around analytics, work we're doing in, let's say, marketing automation, these are all areas where we feel that we have tremendous IP, our client base and technology and automation. So , we want to invest in that area more and m ore. Our focus on client's ad d coverage continues as always, which means that we're always looking to upgrade salespeople, add salespeople. But in our view, it's not a numbers game, it's a quality game. So I think actually, interestingly, when the market s lows down, you have an opportunity to upgrade your teams, which we will, of course, be doing over the next few years. There's continued focus on

what we would say, building the front end of our service set, which is consulting and the onshore capabilities. So, I think we're going to continue building that out because we feel that, that gets us closer to the customer in a way that hasn't happened in the past. I think there is one other area, which is that we also feel that in a period where demand slows down and attrition slows down, you also have an opportunity to build capabilities and depth in our delivery teams, which also gets us closer to customers. So , I think there's a number of initiatives that we have going, which we will continue on. And I think Srini also mentioned fifth looking at M&A opportunities. So , we continue to feel that in a market which weakened there may be opportunities for tuck -in acquisitions. So we would look at that as well. So , I think nobody is standing still. We're all at it, a nd we feel that whether the market is supportive or not, that's not really for us to decide, but we feel like if we execute well in these 4, 5 arrows, we have a good future ahead.

Asha Gupta:

Thank you , Hitesh. We have the next question from the line of Tejvinde r Sharma .

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Tejvinder Sharma :

My question is that in some of the verticals we have, our major chunk of revenue coming from 1 or 2 clients only and they are very high revenue clients for us. So , what's our long -term or a short -term strategy to de -risk that because given the fact that if the revenue is coming from only 1 or 2 clients , it also carries some associated risks ?

Anjan Malik :

I think ultimately, you have to look at the trajectory of con centration. For example, today, our top 10 clients represent the lowest percentage of revenue that we've ever had. There's an ongoing focus on reducing our reliance on large customers, which is effectively acquiring new customers and making

sure that we maximize the value, the net present value of revenue that we generate from those clients once we access them over the lifetime. I think we've actually done a pretty good job of it, especially if you look at some of the metrics around our performance in, say, clients that are north of \$0.5 million in revenue and under \$3 million in revenue. I mean those are metrics internally that we incentivize our client teams to focus on. So, there's definitely every focus on trying to diversify. Having said that, for companies of our size, just smaller companies, you have to expect that we would have client concentration. In fact, what makes you strong makes you weak in a way, right? So, we have no anticipation that we would stop focusing on our top clients because we also want them to grow, and we feel that we learn from them. And we also feel that with our record of performance with those clients, we have an opportunity to grow footprint, so we're going to keep doing both.

Tejvinder Sharma :

And I have a follow-up question on that. Again, it's something similar to what I just asked. So basically, we have a major chunk, again, coming from some of the geos in the current states or what's your plan to diversify in the other geos?

Anjan Malik :

I think maybe PD can answer the question about digital. But I think if you look at the two businesses of financial markets and customer operations, I'd say that they are basically Anglo-Saxon businesses in the sense that they effectively serve Anglo-Saxon markets, right? So they're English-speaking and they work primarily with U.S. plus, plus clients. I don't anticipate that, that is going to change in the short term. If anything, we expect that growth will continue to come more from U.S. customers because we see them as being winners in this broad market consolidation. I expect in digital PD, you may have a different view. So maybe you can answer that question.

PD Mundhra :

Thanks, Anjan. Well, actually, I mean I don't think it's very different. Of

course, we have more regional opportunities in Europe, particularly because of the CLX business, where we have an ability to serve Italian and French clients along with German clients. But away from that, Anjan is right, I think the biggest market for companies like us will always be the U.S. And then after that, if you look at the big English-speaking sort of high GDP per capita countries, it's the U.K., Canada, Australia, so I think those are the places which will be more amenable for us to provide services. So, I don't think that the geo concentration worries us. Certainly, the top 10 client concentration to Anjan's earlier comments is something that we would like to continue reducing over time.

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Asha Gupta:

Thank you Tejvinder. Next question comes from the line of Gunit Singh.

Gunit Singh :

I have a question regarding the growth projections itself, which we have discussed. We know that the macro environment going forward is cautionary. But previously, we had internal growth projections of around going at 4% by quarter as far as the previous calls. But right now, is the management having some internal growth projections, like even though we have a slowdown, looking at the pipeline or the order book, what can we expect for the next quarter, say, the next year, like single-digit growth? Or are we still looking to grow in small double digits. So, I just want to hear your thoughts on that?

PD Mundhra :

So Gunit, to be honest, I'm not sure that we ever shared the specific number as a guidance for growth because very honestly, I would say we as a team don't really have that degree of specific visibility. And we are still a relatively small P&L, small business and individual client events can have a material effect on growth outcomes for a given quarter or year. So, it's hard for us, even internally to come up with forecasts that are very precise, which is why we typically don't share any quantitative guidance with the market. I think qualitatively, our assessment stands, which is, I think, to the point that we made earlier, FY '22 was 25%, FY '23 so far is 19%, and we expect a slowdown to continue, at least in the near term. Medium term, we're still very optimistic about the business. So, I would restrict our outlook to those comments because I think they accurately and completely capture what we know about the future at this point.

Asha Gupta:

Thank you Gunit. We have next question from the line of Darshan Engineer.

Darshan Engineer :

So, thanks for the conservative guidance, I appreciate that kind of honesty from management. Just a question relating to the longer -term and shorter -term views on the growth outlook. So , you said that in the near term, you do feel cautious , it sounds logical as well. But you also said that on an 18-month to medium -term view, you are quite positive on the growth prospects and demand trend. So , if you can just explain, so this cautious view is for the next 2 to 3 quarters because somewhere down the line, you will start a resumption of spends across various industries and so on because people will eventually emerge out of the recessionary trends. And therefore, should we expect that this cautious view is for the next 2 to 3 quarters and then possibly you can see some improvement again?

PD Mundhra :

Yes. I think, again, Darshan, to be honest, the visibility we have at any given time is probably a 3 - to 6-month -type visibility because whatever is in our pipeline, will either convert or will sort of peter out by then. So , it's hard to sort of (predict) longer than that. All we can share with you is what we see as of now, and we'll update that assessment when we speak again in 3 months' time. But Anjan, I don't know if you want to add something to that?

Anjan Malik :

Yes, I think our view about the future is always based on effectively what we t

hink is going to happen

in the macro market. And from all that we hear and read and in our discussions with our clients, I understand is that if there is a recession if there's a reduction in spending, we anticipate it to be short

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term. Nobody expects it to be a deep recession. But again, we're not economic soothsayers. So , when we say we expect it to be not a very long -term impact, it's because of that. The reason we remain bullish about the medium term is because we feel that the services that we provide and in the areas that we provide them in are exceptionally valuable to our clients. It's in very high demand. The fact that we can provide operations capabilities, technology and analytics capabilities and consulting capabilities altogether, in a very cost -effective manner in our areas of expertise, we feel that those services are in very high demand because those businesses continue to grow for our customers. So , I think that's why we're saying in the short -term we were a bit more sanguine; in the longer term, we're quite bullish.

Darshan Engineer :

Understood. And you made an interesting comment on the approach that currently our business is mainly Anglo -Saxon kind of countries. But from a longer -term point of view , do you have plans to also look at non -Anglo -Saxon markets because eventually, a lot of them are high -cost countries, even though their market opportunity may not be as large as the Anglo -Saxon market, but do you think that eClerx can create a similar kind of business in the long term, even in those kind of markets because we do have a very large Spanish -speaking population and some in South America and maybe Mexico and parts of Europe. And many of these are also high -cost countries, and therefore, eventually, there will be some outsourcing of basic work or maybe some kind of quality work that you do. So do you expect that in the long term that you can look at this as a growth market for yourself?

Anjan Malik :

Again, I think that's a pretty hypothetical question. So , the first thing I'll caveat that by saying that, look, ultimately, if you really want to have a macro discussion, what you really need to look at is GDP per capita and look at what the Anglo -Saxon markets make up as a percentage of GDP per capita above, let's say, USD 50,000 versus other languages. And you'll find that the Anglo -Saxon markets are very, very much larger than any of the other single languages. That's one. Two, I think for a company of our size, which has limited resources compared to other large companies, I think you have to pick your bets. And I think as I said to you right at the beginning, I think focus is the #1 priority for us as a firm. So , if we choose 5, let's say, arrows or access to invest in, then I'd say that focusing on Spanish language is not 1 of those access. Now it may be that through an acquisition, we end up acquiring both a client and the delivery side in Latin America and that may well happen. And we will assess that on individual merits. But we're not out there looking to hedge that in the currencies because we continue to feel that demand is largely in the Anglo -Saxon markets.

Darshan Engineer :

Got it. And one last question. I mean on your emerging businesses and on your more value -added businesses such as consulting and analytics, I mean you do have those kind of businesses and some of your verticals or horizontals whichever way you want to put it. But any more qualitative comment on

how you plan to accelerate the growth in those kind of businesses? Because now we do have a listed company who does similar kind of work, maybe not exactly comparable, but there is one. And at the same time, there are a few more companies in the pipeline who plan to list on markets and who have similar kind of businesses, maybe more focused on India, but at the same time, they are doing that kind of business in India.

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PD Mundhra :

So I think look, as far as other companies are concerned, I don't know that we have the ability to comment on that. I guess time will tell in terms of sustained performance. As far as our business is concerned, I would say probably one of the fastest growing segments of our business is the analytics and automation piece for which we do share numbers on an annual basis. And certainly, that business has been growing faster than the rest of our book. And I think we continue to see good prospects for those services with clients. But we do think that it's important for us to focus and try and build those capabilities around the industry verticals and the service areas that we already have a presence in because there we have some differentiation and some ability to right-to-win engagements. So, I think our focus will continue to be in and around our current product areas.

Darshan Engineer :

And acquisitions can be one of the ways to add on to those capabilities?

PD Mundhra :

Yes. I think as Srini mentioned, we have a very open mind for acquisitions. So we don't really have a very tight filter for the types of assets we look at. But you have to sort of look at each of them on their respective merits and the fit with our current business and our assessment of our ability to potentially add some value to the combined business going forward. So, I think the idea is to keep an open mind, look at everything and then try and take a very rational view on what the fit might be with the existing portfolio.

Anjan Malik :

And I do see that as more companies of our nature list in the public markets, it sort of creates a more equal playing field because in part the problem we find in the M&A space is that the price-to-quality ratio for private assets tends to be pretty poor. So, if you look at companies like us who I would argue, operate at a level of corporate governance is very high. And you look at like the assets that we often get to see. I think there's a big disparity in the quality, but the price multiples tend to be high. So, I think as we get more comparators listing, I think broadly, it's great for us, and I think it's broadly great for the investor community.

Asha Gupta:

Thank you, Darshan. As there are no further questions, I would like to hand over the call to Srinivasan for closing comments. Over to you, Srinivasan.

Srinivasan Nadadhur :

Thank you, everyone, for joining the call today, and we can see you back again next quarter. Thank you so much. Bye -bye.

Call: May 2023

eClerx/SECD/SE/2023/059

May 31, 2023

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter /period ended March 31, 2023

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on May 26, 2023 with respect to the financial results of the Company for the quarter /period ended March 31, 2023 .

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
Company Secretary & Compliance Officer
F8538

Encl.: as above
eClerx Services Limited
May 26, 2023
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eClerx Services Limited
Q4FY23 Earnings Conference Call

May 26, 2023
eCLERX MANAGEMENT :

PD MUNDHRA – CO-FOUNDER AND EXECUTIVE DIRECTOR
ANJAN MALIK – CO-FOUNDER AND NON -EXECUTIVE DIRECTOR
KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS :

AYUSH RASTOGI - B&K SECURITIES
CHIRAG KACHHADIYA – ASHIKA STOCK BROKING LTD
DIPESH MEHTA – EMKAY GLOBAL

HITESH ARORA - UNIFI CAPITAL
KESHAV GARG – COUNTER CYCLICAL PMS
MIHIR MANOHAR - CARNELIAN ASSET MANAGEMENT
SANDEEP SHAH - EQUIRUS SECURITIES
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES
TEJVINDER SHARMA – INDIVIDUAL INVESTOR
VAIBHAV CHECHANI – ELARA CAPITAL
VP RAJESH - BANYAN CAPITAL
eClerx Services Limited
May 26 , 2023

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Diwakar Pingle :

Good evening, participants, and welcome to the Q4 and Full Year FY'23 Earnings Call of eClerx Services Limited. Please note that this webinar is being recorded.

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by PD Mundhra, Co -Founder and Executive Director; Anjan Malik, Co -Founder and Executive Director; Kapil Jain, Managing Director & Group CEO; and Srinivasan Nadadthur, Chief Financial Officer. We will start the call with brief opening remarks by Srini, and then we will open the floor for the Q&A session.

I would like to remind you that anything that is said on this call that gives an outlook for the future or which can be construed as a forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual report, which you will find on our website.

With that said, I will now hand over the call to Srini.

Srinivasan Nadadthur:

Thanks, Diwakar. Ladies and gentlemen, good evening, and welcome to eClerx's earnings call for Q4 FY'23 and the full year.

Top-line growth was flat in this quarter, attributable to softness in client demand, impacting onshore revenues and our digital business. U.S. dollar revenues came in at \$85.6 million, which is up 0.6% Q-on-Q in USD terms and 0% in constant currency terms. Total revenue for the quarter was INR 6,984 million, down 0.9% Q -on-Q because of lower other income. On the positive side, we demonstrated robust performance on margins on account of lower delivery and subcontracting costs. EBITDA margin for the quarter was INR 2,119 million at 30.3% and net profit was INR 1,325 million at 19%, an expansion of 36 bps Q-on-Q. Overall,

FY'23 was a strong year for us, both on the revenue and the margins front. Revenue for the year was \$332.7 million, up 17% in USD terms and 19% in constant currency terms. And net profit was INR 4,888 million, also up about 17%.

During the analyst call in Q4 last year, we had presented an insight into our BPaaS portion of the business and the Analytics & Automation business. We are pleased to report that both businesses grew faster than the firm. FY'23 BPaaS revenue was \$91 million, which is 17% organic 3 -year CAGR. This figure was \$73 million in FY'22. Revenue from Analytics & Automation Services was \$71 million, 24% , 3-year CAGR and this figure is up from \$60 million in the previous year.

I also want to draw your attention to a couple of key metrics. #1, we continue to increase wallet share with top clients. We now have 18 clients with \$3 million plus bucket, up from 16% in the same quarter last year. The number of clients in the \$0.5 million on plus bucket is now 76%, up from 64% in Q4 of last year. And point #2, onshore revenue is down 18% and we expect that this figure will remain in and around this percentage for the next couple of quarters. From our conversations with clients and based on market conditions, it appears that the softness will continue , and it will take at least 1 or 2 quarters for demand to pick up.

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And finally, we are very happy to announce that Mr. Kapil Jain is appointed as the MD and Group

CEO of eClerx. Kapil is an Infosys veteran and has over 2 decades of experience in scaling businesses, driving growth, and improving profitability. His appointment strengthens our leadership team and will accelerate growth for eClerx.

With this, we come to the end of our opening remarks. We can now move on to Q&A. Back to you, Diwakar.

Diwakar Pingle:

Thank you Srinu. The first question comes from the line of Hitesh Arora.

Hitesh Arora :

My name is Hitesh, I'm working with Unifi Capital. Just maybe if you could kindly comment on the demand environment in some detail what is the outlook in terms of revenues and margins for FY'24? If you could kindly delve a bit into that would be very helpful.

PD Mundhra:

I can take a stab and maybe Anjan can supplement. So, I think as Srinu mentioned in the opening remarks, we do see some indication of softness in demand, particularly in discretionary spends in Q1 and Q2. So, we would expect that it's entirely possible we may see a small decline in revenue in Q1. Having said that, I think the future trajectory will largely depend on what happens to the Western economy. And one would hope that towards the later part of this financial year, one sees some degree of recovery and bounce back in demand and growth.

On margins, I guess, the flip side of the coin is that with some softening in demand, supply side pressures are also easing. You would have seen that attrition has come down, not just for us, but for the industry as a whole. So, we do expect that the supply situation will be more conducive to maintaining margins. And also, as the benefit of currency movements that have happened over CY'22 start playing out in our P&L, that should also provide a little bit of support for margins for FY'24. So, we think the margin is the strongest story. For revenue, we definitely see some softness in the near-term and we hope for a recovery later in the financial year.

Hitesh Arora:

And just next question, if I can ask. Mr. Kapil Jain, who has joined recently, and you mentioned during the introduction as well, is he just based on the U.K. entity or is it on a wider eClerx role?

PD Mundhra:

Yeah, Hitesh. So as Srinu mentioned, Kapil is Group CEO for the entire Group. And he has also been appointed a Managing Director in the listed company in India, for which we will go and seek shareholder approval in the next few weeks here.

. He is based in London because that is where he lives, but he is the CEO for the whole Group.

Diwakar Pingle:

Thank you Hitesh. The next question comes from the line of Shradha Agrawal.

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Shradha Agrawal :

Just a follow-up on the previous question asked. So, in terms of growth rate, we saw a significant deceleration in growth rate in this quarter. So just wanted to check, was it a broad weakness across all the 3 segments that we operate in or was it just particularly related to 1 segment that saw significant deceleration and others were still, okay? So some more insights into the demand environment would be helpful.

PD Mundhra:

I think what was hit was more discretionary spends. And therefore, what got impacted was our digital business, which is somewhat more discretionary spend-oriented than the other 2, and also to some degree the onshore work that we do because that is also among the first to feel the effects of any compression in client spends. So those 2 were sort of the areas that got impacted more than others. But broadly speaking, I think we have seen a deceleration across the board.

Shradha Agrawal:

And in terms of sales pipeline, I think we were doing okay in terms of sales pipeline build-up until the last quarter. So, are we seeing some slowness there as well in terms of decision-making slowdown or in terms of pipeline build-up?

PD Mundhra:

Shradha, I think the slowdown is more in terms of conversion than in terms of absolute pipeline. Absolute pipeline still continues to be good and large. But I think where we have seen a slowdown is in decision-making conversion, especially in committing to new spends. I don't know, Anjan, if you would like to add something.

Anjan Malik :

No, I think that's accurate. I mean, you would have seen that at the moment many of our large clients are in large cost cuts, including lay-offs. So obviously, until that cycle is through, you can expect that there will be a fair amount of decisions on new spends. So, we expect, as PD mentioned, that at least for the next couple of quarters to be soft. But we think demand should return thereafter because it doesn't look like long-term projects have been cancelled, it's just anything or some projects getting delayed.

Shradha Agrawal:

Sure. And just one last bit. Congratulations Kapil on this and welcome to eClerx. And just wanted to check, PD, so what will be your and Anjan's role in the new structure in terms of day-to-day operations, management? And how will we allocate responsibilities between yourself and Kapil?

Anjan Malik:

Well, there is the divisional responsibility which is very clear because Kapil is the CEO and he will be the executive in-charge of the company. I think over the next few months, what PD and I are doing, I think we're taking on a broader strategy role. So, we'll be working with him very closely and the rest of our team to integrate him into the management team. So really, he's taking on executive roles over the next few months.

Diwakar Pingle:

Thank you Shradha. The next question comes from the line of Dipesh Mehta.
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Dipesh Mehta :

Couple of questions. I think just continuing on that organization changes and responsibility, any change in the growth strategy or if you can provide some more perspective with Kapil in the team, how you want to assign responsibility among all of you? And any change in terms of growth plan?

Second question is about the growth outlook across 3 segments. If you can provide what trends currently are witnessing in across 3 segments; financial market, digital, customer operation? You said digital or discretionary spending is where we are seeing more weakness, but if you can provide more perspective among these 3?

And any plan to diversify overall business mix in any of these pockets or outside of this pocket?

And last question is about what would be your combined BPaaS and Analytics & Automation revenue, excluding overlap? I think last time you indicated about INR100 million in FY '22, if you can share '23 numbers?

PD Mundhra:

So Dipesh, those were 4 questions. I'm not sure I remember all of them, but the last one, definitely I'll request Srinu to answer later. I think the first question you had was about changes in growth strategies.

So look, one of the main objectives of inviting Kapil to join in his capacity is to accelerate growth for the business. I think that is the overall objective. He has been about 3 weeks with the firm. So, I think it's unfair to expect him to have formed a fully big view of what the business is, and more importantly, what he would like to focus on and change in the future. I think he will need some time to develop that context and form an opinion. And hopefully, at some point in the next couple of quarters, we will have more to share with you once we've had a chance to do that.

For now, I think it's continuing on the 3 or 4 initiatives that we already had in play, which is around

focusing on more of a product ized services strategy, focusing on BPaaS, focusing on Analytics & Automation and continuing to use onshore in the way it makes sense for our clients. So those things don't change. And those will continue to be our near -term focus areas, while Kapil sort of builds up an opinion on what he would like to do next.

I believe one of your questions was about the demand environment for the 3 businesses. I think as we indicated earlier, there is some softening across the board for all 3 businesses, primarily around converting new spends. The degree varies a little bit. I think digital being more exposed to discretionary spend has seen a little bit more of the cutbacks upfront in this cycle than the other 2 businesses. But hopefully, when the bounce back comes, one would by the same token expect that the bounce back in digital will also be quick. But for now, at least for the next 3 to 6 months, we do continue to expect to see some softness and hopefully recovery comes thereafter. I know Srin, you might have an answer to the specific question around the combined revenue.

Srinivasan Nadadhur:

Yeah, I'm checking that. I'll get back maybe by th e time this call is over.

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PD Mundhra:

Dipesh, am I missing any part of your questions?

Dipesh Mehta :

So only I think one thing , you partly alluded about 3 segments, but anything where you want to, let's say, diversify or plan to add in terms of for medium -term growth outlook among these 3 buckets or outside of these 3 segments?

PD Mundhra:

I think for now, we feel that there are enough opportunities and vectors of growth in our 3 businesses. And our idea would be to sort of try and exploit the full potential in those businesses and the concentric circles to where we are today. For something more unrelated, we feel it will probably have to be on the back of some acquisition, and that is unpredictable to a large degree. But for now, we feel that the businesses that we are in offer a significant opportunity for medium -term growth.

Diwakar Pingle:

Thank you Dipesh. The next question comes from the line of Mihir Manohar.

Mihir Ma nahor :

First of all, congratulations Kapil Jain for your appointment as the MD and CEO, clearly very impactful. So largely wanted to understand, one of the reasons that you mentioned that the appointment of Kapil is largely to extend the growth. So just wanted to understand from a qualitative angle, what kind of business or what kind of relationships are we looking into specifically from the appointment? I also wanted to understand from Kapil, what is the kind of initial interactions you're having with the clients? If you can throw some light, som

e strategies around that or what kind of business would you like to grow or something around that? So that was my first question.

Second question wa s about our top 5 and top 10 clients. I mean, we are having a fairly large concentration on the top 5 client side. So , is there any issue which is there on the top 5 clients? Is any insourcing or anything happening? I wanted to understand that thing.

And third part of the question was, the spend mix? I mean, if you can highlight what is the discretionary v /s normal kind of spend at our overall company level, that will be really helpful . So those were the questions.

Srinivasan Nadadhur:

So the question 1 on discretionary spend, that's about 30% or so of the overall business. I think the first question was on if you have identified any growth strategies that you want to focus on now that Kapil is here? What kind of businesses are you targeting? What kind o f industries are you targeting?

PD Mundhra:

So, Srin, I think we sort of answered that question in response to the previous person, who was Dipesh who asked that question. I think it's too early for Kapil to form a fully based opinion on what

he would like to do with the business going forward. And in the meantime, we'll continue to invest in the areas that we already had in flight, which we talked about around BPaaS, around product-like services, around Analytics & Automation and Onshore. So those things continue for now. And as and when there is a material change in strategy, of course, we'll be happy to communicate it on this eClerx Services Limited

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forum.

Mihir Manohar :

And just lastly on the top 5 and top 10 clients. I mean, are you seeing any roll-offs happening because we are having fairly a large concentration? So, I just wanted to understand around that.

Srinivasan Nadadthur:

For the top 5 and top 10 clients that we have, we provide services that are both onshore, discretionary, non-discretionary, run their business and so on. So, in parts of those businesses, especially on the Onshore side and on the wherever it is discretionary offshore spend, we are seeing roll-offs. And that is true for the rest of the book as well. So, the top 5 are not any different from the larger set of clients that we have. It's just that their spend with us is larger.

Diwakar Pingle:

Thank you Mihir. The next question comes from the line of Sandeep Shah.

Sandeep Shah :

Are we witnessing slowdown to continue in the first half and some pick-up expectation from the second half as a whole? And earlier, we were targeting a double-digit kind of a growth scenario possible in the immediate term. Are we still sticking? That is a possibility in FY '24 as a whole? And how should we read a significant material employee decline in the fourth quarter as a whole? That is in anticipation of demand slowdown could accelerate beyond 4Q in first half, which could be higher than 4Q? How should we interpret the same?

PD Mundhra:

So, I'll take a stab and Srini can supplement with his comments. So, taking the last part of your question, the reduction in headcount that you see is a combination of 2 factors. One is, as we've said, we are seeing a slowdown in Q1. We think that it's very possible we'll see a slight dip in revenue in Q1 over Q4. So some of the headcount is rightsizing for that. The other part of that is also some rationalization of benches because now that we've seen attrition come off, we feel that we no longer need to run as much spare capacity as we were running in a much tighter labor environment last year. So, we've also sort of taken that decision to reduce the benches to align with the sort of attrition rates that we are now seeing in the market. So those 2 sorts of factors are responsible for the reduction in headcount that you see.

In response to first part of your question, yes, we hope that the softness that

we are seeing will be

more limited to the short-term, let's say, a couple of quarters. And one would hope that as we come to the second half of this financial year, we see some bounce back in demand. But obviously, that is a somewhat uncertain outlook given how much time remains between now and the end of the year.

And to your question on double-digit growth, I think absolutely for the medium-term, that continues to remain an aspiration and a goal for the firm. For this year, I think it's a little harder to predict. I think given the entry run rate we have, we still have positive year-over-year compare. As we go into the next couple of quarters, the quarter-on-quarter compares will not look pretty, but the year-over-year will still not be too bad. I think probably by the September quarter, we will have a good sense of whether or not it's possible to have double-digit growth on an accrued basis this year. We at least hope the exit run rate should be strong, but time will tell.

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Sandeep Shah:

And my second question was on margin where we have executed extremely well for the whole year, where we are at close to upper end of the midpoint of our comfort range of 28% to 32%, the way we report the margin, including other income. So how do we see that range entering into FY '24? Do you believe the upwards of 30% plus or minus can continue as a sustainable margin going forward?

Srinivasan Nadadhur:

At least in Q1, the margins usually are down because we just completed our incremental cycle. So Q1 additionally is the low point for margins and after that it picks up. At the moment, we see that supply-side constraints are continuing to be in our favor. And we also see that for the next couple of quarters, this should be the case, there's no reason why we could not be near the 30 % mark.

Diwakar Pingle:

Thank you Sandeep. The next question –is follow-up from the line of Hitesh Arora.

Hitesh Arora:

Just a quick one. You touched on roll-offs, Is anything big or serious or worrying that we should be aware of in terms of roll-offs?

Srinivasan Nadadhur:

Yeah, not to our knowledge, at least the roll-offs that have happened here in the past quarter and the ones that we have some visibility in the current quarter. Around individual projects that are rolling off, either we have completed the work and the work is not initiating or the client does not have the budget and therefore they said to cut short. But there is no structural or systematic problems that we have seen.

Diwakar Pingle:

Thank you Hitesh. The next question comes from the line of Vaibhav Chechani.

Vaibhav Chechani :

First of all, congratulations to Mr. Kapil. And secondly, my question is around our managed services. So, in this quarter, we have seen our managed services growing a bit on quarter-on-quarter and both on Y-o-Y. So, is it because of some of our businesses moving from FTE to managed services and we can see some cost effect as well in the coming quarters?

Srinivasan Nadadhur:

Usually, if you look at the BPaaS revenue, you will see that it spikes up in the Q4 of every year because there are certain clients who are on a managed service business, they have a lot of volume for us at the end of the year. So the QoQ number, you'll always see a spike. We are making progress and more clients are converting or more processes are converting to managed service, but that is a slow process. So, I think when you're comparing the increase in managed services, you should be looking at Q4 to Q4.

Diwakar Pingle:

Thank you Vaibhav. The next question comes from the line of VP Rajesh .

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VP Rajesh:

Kapil, welcome to the eClerx, and I just have a couple of quick questions for you. As you were looking to come into eClerx, what's attracted you to this company? And secondly, as perha

ps a

competitor in the past, if you can comment on what you saw in eClerx in various deals where you may have competed against eClerx?

Kapil Jain :

Thanks Rajesh . I think during the process, I met with P D and Anjan. And in terms of the asset that they have created along with their team, I think is very unique and differentiated in the marketplace. To the extent that some clients in the last 3 weeks that I have seen, call us as like this is a company that does BPaaS, and a lot of the revenue comes through referenc ability.

With regards to competition in the last 22, 23 years that I had spent with Infosys, I have not come across eClerx because I think it's a very differentiated set of offerings and space eClerx operates in. And from the people perspective, I've had the opportunity to meet some of the people, and I think very entrepreneurial set of people both on the client side as well as on the delivery side. And last but not the least, the Board also I think swayed me to making that decision in terms of moving to eClerx.

Diwakar Pingle:

Thank you VP Rajesh. The next question is a follow-up from the line of Sandeep Shah.

Sandeep Shah :

The question is to the whole panel. How to look at Generative AI as a medium or longer term risk for the eClerx business as a whole? And how are we preparing ourselves in terms of providing those solutions proactively through to the client rather than waiting for our business getting disrupted? And a second follow-up question to Mr. Kapil Jain, congratulations on your joining. Just wanted to understand because you headed BPO segments of Infosys. Their scale as a percentage to revenue was lower, but the scale is still much higher versus the scale of eClerx BPO business. So, what are 3, 4 important things you would like to do which helps eClerx to scale up this business on a sustainable and consistent basis year-after-year?

PD Mundhra:

So, on Gen AI, I think it's still very early days. What we have done is we have set-up a center of excellence as part of our technology and automation teams. And we are sort of dabbling and trying to figure out which specific models under Gen AI are relevant to our book of work. So, we've done an inventory of all the work and the processes that we run for clients to select those where we think Gen AI may have some applicability. And we at this moment are trying to create proofs of concept and trying to figure out what benefits are we getting in terms of productivity, accuracy, and so on and so forth. We are nowhere near the stage where we feel we can commercialize this and take it to market. But what we do want to do is build-up the capability and the understanding of how Gen AI could improve the services that we deliver to clients. This is not dissimilar to the journey that we went through for things like RPA and machine learning over the last 3, 4 years where the first stage was just about trying to become familiar with the broad horizontal capability. The second stage was sort of trying to figure out where we could apply that capability in our portfolio of services. And then the third stage was taking that back to clients. So, I would say on the Gen AI journey, we are somewhere between 1 and 2. And hopefully, we'll get to Stage 3 in the near future. With that, I would hand over to Kapil to respond to your other question.

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Kapil Jain :

So, I think like in the earlier questions, I'm trying to understand the business, meet the people as well as the clients because it would be naive on my part to take a certain strategy that had worked in the past and try and cut and paste it here. And over the next few months, I think priority is accelerated growth, we should have a view in terms of what are the things that we would want to continue doing. What are the things that we should perhaps add which can add to the question that you were asking in terms of sustainable growth and accelerating the growth? So, give some time, we'll come back.

Sandeep Shah :

In this journey of accelerating growth, sometimes it is required to compromise some bit of margins in terms of investment to accelerate the growth or we can accelerate growth with keeping the steady-state margins as a whole?

Kapil Jain :

So, Sandeep, I think like I said, in total, EPS and bottom-line is in terms of the shareholder value that you're creating will determine in terms of what that equation would be. If it's not net accretive and you're just chasing the growth and you're not adding to the bottom-line, then it's not worth it. I think as I was saying earlier, the sort of asset that we have here is very unique. And I think over the next few months, as we formulate our strategy, we will have a view in terms of what that equation will look like. I hope I have answered your question Sandeep?

Diwakar Pingle:

Thank you Sandeep. We have a follow-on from the line of Vaibhav Chechani.

Vaibhav Chechani :

All my questions are answered, so I guess it was best.

Srinivasan Nadadhur:

And while we are waiting for that, the answer to Dipesh's question on the overlap between Analytics & Automation and BPaaS is between \$25 mn and \$30 mn. Dipesh, I hope you got that?

Diwakar Pingle:

I think anyway, he's muted, he'll come back maybe. But next question is from the line of Ayush Rastogi.

Ayush Rastogi :

So most the comments have been discussed about the demand environment. So , I just wanted to understand a bit about how the demand environment commentary is looking like from North America or European countries. First , we have seen the commentary of the global as well as regional service players that they have been kind of providing a stable commentary towards the European region. So , is it the very same for us or is it like we are seeing a kind of a more delay in decision making more in a Europe region or in the North America region or maybe a bit more commentary towards vertical side as well as the regional side is specific?

Anjan Malik :

No, we don't see a regional bias. Remember that 70% of our revenue comes from the United States. So obviously, we've got most of our color from the U.S. clients. They tend to be fast decision makers, but therefore, they also then be faster to not make decisions too. But there's no particular bias one

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way or the other.

Diwakar Pingle:

Thank you Ayush. We have a follow-up from the line of Dipesh Mehta.

Dipesh Mehta :

Srini, I just missed the number what you said?

Srinivasan Nadadhur :

Yeah, between \$25mn and \$30 mn.

Dipesh Mehta:

So, \$25 mn to \$30 mn is the overlap that one need to subtract?

Srinivasan Nadadhur :

Yes

Dipesh Mehta:

And what would be the Cap ex which we've envisaged for FY '24?

Srinivasan Nadadhur :

Capex for FY'24, it will be a little higher as we've taken up 2 new floors in Airoli, which will go live in Q1 or maybe late Q1 or early Q2. So , I can get back to you with the numbers offline.

Diwakar Pingle:

Thank you Dipesh. We have another follow-on from the line of Hitesh Arora.

Hitesh Arora :

If you could kindly comment on the financial services side of the business? What are the big banks saying? Any commentary from them that impacts your business?

Anjan Malik:

So, I think the theme from the big banks , to what we've seen over the last 5 years, which is that the largest investment continues to be in automation and digital first. So try and go direct to customers. So I think that's the #1 area of investment. So we've been on that journey since the beginning. I think the second trend that we've seen is that more and more power has gone to fewer and fewer people. So it's the ultimate power loss. So , people like JPMorgan, Bank of America , Wells Fargo control more market share than

an before. And they tend to see much more volumes. And because a lot of our exposure is to these large banks, we've obviously been able to pick up some of that for you. The spend ability of the large banks tend to be bigger than the small banks, and that's been consistent. And they have also continued to be becoming bigger and having more governance, but it also meant that they have much more regulatory oversight than ever before again, which has meant that their investment and their spend on compliance -related activities the highest than it's ever been. So I think broadly, it's sort of a continuation of a trend that we've been seeing over the last few years.

I think the flip side in the short-term is there's been some reduction in headcount. Obviously, there's a little bit of consolidation in the industry, as you know, which means that there's headcount

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reductions, there's some nervousness around the recession potentially because of increased interest rates. So hence, sort of our little bit of hesitation around the near-term, but broadly conscious about the medium-term on growth and their spends.

Diwakar Pingle:

Thank you Hitesh. Next question is from Tejvinder Sharma.

Tejvinder Sharma :

I have just one question. These days every BPO is proposing AI, RPA or analytics to their clients to align themselves with their client goals since every client is looking for cost optimization and efficiency. So what's our long-term auto strategy to offer RPA, AI or analytics even to our existing clients because that comes with the risk and reward because as we all know, that if you offer any of these technologies, it might reduce our top-line, but as well as the reward is that the client might want to see us as a strategic partner in that case or they may start looking as a strategic partner and give us some more business that can help us grow our top-line? So, what's our strategy on that?

Srinivasan Nadadhar :

We have always favored the second approach, which is that we want to proactively go in front of clients and offer them solutions that help reduce their costs and it does not matter to us. I mean, in the short-term, there will be some reduction of BPO revenue, but we feel that and we've always said that if we don't automate it, someone else may. Then in that case, we will become less and less relevant for the clients. So, whether 5 years ago it was with RPA or more recently with AI/ML maybe in the future with the large language model and so on, I think we always want to embed technology in the services that we provide, which means technology plus operations is the service that we want to provide not a pure-play people on the seat. So that's always been our approach and that will continue to be.

Tejvinder Sharma

And how open are we in terms of offering these to our clients in the BPO space because we know that we have a high dependency on one of our large clients? So how open are we on that?

Srinivasan Nadadhar :

We are very open. In fact, we are working on some use cases, as PD had mentioned, on what we can do with our existing businesses, how we can possibly use Generative AI, maybe try and eventually move some pilots with clients, get them to adopt it and see the benefit. So, we are working and this is a work in progress.

Diwakar Pingle:

Thank you Tejvinder. We have a follow-on from the line of Mihir Manohar.

Mihir Manohar:

I just wanted to understand the cash which is sitting on the books, INR 700 crores of cash and we are generating INR 400 crores to INR 500 crores of operating cash. So, what is the thought over there? Are we looking at acquiring any capabilities which will offset our service offerings or are we open any large mix? That was my first question. And my second question was to Kapil. I mean, we understand that it is just the initial 3 weeks kind of an experience

which is there in the company, but

I just wanted to understand the interactions that you are having with the clients, so what kind of sense eClerx Services Limited

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are you getting on the demand side and on the capabilities of eClerx side? Yeah, so those were the 2 questions.

Srinivasan Nadadhar :

So, I will answer the first one then Kapil I'll hand over to you. We just completed a buyback in February. In fact, the cash on the books is lower than what it was one quarter back. And our policy has always been to return any cash that we don't need for inorganic purposes back to shareholders. And that will continue to be our policy as well. We continue to look out for possible targets, acquisitions, et cetera. And I mean, if there is no need, no immediate target that we have in mind, then we will return that cash. That is what it is. I think as per the SEBI regulation, we cannot do a buyback any day for the next 12 months. For 12 months from the time, we cannot start a buyback

because when we start buyback 12 months after the previous one has been completed . Kapil, I hand over to you for follow -up question.

Kapil Jain:

Mihir, your line was not so clear. Can you please repeat your question ?

Mihir Manohar :

Yeah, sure. So Kapil, I mean, given the fact we understand it's only 3 weeks in the company, but just wanted to understand the interaction that you are having with the clients. So , what is the sense that you are getting on the demand side and on the capabilities of eClerx? So , I mean, I just wanted to understand that.

Kapil Jain :

Mihir, I think PD and Anjan have covered the demand side of the equation. So , it is no different than what they had alluded to. On the capability side, it's like I had said earlier, it's a very unique, high subject matter expertise, technology embedded, some of the offerings that are there. So , I think the capabilities do exist. We really have to see where we would want to focus which can help us accelerate on the growth side. PD mentioned that there are 4 or 5 vectors on which our strategy is embedded. The question of do we want to go deeper? Do we want to go wider? Do we want to go and cross -sell, upsell? All these, I will get my head around as I'm interacting with the teams, both onsite and offshore as well as with the clients and then we should be able to layout the plan to you.

Diwakar Pingle:

Thank you Mihir. The next question is from the line of Chirag Kach hadiya .

Chirag Kachhadiya :

I have a couple of questions. I want to understand the cost arbitrage and the offers which Indian BPO gives offer and also the comparison with the other Asian and Western players that why someone choose players like us in the segment which they are present compared to the development and other competitive peers in marketplace. So , the cost equation I want to understand. Second, on the supply side front, what scenario we are estimating for the FY '24?

Srinivasan Nadadhur :

So, I think the first one, the cost arbitrage, roughly, I would think in the U.S., for example, a typical person who does BPO work mostly maybe \$100,000 to \$150,000, whereas in India, that might be around between \$20,000 and \$40,000. Obviously, it's a very broad range, but it depends on the kind of eClerx Services Limited

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of speeds that offer and what is the specific nature that is required. For second question, I would ask PD to answer.

PD Mundhra:

Chirag, can you please the second question ? I could not hear properly.

Chirag Kachhadiya :

Yeah sure. So, my second question was on supply side scenario, what situation we are expecting for FY '24? I'm aware that FY '23 and the second half of FY '22 was not so good, but what do you expect for FY '24 and FY '25 on supply side front?

PD Mundhra:

So I think, clearly, we've seen attrition rates reduced over the last couple of quarters. And at least at

this point, our base case is that the supply side should be less tight than it has been in the last 12 to 18 months. So it should give us more opportunities to improve utilization rates at the firm. That is the broad expectation, but we'll have to see how it plays out.

Chirag Kachhadiya :

And one follow -up question, if I can, on the first question, which I asked. Any comparison you have done with the countries like Philippines and other related places in terms of BPO employee cost? As you mentioned that we are I guess 1/4 compared to the U.S., but in terms of Philippines and other Asian peers, what is the cost arbitrage?

Srinivasan Nadadhur :

I would imagine that I think Philippines is about 1.5x to 2.5x the cost in India. Having said that, the

kind of skills that the Philippines offer is a little different than what India offers. Philippines is very strong in voice-based work. I think also in finance and accounting. And we ourselves have a center in the Philippines. And because the Philippines people will be trained on U.S. GAAP, it is a lot more easier for them to do finance and accounting work out there. So the voice work is kind of different than what we do out here. It's not directly competitive, but I would say the cost is between 1.5x to 2.5x.

Chirag Kachhadiya :
So, they are higher than us, right?

Srinivasan Nadadhur :
That's right.

Diwakar Pingle :
Thank you Chirag. We have the next question from the line of Keshav Garg.

Keshav Garg :
Sir, I want to understand whether we can viably ship some of our workforce from Tier 1 cities in India to Tier 2 and Tier 3 towns to get the advantage of lower cost, wages, rentals, et cetera?

PD Mundhra:
So, I think we already have a presence across a number of different categories of cities. We have Tier eClerx Services Limited
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1 metros like Mumbai and Gurgaon, which is effectively a national capital region. Then we have a large presence in Pune and Chandigarh. And then we have a presence in a smaller city like Coimbatore as well. I think when you look at total cost of delivery, the cost of wages is one part, but there is also the other administrative costs and the cost of infrastructure that needs to be provided in those locations. So , I would say, it's a multi-faceted decision based also on cost, but also on the capabilities that we can source in each of those markets. And we sort of tend to make our sourcing, our fulfillment decisions based on a combination of those factors. For now we think the way our footprint is organized is pretty good because we have a mix of the Tier 1 metros, Tier 2 towns and then sort of even smaller places like Coimbatore and that gives us the flexibility to put work wherever it makes more sense to the plant.

Diwakar Pingle :
Thank you Keshav. We have a follow-on from Sandeep Shah .

Sandeep Shah :
Yeah, just one question. With Mr. Kapil Jain joining, is there any change in role and responsibility of both of you, Mr. Mundhra and Mr. Malik?

PD Mundhra:
Yeah, sure, Sandeep. There will obviously be a change in our roles as we transition executive and operational responsibilities over to Kapil. He has been appointed as the CEO of the Group. So , he will own executive and operational responsibilities for the Group. And our role will become, I would say, more involved in strategy setting and more involved at the Board level. So yes, there will be a change. It will take a few months to accomplish, but there will be a change.

Diwakar Pingle :
Given there are no other questions, I'll hand it back to PD for his closing comments.

PD Mundhra:
Thank you everyone for joining the call. And we look forward to connecting with you again with our Q1 results in the next few months. Thank you, again.

Diwakar Pingle :
Thanks all of you and - have a good weekend. Bye.

Call: Aug 2023

eClerx/SECD/SE/2023/092

August 16, 2023

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter /period ended June 30, 2023

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on August 10, 2023 with respect to the financial results of the Company for the quarter /period ended June 30, 2023 .

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
Company Secretary & Compliance Officer
F8538

Encl.: as above
eClerx Services Limited
August 10, 2023
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eClerx Services Limited
Q1FY24 Earnings Conference Call

August 10, 2023

eCLERX MANAGEMENT:

KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
PD MUNDHRA – CO-FOUNDER AND EXECUTIVE DIRECTOR
ANJAN MALIK – CO-FOUNDER AND NON -EXECUTIVE DIRECTOR
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:

DIPESH KUMAR MEHTA - EMKAY GLOBAL
HITESH ARORA - UNIFI CAPITAL
MIHIR MANOHAR - CARNELIAN ASSET MANAGEMENT
SANDEEP SHAH - EQUIRUS SECURITIES
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES
NIK HIL CHOUDHARY – NUVAMA WEALTH MANAGEMENT LTD
SAMEER DOSANI - ICICI PRU DENTIAL ASSET MANAGEMENT
eClerx Services Limited
August 10, 2023

Asha Gupta :

Good evening, participants, and welcome to the Q1 FY24 earnings call of eClerx Services Limited.
Please note that this webinar will be recorded .

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by Kapil Jain - Managing Director and Group CEO; PD Mundhra - Co-Founder and Executive Director; Anjan Malik - Co-Founder and Executive Director; and Srinivasan Nadadhur - Chief Financial Officer. We will start the call with brief opening remarks by Srin, and then we will open the floor for Q&A session.

I would like to remind you that anything that is said on this call that gives any outlook for the future, or which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual reports, which you can find it on our website.

With that said, I will now hand over the call to Srin. Over to you, Srin.

Srinivasan Nadadhur:

Thanks, Asha. Ladies and gentlemen, good evening, and welcome to eClerx earnings call for the first quarter of FY24.

We experienced a sequential decline in top line attributable to weak demand and budget cuts, which resulted in a reduction of technology and onshore spend, a decline in project renewals , and unanticipated project closures, particularly among our larger clients in the digital and the financial markets businesses. U.S. dollar revenues for Q1 were \$83.9 million, down 2% Q -on-Q in USD terms, and 2.2% in constant currency terms. Total revenue for the quarter was INR 6,920 million, down 0.9% Q -on-Q. In Y -on-Y terms, revenue was up 5.5%, both in U.S. dollars and in constant currency terms. EBITDA for the period was INR 1, 750 million at 25.3%, a sequential drop of 506 basis points. The larger than usual drop is because of the a

nnual wage hikes and additions in our onshore sales and development teams and on top of the decline in revenue. Net profit was INR 1,063 million, up 7.2% over the previous year. Net profit margin was 15.4%, down 361 basis points sequentially. CAPEX was higher during this quarter as the facility consolidation in Airoli went live and this gives us about 500 additional seats.

Attrition for the quarter was significantly low. In Q2 we expect an increase in attrition from the levels , but it will remain at lower levels than has historically been the case for the second quarter, which usually is our highest attrition quarter. On the key metrics slide please do note that we have updated the classification of revenue on the BPaaS and we restated figures for the last eight quarters. There is a 1% drop Q-on-Q in the BPaaS percentage, which also have been in the older round.

Coming to the outlook, we should be able to recover most of the top line reduction of Q1 in this current quarter . But we expect weakness in technology spend and client -specific challenges to continue for the next couple of quarters. As in previous years, we expect margins to steadily improve through the rest of the year. However, we believe margins for the full fiscal year will end up somewhat below the lower end of our stated view.

With this, we come to the end of our opening remarks. We can now move on to the Q&A.
Back to you, Asha .

Asha Gupta :

Thank you, Srin. We have first question from the line of Hitesh Arora. Hitesh, please go ahead.

3 Hitesh Arora :

Could you sort of elaborate a little bit on the statement where you said , I didn't fully get it - 'you will be able to recover your lost revenue or the decline in revenue in Q2 itself? '

Srinivasan Nadadthur:

I'll talk a little bit and then maybe hand it over to Kapil. So given the pipeline that we have seen and the conversions, we think that we should be able to recover most of the reduction in Q2 so that Q2 might go back to near about what Q4 was.

Hitesh Arora:

Okay, So, between Q4 and Q2 we're largely flat, essentially.

Srinivasan Nadadthur:

That's right .

Hitesh Arora:

Okay. How should we look at the full year in terms of revenue growth?

Kapil Jain :

Hitesh, an overall pipeline is good. And the reason for the decline in Q 1 was due the demand in the pipeline that was there in Q4 because the quarter in which you are in determines the next quarter's growth. I think we'll have greater clarity as we move forward , because there are overall macroeconomic challenges right, in terms of interest rates Inflation, and geopolitical uncertainty, but our pipeline is robust. So , I think we should be moving forward in terms of Q3, Q4 as well from an overall growth perspective. But we will have greater clarity as we get closer to the quarters .

Hitesh Arora:

And maybe one, this uncertainty over how we're looking at things? Have you had a change in strategy? Change in product area focus, things like that if you could maybe for the medium -term FY25 you could?

Kapil Jain :

So, I think in terms of how we are looking at our overall products and services, one of our strengths is in terms of enabling technology, we are focusing on Gen AI. We have 32 POCs, and client conversations that we are involved in. And I think Digital and Customer Operations are the two service areas where we feel that Gen AI could make an impact and will be relevant for our clients.

So, overall in terms of the capabilities that we have, our ability to influence client revenues and not only impact the SG&A side of the equation, I think are all very robust capabilities that we bring to the table. We will continue in that direction in terms of overall strategy as I had indicated in the last call that we would have a greater view and we would be able to provide clarity

on our 2025 vision towards Q4 prior to the start of FY'24, FY'25.

Asha Gupta :

Thank you, Hitesh. Next question is from the line of Dipesh Mehta from Emkay Global. Dipesh, please go ahead.

Dipesh Mehta:

Thanks for the opportunity. A couple of questions. First about the S&D investment, if I look last two quarters, we were seeing good uptake in business development headcount. So just want to understand the focus areas, where we are making this investment. Either you can say from segment or capability perspective or geographical perspective whichever you want to provide some perspective .

Second question is about the demand outlook, if you can provide some sense about across three segments, how you see demand ? In your opening remark , you provided some color where you are seeing softness digital financial market. But if you can provide more insight into that?

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The third question is about the top 10 clients. This quarter it is showing some softness, as well as prepared remark, you indicated about some client -specific challenges may persist for the next few quarters. So just want to get more clarity, because in the past our growth rate suffered because of top

client-specific challenges, and then the growth rate was very muted for some time. So, if you can provide what kind of challenges you see in those clients and how you expect it to play out?

And last question, more data related. You've changed some kind of BPaaS revenue classifications. So, if you can help us understand what definition difference we made? Thank you.

Srinivasan Nadadhur:

So, I'll take the last question and I'll answer this first. And then Kapil, I'll hand over to you the first three questions on S&D investments, demand outlook by vertical and top 10 clients.

So, on the BPaaS classification, we updated the classification of what constitutes BPaaS revenue and then we applied that updated classification to all our existing engagements. And in this process, we determined that some items should not fall under BPaaS and we applied those changes from the start of the respective engagements, which is why we have restated for the last eight quarters, we have restated what the BPaaS percentage is.

Kapil Jain :

In terms of the overall demand what we're seeing is clients are facing pressure on their overall revenue right as you have seen whether it's financial services, cable industry. Except for the high-end fashion and luxury, I think we are seeing our tepid demand in terms of as far as client revenues are concerned. So, they are looking at the cost side of the equation. They're also looking at in terms of leveraging technology, AI, and Automation to see how they can drive cost.

I think what we're also seeing is, because of the overall macroeconomic environment and the uncertainty that is there, the clients are delaying their decision-making. So that's where the overall cycle times in terms of conversions are increasing. That's the broad theme we are seeing in terms of investments where we're making, it's mostly in pivoting our solutions in terms of automation and building and bringing in Generative AI to really see how we can make an impact on the digital, as well as on the customer operation side because that's where we see the maximum number of use cases in deploying our Gen AI solutions.

I hope I have answered your question you had asked. And in terms of the top 10 outlook, I think that continues to stay and we're also looking to see how do we grow the next 10. So, as to de-risk the top 10, as well as continued to see how we can take our other capabilities into the top 10 accounts.

Dipesh Mehta:

So, let me just go for this last part top 10 related. Do you think any specific challenges which can have implications, in Q2 you indicated about flattish kind of Q4 to Q2 kind of trajectory, but enter

ing into

H2 earlier we expected H2 to have growth recovery, but do you see that to play out, or you think some uncertainty maybe even on H2 kind of growth recovery?

Kapil Jain :

At this stage, I think we do see a recovery basis in the pipeline that we have currently. But as I had indicated that because of the overall macroeconomic conditions, we will have a better view as we get into Q3 and Q4, so we should be able to give you a better color as we get closer to the next quarter, but at from where we're standing today, we do see recoveries what I had said and that's what we are seeing in H2.

Asha Gupta :

Thank you, Dipesh. Next question comes from the line of Mihir Manohar from Cernelian Asset Management. Mihir, please go ahead.

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5 Mihir Manohar:

Hi, thanks for giving me the opportunity. Sir, largely wanted to understand, I mean, given the fact that there is a weakness in the revenue which is there in Q1. I understand that you had given an indication during the last call itself, but I mean, just wanted to get an understanding. I mean, given the fact that we have a larger exposure towards US Capital Markets. US capital markets have been doing well. I mean, why is it that we are still facing challenges, because so naturally because what the broader thought is that we did three settlements, from taking all these things go up in the markets so well. So just wanted to get an understanding around that. I mean, why is that you're still seeing a softness despite the US markets doing well?

My second question was on the Generative AI side, I mean, that part of the market where generative AI

is something affecting us to a larger extent. So, I mean, just wanted to understand our preparedness on this particular part of the piece. Because currently, the situation is there either, we can gain a larger market share or we can lose a larger market share specifically that depends on the Generative AI side because that is currently in the disruption phase. So, I mean how do you see this event? Is it going to be pivotal for us? Just wanted to get understanding of that.

And my third question was on the margins front. I mean we saw a sharper contraction in margins for this particular quarter and you have also, I mean given the bifurcation around the margin walk, but just wanted to get a sense, I mean you know how do we see margins recovering and which will be the tailwinds, which will drive the margins recovering for us? Yes, so those were the questions.

Srinivasan Nadadur:

So, our margins, I think we have talked about what factors for the reduction in margins, primarily wage hikes and the addition of people in the onshore sales and distribution teams. There is some one-off also in there, that should get removed from Q3 to Q4, plus generally as a matter of course as attrition kicks in and we are able to replace exits with freshers, the investment margin will be played out. And that has happened every year for the last several years. So those are the at the moment indication of tailwinds and if the revenue picks up then that would be added above that. I'll hand over to Kapil for the questions on the Generative AI and the US market.

Kapil Jain :

So overall, I think on the US financial markets, we are seeing interest on the regulatory and compliance side and that's where we see and we'll continue to see growth areas, which is also a strong capability area for us on this entire KYC client life cycle remediation, right. So, we will continue to see that.

In terms of Generative AI and how it will impact us because all of our operations that we deliver have embedded technology and domain on it, we see Generative AI as a huge opportunity for us because of our ability to deploy Gen AI, because the technology is already there, the point solutions that we have built, products that we have built, we are leveraging Gen

AI to further enhance our tools and capabilities.

And the reason we are able to do that is because of the deep domain that we bring in to our operations.

So yes, can there be a threat in terms of the existing revenue, but I see the opportunity will outlast the implications of Gen AI on the ops business that we see over the medium to long term. Short term, yes, if there are aberrations, I think we have never shied away from cannibalizing our revenue because of the technology interventions, because that's what the clients look at us for, and instead of protecting our revenues because it's the FTE model. We have a BPaaS model, we have in terms of transaction-based pricing. So, we will continue to bring technology to deliver benefits to the clients and enhance the overall experience, efficiency, and effectiveness.

Mihir Manohar :

Sure. And just a last question was on the business development side. And we are seeing increasing investment on the BD side. So, if you can just quantify what is the increase over there? Some color as to business development on the US side, Europe side. What is the quantum of increase that you are seeing in the number of people, and any expand around that, that would be helpful.

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6 Srinivasan Nadadur:

So, we have added five people this quarter in the Business Development team.

Kapil Jain :

See our selling is more in terms of very consultative-led selling, it's not like we are responding to tonnes of RFI and RFPs. It's a very consultative-led selling. It's also a very referenceability based selling because the work we do is highly appreciated by our clients. I have met clients in the last quarter across all industry segments. And one thing that consistently came was our very strong delivery track record and clients who work with us want to do more business with us, as well as when they move from client A to client B, it's the referenceability that drives our business. So yes, we have added business development, and we'll continue to invest in sales and business development, but I think that's a huge asset that we also carry along with us.

Mihir Manohar :

Sure. And just one last question on our client-specific side. I mean lastly, during 2018 to 2021, we had some challenges on the client-specific side led by insourcing. I mean, are there any challenges that you're seeing in your top 10 or top 15 clients? I mean, I understand it's a repeat question, but just wanted to get an understanding. I mean is there any insourcing challenge for you?

Kapil Jain :

See, there is nothing that we have seen, however, to stay always stay above the game, add more value compared to what an insourcing or the GICs or captives can provide is always something that we have to continuously deliver upon. And like I said that all the clients that I met during the last quarter, they have said that our delivery is very strong, and they are very happy with the overall delivery and execution.

Asha Gupta :

Thank you, Mihir. Next question comes from the line of Sandeep Shah, he is from Equirus Securities. Sandeep, please go ahead.

Sandeep Shah :

Yes, thanks for the opportunity. Just on the margin, Srin, even if I assume a hypothetical scenario of 27% EBITDA margin, then your walk from Q1 to Q4 would require a quantum jump to 450 basis points at an EBITDA level. So, what will drive this? And you in a previous question also answered that most of the margin improvement could be in the second half rather than the second quarter, because attrition may still be higher in the second quarter. Is it the right way to look at the margin map and the direction?

Srinivasan Nadadhur:

Broadly, yes.

Sandeep Shah :

Okay. So, you believe that most of the margin improvement may happen in the second half, rather than in the second quarter?

Srinivasan Nadadhur:

Correct.

Sandeep Shah :

Okay. And

in terms of Gen AI, your initial comment is helpful. Just wanted to understand in these POCs, in which you are working on 32 POCs, what is an experience in terms of the cannibalization risk which can emerge, based on the current negotiations with the client? Because what reports we are reading, the whitepapers we are reading, the impact of Gen AI could be one of the highest on the BPO business rather than any other application development or enterprise IT side of the business. So, in the near-term you believe this could be a risk to revenue growth and when do you expect the penetration adoption level to start increasing? It could be in FY25, or it could be FY26?

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7 Kapil Jain:

So, Sandeep, I don't see a risk in the short to medium term because this time I think Gen AI, where it will make the maximum impact is more on the white-collar jobs and the innovation side of the business, right? In terms of R&D, innovation, and so on and so forth. So, in terms of the short to medium term, because, of the way our clients have their underlying technology, the technology architecture, I think in the short to medium term I do not see an impact. In fact, it's an opportunity for us to enhance the end user experience by leveraging Generative AI, by building more use cases, by helping clients deploy their products faster in a shorter time span.

So, I see this as an opportunity as opposed to the threat on our existing revenues and all the POCs that we are doing are in that area. It's like I mentioned earlier, our inherent strength is deploying technology for whatever work we take on the Ops side of the business, right? Whether it's in terms of cable and telco side, whether it's KYC remediation, whether it's on the digital side, this gives us an opportunity to embed Gen AI on the technology tools and solutions that we have done.

Asha Gupta :

Thank you, Sandeep. We have the next question from the line of Shradha Agarwal from A MSEC Securities. Shradha. Please go ahead.

Shradha Agrawal:

Yes, hi. So how should we look at our hiring trends for the next few quarters, given the decline in the last two quarters, and given where attrition is today, do we expect some improvement in hiring for the next few quarters?

Srinivasan Nadadhur:

I think this quarter is remaining flat, maybe this is slightly up. We may see employees' utilization will improve. Giving any color beyond that, is kind of hard because it is somewhat linked to the pipeline that we have seen.

Shradha Agrawal:

Right. And another question is, Srin on the depreciation and amortization number, it came down quite a bit this quarter, was there any one -off in this quarter's expense or how should we look at it?

Srinivasan Nadadhur:

So, at the beginning of every financial year, I think you may be aware, the updated written down value is used for the calculation of depreciation for the existing assets, and that automatically results in lower depreciation. And in this quarter, the depreciation of fresh CAPEX was not enough to outweigh the reduction in the existing assets.

Shradha Agrawal:

Right. And sir, just to prod more on the Gen AI thing. So, one of the large BPO companies did indicate that they expect a revenue cannibalization impact of almost like 20%, 25% for the next two years because of Gen AI, because they also have a lot of operations around customer operation. So how do we see the cannibalization impact of Gen AI on our Customer Operations business specifically?

Kapil Jain:

In Customer Operations, the areas that we operate in like I had mentioned, I see Gen AI as an opportunity to enhance customer experience and the demand that we're seeing on the CX side, we don't anticipate cannibalization to the numbers that you are indicating. In fact, we see this as an opportunity because we have deployed technology in whatever work

that we are doing on our customer operation side, there are three or four areas that we operate in the customer operation side, and we have leveraged technology. Roughly 10% of our revenue comes from Tech and that has 80% intersection from the areas in which we work on the offside of the business. So that to me is an area of opportunity for us by leveraging Gen AI. So, I'm not sure what you're referring to, but I don't see that in our book of business.

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8 PD Mundhra:

Yes, I think Kapil is exactly right. I just wanted to add one point that the impact of Gen AI also depends on the portfolio of work for a respective company, right? So many of the larger BPO players tend to have portfolios where they have large numbers of people in a team performing a relatively similar task. And therefore, the applicability and the business case for investing in Gen AI technology is very high. So, there is a huge motivation to do that and to automate and reduce headcount.

In our case, across the three businesses, typically we have many teams of fewer headcount each, so it's much harder for technology to have a broad impact in terms of reducing headcount or cannibalizing revenue. So, I wanted to point out that there is some difference in the portfolio characteristics of our revenue book versus those are some of the larger BPO players, which is why you see the divergence in commentary from them versus what Kapil is saying about our situation.

Asha Gupta :

Thank you, Shradha. We have follow-up question from Sandeep Shah. Sandeep, please go ahead.

Sandeep Shah :

Just on the margins, is it fair to say with our objective of recruiting Mr. Kapil Jain to accelerate the growth? This may lead to some amount of new band, operating band on the EBITDA margin, which could be lower than 28%, 32% or you believe this is just a one-year blip and we can comfortably even with the search of higher growth we can operate at 28%, 32% kind of EBITDA margin?

PD Mundhra:

I think Sandeep, the answer is, what we have seen this quarter is basically a function of inherent business dynamics. As Kapil mentioned, he is in the process of assimilating the business, its trend, its opportunity areas and he sort of needs some time, it's only fair to build a point of view and a plan for execution.

So, as he mentioned, we hope to have that available and share some the high level view on that with all of you by the end of this financial year. I think at that point we would have made some trade-offs if we feel appropriate between growth rates, margin, whatever it is, and we can share those with you. All I would say is, I won't read that right now because I think he is still in the stage of understanding what options are and thinking about what the pros and cons are of different approaches. So, we haven't yet

reached any definitive stance, but hopefully , by the end of this year , we will be able to share a more conclusive outlook with you.

Sandeep Shah :

Just a follow -up in terms of Gen AI, I do acknowledge it could be a long -term opportunity, but keeping in mind with some cannibalization impact, is it fair to assume that we may also accelerate our pedal in terms of creating more pipeline, more conversion of the deal pipeline, which will help us to even reduce and minimize the risk which may come through cannibalization?

And just a clarification, Kapil sir, you said that 10% of the revenue is tech driven, right? That is what you said in one of the reply and 80% o f the intersection of the same is for digital operations?

Kapil Jain:

Yes. So, what I said , and I think PD also clarified that the nature of work that we do, which is like not large headcounts for similar functions , and what I had said earlier that Gen AI will enhance the experience. So , we see this as an opportunity. The reason I say that is, the 10% and the cross section it ha

s with our ops revenue . So, wherever we are doing ops, we have deployed technology, our tools, platforms, and solutions, and that gives us the confidence to say that Generative AI will only lead to enhancing experience and I see this as an opportunity as opposed to a threat.

Sandeep Shah :

And in terms of deal pipeline, is it fair to assume we can accelerate on that side to minimize the risk of any cannibalization, which can come on near to medium term or long term ?

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Kapil Jain:

Medium to long term, absolutely yes. We are working in terms of how to accelerate the deal pipeline as well.

Asha Gupta:

Thank you , Sandeep. We have the next follow -up question from Mihir. Please go ahead, Mihir.

Mihir Maheshwari :

I largely wanted to understand, you mentioned that the pipeline is building up good. So , if you can just quantify what is the growth over there? I mean I understand you don't disclose the number, but I mean is it like a 5% kind of a sequential growth, 10% growth that will be really helpful? And which are the areas that are driving this? And also, you mentioned that even from a medium to long -term perspective you see this accelerating driven by Gen AI. So just wanted to get an understanding, which are the end application areas, which are the end -user areas where you see this happening for the acceleration pipeline. I mean what is giving you the confidence ? So just wanted to get an understanding around that.

And my second question was on these POCs. I mean, you mentioned you are working on 32 POCs. So , I mean any three or four large and important POCs which are material, which are important, which will be a key differentiator service offering. So , if you can throw some color, some highlight any three, four large POCs, just to get an understanding that would be helpful?

Srinivasan Nadadhar:

So, I'll take the first question , for pipeline we don't give a specific number on how big it is. I think I will comment that across all three areas, with the three digital and customer operations and financial markets, we are seeing that pipeline be higher than what it was six months earlier. On Gen AI and POCs, I would ask Kapil to comment.

Kapil Jain:

So, see, most of these discussions are on providing value add and adding cognitive capability on our current services to our existing and new clients . So that's the one bucket. And these are areas around content management, data management, code automation, insights on demand , and customer care, which predominantly are around our customer service side, as well as on the digital side of the business. And we are building business specific IPs on the foundation models, which will help solve specific problems across industry verticals, whether it's industrial or high -end fashion and retail. And most of our discussions are around Digital and Customer Operations centric verticals is where we are seeing the active discussions. We won't be able to share in terms of exactly which clients, what is the size of the pilots that we are doing at this stage.

Mihir Manohar :

Sure, sir. That's fair. I mean this is what something that gives you confidence from a medium to long term angle. I mean that's what you commented upon on the pipeline part of the piece driven by Gen AI ?

Kapil Jain:

Yes

Asha Gupta:

Thank you, Mihir. Next question comes from the line of Hitesh Arora from Unifi Capital. Hitesh, please go ahead.

Hitesh Arora:

Yes. Thanks, again. So , you mentioned earlier that the deal pipeline is longer. It's taking longer to convert. Just wanted to check any visibility on roll -offs, especially the bigger ones. How are you seeing any threats out there ?

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10 Srinivasan Nadadhur:

We did have some roll -offs in Q1 and Q4. Beyond that, I think there may be some that currently would happen

as a matter course of which is happening periodically , but we are not seeing anything in large.

Hitesh Arora:

Ok. Nothing large or unexpected?

Srinivasan Nadadhur:

If it is unexpected. How can we know?

Asha Gupta:

Thanks Hitesh. We have a follow -up question from Sandeep Shah from Equirus. Sandeep, please go ahead.

Sandeep Shah:

Just a clarification on bookkeeping. Srini, what is the quantum of the non -recurring margin impact in this quarter?

Srinivasan Nadadhur:

My guess is somewhere around 0.6%

Asha Gupta:

Thank you, Sandeep. We have the next follow -up question from the line of Dipesh Mehta from Emkay Global. Dipesh, please go ahead.

Dipesh Mehta :

Just on the prior question, you said non -recurring 0.60%. Can you help us understand the nature of that non-recurring, what played out?

Second question is about the margin trajectory now, because Q2 is likely to have positive growth. H2 we are more positive, so are you suggesting quarter -on-quarter growth likely to accelerate in coming quarters for FY24, or we refrain to provide that kind of comfort? And on margin, also I think in some of the earlier question s, you said Q2 is unlikely to have a very big margin delta compared to Q1. So, in a way , we are looking for a very big shift in the H2 margin trajectory. What gives you that comfort in terms of that big delta? Because usually when we accelerate next quarter we see margin recovery, but this time, we are integrating it more gradually and the H2 phenomena . Thank you.

Srinivasan Nadadhur:

There is public information available where this is referred to, which can give you an indication of what the non -recurring component is. On the margin improvement, that non-recurring component will impact from Q2 itself and we expect a stronger recovery in Q3 and Q4.

Dipesh Mehta

What about revenue growth trajectory?

Srinivasan Nadadhur:

So, implicit in all this is that revenue and EBITDA.

Asha Gupta:

Thank you, Dipesh. We have the next question from the line of Mihir . Mihir , please go ahead.

Mihir Manohar:

Sir, just largely wanted to understand, I mean you mentioned about this, but I mean after Kapil sir joined and you had in the last call indicated about accelerating the growth. So , any color around that, what is the differentiation in strategy, which will drive the acceleration of growth versus what we had

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11 historically? Because I mean we continued to have good growth in '22 and '23 as well. You mentioned that end of the year, you are looking to give a proper commentary, but still if any indication at this point in time. Any color around the strategy that would be helpful .

And just on the second part of the piece, on the Gen AI. I mean how do we rate our preparedness versus the competition and how do you see, I mean we prepared versus competition ? Just wanted to get an understanding around that .

PD Mundhra:

Kapil , I think perhaps on the first point, I don't know if we have a strategy to share at this point, but maybe you can share some observations, from your three or four months, whatever it's been so far. And then you can take the Gen AI question.

Kapil Jain:

Yes, thanks PD. So , I think in terms of overall observations, like I said, right in referenceability, repeat business, how we are winning business, consultative led, high on the domain, having subject matter expertise, ability to deploy technology, bring in the BPaaS revenue, outcome -based not a burn-on-seat model for the entire book of business on the creative side, digital, we are opening up a center in Paris. We have expanded our facility in Bangkok, which you would have seen from the release that we have done. So, I think overall if you ask me, we have a lot of assets that we have in terms of whether it's technology, whether its domain, subject matter expertise , and client reference

ability. And we work

with Fortune 500, Fortune 1000 clients, the set of clients that we have are all marquee clients. So those are the assets that we have.

In terms of overall strategy, obviously , we will have to double down on high focus and pick certain areas. I'm still evaluating and meeting the clients because the areas we will pick have to be relevant from a client 's point of view. And so that we can match our focus areas with the demand that we see in the market. And like I said earlier, in Q4 we should be able to provide you some clarity in terms of what our focus areas would be and how we would be able to accelerate growth and present to you a three to five year plan. So that's the broad thinking at this stage.

Mihir Manohar :

Sure, that's helpful. And just on the preparedness on the Gen AI side versus competition. How do we see ourselves versus what competition is paying out?

Kapil Jain :

Our focus right now has been, because it's so new and it has accelerated at a speed where none of the previous technology interventions have had. So , I think rather than seeing in terms of what the competition is doing, we are doubling down in terms of how we can deploy Gen AI and enhance the cognitive capability of the tools and platforms that we already have deployed in the ops area like I mentioned before, and that's really where we are focusing on. And on the back of it, like I had mentioned, we have about 32 POCs pilots that we are working on.

Asha Gupta:

Thank you Mihir. We have the next question from the line of Sameer Dosani from ICICI Pru. Sameer, please go ahead.

Sameer Dosani:

Financial operations business, is there some consolidation opportunities, because clients would be very much interested in consolidating vendors, is there some opportunity and our participation in those opportunities if any?

Kapil Jain:

So, Sameer, I think we are not seeing, the clients are looking to stay with their existing suppliers in the current scheme of things, we are not seeing that clients are looking for consolidation, because of the eClerx Services Limited
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12 overall uncertainty that still prevails and there's always a cost to switchover and the pressure that the clients are facing on the revenue side. And hence, at least we are not seeing consolidation happening in the industry currently. However, as and when that happens in certain areas because that's depends upon the clients where our footprint is, and how we're positioned. And I think like I said, we have strong referenceability with the clients. So, I think currently, I have not seen consolidation as a key driver in the clients that we work with.

Sameer Dosani:

And second thing, If I'm not wrong, our volumes, in that business is dependent on the volatility of the market rather than the direction of the market. So how are you seeing volumes develop in last six to nine months the volumes would have been very low. So how do you see that correct me if I'm wrong. And how should we think about the pipeline or the capacity buildup by your clients in this space? If you can share some light there?

Kapil Jain :

Not very clear, can you please repeat...

Sameer Dosani:

So, I think based on the capacity your clients would have forecasted, what are you seeing in this business? Last six to nine months would not have been great I'm assuming. So, if some way you can just share some insight on this?

Kapil Jain :

So, I think like I said because of the overall macroeconomic environment, clients are cautious, but I think as you know, most of our US clients, they have their planning cycles around October, November, and before December they will freeze on their budgets, which is where we will get a better clarity. But at this point in time, we are seeing a better environment than we saw when we were entering this year, the Q1 of this fiscal and we were exiting Q4 and

entering Q1. So, I think in terms of what the outlook would be and how the clients are looking to have their discretionary spend, we will have a better view in Q3.

PD Mundhra :

Sameer, just to clarify, when you talked about volumes, did you were referring to the trading volumes of our clients?

Sameer Dosani:

Yes. Is that correct understanding?

PD Mundhra:

So, I think if I look at our markets, it's broadly into two main buckets, one is trade processing and trade lifecycle work, where there is a loose link to volumes. I won't say it's a very tight link, there is a loose link to volumes, but a good chunk of the money comes from also work we do around client lifecycle and it is not regularly driven. In that case for that work change in regulations is much more a driver of activity for us than the trading volumes of our clients. So, in some senses, I would say those parts of the market book have different underlying drivers which determine how much work gets. And so, to some degree that reduces the correlation, and across the book, which is good for us.

Asha Gupta:

Thank you, Sameer. The next question is from the line of Nikhil Choudhary. Nikhil, I would request if you can just name your firm before asking questions. So that management can know you. Over to you Nikhil.

Nikhil Choudhary :

Hi, this is Nikhil from Nuvama. So basically, we haven't seen any case of roll-off compared to what we have seen in the FY'16 to FY'19 period right, completely stocked in the last three year compared to the eClerx Services Limited

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13 pre-COVID period. So just wanted to understand what is driving this change in the industry and basically, why the clients are not choosing to do roll-offs or insourcing compared to the FY'16 to FY'19

period, anything changed?

PD Mundhra:

So let me take that because I think that is before Kapil's time. I would say if you look at the roll-offs we have, I would categorize them into two broad buckets, one is a certain percentage of business that grows of any given year, just because of the nature of the work we have. It could be that work was short-term originally when we signed up for it. So, we knew that it has a defined end date. It could be that the client has chosen to de-focus from that area, so they've stopped that line of work and so they don't need our support. It could be different reasons, but historically in the 20-year history of the firm, there is a certain percentage of the work that tends to come to an end any given year. And that I think is sort of baked into and accounted for when we build our forecasts and projections.

The second bucket of roll-offs is very client-specific, some corporate events happen and as a result, there is a chunky amount of revenue that gets affected for us. And that by its very nature is hard for us to forecast because we get visibility into those events pretty much at the last minute. What did happen unfortunately in that period you referencing between 2016 and 2019 is that there was a bunching up of two or three of these events within a four-year time period which cumulatively had an impact of about \$50 million in annual run rate for us. And at that time, we were at \$200 million firm, so that \$50 million was almost 25% of the book. And that basically wiped out the effect of all the new sales that we were making into other clients. Fortunately, that hasn't recurred. But again, by its very nature, those are not things that we can forecast. So, if a large client of ours, god forbid, was to go bankrupt or if a large client was to suddenly decide they want to pull all the work to in-source, then we would suffer that kind of impact. Having said all of that, as Kapil said, we believe the work we do is very high quality and provides outstanding value to clients. So usually there is not that business case for them to move work from us to some other

vendor. But there were two or three events that happened in 2016 to 2019 period, again driven largely by corporate events like M&A that created that outcome for us, it can happen from time to time and it's not something that we have visibility into.

Asha Gupta :

Thank you, Nikhil. We have the next question from the line of Sandeep Shah. Sandeep, please go ahead.

Sandeep Shah :

Yes, thanks for the opportunity. Kapil, in your remarks you said we are as of now applying Gen AI more on the digital operation and customer operations. So, it could also have an impact in terms of what we do on the financial service operation as well, right or you don't foresee much of the impact on that side, because what we do could also be impacted through Gen AI in the financial services as well?

Kapil Jain:

So, you're right, Sandeep, and what we are also seeing is clients also in terms of the POCs, what the impact would be, having discretionary budgets in terms of to work on pilots, POCs, to really see where the impact would be, what's the opportunity and mostly like I said, it will be on enhancing experience, innovation and so on and so forth. So yes, more than an impact, I see it as an opportunity, and with financial services clients also, though the majority of traction we are seeing currently is in the two spaces that I mentioned earlier.

Asha Gupta

Thank you, Sandeep. As there are no further questions, I would hand over the floor to the management for a closing comment.

Srinivasan Nadadur:

Thank you, Asha. Thank you everyone for joining the call today and we'll see you next quarter. Thanks a lot.

Call: Nov 2023

eClerx/SECD/SE/2023/127

November 14, 2023

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25 th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter and half year ended September 30, 2023

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on November 10, 2023 with respect to the financial results of the Company for the quarter and half year ended September 30, 2023.

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
VP-Legal & Company Secretary
F8538

Encl.: as above
eClerx Services Limited
November 10, 2023
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eClerx Services Limited
Q2FY24 Earnings Conference Call

November 10, 2023

eCLERX MANAGEMENT:

KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
PD MUNDHRA – CO-FOUNDER AND EXECUTIVE DIRECTOR
ANJAN MALIK – CO-FOUNDER AND NON -EXECUTIVE DIRECTOR
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:

ARVIND CHETTY – DYMON ASIA CAPITAL
AYUSH BANSAL – EMKAY GLOBAL
HITESH ARORA - UNIFI CAPITAL
MIHIR MANOHAR - CARNELIAN ASSET MANAGEMENT
NIKHIL CHOUDHARY - EDELWEISS SECURITIES
NITISH REGE - CHRYCAPITAL
SANDEEP SHAH - EQUIRE SECURITIES
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES

eClerx Services Limited

November 10, 2023

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Asha Gupta :

Good evening, participants, and welcome to the Q2 FY24 earnings call of eClerx Services Limited.

Please note that this webinar will be recorded .

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by Kapil Jain - Managing Director and Group CEO; PD Mundhra - Co-Founder and Executive Director; Anjan Malik - Co-Founder and Executive Director; and Srinivasan Nadadhur - Chief Financial Officer. We will start the call with brief opening remarks by Srin, and then we will open the floor for Q&A session.

I would like to remind you that anything that is said on this call that gives any outlook for the future, or which can be construed as a forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual reports, which you can find it on our website.

With that said, I will now hand over the call to Srin. Over to you, Srin.

Srinivasan Nadadhur:

Thanks, Asha. Ladies and gentlemen, good evening . Welcome to eClerx earnings call for Q2 FY24.

We've reported robust top line and bottom-line performance in Q2 with revenues of \$87.6 million, up 4.4% quarter-on-quarter, both in USD as well as in constant currency terms. Total INR revenue for the quarter was INR 7,359 million, up 6.4% quarter-on-quarter. Revenue performance was complemented by an equally strong performance on the margin front. EBITDA for Q2 was INR 2,189 million, up 25% sequentially, and the EBITDA percentage was 29.7%, up 445 bps QoQ . Net profit for the quarter was INR 1,360 million, up 28% sequentially and at 18.5% margin. Our financial markets and customer operations businesses were the key contributors for the strong top line performance in this quarter with onshore wins in the former , and offshore wins in the latter driving

much of the growth. Delivery costs

in this quarter were largely flat, resulting in the margin boost. There are small increases in utilization and onshore revenue in this quarter. Exit headcount is up by 600 people from the previous quarter's exit. Attrition is marginally up from the previous quarter but well below the usual percentages that we see.

Outlook for Q3 is positive. We expect to show sequential growth. However, macroeconomic uncertainties still prevail. Our clients' budget for CY'24 are being firmed up and so our view of Q4 will solidify over the next few weeks. In the previous earnings call, we had mentioned that full year EBITDA margin may be below the lower end of the 28% to 32% range. Given the strong margin performance in Q2, we are revising this view, and we now expect full year EBITDA percentage to be within the stated range.

With this, we come to the end of our opening remarks. We can now move on to the Q&A. Asha, over to you.

Asha Gupta:

Thank you , Srin. We have first question from Nikhil Choudhary from Edelweiss.

Nikhil Choudhary :

Congratulations on a very strong set of numbers. So , first question is regarding the growth. Like you mentioned, growth rebounded much more stronger than our expectation. Can you highlight what led to such strong outperformance? Any particular segment, subsegment where you saw better-than-expected growth? And then I have a follow-up on margins, Srin. Again, what you even highlighted that Q2 margins were stronger than expected. So even there, what led to surprise and what was our initial expectation ?

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3 Srinivasan Nadadhur :

I'll cover the margin question and then I will redirect to Kapil for the growth. So, on the margin, the delivery costs are flat because there's been a change in the mix in the people offshore. So, the growth in delivery headcount has been largely at the bottom of the pyramid. The second reason is that you can see that the headcount in tech has reduced, and that's a result of planned streamlining of bench, which has happened over the last 2 quarters, in Q1 and Q2. And both these factors have contributed to the flat delivery costs. I'll hand over to Kapil for commentary on growth.

Kapil Jain :

Thanks, Srini. Nikhil, like Srini mentioned in his opening remarks, the growth came predominantly from financial markets and our customer service operations, and where we are doing on the financial markets on the compliance and regulatory side and the customer operations was areas that we service our clients.

Nikhil Choudhary :

Very helpful. Just one more question regarding the strong headcount addition. So, what you mentioned that you would be able to comment better on the client demand after seeing their budget allocation, but given the strong hiring, I just want to understand, is it based on the already wins you have or based on your pipeline?

Srinivasan Nadadhur :

Yes. So just to clarify my comments, I think we said that we'll show sequential growth in Q3. So Q3, we are fairly confident about. And I mentioned that we will have greater clarity on Q4, maybe a few weeks down the line.

Asha Gupta:

Thank you Nikhil. We have next question from the line of Mihir Manohar, he is from Cernelian.

Mihir Manohar :

Congratulations on good set of numbers, I mean, quite good set of numbers in this environment. Sir, you mentioned on the financial market side, the capital markets compliance driving the growth. So, if you can throw some more light as to what are the changes which have happened on the compliance side, which is driving your growth. And given the fact that there are structural changes, I mean, should we consider a similar kind of growth continuing at the company level for 3Q, 4Q? That will be helpful. Because how important this change is to understand that will be useful.

My second question was, after Mr. Kapil J

ain joining in, is there any structural changes or any sales team augmentation or any delivery structure improvisation that has happened? Just wanted to understand around that, that would be really helpful.

And my third question was just on the proof of concepts. I know 32 proof of concepts you were working out of which 2 went commercial last quarter. I mean, is there any more update over there, any more commercialization happening? And just to understand quantum also, what is the quantum of commercialization that is happening, that will also be helpful. So those are the questions.

Kapil Jain :

I think the structural changes at this stage, we are not planning to make any structural changes. We will be investing in sales for growth. And I am planning to present my plan to the Board and some aspects of it, we will share with you in Q4, as we had indicated earlier. So that's on the structural changes.

On the client life cycle and KYC, we are seeing the demand on the compliance area. I think your question was Q3, Q4. Like Srini said, we are cautiously optimistic that we would be able to show a sequential growth in Q3. Q4, given the current volatility in the market and geopolitical risks, I think we should be in a position to tell you during our next call.

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4 In terms of Gen AI, I think the number of active discussions has increased. We are in 55 active discussions. And most of the areas are in content operations, care ops and insights on demand. And we are building domain-specific IP on top of foundation models. We are also creating a customer advisory board where we are bringing some of our client executives from the technology side. And we are investing in training as well as enabling our people ready on Gen AI. So, these are some of the things

that we are doing on the same.

Mihir Manohar :

Sure, sir, sure. That's helpful. And just lastly on the digital marketing side in Europe, I mean, how is the situation now over there? Because previously, I mean, the digital marketing piece in Europe was facing challenges. So, how is the luxury brand performing over there every day?

Kapil Jain :

I think on luxury brand, as you would see, like some of our key clients did not post very robust results. And I think there was a lot of pent-up demand post pandemic, which saw extraordinary growth in that segment. I think the normal is coming back. There is always a lag between when our clients' growth is declining versus where we see some caution. So, I think we are cautious on the luxury segment side in terms of what we are seeing with our clients the new normal, which is getting set up.

Asha Gupta:

Thank you Mihir. Next question is from the line of Sandeep Shah from Equirus. Sandeep please go ahead.

Sandeep Shah :

Just I think in the initial remarks, you said the client CY '24 IT budgets have been finalized but we may take some couple of weeks to get a view on the fourth quarter of this financial year. So, any early indication how the clients' IT budgets are shaping up?

Srinivasan Nadadhur :

Sandeep, I mentioned that budgets are being finalized. So, we don't have very well-formed view as of yet. But I think in the next few weeks, we should be able to give some kind of opinion.

Sandeep Shah :

Okay. And a question to Kapil, sir. Sir, I think eClerx, despite a strong operational capabilities and the delivery capabilities as well as rich client base, the issue in the past being roll-off impacting the growth opportunities. So, is there any strategy to reduce the impact of the roll-off by way of increasing the deal pipeline or in terms of augmenting the sales and marketing team, which helps us to create a stronger pipeline, stronger deal wins, which may actually compensate and keep the growth rate consistent or in line with the industry for a longer period of time, maybe over 3 to 5 years?

Kapi

I Jain :

Sandeep, absolutely, that's the plan. Like you said, to invest in sales and marketing. Some of the roll-offs happen because of the nature of work, which is more consultative led. Typically, these projects are short term. So that's part and parcel of our business and we are working towards to see how we can strengthen our pipeline so that we could give growth in line with the industry growth over a medium-to long-term horizon.

Sandeep Shah :

Okay. So, in pursuit of that objective, is it fair to say we may be open to slightly compromised margin in the near term but that may give us growth opportunity and sustainability of growth over a longer period of time.

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5 Kapil Jain :

Sandeep, like I said, I would be presenting my plan to the Board in Q4 and some snippets of it, we will be in a position to share with you after we have presented the plan to the board, and we'll have to strike a balance between growth and margins to see in terms of value we are delivering to the shareholders.

Sandeep Shah :

Okay. And last question to Srini, sir, generally, Q3, Q4 margins are mostly in line or better versus the Q2 margin. So, whether same trend can be expected even in this year? And any status update in terms of SEZ policy on work from office as of now?

Srinivasan Nadadhur :

The SEZ work from home has been extended till 31st of December '24, so next year. And on Q3, Q4 margin, we think it will be broadly similar, maybe a little up, a little down, but hopefully broadly in line

with what we've been able to do in Q2.

Sandeep Shah :
Congratulations on a strong execution in this quarter.

Srinivasan Nadadhur :
Thanks, Sandeep.

Asha Gupta:
Thank you Sandeep. Next question comes from the line of Hitesh Arora from Unifi. Hitesh please go ahead.

Hitesh Arora :
So could you delve a little deeper into the financial services and the customers ops growth? Is it something more structural here? Is it just sort of one-off there was more trading activity linked, if you could kindly delve a little more, and similarly on the customer upside?

Kapil Jain :
It's not linked to higher trading activity, Hitesh. It is with respect to compliance and KYC, which is a strong offering from us as well as on the customer operations side. It is our strong delivery where we are seeing the growth. It's not related to any event led growth.

Hitesh Arora :
So, I mean my point is, is this something that we can't think that this growth trend sustains?

Kapil Jain :
Hitesh, like I said, we are cautiously optimistic. And Q3, we should be able to deliver a sequential growth. Given the overall volatility in the market, I think it's a little difficult to predict what the Q4 would be, and we would be in a position to tell you in our next earnings call or as soon as we have some visibility.

Hitesh Arora :
Sure. Any commentary on the other parts of the business, if you could give, how were things there?

Kapil Jain :
I think, like I said, on the luxury, I spoke about. Hi-tech, I think, has been a little tepid in the last 1.5 year to 2 years, and I think they continue to be cautious. See, the overall macroeconomic environment is volatile and hence, clients are also being cautious in terms of how they are planning the spend. And they are also not making like in terms of discretionary spend continues to be on high visibility and watch.

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6 Asha Gupta:

Thank you Hitesh. Next question comes from the line of Ayush Bansal, he is from Emkay Global.

Ayush Bansal :
I just had a couple of questions. Like in emerging clients, it views 3% sequentially in Q2 and it declined around 1% in Q1. So how do we look at it going forward? What is the thought process there?

Srinivasan Nadadhur :
I think our view has been to try and grow this over a longer period of time. In the medium term, we would expect these numbers to go up. I think quarter-to-quarter, it is hard to draw inferences based on any single quarter movement. So, we are working towards growing all parts of the business, especially with the focus on small clients. But I think variations in quarters in the short term is likely to happen.

Ayush Bansal :
Okay. Got it. And do you expect any seasonality in Q3 in certain parts of your portfolio?

Srinivasan Nadadhur :
No.

Asha Gupta:
Thank you Ayush. We have next question from the line of Nitish Rege. Nitish, please go ahead.

Nitish Rege :

This is Nitish Rege from ChrysCapital. My questions are for Kapil sir. Sir, how do you see the Gen AI impacting us based on whatever is seeing in the initial days. This is my first question.

Kapil Jain :

Nitish, I think we are seeing small projects. I think clients are also grappling in terms of what use cases they would want to work on while there is a lot of hype as well as in terms of what has been built around, but the use cases on which it will be deployed. Like I mentioned, we are working in the area of content operations, care ops and insights on demand. There may be some impact, but we are not shying away because I think we want to be ahead, given our domain as well as progress on the tech side as well as on the op side. So, I hope it answers your question.

Nitish Rege :

Okay, sir. And just one other one. Now that we have like more than INR 900 crores of cash, what is the capital allocation plan? We've also hired a head of M&A recently. So, is there any M&A activity or anything you are assessing right now and which kind of space will we be looking at?

Kapil Jain :

We would be looking for synergistic opportunities in areas where we have capability as well as the valuation has to be the right one.

PD Mundhra :

I think Kapil has made exactly the right point. I think capital allocation policy continues to be that if there is an attractive acquisition opportunity, the funds are available for that. In the absence of that, we will continue to maintain distributions as we have done in the past. I think one thing we do expect to change is the more proactive approach in terms of trying to source good deal flow and good assets that might fit in with the overall corporate strategy of the firm, which is why we have also made investments, as you noted, internally in these sources so that we can have a more proactive approach of going out scanning the market and trying to earn out opportunities more predictably than just be reliant on incoming teasers.

Asha Gupta:

Thank you Nitish. We have next question from the line of Shradha Agrawal from AMSEC.

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7 Shradha Agrawal :

So sorry I'm repeating some questions because I logged in late. Sir, I just wanted to get your sense on the deal pipeline, how are the sales cycle and deal conversion cycle looking like now? Because earlier you had indicated about some slowdown in deal conversion.

Kapil Jain :

So Shradha overall pipeline continues to be in the same way, so there's no significant change in the overall pipeline. I think like I said, given the overall visibility we have, Q3, we are cautiously optimistic. Q4, we would give a view closer to the date. And like as we move forward. And in terms of conversion cycles, they stay the same in terms of what we had indicated. There has been no remarkable change from what we have said earlier.

Shradha Agrawal :

And secondly, in terms of margin progression, so are we expecting better margins in the second half versus what we've seen in 2Q? Or how are we looking at the margins going into 3Q and 4Q?

Srinivasan Nadadthur :

I would think broadly in the same range, a little up, a little down. I don't think we are saying that we continue to go on [increasing]. We'll have to see how that will go on.

Shradha Agrawal :

Right. A

And sir, structurally, how should we now look at our margins going into FY'25? Would it be required to make more investment into sales? Or how should we look at the new margin profile of the company and Mr. Kapil Jain now?

Srinivasan Nadadthur :

I think that a lot depends on the plan that Kapil presents to the Board. But as he has said, I think the intention is to boost growth, and therefore, there will be some investments in the onshore sales and team, and maybe that will lead to some trade-offs in margin. How much I'm unable to quantify now but

there will be some downward impact to margins.

Asha Gupta:

Thank you Shradha. We have follow-up question from Sandeep Shah from Equirus.

Sandeep Shah :

Any color in terms of a demand shaping up in the cable and wireless segment?

Kapil Jain :

Sandeep, like I said, in the Cable & Wireless segment, the demand continues to be in the area in which we are servicing our clients. And our delivery continues to be robust, which is why we are seeing the increase, which we saw in the Q2 in the customer operation.

Sandeep Shah :

Okay. So, in that scenario, is it fair to assume that demand is good in almost BFSI and customer operation or cable or wireless kind of a segment, which, if I'm not wrong, close to 60%, 65% of the revenue and 1/3 of the segment may slightly be cautious in terms of the demand.

Kapil Jain :

At this stage, what you've said is right. However, like I said, the clients are also looking at quarter-on-quarter, given the interest rate volatility, geopolitical risk and many other factors, which are playing. So yes, currently, financial markets and customer operation, we can expect what you have indicated.

Sandeep Shah :

Okay. And sir, just a follow-up. In terms of fourth quarter outlook, is it fair to say is there any customer - eClerx Services Limited

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8 specific issue or in terms of any roll-offs, which we anticipate where it does not give us a confidence about visibility as of now or it's more to do with the macro uncertainty, and that's where we are slightly being not able to give outlook for the fourth quarter?

Srinivasan Nadadur :

Sandeep, it is the latter.

Sandeep Shah :

Okay. And last question on Gen AI. In the first phase of option, do you believe there would be additional spend even with a vendor like eClerx where clients help would be required from the vendors in terms of creating a large language model doing data engineering, data testing. And in the second phase of adoption, there could be some more revenue cannibalization led impact. Is it the right way of looking at it, how to see this adoption journey from the client side on the Gen AI?

Kapil Jain :

Yes, Sandeep. I think that's the right way to look at it. However, in the Phase I that you described, we will see some demand and spend. These projects are typically small in size but that's the flow it will follow. And we are hiring in 3 different streams, ML researchers, business analysts and as well as the implementation team.

Asha Gupta:

Thanks Sandeep. We have next question from the line of Arvind Chetty. Arvind, please go ahead.

Arvind Chetty :

This is Arvind from Dymon Asia Capital. My question is more on the headcount addition. For the last few quarters, we've seen headcount sort of growing in line with our revenue or vice versa. Is that a fair assumption that for the next few quarters, given the uncertainty that's how it should pan out or headcount and revenue growth should be correlated for next few quarters?

Srinivasan Nadadur :

Largely, that has been the case because technology is a smaller part of our business, a large part of it is operations and the BPaaS portion of it where we are pricing on fixed price is about 25% of the business. So, the majority is FTE based. So, it will grow largely in line with revenue.

Arvind Chetty :

Great to know that. So, to that

extent, given the headcount that we have had this quarter, so Q3 could be very similar to what Q2 growth was or maybe only slightly lower. And then Q4, we will see if we

have to add headcount, is that right way to look at the business?

Srinivasan Nadadhur :

It's a fair assumption, I think.

Arvind Chetty :

So, we'll be making investments in sales going forward. Do we anticipate growth to accelerate next year onwards? And because we will be augmenting our sales, and I guess that should be the thought process, right?

Kapil Jain :

Arvind, like Srini mentioned, yes, we would be investing in sales. And given the current environment, I think we continue to hire, and we will be bringing more salespeople. In terms of the growth, as you know, there would be some lag between the time we would make the investments in sales and when the growth will happen and also as a function of the overall market. But we would be well poised given our delivery capabilities, strong set of clients and investments that we would have made in sales to capture the demand as when the market conditions are more certain as well as on the back of investments that we would have made.

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9 Arvind Chetty :

Got it. And would we expect FY '25 to be better than what FY '24 is going on?

Kapil Jain :

I wish, Arvind, I could have given you that answer. I think it depends on many factors, which are beyond our control and it's a very forward-looking statement in terms of what the outlook would be in FY '25. We don't have our 2020 vision on Q4 of FY'24. So, FY '25 is a little distant away.

Asha Gupta:

Thanks Arvind. We have next question from the line of Nitish Rege.

Nitish Rege :

So based on current client meetings, what is the low-hanging fruit in terms of mining, considering we've such a strong client roster?

Kapil Jain :

So Nitish, I think basis whatever I've spoken to the clients and have met some of our large clients, I think they continue to give a thumbs up on our strong delivery, our agility, speed of response and the domain and technology that we bring to the table. So, it's not like there are some low-hanging fruits or something but I think we are working and in discussion with a lot of our clients to see where the opportunities are and where we could potentially create the pipeline and hence, the growth as well.

Nitish Rege :

Okay. And just a gain on Gen AI, do you see anything to worry about in terms of the extent of revenue deflation we can see from this?

Kapil Jain :

No, not at this stage.

Asha Gupta:

Thank you Nitish. We have a next follow-up question from line of Sandeep Shah.

Sandeep Shah :

Yes, just a bookkeeping. If I look at the average hedge rate for the last 3 quarters, has been 83 to 84 and this time, it's upward of 84, but when I look at the realized rate for the quarter versus the spot average rate, it's still lagging the realized rate versus the spot average. So, when do you expect this to reverse looking at the current outstanding hedge position and this may be a tailwind on the margin, is it fair to say, going forward?

Srinivasan Nadadhur :

So, if you look at the hedge updates, I think you will see that somewhere around Q4 if the current exchange rate stays that's when you would expect that to go reverse.

Sandeep Shah :

Okay. So, by Q4 if spot rate remains, it could be a tailwind on the margin.

Srinivasan Nadadhur :
Yes.

Sandeep Shah :

Okay. And just a last question to Kapil, sir. In terms of strategy and investment in sales and marketing, is it fair to say we may even think to diversify beyond the current industry verticals as well as service offerings? Or we believe the opportunity untapped is still bigger in the existing verticals and services, so our focus would be to invest in those domains rather than diversifying beyond the current domain?

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10 Kapil Jain :

Sandeep, in short term, the focus would be to take the existing set of capabilities. And in medium to long term, we will evaluate and look at in terms of new capabilities that we will have to build to stay relevant for our clients.

Asha Gupta:

Thank you Sandeep. I think as there are no further questions, I would ask management for closing comments.

Srinivasan Nadadhur :

Thank you, everyone, for joining the call. We'll see you again with the Q3 results. Happy Diwali to everyone.

Asha Gupta:

Thank you, everyone. This ends eClerx's call. Happy Diwali, to everyone.

Call: Feb 2024

eClerx/SECD/SE/2024/013

February 6, 2024

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended December 31, 2023.

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on February 2, 2024 with respect to the financial results of the Company for the quarter /period ended December 31, 2023 .

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
VP-Legal & Company Secretary
F8538

Encl.: as above
eClerx Services Limited
February 02, 2024
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eClerx Services Limited
Q3FY24 Earnings Conference Call

February 02, 2024

eCLERX MANAGEMENT:

KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
PD MUNDHRA – CO-FOUNDER AND EXECUTIVE DIRECTOR
ANJAN MALIK – CO-FOUNDER AND DIRECTOR
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:

AYUSH BANSAL – EMKAY GLOBAL
DARSHAN ENGINEER – KARMA CAPITAL
DEBASHISH MAZUMDAR – MOTILAL OSWAL ASSET MANAGEMENT
DIPESH MEHTA - EMKAY GLOBAL
JALAJ MANOCHA – SVAN INVESTMENTS
MANIK TANEJA - AXIS CAPITAL
MIHIR MANOHAR - CARNELIAN ASSET MANAGEMENT
NIKHIL CHOUDHARY - NUVAMA
NITISH REGE - CHRYCAPITAL
SANDEEP SHAH - EQUIRUS SECURITIES
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES
V.P. RAJESH - BANYAN CAPITAL ADVISORS LLP
eClerx Services Limited

February 02, 2024

2 Asha Gupta :

Good evening, participants, and welcome to the Q3 FY24 earnings call of eClerx Services Limited.
Please note that this webinar will be recorded .

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by Kapil Jain - Managing Director and Group CEO; PD Mundhra - Co-Founder and Executive Director; Anjan Malik - Co-Founder and Director; and Srinivasan Nadadhur - Chief Financial Officer. We will start the call with brief opening remarks by Srinivasan , and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is said on this call that gives any outlook for the future, or which can be construed as a forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual reports, which you can find it on our website.

With that said, I will now hand over the floor to Srinivasan . Over to you, Srinivasan .

Srinivasan Nadadhur:

Thanks, Asha. Good evening, and welcome to eClerx Earnings Call for Q3 FY '24.

We are pleased to report that USD growth in Q3 was a strong 3.3% and 3.5% in constant currency terms. Operating revenue for the quarter was USD 90.5 million, and total revenue for the quarter was INR 7,735 million, up 5.1% sequentially. EBITDA for the quarter was INR 2,280 million at 29.5% margin , up 4.2% Q -o-Q and Net profit was INR 1,386 million, at 17.9% margin, up 2% sequentially. As with the last couple of quarters, growth in this quarter was driven by the Customer Operations business and the Financial Markets business. As you would have noted, there is an increase in G&A in this quarter. This was

as driven by 3 factors: number one, higher recruitment fees, which we think will be one-off, higher costs due to work from office and number three, costs associated with the go live of a small facility in Chandigarh. S&D cost in this quarter include a one -off reclass of some costs from delivery to sales. Excluding this, S&D costs would have been similar to Q2 at around 12.5%. Attrition continues to remain low. In fact, it's the lowest that we have seen, including the COVID year. There is an exceptional charge of INR 18.35 million in the consolidated financial statements. This is the net impact of the fee received for the transfer of personnel from our subsidiary to one of its clients, against the impairment charge of INR 225 million of customer relationship intangibles. Related to this transaction, we also issued notice to vacate one of our premises in Gurgaon, resulting in a one -time lease modification gain of INR 69 million. This lease modification gain is included as part of other Income .

Coming to the outlook for the current quarter, we expect to show a small sequential growth for Q4 with full year EBITDA margins to be in the 28% to 32% range. We are seeing pickup in our conversations in our digital business and are hopeful of seeing a recovery in that business in the quarter or two.

With this, we come to the end of our opening remarks, and we can now move on to the Q&A.

Asha Gupta:

Thank you , Srinivasan. We have first question from the line of Manik Taneja .

Manik Taneja :

This was a question for both Kapil and Sriniv. If you could talk about , what are you seeing with your customer segment, both in your financial services vertical and the customer operations vertical given

that across the industry, we've kept on hearing about an increase intend to in -source if you could talk about that. The second question was with regards to the strong employee addition that we've seen in the current quarter. Historically, the head count addition is a precursor to the growth in the subsequent quarter. So, should that be an indicator of our growth through Q4 and Q1?

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3 Kapil Jain :

So Manik, I think overall, we are seeing decent pipeline across our 3 segments: Financial Markets, Customer Operations, and as Srini was mentioning in Digital also. In another quarter or two, we should see an uptick. And if you look at our Financial markets, obviously, we are cautiously optimistic because we are operating in the KYC compliance, where we are seeing good demand and also in the loans area. And we are also seeing some demand from the buy -side funds, both on tech and ops and our domain - led Tech Ops BPO, I think, continues to see positive momentum and our strong delivery is what clients appreciate.

On customer operations, we have seen demand both from existing customers due to seasonality as well as new net addition. Again, on the back of strong delivery, we are in the top quartile of every client that we service from a delivery point of view. And in digital, as I mentioned, across industrials, we are seeing recent demand. High end fashion, I think, is returning back to normal from a high peak demand that they saw during COVID and post -COVID because there was a lot of pent -up demand. So that's really what we are seeing.

Srinivasan Nadadhur :

On the headcount addition. So, I will cover that. So, bear in mind that in order to replace the revenue that has gone away from Personiv and therefore the headcount as well. So, the net increase in headcount maybe actually lower than what you are seeing. I hope that answers your question.

Manik Taneja :

Srini, if you could expand on this exit that we've seen at Personiv as to what was the construct of this particular contract. And the other question was that while I guess, Kapil will answer that in the subsequent months. But unlike the recent years when we have been u

nwilling to talk about medium -

term growth rates, if you could give us some sense on what would medium -term growth trajectory looks like as you had to look at the portfolio of the business and also possibly plan your strategy around it?

Srinivasan Nadadhur :

Okay. So, the construct of the contract is fairly straight forward. Transfer of personnel for consideration I think that is mentioned there about INR 206 million or so and when that happened because this was an acquisition of the company, so we have to evaluate what the impact on goodwill and the customer relationship intangibles was. There was no impact on goodwill because the rest of the Personiv business has grown quite strongly, but there was an impact on customer relationship of about INR 225 million or so. And that net impact is what you see as an exceptional item in the CFS. Coming to the other question on medium -term outlook and whether you want to provide some guidance around that in the coming quarters.

Kapil Jain :

So, I think Q4, despite the impact of this client that Srini just spoke about, we are looking at modest growth or sequential growth. And I think in Q1, we would be able to give more comments after the full year results.

Asha Gupta:

Thank you Manik. Next question we have from the line of Dipesh Mehta.

Dipesh Mehta :

Two questions. First about the Personiv employee transfers. So, whether any intake we have seen in Q3, and headcount reflected, or it is a subsequent event. So, if you can provide that clarity and how many employees related impact you're likely to see because of this thing? And any revenue side if you can give some sense? Second question is on the EBITDA margin, now you indicated about some reclassification, which impacted S&M. But do we expect any sales and marketing kind of structural increase going forward? Because in last few quarters, if I look at it, our sales staff or business development head count has grown consistently. So, I just want to get a sense about whether it is leading to any kind of investment and as a percentage kind of changes? Last is about G&A, you said some

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4 higher work from office cost, whether it is here to stay kind of in that movement?

Srinivasan Nadadhur :

So, your third question first, yes, we do think that the higher work from office is here to stay, especially in customer operations and financial markets, both clients and us, we have seen that at least for the first 6 months to year, employees work from office because it just helps in training and learning the roles. To your other questions on whether the Personiv headcount and revenue is for the full quarter, that is, yes. So it is for the full quarter, the impact will be seen in Q4 onwards.

And I think you had a third question on the reclassification of S&D. So, what I meant by highlighting the reclassification is that excluding that one-off reclass, the sales and distribution costs as a percentage of total revenue were largely unchanged from Q2 to Q3 and therefore, what we are saying is that any impact of investments will be felt in subsequent quarters. So, we expect broadly that there will be some impact partially in Q4, but the full impact may be felt from Q1 onwards. And what effect that has on the margins, we will probably give more color during the Q4 call.

Dipesh Mehta:

Just on the Personiv side. Can you help us understand how many employees transfer is likely to take place? And what would be the effective date, whether it has already happened with effect from 1st January or it is somewhere in the middle of the quarter, this shift will happen and number of employees?

Srinivasan Nadadhur :

There's about 400 to 500 and it has already happened.

Dipesh Mehta :

So, it would be from January 1 kind of thing?

Srinivasan Nadadhur :

Yes.

Dipesh Mehta :

And whether it will be largely o

ffshore employees' kind of shift?

Srinivasan Nadadhur :

Yes.

Asha Gupta:

Thank you Dipesh. Next question comes from the line of Sandeep Shah from Equirus.

Sandeep Shah :

Just wanted to understand with this transfer of 400, 500 employees what would be the impact on the fourth quarter revenue on a percentage basis Q-on-Q? And this will have a full year impact in FY'25 as well, right?

Srinivasan Nadadhur :

Yes. So, despite this, I think we will still be able to show some sequential growth in Q4, although small because that revenue obviously needs to be replaced. I think we are fairly confident that we'll be able to demonstrate that.

Kapil Jain :

Yes. So, I think Q 4, as we said, we will see a modest growth. And for FY '25, then back of the 3 quarters that you are coming, we will give more color and view in terms of when we present our Q4 and full year results in the next quarter.

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5 Sandeep Shah :

Okay. And Srini, what was the onetime margin impact because of the recruitment cost in this quarter?

Srinivasan Nadadhur :

It's about 40 bps to 50 bps.

Sandeep Shah :

Okay. And that won't repeat in the fourth quarter?

Srinivasan Nadadhur :
Yes.

Sandeep Shah :
I didn't clearly understand the impact because of reclassification. So , it's a grouping of basket, which has changed, right? Rather than any impact on a headwind because you said it may start impacting margins by Q4 and 1Q of next financial year. So , I didn't understand that?

Srinivasan Nadadhur :
Yes. So , what I meant was that there was only a reclassification between what was the deliveries earlier. Incorrectly delivery earlier, we will reclass it as S&D this time, but that's a one -off thing pertaining to previous quarters. So , the S&M cost as a percentage of revenue for this quarter, excluding this one -off, remains the same as what it was in Q2.

Sandeep Shah :
So, it doesn't lead to any incremental margin headwind , right?

Srinivasan Nadadhur :
That's right.

Sandeep Shah :
And just the last thing, Kapil, induction of yours at a leadership level , company has said is to accelerate the growth. So , do you believe FY '25 would be the first year where the strategy will start driving accelerated growth? Or you believe still a couple of more quarters in terms of accelerated growth?

Kapil Jain :
I think like we would be investing in both sales and marketing building capability, and there is a lag from when the investments will happen to the time when we see the growth. We would start seeing the effect of the growth in, let's say, H2 onwards. And we will give more details about the plan, our strategic view in terms of what our focus is in the Q4, as Srini had mentioned.

Asha Gupta:
Thank you , Sandeep. Next question comes from the line of Shradha Agrawal from AMSEC.

Shradha Agrawal :
Two questions. Sir , I'm still not clear as to what should be the recurring run rate for S&M. This onetime transition from delivery to sales has happened and this should be considered as a new normal run rate for sales and marketing expenses for us !

Srinivasan Nadadhur :
No. So let me just clarify. So , this was a reclass of costs incurred in previous quarters into Q3. Therefore, the actual figure for Q3 is around 12.5%. And by that, I also mean that our investments into business development and sales have not started. So , when they start, there will be some impact. But what we saw in Q3 is not that impact.

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6 Shradha Agrawal :
But in a normal steady state, 12.5% should be the run rate? If at all investments and marketing increase, it will be an increase over that?

Srinivasan Nadadhur :
Correct.

Shradha Agrawal :
Right. And in terms of transfer of Personiv business, was it the full transfer or we are sitting with some residual business of Pers
oniv.

Srinivasan Nadadhur :
There is some residual business. This was the largest client, and there is some residual busin ess.

Shradha Agrawal :
Possible for you to quantify the residual business that is with us still ?

Kapil Jain :

No, but the overall Personiv business, the business case that we have laid out for Personiv, the overall business that we are getting from Personiv clients is more than what we had estimated at the time of acquisition. So, this client outgoing has not impacted the overall business.

Srinivasan Nadadhur :

Sorry, I should have clarified, the largest client in Gurgaon.

Shradha Agrawal :

Okay. And on the large clients, any comments on the revenue visibility from our top 5, top 10 accounts? And any indications on what they are talking of budgets for next year? That's it from my side.

Kapil Jain:

Like I mentioned, our top 5 clients, there is an opportunity for us to cross-sell and upsell. We saw growth in our top 5 clients. And in the luxury segment, I think it's coming back to the new normal in terms of more sustainable, predictable growth from what we have seen in 2022, which was the pent-up demand. And in the customer operations, the growth was led from existing accounts, both on account of seasonality as well as on account of new additions. So, like I mentioned earlier that because of our strong delivery technology led, it's we are seeing good traction in existing clients.

Shradha Agrawal :

Right. And any indications on CY '24 budget? Though I know that for us visibility is not beyond 6 months but still any early discussions on budgets that you've had with some top clients that would be helpful?

Kapil Jain :

I think in the compliance and regulatory area, we are seeing like because it's driven more from a regulatory, it's not discretionary spend, right? So there, we are seeing good traction. Banks are looking at cutting costs given the overall macroeconomic environment, they are also looking to cut costs so that they can spend on Gen AI and other areas. But I think we are in active conversations and they're also being very cautious and from a third-party perspective, it helps, right, because cost is becoming one of the key drivers is what we are seeing.

Asha Gupta:

Thank you Shradha. Next question is a follow-up from Manik Taneja from Axis.

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7 Manik Taneja :

Just wanted to get your thoughts on this transition that you saw at one of your top client on the Personiv side, if you could help us understand what drove the transition from the customers' endpoint? And do you think this remains a risk for other segments or other parts of our portfolio given we've had similar challenges with our top customers in prior years. That's question number one. The second question, when you speak about the need to step up investments, does it also mean that we might possibly have a rethink around our capital allocation policy. Would be great to get your thoughts there.

Srinivasan Nadadhur :

I'll answer the second one. So, I think there will be no change on our capital allocation policy. I think the investments we are making, we have enough cash to fund those. At least the ones that we're thinking about right now.

Kapil Jain:

On the first question, we don't see that as a trend. This was a one-off event and was not in our top priority areas, and hence, it was mutually agreed with the client to do this transaction.

Asha Gupta:

Thank you Manik. Next question comes from the line of V.P. Rajesh from Banyan Capital.

V.P. Rajesh :

Srini, just a few questions on this Personiv transition. First one, what were the total number of employees before this transition in Personiv and as you said, 400, 500 people have gone out. And then the second question is that, given what just Kapil said, is it something which would be margin accretive to us or not?

Srini

vasan Nadadhur :

I think it will be margin neutral, and to your first question, I think across the 3 locations, Personiv will have roughly about 2,000 people, if not more, a little more than 2,000.

V.P. Rajesh :

Okay. So , what you're saying is about 25% of the business has gone to this captive without any major impact at least on the margin of the overall business, right? That's sort of the take on it.

Srinivasan Nadadhur :

Yes. Now that you put it that way, it is more like 20% or little less than 20%.

V.P. Rajesh :

Understood. Okay. And then the second question was that was this a sudden thing? Or was it sort of planned over a 6, 9 months period?

Kapil Jain :

I think it was something that we discussed with the client. And like I said, it was a mutual thing that we agreed , and this transaction was consummated in Q3 and the overall impact of this, we would see in Q4, from January 1. And despite that, we would be in a position to show a marginal growth on the Q3.

V.P. Rajesh :

Understood. And then just on fiscal '25, given the comments you have made about potential investment in BD and sales what kind of margin impact should one think about? Because you had earlier guidance for 28% to 32% range , and we have been sort of closer to the lower end. So , I'm just trying to get a sense as to what kind of margin one should expect. And obviously, there will be revenue growth. So , some of that will be offset by the growth, but still just wanted to get a sense on that.

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8 Srinivasan Nadadhur :

Rajesh , we will give you more color into what we are thinking about while we present our full year results. And that's because at this moment, we are still thinking through some of these investments, and we also need to get formal Board approval for making some of these investments. So , I think if you could wait for a quarter, we will come back in with more details.

Asha Gupta:

Thank you, V.P. Rajesh. Next question comes from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta :

Two questions. First is , I think you already indicated about some recovery and sustainable growth in luxury segment. But Europe seems to be weak. Even though some of the segment, which you said are now showing signs of recovery. So, I just wanted to get your sense about Europe. Even on a Y-o-Y basis, it seems to be soft. So , if you can provide what is leading to weakness in Europe performance. Second thing is about broader trend about rollout. How we are saying, let's say, for the last couple of quarters, we have a healthy growth, even in Q4 despite client specific situation, we expect growth to sustain. So , in a way, we are indicating gross deal intake to remain healthy and roll-off seems to be not happening to that extent. If you can provide some sense about both expects in terms of how we are seeing the gross deal intake to play out. And second is about roll-off, if you can provide some sense what we are witnessing in the market ?

Srinivasan Nadadhur :

Yes. So , pipeline continues to remain healthy. And I think as far as gross sales is concerned, it continues to remain strong. I think Q2 was our best quarter of gross sales of the last 3 or 4 quarters. And as you've noted, roll-offs other than this one client even it also continues to remain fairly small . Coming to the first question on Europe. I think Kapil had mentioned that recovery in digital, we see on the high-tech client side and on B2B Industrial. Specific to Europe, we do a lot of work through CLX. Many of our luxury clients have indicated a return to more moderate kind of growth levels as compared to the outperformance that they saw in FY '22 and '23. So , you are right in the observation that Europe has been soft, and we will expect some amount of moderation to happen in that geography.

Asha Gupta:

Thank you Dipesh. Next is a follow-up question from

m the line of Sandeep Shah from Equirus.

Sandeep Shah :

Srini, question in terms of margins. So , when we discuss the margin, we look at operating margin, excluding the other income , which was 27.5 % this quarter versus 28.4 % in the last quarter. And if I adjust for the one -off of 40 - 50 bps, it is still down by another 40 - 50 bps. So , is it largely because of higher work from office because the robust growth, to some extent, is not leading to any slightly better margins on a Q -on-Q basis?

Srinivasan Nadadhur :

So, the return to work is one of those elements. And the other element is that we have done some amount of advance hiring in Q3, which is not fully translated into revenue yet.

Sandeep Shah :

Okay. And that you are saying the transition from our payroll to c lients' payroll will happen in the month of January, and that's where you are saying net addition is lower.

Srinivasan Nadadhur :

That's correct.

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9 Sandeep Shah :

Okay. And a question in terms of the in -sourcing, if I'm not wrong, it looks like in -sourcing happening from offshore location to the captive center in the offshore India. What is the logic? Is there a change in the economics, the way it works in terms of outsourced BPO versus a capt ive BPO, what is the logic for clients to do such a big in -sourcing ?

Srinivasan Nadadhur :

There is no economic logic at least to my mind . Kapil maybe can comment a little more. To our mind, there is no change in the captive looking more attractive than service provider. I don't think that shift has happened. Some of it is driven by what a particular sponsor thinks about outsourcing and using service providers. Some of it is determined by what the overall firm wants to do in terms of geographies. So, I don't feel any shift. Kapil you want to add anything to that?

Kapil Jain :

I think it was more of a strategic decision because the captive that the work got transferred also is in the outsourcing business. So , they took it saying that look why should they use an outsourcing company. So, it was not a client. While it was a client, client, but they had their own outsourcing unit which they transitioned this quarter.

Sandeep Shah :

Okay. And just on the Gen AI, is it fair to believe that whatever new ramp -ups can happen in a gradual fashion, it would be net accretive to the revenue where in the first phase of adoption, our work will be slightly more accretive rather than deflative ?

Kapil Jain :

When you say Gen AI, we are seeing , like in the last quarter as I mentioned, if you look at the top of the funnel continues to grow with the active discussions we are having with our clients. We have had several wins and albeit small because t he size of these projects are small, the use cases are small, and we are in quite advanced discussions in closing a few others, right? And we are seeing traction in care ops, content ops, insights on demand. We are also trying to bring Gen AI on our techno logy applications, which we are using for BPaaS to enhance the functionality. So that's another area. We are in discussions with clients in terms of use cases that we are taking. I think from an overall scheme of things, I don't see Gen AI impacting from a headcount perspective in terms of the growth that we will see.

Sandeep Shah :

Okay. So here, the proof of concepts is coming altogether a new process or is it on the existing process client is adopting Gen AI. If it's on the existing, how is the revenue cannibalization happening?

Kapil Jain :

Because the volume of the transactions is increasing. So even if some of it is like on care or on the content side, it's existing, but the volume is increasing, and hence the net impact we don't see that it will be decreative.

Sandeep Shah :

Okay. And Srin, last thing, if I see your realized rupee dollar, where your account hedges, this time, it's almost similar to average of spot rates. So, is it fair to assume our hedges are becoming slightly more favorable, and we may have slightly better realized rate versus a lagging rate earlier?

Srinivasan Nadadhur :

That is correct.

Asha Gupta:

Thank you, Sandeep. We have follow-up questions from the line of Debashish Mazumdar from Motilal Oswal.

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10 Debashish Mazumdar :

Congratulations on a good set of numbers. So just one clarification. This loss of Personiv business is a yearly run rate of around \$7 million to \$8 million?

Srinivasan Nadadhur :

Roughly.

Debashish Mazumdar :

Okay. And are we confident of that even after losing \$7 million, \$8 million revenue, in FY '25 will be able to grow at a faster pace?

Srinivasan Nadadhur :

Yes.

Kapil Jain:

That's correct. Because Q4, as we had mentioned, we will see a sequential growth, though small.

Debashish Mazumdar :

And from Q1 FY '25 onwards, is it fair to assume that we will come back to like 3%, 3.5% kind of run rate, which we are maintaining today?

Srinivasan Nadadhur :

That would be a hard to make. So usually, our visibility is limited. So, I think we prefer to give more commentary into what Q1 looks like, maybe after 3 months.

Debashish Mazumdar :

Wherefrom I'm coming is basically that one side, there is a loss of business. On the other side, your commentary such as that there is a recovery in the digital spending, which is 20%, 25% of our revenue or a little more than that. So, I'm just trying to put a balance in between that and getting some sense in my head that what is the number in FY '25, '26 that we should pencil in?

Srinivasan Nadadhur :

Yes. So, I think where we are coming from is that we do see a recovery in our conversations with clients, we think at least there's some improvement in sentiment among the high-tech clients whether that actually translates into the bookings and therefore increase in revenue, that remains to be seen.

Debashish Mazumdar :

Okay. And this in-sourcing kind of conversation, are you seeing this increasing with your clients? Or it's just like a one-off event?

Srinivasan Nadadhur :

This is a one-off.

Asha Gupta:

Thank you Debashish. Next question comes from the line of Nitish Rege.

Nitish Rege :

I just wanted to know, could you please share your M&A progress? Like what kind of assets are we assessing and in which areas. Is it in new segments or adjacencies? Because currently, we're sitting on more than INR 1,000 million of cash.

Kapil Jain:

I think we are looking at where we can drive synergies for our clients. So, I think that's the first question. And does it fit our overall strategic direction, which is in terms of digital analytics. So, I think the first question you are asking is, does it fit in our synergistic value is what we can add, and it overall is adding eClerx Services Limited

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11 value to our clients and to us. PD, do you want to add?

PD Mundhra :

No, I think that's right Kapil. And I would say, broadly speaking, we've invested more in the M&A effort internally. And as a result, I think we are seeing more deal flow because we have interaction with a broader set of intermediaries in terms of bankers, et cetera. And I think to Kapil's point, a number of things have to align for a transaction to be consummated in terms of fit, valuation, growth prospects, management team, culture and so on. But hopefully, I think we'll be more active going forward than what we've been in the past.

Asha Gupta:

Thank you, Nitish. Next question comes from the line of Nikhil Choudhary.

Nikhil Choudhary :

Sir, my question is regarding this transfer of employees from Personiv. What I want to understand is during the last call, we have given commentary that our quarter 3 is going to be a very strong quarter. And generally, the e

expectations are that you have visibility generally for the next 6 months. So how this surprise came in terms of transfer of employee or in -sourcing by client?

Srinivasan Nadadur :

So, the quarter was strong, isn't it? It was 3.3%, and that is the commentary that we have given for Q3. I'm not sure why you feel that there was not enough information provided regarding what the quarter is going to be.

Nikhil Choudhary :

Just wanted to understand, we expect maybe there was some surprise in terms of Personiv transfer. So basically, you are saying that, that visibility you already had, and this basically transfer is more or less on expected lines?

Srinivasan Nadadur :

These are confidential transactions. So, till the time that it actually consummates, we are not able to really talk about it. And which is why now we are disclosing this information because we were not allowed to do it earlier.

Asha Gupta:

Thank you, Nikhil. Next question comes from the line of Mihir Manohar.

Mihir Manohar :

This Personiv transfer, which is happening, largely wanted to understand what sort of work we were doing here? And second question is on the deal wins. I know despite this transfer, which is I think we are looking at growth in 4Q. So, I just wanted to understand how you are looking at deal wins for this quarter and maybe for 3Q and 4Q, both that will be helpful. You talked about increasing spend on luxury and high tech. If you can quantify, what kind of increase are we looking at? Is it like 10% increase, 15% increase, that will be helpful?

Kapil Jain :

I think the nature of work that we were doing was more on outbound sales and in terms of our deal pipeline is healthy. Conversion rates stay the same. So, there isn't a material change in terms of our win rate or conversion rates. In terms of exactly what we are like 10%, 8%, I think it's difficult to quantify, like I said earlier, that despite the full impact in Q4, we will show a moderate growth in Q4 over Q3. And for the Q1 and the rest of FY '25, we will be able to give more color when we meet you guys in our next quarter.

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12 Mihir Manohar :

That's a fair point. So, I mean, despite Personiv, so we are looking ex of the Personiv, but the growth rate is expected to be good. Do you see this sustaining? Or how do you see that given the fact that there are some green shoots which are happening?

Kapil Jain :

Yes, like overall, we do see the growth, the pipeline environment, and we will be investing in sales to further create the sustainability.

Mihir Manohar :

And just lastly, I mean, any more color around team building exercise, any more senior people being hired or anything like that after you have joined in ?

Srinivasan Nadadhur :

There have been no further senior hires, and we are in the process, and that's part of the investment plan. So as and when they happen, we will call it out.

Asha Gupta:

Thank you, Mihir. Next question comes from the line of Darshan Engineer.

Darshan Engineer :

First of all, congratulations for a decent set of numbers considering the external environment. My first question was on the top client front. So, if you look at the data, it seems that your top 5 clients actually have grown at a healthy rate. Does it mean that, despite all the challenges we see in the external environment, the client that you are working with continue to have a good growth going ahead? I mean, the growth rates on the top 5 and the top 10 clients are quite healthy and above company average.

Kapil Jain :

So I think, yes, we will continue in terms of like as I had mentioned, because on the back of strong delivery, technology-enabled delivery, we are seeing good conversations with existing clients and to bring sustainability, we have to also build new growth engines, which is where I think we will be investing in sales and market

ing to bring more sustainable and scalable growth.

Srinivasan Nadadhur :

Just to add to that, Darshan, some of it is just the way it plays out is as we have been talking. A lot of the growth has been in CO and FM in the last couple of quarters. And by definition, you know that we have a smaller number of clients with larger footprint. So, it sort of stands for reason that the larger of our clients would have grown faster.

Darshan Engineer :

Right. And this client, which has been in -sourced by the client, I mean. So is that the one which is why your USD 5 million to USD 10 million clients you're seeing a reduction from 5 to 3 quarter-on-quarter and so one of them might have moved larger and one of them might have gone out. So, if you can just explain the number of clients remain the same quarter-on-quarter, but there has been shifts between the different buckets.

Srinivasan Nadadhur :

There is a ways that sort of shift between buckets as one client moves in, and somebody moves out. To this specific question on your, what you're asking about this client input something, they're not part of the top 10.

Darshan Engineer :

Then the third part was on the emerging revenue that you would disclose. Again, there, we are seeing good quarter-on-quarter growth in the \$0.5 million bucket. And we are seeing a corresponding degrowth on the other kind of things. So, if you can just explain what is happening in this emerging business.

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13 Srinivasan Nadadhur :

Again, I think it's driven by where we've seen growth in our businesses. So, in the customer operations and financial markets where we have these emerging clients those have grown. And I suspect that more of these clients would be in the 0.5% bucket and less in the others. Hence, you see the 0.5% plus growing faster than the others.

Darshan Engineer :

And finally, coming to the headcount. I mean, you explained that, I mean, this headcount addition is not really the correct way to look at. So, if you can just again explain what exactly meant by the quarter -

on-quarter growth of headcount?

Srinivasan Nadadhur :

Yes. So , what I meant is that the Personiv transfer is effective only in this quarter. And therefore, the exit headcount that you see in the slide # 10 which is approx. 17,000 is not reflective of what we will enter the quarter.

Darshan Engineer :

Okay. So maybe we expect a flat quarter -on-quarter in Q4, considering the normal growth that you would expect say in terms of a future pipeline, there may be still be addition. But on a reported basis, it will look like a flat employee addition in Q4.

Srinivasan Nadadhur :

That's possible. I haven't looked at it , but that's possible.

Darshan Engineer :

Understood. And finally, on the attrition, I mean, this 16.6% seems to be too low. And actually, I think we would love to see it act ually higher . I mean, in our case higher attrition is actually beneficial to the margin. So would you actually look at this going up again , because despite the lower attrition your margins actually are on a good rate actually, so.

Srinivasan Nadadhur :

Yes. So , we think that in Q4, this should pick up. This is the lowest that we have seen in a long time, and we think that Q4 will be higher.

Darshan Engineer :

Okay. And just one clarification, final clarification, you said that Q4, you expect a modest growth, but that would be despite the revenue that is going. So , in a way, I mean, after excluding that business, the growth rate would still be a reasonable Q -o-Q growth.

Srinivasan Nadadhur :

It will be small.

Asha Gupta:

Thank you, Darshan. Next question comes from the line of Ayush Bansal.

Ayush Bansal :

I have a couple of questions. So , our utilization for the quarter is around 74%. What could be the optimal range going forward?

Srinivasan Nadadhur :

I think we are targeting

some number between 74% to 76%.

Ayush Bansal :

Got it. Another is on the top 6 to 10 clients, if we see that we are seeing a decline from the last 3 quarters, a sequential decline. So , any color on that side?

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14 Srinivasan Nadadhur :

I suspect this is just a function of what the situation for those specific clients is, I think our focus remains on trying to grow some of this, but I think maybe it's just a function of time and the recovery in their respective business.

Ayush Bansal :

So, we do expect a recovery going forward there?

Srinivasan Nadadhur :

Hopefully.

Kapil Jain:

So, we have a large franchise of client Ayush, hence, I think it's like whether recovery happens since plan 6 to 10 or from 11 to 20, I think we have a good franchise of clients, strong delivery and strong technology capability.

Ayush Bansal :

Okay. And last thing on the depreciation part. It has increased slightly quarter-on-quarter. So, any specific reason for that?

Srinivasan Nadadthur :

So, a small facility in Chandigarh gone live, about 200, 300 seats. So that is one reason. And because of the lease termination in Gurgaon, there is accelerated depreciation for the next few months.

Asha Gupta:

Thank you, Ayush. Next question comes from the line of Sandeep Shah.

Sandeep Shah :

Kapil, just reference to my earlier question. You said to accelerate the growth you have to invest and the benefits of that may start reaping from the second half of next financial year. So, in that scenario, you believe the acceleration can happen because investment may eat into margins? Or this could be some change in the expense churning, which can keep the margin more or less stable rather than compromising margin in search of a higher growth.

Kapil Jain :

So, I think see, even like I said, we will be investing for growth in sales and marketing. There will be a lag from the time investment is made to the time we will see growth, and thereafter we will look at in terms of where all optimization is possible. We are delivering healthy margins. We have a good client franchise. We are continuing to invest in areas where we have strength and good capability. And we will come back to you in Q1 when we declare our Q4 and full year results in terms of giving you the impact in terms of the margins and what directionally we could look at over 3 to 5 years. I think we will take a more longer term view than a quarter-on-quarter view.

Sandeep Shah :

Yes. Fair enough. And just last, in that budgeting cycle and your aspiration for the growth whether Gen AI makes you worried in back of your mind or you believe no, that won't be a worry, and we would anyway achieve our growth targets if we execute well?

Kapil Jain :

As I had said earlier, our BPaaS work that we do and our ability to deploy technology on the ops work that we are doing, roughly 12% to 15% of our revenue comes from the tech side, and 90% of it overlaps with the work that we do in the ops area. So, I see Gen AI as an opportunity for us to build proof points because we have domain, process and tech knowledge, which is, I think, a unique skill set. So, I don't see that as a threat, if at all, I see this as an opportunity.

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15 Asha Gupta:

Thank you, Sandeep. Next question comes from the line of Shradha.

Shradha Agrawal :

Most of my questions have been answered. Just one follow-up. I think you mentioned that the comfortable range of utilization for you should be between 74% to 76%. And we've historically operated at utilization levels upwards of 78% also. So why is the new normal band utilization lower than what historically we've operated at?

Srinivasan Nadadthur :

I think from FY '23, Q1, we changed the calculation.

Shradha Agrawal :

I'm talking on the new calculated range only.

Srinivasan Nadadthur :

The

new calculated range, what I can see is between 73.1%, 75.4%.

Asha Gupta:

Thank you, Shradha. Next question comes from the line of Jalaj Manocha.

Jalaj Manocha:

This is more from a structural perspective or a change which has happened. So, I see that at least for this financial year, the subcon cost has reduced to the range of 2%, 2.5%, which has historically been in the range of 3.5% to 4%. So how should I read the impact of this on the margins? And what would

have been the replacement headcount, which would have come from it.

Srinivasan Nadadhur :

I don't have a ready answer. Firstly, I think our subcon cost was higher, not historically, but probably only in FY '22 and FY '23. And it has come down since to this level, which is probably more reflective of our long-term number. I don't know if PD you have anything to add?

PD Mundhra :

I don't have anything to add.

Srinivasan Nadadhur :

I will get back to you, Jalaj.

Jalaj Manocha:

Okay. I guess the outlook part has already been covered, but in the short run, where do you see the pickup in the top line at least coming from in terms of these 3 segments if you could talk about because we don't get the segmentation across them.

Kapil Jain :

I think in financial markets, like I said, I mean we are seeing demand in the area of compliance, in the area of loans, and we are seeing both ops and tech opportunities on the buy side front. On the digital practice side, we are seeing some outlook, some green shoots on the high-tech clients, fashion and luxury, as we mentioned, that there is a moderate, but sustainable growth.

I think it is coming back to the new normal and industrial manufacturing, we are seeing a good outlook in terms of their continued investments on the digital transformation journey, where we are also bringing in a Gen AI capability. Retail and brands are still, I think, a little bit struggling in terms of low to single-digit industry growth. And in customer operations practice, I think we are seeing, again, demand on account of seasonality as well as net new addition in existing clients.

eClerx Services Limited

February 02, 2024

16 Asha Gupta:

Thank you, Jalaj. Next question comes from the line of Debashish Mazumdar.

Debashish Mazumdar :

The question that I have is more to do with the long-term trajectory of this company because what we have seen eClerx in the past is targeting those business where margins are very, very high. And we are still reporting highest margin by any parameter in the industry. But once you onboard it and it will start chasing scale, seems to be that there could be some pressure on margins, although may be transitory, so broadly what is your view? How do you think of balancing it in terms of growth and margin because if I say the BFSI business today, we are largely into the B2B space, the moment you go to B2C space, there is a large amount of competition there, where margins are low. So just wanted to get your thoughts around growth and margin, how you are looking at it?

Kapil Jain :

Like I said, I think we would be investing for growth in terms of which will have an impact on the margin in the short term. And then in terms of segment, we believe that the current capabilities that we have and in the adjacent areas, there are enough and more opportunities. So, we really wouldn't have to go and look for B2C and other areas. And we will be able to give you more color once we have finalized the plan, it's been approved by Board in our Q1 in terms of more than quarter-on-quarter as you tell your investors to have a 5 - to 7-year outlook when they invest in equity, we would recommend that you take a view of 3 to 5 years. And overall, if there will be a dilution in margin, we will also look at how it is EPS accretive.

Debashish Mazumdar :

Is there any threshold margin limit that is there in your mind that will not go below this number?

Kapil Jain:

I don't have that at this point in time.

Asha Gupta:

Thank you, Debashish. Next question comes from the line of Darshan Engineer.

Darshan Engineer :

Just wanted your view on the Gen AI proof -of-concept projects that you had mentioned in the previous quarters. I mean there is some 50 -plus POCs already underway at that time. I'm asking this because, I mean, when we look at some other BPO/KPO companies like yours and who are even larger in size, they are also suggesting that getting a lot of new projects and from first -time outsourcers of business processes through the Gen AI route itself. So , if you can throw some more light on this Gen AI being a net accretive to the BPO industry in general and how it will benefit even companies like us in terms of these POCs then translating into maybe much larger commercial level projects.

Kapil Jain :

Like I said Darshan that the funnel is increasing. The discussion that we had in advanced stages last quarter, some of them have got converted, some of them have moved into advanced stages of conversion and the top of the funnel has increased as well. Like we are focusing on our existing set of clients to deliver additional value as opposed to looking at new clients because as I have mentioned earlier, we have a strong franchise of clients. And any which way our delivery is tech -led, and we have offerings on the BPaaS where we have underlying technology and our own platform where we are enhancing the functionality by bringing in the Gen AI. So overall, I see it to be net accretive from our company perspective.

Darshan Engineer :

Sir, what I meant was that, are you also getting maybe new clients altogether and clients which are doing an outsourcing of their business processes for the first time?

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17 Kapil Jain :

Yes. So , I think we are, but like I said, it's a question of focus, right? In terms of, yes, I can chase new, new clients. But if we have a good franchise of clients, I'd rather focus with the existing set of clients where I have domain process, already underlying technology to bring in the Gen AI. Can we go ahead chase new clients? Are we getting requests from new clients? Answer is yes, but we are prioritizing our existing set of clients and servicing them.

Asha Gupta:

Thank you, Darshan. As there are no further questions, I will hand over the floor to management for closing comment.

Srinivasan Nadadthur :

Thank you, everyone. Thanks for joining the call. We will see you again next quarter. Thank you.

Asha Gupta:

Thank you , Everyone .

Call: May 2024

eClerx/SECD/SE/2024/068

May 24, 2024

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended March 31, 2024

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on May 17, 2024 with respect to the financial results of the Company for the quarter/period ended March 31, 2024.

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
VP-Legal & Company Secretary
F8538

Encl.: as above
eClerx Services Limited
May 17, 2024

eClerx Services Limited
Q4FY24 Earnings Conference Call

May 17, 2024

eCLERX MANAGEMENT:

KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
PD MUNDHRA – CO-FOUNDER AND EXECUTIVE DIRECTOR
ANJAN MALIK – CO-FOUNDER AND DIRECTOR
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:

AAYUSH RASTOGI – B&K SECURITIES
ABHISHEK SHINDADAKAR – INCRED EQUITIES

CHIRAG SHAH – WHITE PINE INVESTMENT MANAGERS
DIPESH MEHTA – EMKAY GLOBAL
MIHIR MANOHAR – CARNELIAN ASSET MANAGEMENT
NIKHIL CHOUDHARY – NUVAMA WEALTH MANAGEMENT
NITISH REGE – CHRY SCAPITAL
SANDEEP SHAH – EQUIRUS SECURITIES
V.P. RAJESH - BANYAN CAPITAL ADVISORS LLP
eClerx Services Limited

May 17, 2024

Asha Gupta :

Hi, everyone. Good evening, participants. Welcome to the Q 4 and Full Year FY '24 Earnings Call of eClerx Services Limited. Please note that this webinar will be recorded.

To take us through the results and to answer your questions, we have with us the top management of eClerx, represented by Kapil Jain - Managing Director and Group CEO; PD Mundhra - Co-Founder and Executive Director; Anjan Malik - Co-Founder and Director; Srinivasan Nadadur - Chief Financial Officer. We will start the call with brief opening remarks by Kapil, followed by Srinivasan. After that, Kapil will take us through the strategy for the firm, and then we will open the floor for questions.

As usual, I would like to remind you that anything that is said on this call that gives any outlook for the future or which can be construed as forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

With that said, I will now hand over the call to Kapil. Over to you, Kapil.

Kapil Jain :

Thank you, Asha, and good evening, everyone. Let me start by giving you some highlights of our performance in Q4 FY '24 and for the full year.

We delivered a revenue growth in USD terms of 1.5% Q-o-Q in Q4, reaching operating revenue of USD 91.9 million, driven by growth in our customer operations and financial markets business. This is a strong performance, bearing in mind the slowdown in developed markets and the loss of one of our large clients in Personiv, whose revenue had to be replaced in this quarter. For the full year, our revenue in USD terms grew by 6.4% Y-o-Y to USD 353.9 million, exceeding the industry average. In INR terms, operating revenue for Q4 was INR 7,665 million, up 1.8% Q-o-Q and INR 29,255 million for the full year.

up 10.5% over FY '23. There is a sequential decline in margin in this quarter, primarily going to our investments in strengthening our sales and delivery capabilities. For the full year, we delivered an EBITDA of 28.1 %. Net profit for FY '24 was up 4.6% to INR 5,115 million. As in the previous few quarters, growth this quarter has been led by our customer operations and our financial markets business. We have seen exceptional growth in our large clients in these businesses. Our BPaaS business has grown by 4% Y-o-Y to USD 86 million. This has primarily come from the Financial Markets business. Our Analytics and Automation business at USD 65 million has shown an 8% Y-o-Y decline because of business challenges faced by some of our clients and reduction in discretionary spending. New deal ACV for the year was USD 91 million, up 10% from FY '23, which was USD 82 million. Our pipeline is healthy across all 3 businesses as we get into FY '24/'25.

I'd like to give some commentary around our 3 businesses - Financial markets, CO and Digital.

Our Financial Markets and the CO business had a good Q4. We saw strong demand around our compliance offerings, client life cycle management from several clients. We also saw an increase in transaction volumes. And we have also started providing our KYC compliance services out of our delivery center in the U.S. The customer operations business showed strong Q-o-Q growth driven by existing clients, and some of the growth was due to higher transaction volumes driven by seasonality and supporting key client strategic initiatives, which required us to ramp up and ramp down on a very short notice. And we were well equipped to meet that demand from the clients.

It was a soft quarter for Digital with clients starting slowly with their 2024 budget allocations and renewals. We expect momentum to make up a little bit in Q1, but overall environment continues to be cautious for the digital business.

Many of you would be interested in knowing what we are doing on Gen AI, as I have spoken in a previous quarterly earnings call as well. And I like to cover it briefly. We continue to have discussions eClerx Services Limited

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and pilots with several clients, primarily around content operations, core operations and insights on demand. In content operations, for example, we are helping clients generate automated content image, audio and video. In insights, the work is mainly on generating real time insights and data analysis using conversations vary across structured and unstructured datasets. Gen AI is also embedded in our tools such as compliance manager, for KYC, market 360, for digital shelf analytics and Tech 360 for fintech operations.

Also, we welcome 3 senior leaders in the markets .

Manish Sharma has joined us as a Chief Revenue Officer based in New York. Manish has an impressive track record of driving growth winning strategic deals and alliancing partner relationships, he will play a pivotal role in driving our growth agenda in expanding our capabilities.

Karolina has joined us as the Chief Marketing Officer. She is based out of New York and will be responsible for the overall development and execution of the global brand, marketing, and PR strategy. She has spent over 20 years in B2B marketing and brings a wealth of experience from large global enterprises.

Michael Hutchison has joined us as a leader in our customer operations business. In his career he has demonstrated exceptional leadership, strategic foresight, and innovation. At eClerx, Michael will oversee the customer operations client portfolio with a focus on sustaining organic growth and fostering new client acquisitions.

As you would see that we had 3 senior leaders in the market. With addition of these 3 senior leaders and me also sitting in the market, we have expanded our leadership presence in the markets to 7. We continue to invest

in sales and delivery capability. We are also taking up additional space in 3 cities we operate. These investments will result in an impact of about 400 bps to EBITDA. So , we are revising the range for full year EBITDA to 24% to 28%.

Additionally, I would like to touch upon recent recognitions we have received. Our AI -powered Digital Shelf Analytics Platform, Market 360 was awarded bronze and then E-commerce Germany Award for Best Analytics and BI Solution. We also won 2 gold Asia Pacific's Stevie Awards, one for 'Innovation and Human Resources Management Planning and Practice ', and the second for 'Innovative use of Technology in Human Resources '. These awards are testament to our focus on knowledge management and innovative use of technology.

Finally, I'd like to thank all the clients for their business and their confidence in us. I'd also like to thank my senior leadership team and all the employees of eClerx for their relentless focus on execution and client centricity. Thank you.

Now I'll hand it over to Srinivasan, who will give more details on our financial performance.

Srinivasan Nadadur :

Thank you, Kapil. Hello, everyone . I will take you through a bit more detail on financial performance for Q4 and the year.

As Kapil mentioned, operating revenue was USD 91.9 million. Sequentially, revenue grew 1.5% in USD terms, 1.4% in constant currency terms. Operating revenue was \$353.9mm, up 6.4% in USD terms and 5.9% in constant currency terms. Total revenue for Q4 was INR 7,896 million, up 2.1% sequentially. Full year total revenue was INR 29,910 million, up 10.2% over FY '23.

Coming to margin metrics. Full year EBITDA was INR 8,403 million, up 3.8%. Full year PAT was INR 5,115 million, up 4.6% . Other income was INR 230 million, mostly due to higher investible surplus funds . On delivery costs and S &D costs , so if you recall, commentary in the last earnings call, we had mentioned a reclass of about 90 bps from delivery to S&D . Now if you really take that out and you

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factor with impact of reclass, an apples-to-apples comparison of Q3 versus Q4 is that S &D is not flat, but it's actually up 90 bps. And delivery costs are not up 160 bps, but they are up by about 70 bps. Both these increases are because of the investment to strengthen our teams in delivery and in onshore business development teams . There is a 50bps increase in G&A, primarily because of an increase in license and subscription costs and also in employee transport costs.

On the key business metrics slide, top 10 client concentration has gone up, partly because of the roll off

of the client in Personiv, which was outside the top 10, and partly because of the strong growth in existing clients in customer operations and financial markets. The seat count has reduced because we gave up an office in Gurugram. But as Kapil mentioned, we will be adding seats in Mumbai, Pune, Chandigarh over the next few months and seat count will increase.

DSO is about 84 days, higher than the previous quarter, but in line with Q4 of last year. Headcount, i.e. exit headcount, is up by about 270 people over the previous quarter, [and] while attrition is up from 16% to 22%, it is still some way away from the range that we usually operate in. We have about INR 1100 crores of cash on our books and in line with the usual practice of returning excess cash to shareholders, we have announced a buyback of INR 385 crores and a dividend of INR 1, subject to shareholder approvals.

A couple of facility related updates. We opened a new office in Switzerland to be able to serve clients in that geography. And I also mentioned that we are adding space in Mumbai, Pune, Chandigarh and these additional spaces go live in about 6 months.

And finally, just to conclude, I would like to touch upon our work in the areas of CSR and ESG. So as part of

our CSR program, we partnered with SAMPARC to support education, employability, and skill development for tribal communities. Over 3,800 children are the beneficiaries of this program. Through our partnership with Lighthouse Communities Foundation, we help provide foundational skills to over 2000 individuals from marginalized sections of society. We also continue to make progress on ESG initiatives. Across our India offices, the share of electricity from renewable sources has increased from 32% to 68% over the last year. And we have been awarded the bronze medal by Eco vadis, which places us in the top 35% of sustainability reporting across 1000+ companies.

Thank you, everyone. With this, I conclude my prepared remarks. I'm sure many of you keen to hear the firm's strategy. So, I will hand it over back to Kapil. He will take about, I guess, 20-25 minutes to share firm's strategy, and after that we will open the floor for questions.

Kapil Jain :

Thanks. So, lot of you have asked me this question in the previous earnings call, and it's almost a year since I took over this role. And in the last 12 months, I have met several clients and visited all our delivery centers and touched upon almost 70%, 80% of our employees. And from whatever I have gathered and seen is that [we have] a very strong client roster, very strong delivery capability, tech enabled and our ability to bring in technology and amplify human potential is very, very high. And we are at an inflection point, which is where the Board, I think thought that from a professional founder's let's get a professional CEO, and the charter that I was given was [to] accelerate growth.

And when I started looking at the data and historical data, we have had impressive gross sales over the last 5 years. We have industry-leading margins in our KPO, BPO, IT, ITES industry. We have [a] marquee client base and great client references. 80% of our business comes from client referencability, client moving from client organization A to B, and they say these guys have done great job, so let's call them over and have them deliver this work for us. [We have] high NPS ratings, I'll give you some client quotes like that "you guys are no-nonsense guys, but whatever you guys promise, you deliver".

We have 3 distinct businesses as we covered in the initial commentary - Financial Markets, Customer Operations and Digital. And the buyers in all these 3 business segments are different. In Digital business, predominantly we are selling to CMO and CEO. In Customer Operations business, we are eClerx Services Limited

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selling to the Customer Experience, Ops Heads. And in the Financial Markets business, it is Compliance, Operations, Tech, [and] Change are the stakeholders that we sell [to]. We have a strong team onshore and offshore, and our sales are consultative led. We have onshore delivery centers; onshore consultants and we have strong client-centric, problem-solving culture. Because I ask people who have been with eClerx for 10 years, 15 years, what has made you stay in the company, and a single-minded focus on client. And the founders believe that clients have given us the work, it's our moral responsibility to deliver on whatever commitment we have made. We have very strong deep domain. I think I am the only generalist, every one of my direct reports - they have very strong domain, to the point that they can actually have a very meaningful discussion with the client and very strong delivery as I mentioned. And our entire book has a sliver of technology enablement. It's not that we are a tech company, but anything we do in Ops, be it in terms of learning management tool, be it in terms of training people, be it in terms of looking at data, looking at just to see how we automate, eliminate and enhance the overall experience.

Now the question you ask is if everyth

ing is so good, then where are the opportunities? And I felt that there needs to be a much more sharper focus on sales because you could only grow to a certain point if you continue on the referenceability, we need to create a new muscle and new drivers for growth. We need to increase risk appetite in terms of what we can do, and how do we build use cases that we have delivered in a certain industry, how do we see relevance of those in other industry segments or in adjacent areas. How do we bring predictability of revenue in terms of growing top 10 [and] outside of that? How do we add new clients and grow existing clients because as you all know, we have a very good client roster, referenceable clients, and there is a huge untapped opportunity and potential to grow those set of clients. And how will we deliver a common and consistent market messaging of one eClerx.

I think many of the stakeholders I met were sort of confused that what does eClerx do, what do we stand for, and how we will want to position ourselves. And how do we come together, like we have 3 businesses, but there are a lot of commonalities across 3 businesses and what is the narrative we want to send to the market.

I am referring to our strategy deck, slide # 3. Our 4-year aspirations are that we want to be in a top quadrant on growth and [with] industry-leading margins. Our positioning would be on One eClerx and we want to be a preferred service provider for global clients across the 4 key industries: Financial Markets, Hi-Tech, Retail and Cable & Telco. We want to focus on cross-selling and filling white spaces in existing clients, like I mentioned, there's a lot of untapped potential in our existing clients. Moving in adjacent areas, as well as moving into new areas as well. Execute multi-year deals which gives repeatable revenue and also focus on new revenues in certain business segments. Our unique value proposition is productized service delivery. And by that, I mean, it is where you are able to bring in technology and domain together and amplify the overall experience, efficiency, effectiveness. And on people and delivery, how do we bring in the growth mindset. We have very good capability, a good client roster, how do we bring the growth mindset and take it forward. Invest in senior management and institute a learning and innovative culture and promote collaboration across the 3 businesses, and promote entrepreneurship and our risk-taking ability, which I mentioned in the previous slide as well.

So going to Slide # 4, which is growth strategy. What it means - What it means is that we want to dominate profitable service niches and across 4 core industries. And why we have chosen this as an approach, it gives a focus that we will do a few things extremely well. When we look at adjacencies, we will utilize full share of wallet in existing clients and pursue new clients and geos. So, for example, if MarTech we have a presence in APAC and we have been able to grow [APAC], U.S. being the largest market, how we take that MarTech in the U.S. market, which is the biggest market. Then we assess what are the capabilities required to deliver on the growth strategy. And we said that you need client sponsor management, strong client referencing, you need large sales hunting teams and also build capabilities in adjacent areas. The reason we felt that the advantages for going with this strategy is that, it will take less time to build capabilities. So, we will have a better time-to-market. We will piggy back on existing referenceable clients, 80% of our business comes to referenceability. We will go deeper as well as look at it in terms from client-to-client change and look at the change or look at technology

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projects and leverage our tech assets, which I will cover shortly across the 3 businesses.

Now what are

the risks associated? As you know that there is a revenue concentration across volatile industry because the retail, financial markets have higher volatility than some of the evergreen industries. But our portfolio and balanced portfolio allows us to manage their risk. And obviously, we want to gain market share. So, there will be some pricing pressure on the deals. Because my view always has been you lose a deal, you lose a deal forever. So, we need to be competitive and see how we deliver, and market will determine the price [at which] we should do business.

Now I'll also cover briefly what it means for each of our business segments.

For Financial Markets, we will increase the wallet share in existing clients because we do feel that we have a very good client roster, good delivery and hence, looking at adjacent areas in existing clients is an opportunity for us. And we will look at both Run the Bank and Change the Bank. We will have some small success in these areas, and we want to see how we grow on that later. We'll also look at new buying segments for our key capabilities, which is Client Life Cycle (CLC) and Trade Life Cycle (TLC). These are 2 productized services we have.

If you look at Digital, again, we have a large roster of clients. The focus would be to pick and choose and look at increasing the wallet share and also focus on 4 key industries Hi Tech, Retail, Manufacturing, Luxury & Fashion.

On customer operations, we have 4 services: Chat & Voice, ATR, Logistics, Dispatch and Quality. And

we need to offer disruptive proposals to gain new logos / market share, as well as look at new delivery centers , evaluate nearshore options basis the client demand.

Now if you look at the underlying key tech-enabled services, we have only highlighted a key technology differentiator here, this is a not an exhaustive list. So , in Financial Market s, the 2 key products that we use is one is the Compliance Manager, which is the KYC managed services that utilizes cognitive technology and efficient process es to reduce cost, manage risk as well as ensure timely adherence by our clients. And it gets data feeds from Dun & Bradstreet and LexisNexis. DocIntel is leveraged for digitizing complex documents for data extraction, analytics, for structured rows , drafting and feeding downstream systems.

On the Digital side, Market 360 is real time insights for Digital Shelf , enabling e-tailers to make data -driven decision s insights, products out of stock, Competitive Intelligence. Merchandise r+ allows companies to launch new products and accelerates the time it takes launch the new products through GenAI -infused data aggregation, product builds and data flows .

On the CO side, as I said, quality is one of the key service areas that we have . QA360, a Gen AI powered quality evaluation platform to analyze agent behavior, compliance adherence and conversation sentiment. And the Tech 360 is predictive dialing platform that we have to manage customer interaction journey with realtime assist capabilities for both voice and chat.

So, as I said, these are key products that we have. And it's not that these products are sitting on our shelf . These products are deployed with our marquee clients that we currently service.

To the next slide # 5. These are the 3 focus areas to deliver on the strategy. One is to strengthen our sales operations, more rigor [in] pipeline review, pipeline management, account management, optimizing sales account and utilization, strengthening the governance process, focusing on tech sales, which can help us value our automation and analytics sales. Continue to invest in sales and marketing. The ones that are in bold are the ones where we have already made progress and delivered on the same . And the ones not in bold that we will be working towards.

Mine existing clients and win new logos , you saw w

as the strategy we laid out in terms of building
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adjacent capabilities, generating, and winning large deals. We have got >\$2 million ACV, which is about \$10 million in TCV if we are looking at 5 -year deal count. How do we build integrated solutions and increase the overall size of the deal. Double the pipeline , cross sales, as I mentioned we have 3 businesses, some of it has capability, the verticals that we service. So , there is an opportunity for us to cross -sell some of our capabilities into new verticals, and we'll continue to deal with tech and analytics differentiation that we have.

In terms of enhancing our positioning. We have already on -boarded Karolina, our CMO . We will build tech partnerships and alliances, and establish our Gen AI proposition and also leverage the analysts and advisers community, which we have not done in the past. So , this is for FY'25 the key focus areas.

For FY'26 and FY'27, we expect to be pivot by industry and capabilities and driving more top growth as well as bottom line growth behavior through better and more rigorous performance management system. We will add multiple channels for lead generation which will help us double the pipeline. And our aspiration is to be featured as leaders in analyst rankings and also continue to productize our service offerings .

And FY'28 is continuing to focus on sustainable growth, strong margins, bring more predictability and as well as continue to invest in our leadership development and succession planning. And underpinning all of this is to continue focus on a robust delivery and strong margin profile.

So, I'll take a pause here, this was the last slide. And I will hand it over to Asha to open the floor for questions .

Asha Gupta :

Thank you, Kapil. We have first question from the line of Nikhil Choudhary from Nuvama.

Nikhil Choudhary :

My first question is regarding a possible outcome from the investment we are doing, and how long we plan to do this investment. So , Kapil, you highlighted the new margin guidance and some of the new opportunity as well as capability you are trying to tap in, as well as delivery centers we are trying to

develop. So , any comment on how long we are planning to do that. So , timeline in terms of when basically this heightened investment phase could be over. And anything in terms of quantifying the impact on growth ?

Kapil Jain :

So, terms of sales and marketing, we will continue to invest . We are running a business, and we continue to invest . And in terms of capabilities, in adjacent areas also, we will be building those capabilities. And like I said, we have given the margin guidance, and we will stay within that range , and we will keep a close watch in terms of growth. Our entry pipeline is strong. And that's all I can say at this time.

Nikhil Choudhary :

Sure, Kapil. In terms of the capability and investment, can you please help us understand how much is going towards building capability? Some of the product you mentioned do have a Generative AI capability . So, anything incremental we did in this area, especially positing us as a leader in this category?

Kapil Jain:

So, see, this is a real – time business and very hands -on business that we operate for our clients . In terms of services that we offer, these are critical core ops change programs that we deliver. So I think whatever is required to stay relevant, capture market share, continue to drive high performance culture and continue to invest in growth, technology, analytics, automation is what we will do. To quantify specifics in terms of what would be the growth in this area, I think that we rather not give that because that would be a function of the outcome that we are able to deliver. And the range that we have given is considering , investment we will be making in building capabilities.

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s Limited

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Nikhil Choudhary :

Sure, Kapil. Just the last point from my side. One of the point you have mentioned is having the higher risk appetite, right? Can you give us some examples how basically eClerx will change as a company, especially from a risk appetite perspective, maybe targeting different clients. So , any example in that area?

Kapil Jain :

So, I'll give you an example . We were doing for one of the clients, we were running ops business and they wanted to build some technology products. And initially, we thought that we have never done it, so it's an uphill task, but then collectively, we put our heads together because we have strong domain process tech capabilities . The clients were building on Microsoft Azure , and we had capability on tech ; Ops we were anyway doing. And we put together a cross -functional team and we are executing well on that project. Now , if we were too conservative and we didn't want to take the risk, we would have said no, which would have been an easier answer . But I think by doing some of these projects, we will get greater confidence and then we will double down on the same.

Nikhil Choudhary :

Sure, Kapil. Thanks a lot and good luck for coming period. Thank you.

Asha Gupta :

Thank you, Nikhil. The next question comes from line of Dipesh Mehta from Emkay Global.

Dipesh Mehta :

Thanks for the opportunity. A couple of questions. First, about the margin. If I look the margin guidance, if I understand correctly, 24% to 28% is for only FY'25 or it is for a 4 -year kind of journey? That is first question. And in that after investment phase, how you expect margin trajectory to play out considering growth is accelerating based on the investment, and you started getting results from those investments from growth acceleration perspective ?

Second question was M&A. I think you have not touched upon M&A focus. So , if you can provide some color about your overall strategy, including M&A, if it fits into strategy , or it is largely organic kind of thing? Then I have a couple of questions from additional data points, which you said in this quarter's presentation, the ACV which you said excluding CL X. If you can help us understand how to read it because the revenue growth in ACV trajectory seems to be not going good hand in hand. So , if you can help us understand based on your understanding how to read the ACV data?

Srinivasan Nadadhur:

I will cover first and third question . So, the 24% to 28%, Dipesh , is our estimate for this year, FY '25 .

Based on how the investment progress and what results we see out of them. I think towards the end of the year we will see if that range has to be revised, either upwards, hopefully, it doesn't happen downwards.

The second question you had was on M&A, so Kapil will take that, let me answer your third question. The ACV of new deals is basically for every deal that we sign, and this is new deal wins, not renewals. What is the annual value of that contract? So, if it is a multiyear contract, we will still take the revenue that we expect in year one and if it is a short-term contract, let's say it's 3 months or 6 months, then we will take a value of that for period of that part of 3 months or 6 months, and that's what it is. We have excluded CLX because they use different system to monitor deals, and that doesn't flow into us. In any case, a lot of the CLX business is very project based, and a lot of it needs to be resold every year.

Kapil Jain :

So, I think you had also asked the question and we covered it. The margin guidance that we have given 24% to 28% is for FY '25, and we will keep a very close watch and monitor it closely, growth and the margins that we are delivering. Like I said, it's a real time business that we are in. And we have already eClerx Services Limited

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laid out a very strong governance

process to manage both the top line and bottom line.

On the M&A, yes, that continues to be our strategy. We would be looking at areas where we bring in complementary and that also helps us on our capability access. So that's what we will continue, and we have a dedicated person who is looking at outbound as well as inbound M&A targets.

Dipesh Mehta

Couple of follow up questions. First, one on margins 24% to 28% is roughly 400 bps lower than what the previous year's margin guidance range. Now it is a significant investment in a way if we look in isolation. Considering the investment in FY'25, how long it will take for us to be in the prior range?

Srinivasan Nadadhur:

It is hard to answer the question Dipesh, I think it depends on how soon we get results on our investments.

Kapil Jain :

Like I said we are giving guidance on EBITDA margin for FY'25, and then as we get closer to our investments started to yield results. As I have mentioned, from 3 senior leaders we have in market, we had doubled down now it's 6 and 7, including me, I'm also based out of London. I think with all these assets in place, we will continue to invest. So as and when we have visibility, we will share the same with you.

Dipesh Mehta :

Just on the ACV data, which you said. You said renewal is not part of it. Am I right in understanding it?

Srinivasan Nadadhur:

That's right.

Dipesh Mehta :

So, it is only net new, which is included. And even from existing clients, if some additional business, we have covered it, or no?

Srinivasan Nadadhur:

New business from existing clients, it is included.

Dipesh Mehta :

Understand. And last question is about M&A. I think you indicated complementary area and capability driven. Can you help us understand the area where you intend to expand capabilities, and where you look M&A to expand capacity and reach in next 2 to 3 years?

Kapil Jain :

So, I think like as we have 3 distinct businesses - Financial Markets, Customer Operations and Digital. So, these are the areas. And like I said, on the market side, for example, in Digital, we have a strong presence in APAC. We are looking to expand in the U.S. So, depending upon in terms of capabilities, in our international markets, we have 2 distinct capabilities, in Client Life Cycle, Trade Life Cycle. We have predominantly sold Client Life Cycle in Financial markets business, so the relevance of it could be in other industry segments also. And hence, those are the adjacent areas like governance, risk and

compliance is where we are tapping upon. So , when I say synerg ies, it's like the client , stakeholders, we are selling to some of or full capability that we have where we can bring in a differentiation from our tech and product ized services .

I would want to share specific areas that look like this. If you know like in terms of customer operation , we have 2 productized services. I n Financial markets, we predomina ntly have 2, and then in Hi -Tech , in the digital side, we have 4 distinct, and we continue to look at adjacent areas.

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Asha Gupta :

Thank you, Dipesh. Next question we have from the line of Aayush Rastogi from B&K securities .

Aayush Rastogi :

So, just a couple of questions from my side. So , first is, like we are doing a great amount of investment. So, is it fair to assume that H 1 would be kind of over with the investments and H2 should be kind of a growth heavy for part of the business because we would be done with the investments? Then the second part towards margin, I would like to understand with the wage hike coming in Q1 and investment that are still ahead of us. So fair to assume that from Q 2 onwards, we would be back on to the margin expansi on story? Or will it be totally driven by the H 2 in terms of both growth and margin expansion?

Srinivasan Nadadh

ur :

I'll take the margin question. So , you are right Aayush , there will be wage hikes in Q1. And if you look at our history then every year , in Q1 is where we have the biggest dip in margin and as we go through Q2 to Q4, that percentage increase . That happens , whether there is high growth or less growth and that you can expect even in this year. So , you would expect that Q1 will be the quarter of the lowest margin, predominantly because of wage hikes and the full impact of the investments that we have made in Q4 that will hit Q1, and any additional investment that we might do .

Kapil Jain :

So, I think typically, we see in sales that there is a 6 to 9 months of lag from the investments made . So, you are right, H2 should start seeing results. But I think we'll continue to make investments because this is an ongoing business. So , it's not that you make an investment and then you stop because then you will only see the runway at that point. Leadership investments, yes, we have made. We would be very selective in making leadership investments. However, we will continue to expand the sales and hunting organiza tion and the new Gen AI that we have built as well as on the capability side. So that's the thinking that we have at this point in time.

Aayush Rastogi :

Sure. So fair to assume that we would be kind of aspiring to reach for the double -digit growth for FY '25?

Kapil Jain

Absolutely, aspiration. Why wouldn't we aspire for double -digit. Our aspirations are higher, so.

Aayush Rastogi :

Correct. And just the last one. So just in terms of capabilities that we are building. So just wanted to understand what sort of capabilities are we looking forward for the Gen AI for our business? And what type of partnerships are we looking for towards building the Gen AI capabilities? And how are we driving the revenues at present and going forward?

Kapil Jain :

So first of all, I think what we are looking for is you saw the products that I laid out on each of our business segments. So first and foremost is our strategy and thinking is to bring Gen AI and make our products Gen AI enable d. That is the first approach w e are taking . In Hi-tech, as well as in industrial segment, we are having conversations with the clients on doing pilots on Gen AI. We have created a workbench . So that's really what we are doing. We're also looking at getting the client advisory council. We are looking to inves t and continue to build capabilities . So, it is not that you hire 5 people at Gen AI and c apability will come. The question is , how do we make people that we have who are doing client operations and how do we make that Gen AI enabled , and we have strong learning & development program that we continue to invest in.

What was the second question you had? Sorry, you had asked a follow -up question also on this.

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Aayush Rastogi :

So, on Gen AI, how are we tracking the revenues? Or when we will be kind of expecting the revenues to come in from the Gen AI specifically?

Kapil Jain :

So see our unique advantage that we bring in is bringing technology and human in a loop , and really amplify overall human potential. As I told you, we were able to meet client -specific strategic initiatives because I can train a guy and get him or her trained in 7 days because of the simulated learning platform that I have. So, in there, we will bring in Gen AI . The point that I want to make is it's not that we are tracking Gen AI revenues separately, tech revenue separately. Our unique differentiation is to bring technology , domain and ops together. And that's very few companies can do. We will continue to work and deliver on that. In fact, we are investing on the sales side in the technology from the tech Gen AI, automation and analytics to drive that growth engine as well .

Aayush Rastogi :

Sure. If I can go ahead

with the last one on margins again. So just wanted to understand in terms of subcontracting costs. So consistently, if we see for the last 3 quarters, we have been into the range of 2.1, 2.3. And this quarter, it's 2.5. So how should we build in like for the next year ? Are we kind of relying more on subcontracting? And what are the margin levers that we see from Q2 if we are seeing Q1 as the bottom for the margins?

Srinivasan Nadadthur:

So sub -contracting cost should remain in the same range , between 2 -2.5 specifically in every quarter depends on what kind of search volume that we get, what kind of projects we get that we have to ramp up in a very short period of time. So , if those kinds of situations arise, then we have to engage subcontractors. I think the range is fairly narrow. To your second question on margin, I think usually, we see an impact of about 300 bps, 350 bps on Q1 margins because of the impact of wage hikes . And after that, the margins move up back to their original levels and we expect that to happen with Q1 as well.

Aayush Rastogi :

My question was what are the margin levers that we are seeing from Q 2 if we are having the Q1 as the bottom?

Srinivasan Nadadthur:

Okay. So , there are 2 levers that we usually have, one is the growth. So that is the fundamental lever for the growing margins. We made a lot of investments on the delivery side. So , we have hired senior folks , and as revenue would kick in that will help to grow the margin because then we will add people to execute at the bottom. The second lever , as for most companies in our industry , tends to be attrition. So usually, attrition has been high in Q2, once they get increments and then they decide to move on, they're not happy with the increments that they have received. So that is an additional lever.

Asha Gupta :

Thank you, Aayush. Next question comes from Sandeep Shah from Equirus.

Sandeep Shah :

Thanks for the opportunity. Just the first question is, the definition margin guidance is including the other income, right? We have to relate to the 28.1%, which we have reported for FY 2024, right?

Srinivasan Nadadthur:

That's right.

Sandeep Shah :

Okay. So , this looks like a very big investment. And can you quantify which are the bulk of the eClerx Services Limited

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investment will go into? Will it be in sales and marketing? Will it be in leadership augmentation? Because I believe leadership augmentation is largely done and over and capability. And also, Kapil, you have also mentioned, you will not shy away to provide a billing rate discount if the deal win is very large. So , can you quantify the investment in these 4 areas? How will this look like in terms of investing for the growth?

Kapil Jain :

So, Sandeep, you are right, the leadership hiring that we have done, like the CRO, the CMO on the customer operations side so that's done . So, we will be very selective in leadership hiring if at all. Bulk of the investments would be in amplifying the sales and hunting team. We have a lot of people who are good at farming so we would be amplifying the hunting team . So that 's one area where our investments will go. On a deal -by-deal basis, it will depend upon what the deal is, if the deal is opportunistic, if it helps add a capability. So , it's difficult to quantify. It 's not like this is for this , this is for this deal. Like I said, we are in a real-time business, where you have to make some of these decisions on a real -time basis, and that 's what we will continue to do. And we have already incorporated a strong governance process, and that will allow us to manage this and deliver the growth and the margins to the street in line with the guidance that we gave.

Sandeep Shah :

Understand, Kapil. So why I 'm asking is, what we have said is if the investment does not yield a required result in terms of growth acc

eleration, then we may relook our margin guidance. The way I understand is in IT and BPO being a competitive business. Once you invest and lose the margin, it could be a permanent loss rather than a recoup it at later stage. So , what 's your comment regarding this? Why I'm asking again is, if FY '22, if you look at, the reported margins were 32%. In FY '24, it has already gone to 28%. And from 28% at the lower end of the band, we are looking at 24%. That is a further dilution of 400 bps that also makes us believe that the management is not happy with the growth aspirations or the target which we have done well versus market. But we want to further redo it . So what gives us confidence this time that this further 400 bps margin dilution will take us to the growth aspiration where we want to go?

Kapil Jain:

So, 2 or 3 things, Sandeep. Number one is in terms of pipeline that we are starting FY '25 which gives me a higher confidence. Number Two, several of our clients that I have met along with the leadership team and the sort of discussions we are having in different areas that I highlighted. Third, our strong delivery as well as technology capability. If you look at all the assets are there, unless there is something external or the overall industry goes south , that 's a different thing. I think , we are well poised to deliver the growth. And these are some of the levers that give me the confidence. Our delivery is very strong, 80% of business coming through reference s, that would not have been possible if delivery was not strong .

Sandeep Shah :

Okay. So , Kapil, why shy away not to give a quantitative growth guidance range as well if we are looking for investment and sure about the growth targets and the aspiration and the achievements?

Kapil Jain:

It's just like in the volatile industries that I mentioned to you, the volatility that we see in the market, I think we have given the EBITDA margin guidance and we will continue to operate in that range, and we will deliver . And that aspiration side, like some of your other colleagues asked right , our aspirations obviously are to deliver double -digit growth. Like in terms of what the number would be, I rather would not like to say at this stage, and we will continue as and when we get data visibility, we will keep you posted.

Sandeep Shah :

Okay. Just last few things. During Gen AI times, there is a possibility that the industry may foresee some amount of cannibalization pressure or a pricing pressure . So, during that time, to do an incremental
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investment would be also slightly risky. Is there a way to churn the investment rather than look for an incremental investment? So how are we defending if Gen AI, after a couple of years, leads to additional pressure on the margins?

Kapil Jain:

Sandeep, in fact from a strategic point of view, if let's say, we want to envisage that threat and not as an opportunity , then you have to invest to day so as to stay relevant. So that when it happens, you have brought in more predictability , more new clients, new engines of growth. I am already working well on the cross -sell and white spaces in existing clients . So that will help us de-risk the impact of Gen AI. We are also doubling down in terms of enabling our team in Gen AI. We are like I mentioned in all our productized services we are bringing in Gen AI capability.

I think one of the questions you asked was on the alliances, which are alliances you are looking at. We'll be able to come and tell you like in terms of technology companies, which are the alliances

wherever we are doing ops. As and when we structure the alliances, we will come and give you the visibility and highlight. At this stage, I'd rather not give like this company, this is a company, or this is a company. Because this is confidential, and we are in some discussions. So as and when

it happens,
we will come and inform you.

Asha Gupta:

Thank you, Sandeep. The next question come from the line of Mihir Manohar from Carnelian asset management.

Mihir Manohar:

I just wanted to understand, are we entering into new service lines, in the existing verticals itself? Or this is like an investment, investment per se? The 400 basis points that you have quantified, is it going to be completely investment or we are going to enter into new service lines, which inherently will have lesser gross margins? I just wanted to have an understanding around that. Because once the margins come down by 400 basis points, I mean how to understand the recovery going ahead that becomes very important.

Kapil Jain:

So, like I said, we will look at building capabilities in adjacent areas, not new service lines, number one. Because we feel that the productized service offerings that we have, they have enough head room within the industry segments we service and the existing set of clients that we have. So that answers your first question.

In terms of margin, in terms of we are investing in sales & hunting as I mentioned to you which will help us gain larger market share as well as bring in more deals. And then we will invest in bringing an adjacent capability. So that's where we are. And as and when we have more visibility, we'll continue providing you the visibility.

At this stage, we are seeing somewhere between 24% to 28%. I know you guys are assuming that we will be at 24%, which I think gives us only headroom to deliver better than what you are expecting.

Mihir Manohar:

That's interesting. Sure. Correct. You also mentioned that if there would be some deals which require margins to be compromised, what extent of compromise on margins would be there because of such large deals which could come in?

Kapil Jain :

I wish I have an answer to that question. As I said, having done this business, this is a call collectively we will have to take as to what is right for the clients, shareholders, employees and then make a collective call. And that's a strategic decision at that point in time to say, there's no stated guidance that we'll take a deal at this margin or we'll take at this negative margin or this is the M&A kitty that we

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have created for going and buying deals. It depends upon the deal, the client and many factors that go in it.

Mihir Manohar:

Sure. Fairly. Just lastly, this would be once again the same question, but any indication, any expectations around growth would be really helpful.

Kapil Jain:

I think we are standing for double-digit growth is what I can say. And like I said, our starting pipeline is robust. That's what gives us the confidence.

Asha Gupta:

Thank you Mihir. Next question comes from the line of Abhishek Shindadkar from InCread Equities.

Abhishek Shindadkar:

I am going to ask the questions asked by the previous participant but going to change it or flip it. So, are you trying to say that it is difficult to win in the market with the current margin profile we have, and that is why we have to let go some margins as a form of investment to win business?

Kapil Jain:

No, that's not what I said. I'm saying that we need more sales bandwidth and hunting bandwidth to go and get a larger share of the market. Selectively, if there are deals that we have to pay, and they are strategic in nature and that meet our aspirations of growth margin, shareholders' expectation,

employees' expectation, and we are able to deliver to the clients, we will make selective calls to build new business.

Abhishek Shindadkar:

Got it. That's helpful. Thank you for taking my question.

Asha Gupta :

Thank you, Abhishek. Next question comes from the line of V.P. Rajesh from Banyan Capital .

V.P. Rajesh:

So, most of my questions have been answered.

Just 2 questions. This particular quarter, your revenue contribution from the top 10 clients is higher than in the previous quarter and the previous year as well same quarter. So , any commentary about that in terms of are you just focusing on winning more business from top 10 or something happened with the rest of the client base. Just trying to understand if this is sort of the new trend line.

Srinivasan Nadadhur:

So, if you remember, we had this client which went away in Personiv and that was not a top 10 client but fairly sizeable . So, the client outside the top 10 drops out and concentration of top 10 went up . So that is one reason for this. Second reason is also that at least in this quarter, in total growth for the top 10 clients have been actually quite faster, this is why we keep saying that there is enough headroom with existing clients for us to grow .

V.p. Rajesh:

Okay. And my second question was about the buyback. Are the promoters going to participate in that? What's the guidance on that front?

Srinivasan Nadadhur:

Yes.

Asha Gupta :

Thank you, V.P. Next question is a follow-up question from Dipesh Mehta.

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Dipesh Mehta :

A couple of questions. First, about the assumption, let's say, which we have made for lower end of the margin range and upper end, if you can give some sense, 24% to 28% range, what can lead to us to closer to 24%? And what can drive it to 28%, if you can give some sense?

Second question is that we indicated about revenue growth of quarter. Can we say the same thing for absolute EBITDA growth, will we be among the absolute top quadrant in over 4-year period considering margin reset, which we are expecting in year one?

Third question is about the data related. If I look emerging client. This quarter, it is negative even on a Y-o-Y basis. So , if you can give some sense about what is playing out and how you expect it to change? I understand partly it can be because of digital business , but quantum wise, it appears to be much softer. So, if you can give some sense.

And last is about the advisory relationship , which you said , we intend to expand presence into building partnership, alliances kind of thing and as well as build relationship with advisory firms. So, if you can give some more details around it.

Srinivasan Nadadhur :

Okay. So, I will take the question on emerging client first. So, if you look at the clients that we report in each of our buckets - \$500k to \$1million , \$1 million to \$3 million and \$3+million - the total revenue [from our clients] in each of these buckets have gone up year-on-year, despite the decline # of clients that you see in \$1mn to \$3mn buckets. Actually, the total revenue also has each of the buckets has grown year to year. So the focus has been on strengthening what we already have in the below \$0 to 0.5+ million bucket plus and the next sort of try and weed out the clients who are not performing for us . So that is what we are trying to do here.

The second question you had was on how we arrived at 24% to 28% and what assumptions went in. So

broadly, we're looking at what investments we need to make in each area, what will be the cost of those investments, what would be a timing of those investments? And what would be the optimistic, likely, pessimistic kind of results from those investments. And in each of these 3 scenarios, how would the margin look? And that's how we have come up with this range.

Kapil Jain:

You have one question on advisory update. So, analysts and advisory channels, we will build, like I said, specific to alliances, I cannot give the names at this stage, as we tie up and build those partnerships, we will come and let you know in the subsequent earnings call. The intent would be, again where, let's say, if we are going offshore or digital marketing work, would we

look at technology partnerships or

alliances is what we would focus on. In terms of analysts and advisory channel that we will leverage, which I said we have not done in the past, is something that we are working with some of the leading analyst and advisory firms. And we will see as and when they evaluate our capabilities, credentials as and when they get launched.

Dipesh Mehta :

I think one question is unanswered. So, we indicated about revenue to be among top quartile over 4-year strategy period. Whether it holds true for even EBITDA?

Kapil Jain :

Yes, absolutely. We said we would be in the top quartile of both growth as well as EBITDA margins. I think that's what we said on the slide but that's not in 4 years. We will be in the top quartile of both growth and margin.

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Dipesh Mehta :

No. So there is a difference. What I'm asking is absolute EBITDA growth. I understand margin because we are already way above others. Even after a correction, we will be above it. But absolute EBITDA growth as implication because of the margin reset, which will happen.

Srinivasan Nadadthur :

Yes. So, I think I need get back to you after checking the numbers. So, first year, you can definitely assume that it will be lower than the revenue growth. And then for years 2 to 4, I will get back to you.

Asha Gupta :

Thank you, Dipesh. Next question come from the line of Nitish Rege from Chrys Capital.

Nitish Rege :

So sir, as an investor, how do we think about growth? Earlier, we used to say that we will focus on absolute profit growth, and will we still grow profits on an absolute basis despite this margin guidance of a 400 basis point contraction? I'm struggling to think about how are we thinking on growth here?

Kapil Jain :

So, I think what absolutely the focus will be on driving both topline and bottom line growth. There's no fun in just growing the topline. We are not just working to grow topline. So yes, the focus will continue to deliver both topline and bottom-line growth. We have given you the margin range, but definitely, there will be absolute EBITDA growth as well as EPS growth as well.

Nitish Rege :

This is for FY '25 also, right?

Kapil Jain :

Yes.

Asha Gupta :

Thank you, Nitish. Next question comes from the line of Chirag Shah from White Pine.

Chirag Shah :

So three questions interrelated. One, at what point of this 4-year period you would relook at your margin guidance? That is one. Second, are you making a statement that the historical guidance of 28% to 32% is behind and even if you look for an upgrading margin guidance, it would be lower than that. Why I'm saying this, if I look at your last 10, 12, 15-year history, we started with upwards of 35% margin, then

we went as low as closer to 20% and now where we are. So, business has seen a lot of changes over the years. So, is there a big change that you are foreseeing for the next 3, 5 years, and hence, the margin guidance, which we had in the past is not relevant? So, if you can just highlight this to then I'll come back to the third question.

Srinivasan Nadadhur :

So, the guidance on EBITDA of 24% -28% is for year one. And every year, we will come back and let you know if that range changes. Regarding second question on 28%-32% is it behind us? I'm actually unable to comment. It really depends on the growth that we are able to achieve, and whether we need pump in fresh investments year after year to be able to sustain that. We will probably come back to you in 6 months or 12 months and give you a better [and] thought-through answer.

Chirag Shah :

Okay. Just a follow-up on this. So, if I look at last 5 years, you know a broader picture. Your revenue was up by 15% and your profit was up by 18%, 20% range depending upon how you look at it, okay? Now how should we look at these 2 metrics that is, I

think, what is the basic question that we are all boiling down to? Whether this 15%, 18% profit growth is what we are aspiring, or you are indicating eClerx Services Limited

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that given the investment phase you are looking at, this 4 -year CAGR or a 5 -year CAGR could be lower than that ? I think so this is where the crux of the question is !!

Srinivasan Nadadhur :

So, I think all our commentary for now regarding EBITDA margin is for year one only, and therefore, by extension for topline also is for year one. And we really have to see how well the investments play out obviously, we have some plan in mind, and we have some ideas how this will look like over 3 -4 year period, but we would like to see how it pans out and then talk about implications or what the outputs for the next 3 year period.

Chirag Shah:

Okay. And in case Kapil wants to comment on this 28% - 32% margin range, which was indicated, which was valid for a particular business period, are business dynamics changing that range is kind of not relevant at all? Or how do you look at it?

Kapil Jain :

So, I think it is the reason we have given the guidance, what we have given is not a function of change in business dynamics or client sentiment or our relevance or anything like that. It's purely a function of investing ahead of the curve in sales and marketing and capability with which we will continue to do and we'll continue to monitor the effectiveness of those investments on a real-time basis with strong governance process that we have made. Right now, we have given you the visibility for year one, which is for FY'25. As and when we get more visibility, we will come and provide you that visibility, if not earlier, then we will give you as when we disclose the FY'26 and FY'27 and FY'28. Having said that, we are also saying that we will be in the top quadrant of our industry growth and margins. Because we are operating in a competitive market, we are operating in an industry. So, we are saying we will continue to maintain our core position on both growth as well as margin.

Asha Gupta:

Thank you, Chirag. Follow up question come from the line of Mihir Manohar.

Mihir Manohar:

Sir, I mean the 400 basis points that we have quantified, if you can split that between capabilities and building of sales and development, sales and business people, that will be helpful. And since given the fact that we are building a business development team, what kind of expectations are we going to have from them at the overall company level on the growth side? Because I just wanted to understand what the expectations is around when we're building a business development team, that will be helpful ? And just a clarification, I think you mentioned that even in absolute EBITDA and absolute profit. So, the absolute profit is INR 550 crores FY'24. You are still looking in FY'25 absolute profit to grow. So, what essentially you are saying is that the growth will offset the EBITDA cut, which is happening, and we will still report a profit growth. Is that understanding, correct?

Kapil Jain :

Yes, that's correct. See, the split between what we are investing in sales, capability, infrastructure and other things. I think it's difficult to give a line by line which I've been saying. You asked that will report the increase of the bottom-line profit despite the margin guidance we have given. And I said, yes, it's a real time business. So, depending upon the situation, the market needs and demand, we will continue to

invest in and build capabilities as well as all the sales engine.

Mihir Manohar:

Sure Understood. So that's roughly \$10 million to \$12 million. I mean, any quantification at all, let's say, what number of people are we looking to hire in these geographies? Is it like we want to build a 10-people sales team, 20-people sales team, some indication around that?

Kapil Jain:

See the point is it's not like we have said okay we will build 20 people sales team and let's go and add eClerx Services Limited

May 17, 2024

on. You understand what I'm saying, we'll have to also see what is the return I'm getting from this team that I am building. We will also see what the market sentiment is, what is the market environment. Like I said, any sales investment that we make will take 6 to 9 months to give you results. And we'll continue to monitor it on real time basis. That's what we will continue. Leave it to management team and the executive committee to make some of those decisions. At this stage, I think we have provided the guidance that we have visibility on.

Asha Gupta :

That was the last question for the day. Now I will hand over the call to PD for the closing remark.

PD Mundhra:

So, everybody, thank you so much for joining our call today. Appreciate you making the time. Slightly longer session today than we usually have. Also, Anjan & I wanted to take this opportunity to thank you for the support that we have received from all of you over the years. It's been almost 15-plus years that we had the privilege of enjoying your support. With Kapil and the team taking all the reins of executive management, we feel confident that it's a massive upgrade on the previous management team and we're in for an exciting ride.

So, from the next quarter onwards, the aim is for Kapil and Srini to lead these calls. We will, of course, be involved with the company with our ownership stake on the Board. But we feel it's no longer appropriate for us to join these calls going forward. So, I wanted to take this opportunity once again to thank you all for your support. And I'm sure you all will give Kapil the same support and guidance and benefit of your counsel over time.

I don't know if Anjan wants to add a few words before we sign off today.

Anjan Malik :

No, PD, I think you said things very well. I guess, the only thing I'll remind people and the investor community is that ultimately, it's a long game, and we should just play for the long game.

Kapil Jain:

Thank you, PD. Thank you, Anjan. Thank you for giving the opportunity. Thank you very much.

Asha Gupta :

Thank you, everyone. Bye, and have a nice weekend.

Call: Aug 2024

eClerx/SECD/SE/2024/114

August 21, 2024

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended June 30, 2024

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on August 14, 2024 with respect to the financial results of the Company for the quarter/period ended June 30, 2024.

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
VP-Legal & Company Secretary
F8538

Encl.: as above
eClerx Services Limited
August 14, 2024

eClerx Services Limited
Q1FY25 Earnings Conference Call

August 14, 2024

ECLERX MANAGEMENT:

KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:

DEBASHISH MAZUMDAR – SVAN INVESTMENTS
JALAJ MANOCHA – SVAN INVESTMENTS
KRISH BERIWAL – NOMURA SECURITIES
MIHIR MANOHAR – CARNELIAN ASSET MANAGEMENT

NIKHIL CHOUDHARY – NUVAMA WEALTH MANAGEMENT
NITISH REGE – CHRYSCAPITAL
RAHUL JAIN – DOLAT CAPITAL MARKET
SAMEER DOSANI – ICICI PRUDENTIAL ASSET MANAGEMENT
SANDEEP SHAH – EQUIRUS SECURITIES
SHARDHA AGRAWAL – ASIAN MARKETS SECURITIES
eClerx Services Limited

August 14, 2024

Asha Gupta:

Hi, everyone. Good evening, participants. Welcome to the Q 1 FY '25 Earnings Call of eClerx Services Limited. Please note that this webinar will be recorded.

To take us through the results and to answer your questions, we have with us the top management of eClerx, represented by Kapil Jain - Managing Director and Group CEO; Srinivasan Nadadhur - Chief Financial Officer. We will start the call with brief opening remarks by Kapil, followed by Srinivasan, who will be sharing the financial update, and then we will open the floor for questions.

As usual, I would like to remind you that anything that is said on this call that gives any outlook for the future, or which can be construed as forward-looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

With that said, I will now hand over the call to Kapil. Over to you, Kapil.

Kapil Jain:

Thank you, Asha, and good evening, everyone. Let me start by giving you some highlights of our performance in Q1 FY '25.

Our operating revenue in this quarter was USD 93.5 million, up 11.1% Y-o-Y and 1.5% sequentially, driven predominantly by momentum in our Financial Markets business. All 3 businesses have shown positive quarter-on-quarter growth. In INR terms, operating revenue for Q1 was INR 7,819 million, up 1.7% Q-o-Q and 16% Y-o-Y. There is a decline in margin in Q1 because of the wage hike and due to full quarter impact of the management hires in Q4. EBITDA for Q1 was INR 1,873 million at a margin of 23.3%, while PAT for the quarter was INR 1,116 million at a margin of 13.9%. As you are aware, Q1 historically shows a Q-o-Q decline in margin because of wage hikes. We expect margins to improve from Q2 onwards. Our analytics and automation business of USD 16.9 million this quarter has shown both a

sequential and a Y-o-Y increase, which is an encouraging sign. Though our overall client life cycle business continues to grow, the BPaaS business was soft due to lower transaction volumes driven by seasonality. New deal ACV for the quarter was healthy at USD 25.7 million. This sets us up nicely for the upcoming quarters.

Financial Markets had a good Q1, demand was driven by both the client life cycle and trade life cycle businesses. We picked up remediation work for several clients, driven by regulatory needs. We continue to see increased demand for onshore and nearshore staffing across change and BAU books. Customer operations and digital businesses grew as well, albeit slower than the Financial Markets business. The growth in customer operations was driven primarily by Field Tech Ops and Care business. In Digital, we are beginning to see early signs of momentum building up. We have a healthy pipeline, though we are still seeing longer lead times for closure of deals. Our pipeline continues to be strong, and we are having a number of conversations with clients. This gives us confidence that our investments in sale and the strategy that we laid out should pay off in the medium to long term.

You will see a seat count increase in our business metrics slide. This is because of temporary facilities going live in Mumbai and Pune. We are creating permanent seating capacity in all 3 locations, which also will go live in Q3. Coming to some of the external awards and recognitions, our GenAI360 Platform was named the Silver Winner for AI Innovative at the 19th Annual 2024 Globee Awards for Technology, out of more than 1,700 nominations. The eClerx GenAI360 Platform integrates advanced foundation models and delivers improved efficiency and creativity to users in multiple use cases. The award is the second of the 2 awards the platform has won in 2024, following our win at the BIG Innovation Awards in 2024.

I would like to thank all our clients for their confidence in us and all our employees for delivering a great quarter. I will hand it over to Srini to take us through details of our financial performance.

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Srinivasan Nadadhur :

Thank you, Kapil. Good evening, everyone. I will take you through the financial performance in a little more detail.

So as Kapil mentioned, operating revenue grew sequentially 1.5% in USD terms and 1.6% in constant currency terms to about USD 93.5 million. On a Y-o-Y basis, Q1 revenue increased by 11.1% over Q1 of the previous year. Total revenue for the quarter was INR 8,031 million, up 1.7% sequentially and up 16.1% Y-o-Y. The EBITDA of INR 1,873 million is down 14.3% sequentially, but up 7% Y-o-Y. The PAT of INR 1,116 million for the quarter is down 14.5% sequentially and up 5% Y-o-Y. Other income for the quarter was INR 212 million. The wage hikes and the full quarter impact of the S&D investments are the major reasons for the 437 bps Q-o-Q decline in EBITDA. The 30-bps increase in G&A is because of the increase in rent and electricity costs of the temporary facilities that we have taken up.

Our head count has grown by about 400 to 17,749, which is higher than the revenue growth. And therefore, there is a drop in utilization in this quarter. We expect utilization to increase back again next quarter. Attrition is at 18%, down from Q4, but we expect Q2 to be higher as Q1 has always been lower as normally seen in the past. A couple of call outs on the key business metrics slide, top 10 concentration is down to 62%, a marginal dip from the 63% of the previous quarter. The DSO is 81 days as compared to 84 in the previous quarter. As I'm sure all of you are aware, we concluded the buyback of INR 3,850 million in July.

And lastly, I will end with update on CSR and ESG. So as part of our CSR program in FY '25, we will support 3,500 underprivileged and dese

erving students from early childhood through university. Under our employability initiative, our work with Sampark and Lighthouse Communities Foundation will support about 3,000 youths. On the ESG front, we are strengthening our ESG framework by undergoing certifications and assessment. We are increasing transparency to stakeholders and have increased disclosures across various environmental aspects, including emissions, waste and water in our BRSR and sustainability reports, which will be published next month.

Thank you, everyone. With this, we conclude our prepared remarks. We can now move on to the Q&A. Back to you, Asha.

Asha Gupta :

Thank you, Srini. We have first question from the line of Shradha Agrawal from AMSEC.

Shradha Agrawal :

Congrats on the good show on the revenue front. Srini, you mentioned that margins will recoup from 2Q onwards, but any extent to which we are looking at margin improvement? And will it be more gradual towards second half of the year? Or will it start coming in a big way from 2Q itself since normalization of wage hike will happen from 2Q itself?

Srinivasan Nadadhur :

Normally the margin recovery is through replacement hires for the attrition that we see. We expect that recoupment to be largely linear from Q2 onwards to Q4, assuming all other factors stay the same. So, we should see an improvement starting from Q2 itself.

Shradha Agrawal :

And any indication as to what type of margin improvement? Will it be like what earlier years used to be or because of aggravated investments that we had in this quarter, will margin recovery be more intense this time around?

Srinivasan Nadadhur :

I think it will be similar to last year.

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Shradha Agrawal :

Right. And Kapil, one question on the client mix. We've seen good growth in the emerging client portfolio on a Q-o-Q basis. But when I look at our Y-o-Y basis, the emerging client portfolio is up only 2% despite our overall revenue being 11%. So, any thoughts on how should we look at this portfolio performing in coming quarters?

Kapil Jain :

So, I think if you look at the client segmentation, our growth has been broad-based and the top 5 clients

have grown 1.6% Q-o-Q, the top 6 to 10 clients have shown marginal decline. The good news is that 0.5 million plus clients have grown as well as emerging others, which are less than that. So I think it's been more broad-based. However, you will also see that the number of clients in 0.5 million have come down, which also reflects the focus we have had on clients that will grow and clients that we would divest that are not growing, so that's fine. It's good to see the growth has been secular and broad based.

Shradha Agrawal :

Right. And just last bit on the ACV. We've seen a very strong growth in the ACV of new deals. So , against this backdrop, how should we look at growth number for FY '25?

Kapil Jain :

We are seeing healthy pipeline. Our Q1 conversions have been good. Like we had said at the end of FY '24 that we had laid out our strategy in terms of cross-sell, upsell with key focus areas. And we had given a margin guidance between 24% to 28%. And we had also said that sequentially, we will show a growth in EBITDA and PAT, which we continue to maintain, and we'll deliver the same in FY '24, '25.

Shradha Agrawal :

Right. If you could quantify more on the revenue growth, given the very strong growth in the ACV number?

Kapil Jain :

So typically, we have not shared the revenue growth guidance, and I wouldn't want to give given the volatility in the business. But I think you can see in terms of the 2 numbers that I have given that sequentially, we will show an increase, and we would be in 24% to 28%, and we will see a linear increase in our EBITDA margin. Maybe in Q2, we will be able to give you a better view in terms of where we would land in numbers. Right no

w, we are giving you a wide range between 24% to 28%.

Post H1, we may be able to come and give you a better, a tighter window if we have the visibility.

Shradha Agrawal :

So just to again persist on this question, I think you had indicated that a double-digit revenue growth is what is doable for this year. So , we will be sticking to that broad indication of a double-digit growth in revenue in '25.

Kapil Jain :

That's what we are aiming for, yes. That's correct.

Asha Gupta :

Next question we have from the line of Mihir Manohar from Cernelian AMC.

Mihir Manohar :

Kapil you made a comment that all 3 businesses are now showing momentum on a Q-o-Q basis. So , if you can throw some more light on the luxury segment. Has that come out of the woods? So , some more color around that would be helpful.

Kapil Jain :

So, our high-end fashion and luxury, because of some of the headwinds we have seen in the China market, still continues to see the pressure. But like I mentioned in my opening remarks that analytics eClerx Services Limited

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business has seen growth. So , our Digital Business, Customer Operations and Financial Markets all have seen sequential growth Q-o-Q. We are cautious on the luxury segment given what we are seeing in the China market.

Mihir Manohar :

Sure. You mentioned that pipeline is doing up well. If you can provide some quantification around the internal KPIs post the investments that we have made? How is the progress over there on these KPIs? And also, the pipeline, if you could quantify that, that would be helpful.

Kapil Jain :

Our pipeline is robust. Internal KPIs in terms of cross-sell, in terms of ACV of the deals that we have closed, in terms of average size of the deals , large deals, like above USD 2 million ACV, all these have shown positive momentum, but I think it's only one quarter. We would still wait to continue and sustain this momentum. But so far, whatever strategy we have laid out is showing positive results. But like I said, it's only for one quarter from the time that when we laid out the strategy and what we have delivered.

Asha Gupta :

Next question we have from the line of Sandeep Shah from Equirus.

Sandeep Shah :

Congrats on a good execution. The first question, Kapil is , looking at the run rate of the ACV, which we are adding last few years as well as the first quarter, it could be predictable that USD 90 million to USD 100 million ACV can be added in this year? And if I'm not wrong, yearly roll -offs could be USD 40 million, USD 50 million. So , there is a huge possibility we could be higher than lower double -digit kind of growth in this year itself. Is it the right way of looking at it?

Kapil Jain :

Sandeep, broadly, what you're saying is right. That's the right way to look at it. But as you have also seen that we haven't given revenue guidance. I'm still maintaining and I'm repeating that we are saying that we will be in the margin range of 24% to 28%, and we'll show a positive movement on EBITDA and PAT and EPS Y-o-Y.

Srinivasan Nadadhur :

And the reason for the caution, Sandeep, is that sometimes, things are unpredictable. Like we've seen roll-offs last year in Q3 and so on. So , assuming that everything else goes as smooth, then what you're saying is okay.

Sandeep Shah :

Okay. Okay. Just a follow -up. When you say linear increase in margins, is it fair to assume we are targeting Q -o-Q increase from 2Q to 4Q?

Srinivasan Nadadhur :

In margin terms, you 're saying. Percentage margin terms, right?

Sandeep Shah :

Yes.

Srinivasan Nadadhur :

Yes, that's right.

Sandeep Shah :

Okay and just a last thing, on depreciation and amortization, is it a new run rate? Or this is a seasonality where 1Q depreciation is lower and then it increases in 2Q to 4Q?

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Srinivasan Nadadhur :

It is the latter. It's because

the fresh WDV is used every year for the calculation of depreciation. So therefore, 1Q depreciation is always lower than Q4.

Asha Gupta :

We have questions from the line of Sameer Dosani from ICICI Pru dental .

Sameer Dosani:

So, any color you can give on what kind of investments you have done in last 3 to 6 months and is the investment phase is at least over for us? Or we will see more investments in coming quarters ?

Kapil Jain :

We predominantly made investments in sales, in marketing, in presales function. And in terms of whether we will make additional senior leadership hires we have already made. I think we will continue to add more hunting capacity on the ground as we see more traction. Like I said, in terms of cross -sell as well as in terms of deals that we are getting, I think we have seen increased inflow, and that is also reflected in our robust pipeline.

Sameer Dosani :

Got it. And investments are majorly over in the senior management, you will hire below the line managers, et cetera.

Kapil Jain :

Yes, broadly, the senior management hires are over. If and when if we do make, it will be on the back

of revenue or an opportunity. But from a strategic perspective, our senior leadership hire is over, and we will be adding capacity under the senior hires that we have brought in.

Asha Gupta :

We have next question from the line of Jalaj Manocha from Svan Investment.

Jalaj Manocha :

So, first question was with regards to the margin improvement. Historically, we see that there is an improvement of 1.5% around across the quarters, the trends basically historically have been. So , can we expect similar sort of up move during the year for FY '25?

Srinivasan Nadadhur :

Yes, assuming everything else remains equal, then yes.

Jalaj Manocha :

Okay. Okay. Fine, that answers that. And secondly, we do see that there is an increase in the on -site revenue, which has been far higher than the offshore. So , is it sticky or eventually there is a possibility of it moving to offshore? And a second question to it or the second part of it would be the incremental revenue, majority of it is, what sort of margins are we getting there? Is it more of an onshore driven right now or an offshore driven?

Kapil Jain :

So Jalaj, I think the margin drop that we have seen in Q1 has nothing to do with the onshore component. It's predominantly led by the wage increase as well as the hires that we had made, where the full cost is reflected in Q1. In terms of the on-site demand that we have, we do expect it to continue in Q2. And like I said, we are working on other opportunities, which will also give us in terms of conversions of that and will give us more headroom. At this point in time, I think we do expect it to continue in terms of business as usual.

Jalaj Manocha :

Okay. And on the incremental business, the margins, are they similar to the company historical margins eClerx Services Limited

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or are they slightly on the lower side?

Srinivasan Nadadhur :

For onshore business, it will be slightly lower.

Kapil Jain :

Yes. The incremental business that we have received at onshore will be lower, but it's a portfolio approach that we take. It's not high. I think if you look at our historical on -site average, it has stayed at around 20%, 21%, which is where it is, and we are comfortable in maintaining that number, delivering the onshore margin and delivering the overall portfolio margin that we have guided this time .

Jalaj Manocha :

Got it. And one last question, maybe if I may. So , I understand that digital business forms broadly 40% of our top line. What is the trajectory we see going forward from here? Broadly, could you talk a little about it? Would it be company average or a separate because ideally it should be growing faster?

Kapil Jain :

So digital business, as I mentioned, the pipeline is decent, and we are seeing c

ross -sell opportunities

there as well on the long run, but we are seeing still longer lead times to close larger deals is what we are still seeing because it 's more discretionary budget. And so that 's really what we are seeing and experiencing in digital business.

Debashish Mazumdar :

One small question that I have, which is also a kind of continuation what Jalaj was asking. So if I see one of our luxury client in Europe that has come under pressure, which is visible into our numbers. And according to me, that is possibly impacting our BPaaS business and discretionary business also. Any thoughts there? What is the kind of growth that you were seeing or the trajectory that you were seeing on that side? And also, is there any alternative plan that what is the impact that is coming from that particular client will be able to manage that business from other clients? And overall, which is visible in this quarter, incrementally, we are able to build in growth despite that client come under pressure. Are we going to see the similar trajectory going forward from the client and the rest of the other businesses?

Kapil Jain :

So overall digital business, like I said, has shown a sequential growth in Q1 over Q4, and we continue to see the same trend in Q2. Now specific to the fashion business, I earlier commented that, yes, we are seeing some headwinds from the China and overall, that may have an impact on the luxury segment, though we are seeing an increased demand, which you have seen in the sequential growth in our analytics business. So , I think that's the overall on the digital business, specific to a particular client, I'd rather not comment. It's a portfolio of business and clients that we are managing, and that's what I'd like to stay with.

Debashish Mazumdar :

One last question, sir, sorry, for multiple questions. So , if I see that growth in on -site business, this is not only this particular quarter phenomena, this , we have seen for the last 2, 3 quarters now. It seems that there is a trajectory shift or thought process shift as a company under your leadership and guidance in targeting new businesses more into on -site, we're taking margin under pressure. So just tryi ng to get some sense that what is the growth trajectory and margin trajectory of new businesses th at you are looking at, especially when there is a shift in thought process and paradigm that seems to be coming in.

Kapil Jain :

So, like I mentioned that the onshore business, if you look at last 4 quarters moving average, we are at about between 19% and 21%. So that's something we can manage and still deliver the overall company margin. So that's where it is. It's not in terms of tha t we are focusing more on on -site business. The only thing I would say is that the business that we are getting on site reflects that we are being more relevant eClerx Services Limited

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for our clients as we are doing work, which can only be done in the client geography.

Debashish Mazumdar :

Sir, I was not saying that focusing on on -site is bad. In fact, I'm more excited that you are focusing more on on -site because that directs towards more growth going forward with a better margin possibility. So the question was not that why are you focusing on on -site? In fact, the question was what is the change in thought process in focusing on on -site? And what is the trajectory of margin that you are looking at when you were building this new business in a new way as compared to the previous eClerx]? That is what my question is.

Kapil Jain :

Understood. So , trajectory of margin, like I have said, will be between 24% to 28%. And we will continue to take business, which is in line with the productized services that we offer to our clients, and which helps us also deepen our relationships with our existing clients.

Asha Gupta :

We have next question from the line of Rahul Jain from Dolat

Capital.

Rahul Jain :

I have one question specific to the head count addition and utilization. Since we are pretty confident on the growth side, do you think this could be the operating leverage here on and giving support to your margin outlook assumption? And apart from that, the cost of technical services that we report, do you see, given the stronger hiring there would be some leverage here? Or these are some different kind of talent, which we cannot easily augment with?

Srinivasan Nadadhur :

So, on the first part, usually, we hire just in time. So , if we have seen business, then we probably hire 1 or 2 months or maybe 3 months in advance. So maybe there might be some improvement in utilization in the immediate next quarter. But beyond that, I think at the moment, we do not have any visibility on whether that improvement will continue to stay or whether it'll improve for one quarter and stay flat. So that's on the utilization bit.

The cost of technical services or subcontractor, again, this demand is driven by the kind of work that we see. So , if there is some specialized skill requirement, then we will go for subcontracting. Otherwise, usually, we prefer not to subcontract. So that increase or decrease you will see only when there is a specialized need for our services. I hope I was able to an swer your question.

Rahul Jain :

Yes and one more question from my side was related to the growth side. Of course, one part of the strategy was to hire the relevant or basically broadening the bandwidth on that part. But you think there

is a meaningful expansion in terms of the broadening of the pipeline also that has happened? Or it's just more like more foot on the ground that is expanding the pipeline?

Kapil Jain :

So, it's a combination of both in terms of both broadening of the pipeline as well as more feet on the ground, more rigor is what is reflected in the pipeline and in the conversions .

Rahul Jain :

And historically, we were also facing some bit of issue in terms of rolling off, what is the sense out there on the current deal portfolio?

Kapil Jain :

So, our roll-off typically have been in the ratio of around 15% to 17%. We don't expect on a Y-o-Y basis that to be any higher than what we have historically seen. So , we should be able to maintain that at that level.

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Asha Gupta :

Next question we have from the line of Nitish Rege from ChrysCapital.

Nitish Rege :

So Kapi I had mentioned that he's trying to make the business more predictable. So where are we on that journey? And what exactly are we doing to make the business more predictable if you could share some light on that?

Kapil Jain :

In terms of the pipeline increase, large deals, deal inflow, secular growth, which I spoke about in terms in all the segments, except clients, 6 to 10, we have seen growth are on reflection of bringing in more predictability. Directionally, it's only been one quarter. So , I think you have to look at predictability over medium to long term is what I would say. But directionally, I think we are making progress.

Nitish Rege :

Okay. And any updates on M&A, any opportunities we are assessing currently?

Srinivasan Nadadhur :

So, we continue to assess opportunities, but nothing to share at this point of time on M&A.

Nitish Rege :

Okay. Okay. And what kind of assets are we generally targeting? Which segments do we target when we're assessing these M&A opportunities?

Srinivasan Nadadhur :

So, one is on extensions of what we already do. In digital, typically, that would be a creative agency. On the technology side, it would be assets like folks who are doing Salesforce implementations because we do a lot of operational work on some of these enterprise platforms, like Adobe and Salesforce, and we would like to be able to add the capability of being an implementation partner as well

I. So that is

that. The third thing on the customer operations side, we'll be interested in something that gives us the ex-India presence. So something in LatAm or other geographies would be of interest to us. And on the financial market side, finally, either onshore consulting business or something which does more work that augments our client life cycle business. So , something in fraud or anti-money laundering, those would be selective areas of interest for us.

Asha Gupta :

Next question we have from the line of Nikhil Choudhary from Nuvama.

Nikhil Choudhary :

First question is regarding the demand environment. What you have highlighted that you are not calling outgrowth because of demand uncertainty. Just want to check here a little bit. We have seen some positive commentary from IT services companies, especially demand revival in Financial Services. So I just want to understand what we are hearing from our client? Have you seen some improvement, but given macro remain uncertain, therefore, we don't want to call out, or it remains status quo?

Kapil Jain ,

So, like I have mentioned that we have seen increased and positive momentum quarter-on-quarter on

all 3 businesses, but this quarter growth is predominantly driven by Financial Markets. So, we are also seeing green shoots in overall financial services sector. So, this is in line with what you're hearing from your other clients that you follow.

Nikhil Choudhary :

Understood. Second is regarding attrition being quite low. This is one of the few periods historically. We haven't seen attrition being at 20% for such an extended period. So, is it impacting our ability to eClerx Services Limited

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manage the pyramid and thereby the margin? And any color how we are seeing outlook perspective?

Srinivasan Nadadhur :

So, the first thing I would like to call out is we exclude bottom quartile attrition. So, I don't know how long you've been following the company, but 2 or 3 years back or maybe even a little earlier than that, we usually show all attrition. So, if you take in that context an apple-to-apple comparison, then attrition is lower certainly in Q1, but you should not be comparing with what attrition that we saw about 3 to 5 years back. Even more specifically, Q1 tends to be our lowest quarter of attrition as people are waiting for the wage increments to hit. So, we will see an uptick in attrition. Having said that, your observation is pretty much spot on that it is lower than what you have seen in the past, maybe reflective of the larger lack of opportunities in the ecosystem.

Asha Gupta :

Next question we have from the line of Krish Beriwal from Nomura.

Krish Beriwal :

My question is on the medium-term margin outlook. So, should we look at the 24% to 28% margin range as a new normal with growth becoming a priority? Or we plan to recoup this 400-odd basis point contraction this year over the medium term?

Kapil Jain :

Right now, we should look at between 24% to 28%. And as and when we get more visibility in terms of medium to long term, we will come back to you.

Krish Beriwal :

Sure. Second, in terms of growth acceleration, given that now 4.5 months has already passed this year, do we expect growth rate to accelerate from 3Q onwards? Or there is some more time, which it will take before growth acceleration?

Kapil Jain :

For Q2, in terms of what we said that our overall pipeline, Q1 conversions are healthy, which should reflect in our Q2 momentum. So, we do expect the growth momentum to pick up and continue as we move forward in the quarters.

Krish Beriwal :

Sure. So, any data point that you can share with us in terms of the effectiveness of the investments that you are making on the sales team? And what are the key indicators that you are looking at?

/Kapil Jain :

Like I said, we are looking at overall pipeline conversions,

cross sells, average size of deals, inbound

flow so these are some of the parameters we are looking at. And I think clearly, 2 metrics that you have seen, the healthy pipeline as well as the conversions are a clear reflection. In terms of the directionality, we are moving in the right direction.

Asha Gupta :

We have a follow-up question from the line of Shradha Agrawal .

Shradha Agrawal :

Just one question on GenAI. So how many GenAI-led POCs are we working on? And what are the expectations of clients in terms of productivity improvement on the GenAI project? And how has the pipeline buildup been in terms of any quantitative number that you can show in terms of Y-o-Y growth in the GenAI led pipeline?

Kapil Jain :

So Shradha, thanks for asking. I think what we have decided is because I think instead of reporting eClerx Services Limited

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GenAI projects or pipeline or revenue separately because our unique strength is in delivering productized services and as I have mentioned in previous earnings call also that services that we deliver, for example, KYC, client life cycle, compliance manager is our underlying platform, Market 360 for competitive intelligence. For our ATR business, we have an underlying technology platform. So, what we are doing is we are ingesting GenAI into our platforms, which is making us more relevant for our clients. And we are passing on the benefits to the clients as and when we are able to realize them. So that is what we are doing. And I think we are in a unique position to bring GenAI to our clients because of our ability to bring domain, process and tech we bring together and the underlying technology we are bringing in. Sanjay and his team, our CTO, they are working, and they have prioritized the products that we have to ingest GenAI in all our products, thereby all our services will have GenAI component built in.

Shradha Agrawal :

Yes, that's right. But in terms of client expectations, when you ingest GenAI into any of their existing projects, so what are their expectations on pass-through or productivity benefits?

Kapil Jain :

It's not like specifically, they are saying that you have to give a certain productivity benefits like where it's feasible, we are giving the productivity benefits, and it depends in certain cases, they are significantly higher. In certain cases, there's no productivity benefit, but it's scalability that you're bringing in. In certain cases, it's the experience you are enhancing. So, it's not just productivity because there are different dimensions in which GenAI can come and have an impact, be it in experience or efficiency or effectiveness. And that's really what we are bringing to bear. We are also in line in terms of meeting or exceeding our expectations as far as GenAI or underlying technology construct is concerned.

Asha Gupta :

We have a follow-up question from the line of Sandeep Shah.

Sandeep Shah :

Just the first question, Kapil, in terms of large deal, can you share some metrics in terms of how we define a large deal? How is the pipeline shaping up? Any closure or you expect closure to happen in an accelerated fashion, maybe second half of next or the next financial year?

Kapil Jain :

So, what we have defined is like USD 25 million ACV that we have closed, anything above USD 2 million ACV is what we are saying is a large deal for us, for our business. We have a pipeline, which comprises of USD 2 million-plus deals. And we are looking to see how we can accelerate closures of some of those deals between now and the subsequent quarters.

Sandeep Shah :

Is it fair to assume, Kapil, this USD 25 million ACV, which we have closed in the first quarter, could be the floor and there could be more upside going forward?

Kapil Jain :

I hope that is the case.

Sandeep Shah :

And just on the GenAI, Kapil, you continue to believe

this would be an opportunity for eClerx rather than a threat. Why I'm asking is, it has started disrupting some of the voice-centric BPO company. I do agree for us, voice is very minimal. So, can you share experience where you said when you start sharing productivity gains, how much percentage in terms of productivity gains, which we have to pass on, if you can share an example?

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Kapil Jain :

Which is what I'm saying, it's not like the value that we deliver to the clients. We are not in traditional BPO business, where you are saying, look, Y-o-Y, what is the productivity. We are in a business, which is high end, more complex in nature. So, it's the value that client drives. While in BPaaS business, if I am delivering a transaction at X by virtue of bringing technology and ingesting Gen AI, yes, I will pass on the reduction to the client, and I'll say that Y-o-Y. But it's not that clients are saying I'll give you only business because the value that we are able to deliver is far more than like 5, 7 because we are

maintaining and managing on the risk and compliance side and so on and so forth.

In terms of your first question that do you see that for us, will it be accretive? See, first of all, we will not shy away from losing revenue because of Gen AI or cannibalizing our own revenue. But I think it's an opportunity for us. I have said this in the past as well because of 3 reasons. One is that we have productized services. And by that, what I mean that the entire service stack has underlying technology on which we are delivering our BPO for our clients. And Sanjay and his team are working to ingest GenAI into all our technology platforms that we used to deliver our services. Second, our domain intensity is very high. And third, our process knowledge. So given all these 3, I see that GenAI will be an opportunity for us and not a threat.

Sandeep Shah :

Okay. Fair enough. And just last 2 bookkeeping, Srini, just wanted to understand why cash and bank has been flat in this quarter. I believe the buyback and the dividend payment will happen in 2Q. And second, what is the reason for a higher finance cost? Is it this base will continue maybe because of the higher leased amortization costs, which we may have incurred for the additional seats?

Srinivasan Nadadhur :

Yes. The answer to your second question is, yes. It will continue for that period. The cash and bank, I have to check. I don't recall it being flat. Let me just check that, I'll get back to you Sandeep.

Asha Gupta :

That was the last question for the day. Srini, back to you for closing comments .

Srinivasan Nadadhur :

Thank you, Asha. Thank you, participants, for joining the call, and we will see you again back next quarter. Thank you, everyone. Goodbye.

Kapil Jain :

Thank you all.

Asha Gupta:

Thank you, everyone. Goodbye.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2024

eClerx/SECD/SE/2024/162

November 11, 2024

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended September 30, 2024

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on November 6, 2024 with respect to the financial results of the Company for the quarter/period ended September 30, 2024.

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
VP-Legal & Company Secretary
F8538

Encl.: as above
eClerx Services Limited
November 06, 2024
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eClerx Services Limited
Q2FY25 Earnings Conference Call

November 06, 2024

eCLERX MANAGEMENT:
KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:
AAYUSH RASTOGI – B&K SECURITIES
DEBASHISH MAZUMDAR – SVAN INVESTMENTS
KRISH BERIWAL – NOMURA SECURITIES
RAHUL JAIN – DOLAT CAPITAL

SANDEEP SHAH - EQUIRUS SECURITIES
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES
VARUN BANG – BANDHAN LIFE INSURANCE

eClerx Services Limited

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2 Asha Gupta :

Good evening, participants, and welcome to the Q 2FY25 earnings call of eClerx Services Limited.
Please note that this webinar will be recorded .

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by Kapil Jain - Managing Director and Group CEO and Srinivasan Nadadhur - Chief Financial Officer. We will start the call with brief opening remarks by Kapil followed by Srinivasan , who will be sharing the financial update and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is mentioned on this call that gives any outlook for the future, or which can be construed as a forward -looking statement must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included, but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual reports, which you can find it on our website.

With that said, I will now hand over the floor to Kapil. Over to you, Kapil .

Kapil Jain :

Thank you, Asha and good morning, everyone. It has been an excellent quarter for us. And I'd like to share highlights of our performance for FY25 Q2 .

Operating revenue in Q2 was USD 98.8 million , up 6% sequentially and 12.8% year on year driven by exceptionally strong growth in our financial markets business and supported by customer operations business. In rupee terms, Q2 operating revenue was INR 8,318 million , up 6.4% quarter on quarter and 15% year on year.

Margins have shown a strong sequential improvement as well. This is attributable to three key reasons, strong revenue growth , improved utilization and some one -offs. Srinivasan will cover the one -offs in some more detail. EBITDA for Q2 was INR 2,288 million , at a margin of 27.1% , while PAT for the quarter was INR 1,402 million at a margin of 16.6%.

Our analytics and automation business is USD 19 million this quarter , up 10% sequentially , which is a positive sign. Our financial markets business had an exceptional Q2 with strong offshore and onshore

growth in the client life cycle business contributing to most of the growth. The momentum in this business continues to be strong , and we see demand in both change and BAU areas of this business. The growth in customer operations was driven by the care business. Digital had a mixed quarter with growth in data operations segment but offset by a slowdown in the creative business . In client geographies , growth in North America was strong while Europe for us continues to remain challenging.

ACV of the deal wins for the quarter was a strong at INR 28.9 million . Roll-offs in Q2 were higher than Q1 and the full impact of these roll -offs will be felt in Q3. These roll -offs are related to short term projects which have come to a planned end. However, the pipeline continues to be strong , our delivery remains strong , our value proposition continues to resonate well with clients and the medium to long term growth momentum remains intact.

Let me also provide commentary and outlook for each of our three businesses. We continue to see broad opportunities in financial markets , in KYC , onshore consulting and delivery. We are in conversation with a broad set of potential clients and are working on several active RFPs . With some of our clients , we are also starting to uncover opportunities in tech and change area and given our strong domain [and] strong delivery , we believe we can meaningfully grow our presence in the change area .

In the Digital business, fashion and luxury saw a decline with global fashion houses reporting less client demand , particularly out of China. This is likely to continue for the next couple of quarters. We see budget outlook improving on hi -tech, retail, manufacturing and distribution. We have also seen initial success in cross selling our MarTech and Data Engineering services to some of our clients in financial

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3 services space which we see as a positive sign .

In customer operations , the industry continues to see pressure around revenues and subscriber growth.

Despite this, because of our strong delivery, we see continued strength in existing client growth and client diversification.

We have combined technology and analytics under single leadership. This will help us position our services better to improve agility and enhance the value proposition for our clients. As I mentioned earlier, we are seeing a pickup in demand for change and transformation services in our financial services space.

Finally, I'll conclude with awards and recognition and hand it over to Srini for more detailed commentary. In customer operations, we were recognized by one of our large clients as "Most Insightful and Innovative Partner" in their annual partner summit. Our QA360 quality as a service platform used for call monitoring, scoring and auditing in the customer operations business won the CIO100 India Award. We won silver award at the 2024 Brandon Hall Awards for excellence in learning and development in the category of best custom content. Our award-winning entry was a transformative learning and development project designed to enhance the communication skills of analyst and senior analyst in financial market operations. The win marks our seventh consecutive year of winning at the Brandon Hall Awards.

I think people are key assets and this really differentiates how we are delivering services to our clients. Industry analysts have started to recognize a market leadership across products and services. In the last quarter, eClerx was rated as a "Major Contender" in RPA Products and in Customer Experience Management (CXM) Services Americas and as an "Aspirant" in Finance and Accounting Peak Matrix assessment by the Everest Group.

I'd like to thank all our clients, employees and stakeholders for their support and confidence in us and over to you Srini.

Srinivasan Nadadhur:

Thank you, Kapil and good evening,

everyone. Let me provide a little more detail on our financial performance.

So as Kapil mentioned, operating revenue was USD 98.8 million, sequentially grew by 6% in USD terms and 5.7% in constant currency terms. On year-on-year basis, revenue increased by 12.8%. Total revenue for this quarter was INR 8,447 million, up 5.2% sequentially and 14.8% year-on-year.

Other income for the quarter was INR 128 million, lower than the previous quarter, since we completed the buyback in July. The EBITDA of INR 2,288 million is up 22% sequentially and 4.5% YoY. The PAT of INR 1,402 million for the quarter is up 26% sequentially and 3.9% YoY. As mentioned, the reasons for the margin expansion are threefold. One is the increase in revenue leading to operating leverage. The second is the higher utilization in the quarter. So, the excess bench that we are carrying in Q1 in anticipation of future work became billable in Q2. The third is because of some one-offs in the previous quarter such as sign-on bonuses, higher 401k contributions and a change in the calculation of provision for leap. The impact of these one-offs on margin is about 85 bps.

The exit headcount has increased by about 480 to 18,227. Attrition is at 22%, which is higher than Q1 as we had anticipated.

On the key business metrics slide, the top10 client concentration is now up to 63%, a result of the strong growth in top clients in financial markets and customer operations. DSO is 77 days compared to 81 days in the previous quarter.

Our new office spaces in Chandigarh and Pune will go live in Q3 and the new space in Mumbai will go live in early Q4. So, there will be an increase in seat count and G&A and depreciation costs will go up in Q3 and Q4.

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4 Thank you everyone. With this, we conclude our prepared remarks. So, we can now move to the Q&A session.

Asha Gupta:

Thank you, Srini. Thank you, Kapil. We will take the questions now. First question comes from the line of Sandeep Shah. He is from Equirus Securities.

Sandeep Shah:

Congratulations on a superlative performance both on revenue as well as margins and even free cash flow. So, the first question, despite the strong growth, the demand commentary looks slightly mixed where we are bullish on BFSI, but we are also slightly cautious about the other segments. So, can you elaborate in detail how the second half will look like with all the comments which you have given on tailwinds and headwinds? And you also commented the roll-offs being higher in Q2 versus Q1 and will have a full quarter impact in Q3. So directionally, how do you see the growth in the near term and its impact on the margins?

Kapil Jain:

Sandeep, thanks for the question. Like I had said in the beginning that the strategy that we had put in place was to see how we can cross sell and upsell in our existing set of clients. So that seems to be working well. In terms of the overall guidance that we had given was those 3 things, we have said that we will be in the range of 24% to 28% on an EBITDA for the full year, which we are saying we will. Second, we had said we will show sequential growth year-on-year on the absolute EBITDA number.

And third, we said that we would be in the top quartile of the growth amongst our peer group. And in short to medium term, the H2 outlook is in line with what I had just stated and what we have stated earlier as well. The overall strategy in terms of tech and change, which I alluded to as well as cross sell, as well as the growth on the back of strong delivery that all is continuing. And we are seeing green shoots in that area as well as in terms of some of the analyst rankings.

Sandeep Shah :

So, what is the nature of these roll-offs? Is that project completion or these are customer specific issues?

Srinivasan Nadadhur :

No. These are project completions. So, they were short

term projects that we started sometime earlier

in the year, and which have now come to planned end.

Sandeep Shah :

Okay.

Kapil Jain :

So, there is no roll off that we have had, which is on because of delivery issues, and this is a part of the business.

Sandeep Shah :

Okay. So, if I understood correctly in Q3-Q4, we may do well. But you said on YoY even on a QoQ directionally, it should be a positive growth?

Kapil Jain :

See, I think to expect the same growth that we have delivered in Q2, I think it will not be appropriate, and we don't give forward-looking guidance, but in terms of medium to long term outlook stays positive, which is backed by the good pipeline that we have, as well as in terms of some of the success we have seen on the initiatives that we had embarked on which I had alluded to at the start of the year.

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5 Sandeep Shah :

Okay. I will come in the follow up. Thanks, and all the Best.

Asha Gupta:

Thank you, Sandeep. Next question comes from the line of Aayush Rastogi. He is from B&K Securities.

Aayush Rastogi :

Thank you so much. So, a couple of questions. On G&A side you mentioned that it would be on the higher side, what we have seen in Q2. So, what is the comfortable band that we are eyeing for the H2 or maybe like for the full year, if you can just guide us in terms of percentage of revenue, that's the first question. Second question is on acquisition front. So, what sort of capabilities or in terms of implementation of those capabilities? Are we sort of eye for or is it more of a list like that we are looking for the customer operations side of the business, maybe to the near shore. So, these are the couple of questions and then I'll have a follow up.

Srinivasan Nadadhur :

So, on the G&A thing, we expect max about 50 to 70 bps impact, [as] the percentage of revenue in Q3 and Q4.

On your second question on M&A, so our priorities remain unchanged. We continue to look for assets which can meaningfully add to what the capabilities that we have. So, in financial markets, we are extremely strong in the delivery of KYC service, but something upstream to that in terms of consulting or advisory would be of interest to us. On the digital side, something on analytics would be of interest as with something in the creative space. On the technology side, we are users of salesforce and adobe platforms from the operations side and we'd like something that gives us an edge on the implementation side of these products. So, we are looking for assets in those areas and on the customer operations side, something on near shore might be of interest for us. The priorities broadly are the same that we had listed out last quarter. They have not changed.

Aayush Rastogi :

Next question is like basically you know that we had commented in the last earnings that we are eyeing for the double-digit kind of a growth that's an aspiration. So, it seems easily achievable for us. So, is it fair to assume if you see the ACV trend for us for the one, it looks pretty strong, so fine to assume that we would be, you know, eyeing almost like for mid-teens kind of a growth, which is kind of doable for the full year?

Kapil Jain :

So, Ayush, we don't offer a forward-looking guidance, but the overall progress is good. And I think we continue to state what we had stated when I had presented overall strategy for this year and the future, and I think our outlook stays positive for medium to long term, quarter on quarter aberrations may happen, but the full year, what we are saying, we still stand with it. On the growth. I had said top quartile. So, it unless something happens, what you are saying should be achievable and then on the margins as well as on the sequential growth in EBITDA.

Aayush Rastogi :

Thank you so much.

Asha Gupta:

Thank you, Ayush. Next question is from the line of Shradha Agrawal from AMSEC Securities.

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6 Shradha Agrawal :

Congratulations to the team on an exceptionally strong quarter. 2-3 questions from my side. Just again, persisting on the guidance if at all you can indicate for Q3 given that ACV this quarter has been relatively soft and then on a YoY basis, it is actually declining. So, from that perspective, how should we look at growth trends in the second half of the year?

Kapil Jain :

I think quarter on quarter, the aberration may happen. I think if you look at sequentially, we have shown a marginal increase. YoY, yes, because I think sometimes it does take time and also the clients are taking longer in decision making. That is what we have seen because the overall market is volatile, and we are cautious. However, given the pipeline growth, the momentum we are seeing in the business, I still feel in terms of restating what we had said earlier. And as I had said earlier that forward-looking guidance we have not provided. So, I'll reserve my comments on that, but for the full year, we continue to stay positive and in line with what we had stated earlier.

Shradha Agrawal :

And so just again insisting on the same thing, generally employee addition has been one lead indicator of revenue growth for us. And despite a good uptick in utilization, our employee count is up almost 2.5% to 3% on a sequential basis. So, is it reasonable to assume a 2%, 2.5% kind of sequential growth going into Q3?

Kapil Jain :

I'll repeat the same.

Shradha Agrawal :

Okay. No worries. And again, on a QoQ growth, if you look at growth, this quarter was driven more by the top accounts and the emerging clients were relatively soft. So, any demand trends or variances in demand between the top and the emerging clients, that would be helpful.

Kapil Jain :

I think what we are trying to do is also look at new buying centers in our top clients. And like I said earlier, we have seen some success. It's only been six months from the time when we have formulated our strategy and thinking. So that gives us confidence that there is still an opportunity in taking our service offerings, product type services into our large clients as well as in emerging markets, there is an opportunity for cross selling some of our product type services in customer operations as well as in finance and accounting. And that is really where we have to double down and focus on as we move into H2 as well as for next year.

Shradha Agrawal :

Right. And just last bit on financial markets, we have been showing strong growth in this segment for last 2-3 quarters in a row now and given the expectation of further lowering of interest rates, do you think traction in this segment can further pick-up or demand should get further strengthened in this segment for us going ahead?

Kapil Jain :

I think our financial markets growth is driven primarily from a compliance and regulatory perspective, so that I think it is a big driver. And second is the overall activity in the product classes that we support in the global market operations, and we do not anticipate a slowdown, but compliance and regulatory, I think SEC and FCC, I think it is something that we'll continue to see it in, in terms of whatever the growth we have seen, there is little amount of volatility on the compliance space because let's say if

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7 someone has got one of our clients, some clients will get, let's say a timeline by when they have to complete certain regulatory requirements. And that is really where we support our clients which drives the demand and growth.

Shradha Agrawal :

Great. Thank you and all the best, sir.

Asha Gupta:

Thank you for Shradha. Next, we have a follow up question from the line of Sandeep Shah.

Sandeep Shah :

Thanks for the opportunity again. I just wanted to understand how to look

at the ACV conversion which

we have started reporting 2-3 quarters back in terms of the conversion to revenue. So, because last year, we were at \$90 million to \$92 million this time, we could be close to \$100 million and that on the top line looks like a bigger jump in the next year. So, can you give us color in terms of how to arrive at an approximate growth rate based on ACV, keeping in mind the roll-offs will continue year after year?

Srinivasan Nadadhur :

So basically , ACV minus roll -offs should be the net addition to revenue in any year.

Sandeep Shah :

Okay. So, Srini just the normalized business or demand environment , what could be the annualized rollout figure?

Srinivasan Nadadhur :

Normal value is about 15% to 20% in a year.

Sandeep Shah :

15% to 20% of the top line ?

Srinivasan Nadadhur :

That's right.

Sandeep Shah :

Okay. And Srini , in the first quarter, if I recollect in the earnings call, we said we will pull up margin on QoQ basis from Q2 to Q4. So, now with new facts, do you still stay by that statement where Q3 margin higher than Q2, Q4 margin higher than Q3 with some amount of headwinds you called out ?

Srinivasan Nadadhur :

Yeah. So, if you remove the impact because of new facilities going live and if you remove the impact of the one -offs in Q2, then based on that, if revenue growth continues to happen, then we believe that what you are seeing holds good. So, the key determinant of margin is basically revenue growth.

Sandeep Shah :

Okay. Even revenue growth happens even with one -off, we can be still better on a QoQ in Q3 over Q 2?

Srinivasan Nadadhur :

Yes, removing the one -off.

Sandeep Shah :

Okay. And can you explain the nature of one -off sign on bonus? And why you believe those are one -offs will not come in Q3 as a whole?

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8 Srinivasan Nadadhur :

Senior management sign on bonuses. So, it will not come again. So that was one . The second is usually after bonuses are paid , the contribution to 401k increases in that quarter. So that's why it's high. I'm talking about the US. So that is the other one off. And the third one is that , when we make provisions for leave encashment every quarter, we just use the approximate calculation for that and in Q4 every year, we do an actuarial valuation. But this time , we did an actuarial valuation in Q2 itself , which led to a reduction in the accruals .

Asha Gupta:

Thank you, Sandeep. We have next question from the line of Debashish Mazumdar. He is from S van Investments.

Debashish Mazumdar :

Good evening to the management team. Congratulations on a very good set of numbers. I have two questions. First is related to the vertical exposure that we have from the numbers of your exposure to geography and clients , it seems to be the large part of the growth is driven by financial services which has definitely grown much more than what is our overall company growth would be in this quarter and the luxury segment must have been significantly impacted. So, if you can give us some amount of indication that how the financial services , customer segment and the digital segment growth going forward over the period of next two to three quarters and what are the opportunities you are seeing there? So that is the first question , and second question is for Srini, if you can quantify of the 85 bps QoQ one-offs that you were talking about how much of that is related to that bonus signing and change in accounting policy and how much is driven by higher utilization and higher revenue growth ?

Srinivasan Nadadhur :

So that 85 bps to 90 bps is entirely because of bonuses and leave provisions , it does not include the high utilization or the revenue.

Debashish Mazumdar :

Okay.

Kapil Jain :

So, in terms of like I had said earlier in financial markets, the demand is driven on the back of compliance and regulatory work as well as increased activity in differ

ent asset classes that we support

on the market side . On the customer operations , the demand is driven on the back of existing clients as well as cross sell opportunities in other verticals. And on digital, we are seeing again, cross sell opportunities of MarTech analytics into financial services clients. The softness we are seeing is in the creative side on the CLX business, which is primarily due to the low demand that is coming in from China.

Debashish Mazumdar :

Great ! Kapil , one more question if I can add . If you can also help us to understand since you joined how the structure of the business changed in terms of focusing on existing top 10 clients or the annuity business or the focus more on maintenance business. So, what are the kind of changes that you have

implemented? And where are the benefits that we are seeing today? If you can help with that.

Kapil Jain :

So, the bit I think our delivery was very strong and then our ability to offer productized services as well as embed technology in everything, we are doing was a unique differentiator that gave a very strong eClerx Services Limited

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9 platform to go and take this value proposition to the clients and drive the growth momentum. And that is what we are seeing.

I think the opportunity to cross sell , up-sell, I think we are seeing that and the overall strategy of one eClerx , that we are driving I think is helping us in front of the clients as well as with our sales engine as well as on the employee side. Because instead of three individual businesses, it's one eClerx plus \$350 million business, 18,000 people, I think resonates well with the client. And so that's really what we are embarking on. And I think what we are seeing is the green shoots of the strategy that we had laid out.

Debashish Mazumdar :

Okay. So, just to understand one more thing here before you join ed, we were significantly focusing on clients beyond top 10. So that our exposure to few of the clients get reduces, at least from the last two quarters numbers, it seems to be that the focus on the top 10 client has come back. So , the point that I'm trying to understand that is it because the top 10 clients have started growing because of the initial green shoots that we see , or it is the incremental proposition that we are taking to those cli ents that is helping us to win new businesses ?

Kapil Jain :

It's a combination of both Debashish , and that will also help us derisk the risk in our top 10 clients because we are looking to see how we can find newer buying centers in our top 10 clients. And it's not that the focus is not there outside of top 10 clients. I think the focus continues in o utside of top 10 clients as well on taking our productized services and cross selling, let's say, which I mentioned our customer operations, finance and accounting, as well as our MarTech and analytics business.

And we are seeing good traction on the change tech and change side, which is what I had alluded even in the earlier earnings call that given our strong delivery domain and productized services renders well with the client's agenda on change.

Debashish Mazumdar :

Okay, and one last question, So, we are hiring the senior leadership over the last 2 -3 quarters aggressively. So, do we think that the senior leadership hiring is done , and the large part of the employee cost escalation is behind us ?

Srinivasan Nadadhur :

The senior leadership under Kapil , that hiring is done. But under the senior leaders, we will decide on a case -to-case basis on whether we need to strengthen in certain areas, add more sales muscle in other areas and so on, that continues to happen on a case -to-case basis.

Debashish Mazumdar :

Okay. So, broadly what I'm trying to understand that employee cost as a percentage of revenue, is it like at the level that we are today , will we be able to see that falling trend going forward apart from the sa

lary hikes quarters that we see apart from that, is there any possibility that our employee cost as a percentage of revenue will keep on coming down from here ?

Srinivasan Nadadhur :

That is a little hard to say. The reason I say that is if we are moving into more change and analytics kind of work, then the employee cost in those areas is higher. So, it's kind of hard to say definitively that the employee cost has peaked.

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10 Kapil Jain :

So, I think we will continue to add sales engine right, sales bandwidth and in terms of I said earlier as well, when we are looking at hiring sales bandwidth , leadership hiring, we look at in terms of what is the contribution we will have both on the top line and the bottom line. And I have said that , yes absolute margins are important . For me , what is important is the overall EPS accretion and sequential growth on EBITDA. And that continues to be the focus and, and we will continue to be in the band of what I had stated between 24% to 28 % . So , all the decisions that we are making is taking that into consideration, not in terms of okay, let's like, yes, there are a lot of input metrics that we monitor and measure. But at the outset, these are the three guiding sort of a north pole that we have, which we look at when we are making some of these decisions.

Debashish Mazumdar :

Sure. And thank you so much for answering my questions.

Asha Gupta:

Thank you Debashish . We have a follow up question from Sandeep Shah .

Sandeep Shah :

Just a clarity. Srini , you are saying because of the new facility, Q3 and Q4 each will see a 50 bps, 60 bps QoQ increase in the G&A cost as a percentage to revenue ?

Srinivasan Nadadhur :

Q3 for sure, Q4 may be lower than that.

Sandeep Shah :

Okay and how the depreciation will look like ?

Srinivasan Nadadhur :

I think about the same, I think it will go up by about the same percentage.

Sandeep Shah :

In terms of 50 bps, 60 bps higher ?

Srinivasan Nadadhur :

Yes, that's what I estimate. I have not looked into it in more detail.

Sandeep Shah :

Okay. And looking at the strong growth in Q2, especially in the top 10 clients in BFSI, there could be a follow up impact because those projects might have started in between the quarter, end of the quarter may have some impact in terms of a positive growth in Q3 as well. Is it the right way of looking at it?

Srinivasan Nadadhur :

Yes, that is fair.

Sandeep Shah :

Okay. Thank you.

Asha Gupta:

Thank you, Sandeep . We have next question from the line of Krish Beriwal from Nomura Securities.

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11 Krish Beriwal :

So just one question. Can you share some details around our current pipeline? And how is it against, let's say start of the year in terms of size or average 10 year and nature of these ?

Kapil Jain :

I think our pipeline pressure is up from when we started the year and it's broad based. We have the pipeline involves the opportunity that we had seen in the beginning, which is cross selling. So, there are opportunities on that front. We are also seeing a pipeline which is of larger deals compared to what we had seen earlier. So that's another good sign and as well as it's across the three businesses that is financial markets, customer operations and digital and in tech and change. So overall pipeline momentum is positive, like I said, in digital, we are seeing a little bit longer timelines in terms of decision making.

Krish Beriwal :

Got it. That's useful and just one follow up on our top 5 accounts , they have done very well this quarter , so is a growth broad based within those top 5 accounts or driven by 1 or 2 ?

Kapil Jain :

No, it's broad based . It's not just dominated by one or two accounts .

Krish Beriwal :

Okay. Thank you so much.

Asha Gupta:

Thank you Krish. We have next question from the line of Rahul Jain from Do

lat Capital.

Rahul Jain :

So, two questions. Firstly, on the margin outlook that we have shared earlier , since we might see our growth actually pick up better this year versus the previous year. Do you see that once the growth is back , this band would get narrower towards the upper end in the year to follow or you think this is more a strategic thought process. So, you would continue to invest back into the business and stay in this broadband even from a medium -term perspective.

Srinivasan Nadadhur :

So, at the moment, I think the commentary that we have given on the band is for this year , for FY25 .

For FY26 , I think we really need to evaluate the situation which we are just in the process of starting.

So, we need to evaluate whether the band will change upwards or downwards, but we haven't come to any decision on that yet.

Rahul Jain :

Sure. And secondly, we highlighted about the opportunity that we see in the analytics as well as MarTech side, it would be great if you could share some thought process what is the size of this practice for us at this point? And how the competitive landscape is here? My understanding is that this is very scattered market, so any color on this element ?

Kapil Jain :

So, our analytics automation was what we did was we combined, as I had stated earlier, the analytics and technology, we brought it together, which has resonated well with the clients. And in terms of the overall value proposition that we are able to take and in terms of overall competitiveness we have a

good roster of clients, and I think a very strong referenceable client set. So, we are positive in terms of the momentum that we will be able to drive on the analytics side.

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12 Rahul Jain :

Anything more on the size of the business and also any seasonality that you have within your portfolio in the MarTech business, if that could be shared?

Kapil Jain :

I think in the creative business is where we had said that we are seeing softness in demand. On the campaign, management and performance analytics, we continue to see a good demand and I think in terms of size of the business, we don't give individual split of the businesses. So, I'll reserve but like I said, from what we are seeing in the market and from our clients, we are competitive and, and we have a good value proposition for our clients.

Rahul Jain :

Right? So, Kapil, what I'm trying to understand is generally this kind of businesses. They do have, you know, spike both up and down. So, is there a way to understand the seasonality like Q2, Q3 to be bigger quarter for such business or there's no such trend that we have identified in the past?

Kapil Jain :

I think it's a little difficult to identify the trend in quarter on quarter. I think we look at anything we are doing, we are looking at how we create medium to long term value, both for our clients and shareholders. So, I think in terms of quarter-to-quarter seasonality, we haven't seen or identified a trend.

Rahul Jain :

Okay. Thank you guys. Best wishes.

Asha Gupta:

Thank you, Rahul. Next question we have from the line of Varun Bang.

Varun Bang :

Thank you for the opportunity and congratulations for the strong performance. Just one question. So, within the three verticals, can you explain on the cross sell and upsell opportunities in detail? Maybe if you can give or state one or two examples to explain how we are upselling and cross selling?

Kapil Jain :

So, for example, our Mar Tech stack, we have had a win in the financial services client, so that's one thing. Our customer operations in hi-tech area, one of our product type services. So those are some of the successes we have seen which are the two large ones and I think on the back of this is giving us the confidence on our ability to cross sell and upsell. And the reason, I think our delivery, as I had mentioned again is very strong,

so, the internal clients act as reference when we are cross selling and upselling to other stakeholders, the same client.

Varun Bang :

And on the upselling side, if you can give, for example as to?

Kapil Jain :

I think in terms of looking at adjacent areas and on the overall change and tech stack is where we are seeing upselling because we have domain productized services and looking at changed driving transformation is where we feel there's an opportunity for upside.

Varun Bang :

Okay. Got it. Thanks.

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13 Asha Gupta:

Thank you, Varun. We have next follow-up question from the line of Debashish Mazumdar.

Debashish Mazumdar :

Srini, one follow-up question on margin. So, effectively what we are communicating is, this quarter our core EBITDA margin is 26%, which has 85 bps of one-off benefit which will not be there next quarter. So, is it like we are starting Q3 where around 120, 130 bps lesser compared to Q2 or is there something I'm missing?

Srinivasan Nadadur :

How do you get 120 to 130 bps?

Debashish Mazumdar :

85 bps is the one-off and then 50 bps impact you said because of the new change?

Srinivasan Nadadur eClerx Services Ltd - Chief Financial Officer

Yes, that's a fair assessment.

Debashish Mazumdar :

Okay and do we have enough levers available to nullify some of this 120, 130 bps impact that we will be seeing sequentially?

Srinivasan Nadadur :

It's largely based on revenue growth. So, if there is revenue growth, then we should be able to do it.

Debashish Mazumdar :

So, the question that you answered on Sandeep's question on few of the new projects that is getting started because our ACV in Q1 was very, very strong. So is it fair statement to assume that in Q3 may not be at 5% , 6% but we'll have a reasonable amount of handsome growth that will be making in Q3 that will be able to maintain some amount of margin benefits. I mean, some amount of margin that will be losing in Q3 ?

Srinivasan Nadadhur :

I think the way you should look at it , is put both ACV and roll -off together. I think you're only looking at ACV.

Debashish Mazumdar :

Srini, what I'm trying to understand is , so in H1 put together, our average ACV growth is around 35% , 36% and even if you assume 12% to 15% roll-offs, I think getting a 12 % , 13% growth in this year will not be a very big trouble and in that case, our sequential growth ask rate is supposed to be 3% , 3.5%. So, is it a fair assumption that in next two quarters, the CQGR will be 3% , 3.5% to reach a 12.5% number for this year?

Srinivasan Nadadhur :

The assumptions are fine. But what we don't have is the visibility in those.

Kapil Jain :

I think you're asking in terms of I had mentioned that we will be in the top quartile of the industry peer segment that you evaluate us on , now whether that is 12% ,13%, 15%, 9% that's something I think it is your guess as well as mine, right? So, we will be in the top right on the margin in terms of whatever impact, one of whatever we will be in the range of 24% to 28% and we will show sequential a bit of eClerx Services Limited

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14 both these three things. I have said, we will stick to it, and we'll maintain that, and we'll deliver that to you guys.

Debashish Mazumdar :

Sure. Thank you so much.

Asha Gupta:

Thank you Debashish. We have a follow up question from the line of S andeep Shah .

Sandeep Shah :

Yeah, that's the question on capital allocation. We generally prefer a buyback as a method of cash distribution. So , with the tax ruling change in the budget, do you believe our priority may be now more towards dividend or priority continues to remain on a buyback?

Srinivasan Nadadhur :

I think we will definitely have to examine it, as you say, there is no difference in buyback and dividend anymore other than the reduction in dilution . So, we have to examine, bu

t I guess there is a lot of time for us to do it.

Asha Gupta:

Thank you, Sandeep. As there are no further questions, I will now hand over the floor to Kapil for the closing comment.

Kapil Jain :

Thank you, everyone. And once again, I'd like to thank all our clients for having the confidence in us and all employees, my colleagues who have worked very hard to deliver the quarterly performance that we delivered. And thank you all for your support and look forward to talking to you in the next quarter.

Thank you very much.

Srinivasan Nadadhur :

Thank you .

Asha Gupta:

Thank you, everyone.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2025

eClerx/SECD/SE/2025/016

February 5, 2025

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended December 31, 2024

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on January 30, 2025 with respect to the financial results of the Company for the quarter/period ended December 31, 2024.

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
VP-Legal & Company Secretary
F8538

Encl.: as above
eClerx Services Limited
January 30, 2025
1

eClerx Services Limited
Q3FY25 Earnings Conference Call

January 30, 2025

eCLERX MANAGEMENT:
KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:
GIRISH PAI - BOB CAPITAL MARKETS
GOKUL MAHESHWARI – AWRIGA CAPITAL
JALAJ MANOCHA - SVAN INVESTMENT S
JASDEEP WALIA – CLOCKVINE CAPITAL

NITISH REGE - CHRYSCAPITAL
RAHUL JAIN - DOLAT CAPITAL
SAMEER DOSANI - ICICI PRUDENTIAL AMC
SANDEEP SHAH - EQUIRUS SECURITIES
SHRADHA AGRAWAL – ASIAN MARKET SECURITIES

eClerx Services Limited
January 30 , 2025
2 Asha Gupta :

Good evening participants, and welcome to the Q3 FY25 earnings call of eClerx Services Limited. Please note that this webinar will be recorded.

To take us through the results, and to answer your questions we have with us, the top management of eClerx represented by Kapil Jain - Managing Director and Group CEO and Srinivasan Nadadthur - Chief Financial Officer. We will start the call with brief opening remarks by Kapil, followed by Srinivasan, who will be sharing the financial update and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is mentioned on this call that gives any outlook for the future , or which can be construed as forward -looking statement must be viewed in conjunction with the risk and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual reports which you can find on our website.

Having said that, I will now hand over the floor to Kapil. Over to you, Kapil.

Kapil Jain :

Thank you, Asha, and good evening everyone.

Let me share highlights of our performance in FY25 Q3. Operating revenue in Q3 was \$100.7 million , up 1.8% sequentially , driven by growth in our Digital and Financial markets business. For the nine - month period , dollar revenue was up 11.7%. In INR terms, Q3 operating revenue was INR 8,538 million, up 2.6% quarter -on-quarter and 14% for the nine -month period. As we had indicated , margins in Q3 were lower and in line with our Q2 commentary, this is because of the removal of one off in Q2 and the lower utilization in Q3 which is in line with our long -term average. EBITDA for Q3 was INR 2,281 million at a margin of 26.1%, while PAT for the quarter was INR 1,371 million at a margin of 15.7%.

Our Analytics and Automation (A&A) business was at \$20.8 million this quarter, up 9% sequentially , driven by pickup in change and transformation work. We saw growth in the non -top 10 clients in this quarter. The Analytics and Ma rTech services with

in Digital grew, and we also saw growth in Creative

Services , albeit on the lower base of Q2. Growth in Financial Markets was predominantly in the Trade LifeC ycle segment. ACV of the deal wins for the quarter was \$33 million , up sequentially. We continue our efforts to further strengthen the pipeline , to focus on our technology business and on large deals and cross -sell efforts.

Let me also provide some commentary and outlook for the three businesses. We continue to see opportunities in Financial Markets in Client L ife Cycle, compliance, onshore delivery and technology services. In the Digital business, after a challenging Q2, fashion and luxury showed a minor recovery in Q3 , with the industry expecting demand in the low single digits for CY 2025. Hi-tech, retail and manufacturing & distribution performed in line with the industry growth. In Customer Operations, we are seeing momentum around new logo acquisition and are seeing early success in cross -sell of our Care business into other verticals. An important strategic initiative of geo diversification is successfully underway - we have set up a subsidiary in Peru and will launch operations in late Q4. We also expect to start providing Care support from our Manila delivery center. As I have mentioned earlier, the cable and telecom industry continues to be under pressure and there is a lot of focus on the subscriber retention by our clients . On Technology and analytics, we see continued traction with banking, hi -tech and retail clients with wins in change, data engineering, and productized services.

Finally, I'll conclude with awards and recognition and hand it over to Srini for more detailed commentary. We were recognized as a Major Contender in the "Experience -Driven Integrated BFS Operations PEAK Matrix® Assessment 2024 ". We are also now certified for ISO 42001, a very recent eClerx Services Limited
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3 standard focusing on AI management systems which was only introduced in December 2023. As of last month, we were one of the five global companies to have received the certification and recognition.

In conclusion, crossing the INR 400 million run rate is a significant milestone for us. We are immensely grateful to our customers, employees, investors and partners for their trust in us. And we look forward to the support of all our stakeholders as we navigate the future. Thank you, and over to you, Sri ni.

Srinivasan Nadadhur :

Thank you, Kapil. Good evening , everyone. Just to provide a little more color on our financial performance.

So, the operating revenue was \$100.7 million , up 1.8% sequentially and 2.2% in constant currency terms. On a Y -o-Y basis, the revenue increased by 11.2%. Total revenue for this quarter was INR 8,752 million up 3.6% sequentially and 13% Y -o-Y. Other income for the quarter was INR 214 million largely due to revaluation income on the back of INR depreciation.

The EBITDA of INR 2,281 million and 26.1% margin is flat both sequentially and in Y -o-Y terms. The PAT of INR 1,371 million for the quarter is at 15.7% margin. The reasons for sequential reduction in EBITDA percentage are largely because of the one -offs in Q2 and the lower utilization in Q3 as compared to Q2. We also incurred higher legal fees related to setting u p the new entity and to tax consulting services. You would have noticed in the business metrics slide that the seating capacity has increased by 1 ,800 seats, as new facilities in Mohali, Pune and Mumbai have gone live. This has also led to an increase in facility housekeeping security and associated transportation costs. The three facilities went live in the latter part of Q3, so the full impact of t his cost increase will be felt in Q4.

The exit head count increased by about 400 to 18,642, attrition is at 19% well within control. Top 10 client concentration is about 62%, DSO is 83 days as compared to 77 in the previous on e.

Thank you everyone. And with this, we conclude our prepared remarks. We can now move on to the Q&A. Over to you Asha.

Asha Gupta:

Thank you, Srinivasan. Thank you, Kapil . We will open the floor for Q&A session. We have first question from the line o f Sandeep Shah from Equirus.

Sandeep Shah :

In last conference call we said that the roll -offs have started in Q2 which will have a full impact in Q3. So, can you give us some update whether this roll -offs may continue in Q4 at a higher or lower level? And that may give us confidence in terms of fourth quarter growth could be better because the ACV deals as well as employee addition has been good?

Srinivasan Nadadhur :

So yeah, roll -offs in Q2 as we had noted were on the higher side, and that has come down in Q3 and everything else being equal and that should result in better performance in Q4 than in Q3.

Sandeep Shah :

Okay. Srini, do you expect a further margin downside because of the new facility which has been commenced, both in terms of G&A as well as in terms of depreciation in the fourth quarter? And when do you believe those costs w ould normalize? Is it fair to assume those costs will be stable to increase with the revenue increase from Q1 of next year?

eClerx Services Limited
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4 Srinivasan Nadadhur :

To answer your first question first, the G&A cost would be nearly the same or maybe 10, 20 bps higher than Q3. And the reason for that is why the housekeeping transportation, et c costs will go up , but that will be offset by a reduction in the rent of the temporary facilities which we have given up. But below the EBITDA level, there will be I think somewhere around 50 bps impact because of the new facilities, the normalization should happen in line with the revenue. So, we're looking at least one quarter away if not two.

Sandeep Shah:

Okay. And just last question and then I will come in a follow-up. Kapil sir, because some of your IT services here are saying clients are asking for productivity gains because of the automation. So, what is our experience? And is it possible to quantify GenAI related revenue scale up as of today and where it can go on a going forward basis? Will it impact the sales growth, or it can increase the volume?

Kapil Jain :

So Sandeep, like I had mentioned in prior calls also, all our services have an underlying technology component in-built in it, and we're required, and we are able to drive the productivity and efficiency, and we have passed on the benefits to the client. So, in terms of GenAI, we have had a number of pilots but the potential monetization in terms of, are we seeing a significant uplift in terms of monetization and getting revenue that we have not seen. But all our services are staying relevant because of the underlying technology that we have and enhancements we have done to bring in GenAI and we are also using it in delivering our services to our clients.

Asha Gupta :

Thank you, Sandeep. We have a question from Shradha Agrawal from A MSEC.

Shradha Agrawal :

Hi sir, congratulations on a very strong new deal's ACV wins. Two questions from my side. First is, if I look at the growth, the growth has come through largely from the non-top 10 clients. So, anything to read for the top clients as to why have they not grown? Was the roll-offs impact felt higher in these top 5, top 10 accounts?

Kapil Jain :

I think if you look at the portfolio mix, Shradha, I think quarter on quarter, there will be some aberrations and also given the size of our book, which is relatively small. This is the first quarter where we have crossed the \$100 million mark. So, I think we always take a view of medium to long term. We haven't seen any aberration in terms of what the norm is. And our focus on driving cross sell opportunities and also where we had invested earlier in the sales are

resonating well in the market and with our clients.

So, I wouldn't take anything in terms of any directional view in terms of whether the top 10 growth or non-top 10 growth.

Shradha Agrawal :

But there's no weakness in any particular account in the top 5 or top 10 categories that you would want to highlight?

Kapil Jain :

No.

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5 Shradha Agrawal :

Right. And on the ACV of new deals, which is at a multi-quarter high number. So, any qualitative commentary on what drove this kind of a strong ACV win and what is the pipeline looking like versus what it was a quarter back and any commentary on the deal win, pipeline to order book conversion that would be helpful.

Kapil Jain :

As mentioned in my opening remarks, we are seeing the change work on the discretionary spend. I think that it's slightly opening up and pipeline continues to be healthy. And across our service lines is where the pipeline is around as well as the winds have been across financial markets, digital and customer operations. So, I think in terms of the service portfolio mix that we have and the client that we have, we feel that we have a healthy pipeline, and we are cautiously optimistic about the future.

Shradha Agrawal :

That's helpful. I'll come back in the follow-up questions if required. Thank you.

Asha Gupta :

Thank you Shradha. We have a follow-up question from the line of Sandeep Shah from Equirus.

Sandeep Shah :

Yes, sir. Thanks for the opportunity again. Kapil sir, this would be the almost fourth quarter of Q-o-Q increase in ACV of new business. So, looking at your pipeline, looking at your investment in sales, marketing, branding, do you believe this trend may continue year after year or quarter after quarter, till the time we hit the peak based on whatever investment we might have done and that help us to enter FY26 with a very high confidence?

Kapil Jain :

Sandeep, like I said, we are cautiously optimistic because of three reasons. One, our pipeline is healthy, our service kit of where like every service that we sell has an underlying technology, productized services is resonating well with the clients as well as the cross-sell opportunities which I had laid out as one of the strategic pillars, when we had made a presentation to all of you in May 2024. We are seeing some green shoots around it, it's still too early. So that would be my comment and like I said, I think it's difficult to predict in terms of what the future outcome would be, but we are cautiously optimistic about the future.

Sandeep Shah :

Okay. And sir, any investments trying to bring the results are bearing fruit in terms of better pipeline and the conversion of pipeline into bookings which is leading to better order book? Do you believe this margin range of 24%, 28% which we have given in FY25 can have upside entering into FY26 because FY26 may not see an incremental investment like FY25?

Kapil Jain :

So, Sandeep, I think we will continue to make investments in the business, because the view we are taking is which is what I told you earlier is medium to long term. Be it opening up of new centers which will again enhance our ability to cross sell, upsell with existing clients, bring new clients. We'll continue to invest in sales. The leadership hiring we had said we were done with. So, I think at this point in time, I would say that we will continue to stay in the range that we had given you 24% to 28%. And predicting beyond that, given the overall size of the book, which is about \$100 million a small movement can have eClerx Services Limited

January 30, 2025

6 a big impact on the EBITDA. So, I think we'd like to stay in the range and look at medium to long term view, from our growth and EBITDA perspective.

Sandeep Shah :

Okay. Fair enough. And Srini sir, I think DSO has increased materially which has led to slightly below, though it has been still healthy in terms of cash generation. Do you believe it may normalize in the fourth quarter?

Srinivasan Nadadhur :

I think we'll have to take a look. Some of our invoicing processes are manual. We're trying to strengthen them. We're trying to put more governance on how we can consistently keep these numbers down. But I think we have to see if we are able to bring it down consistently.

Sandeep Shah :

Okay. And the last question sir. With the change in the President in the US and election headwind behind, is it client are more open in terms of discussion and conversion of pipeline into deal wins or they are slightly cautious on outsourcing now?

Kapil Jain :

I think the clients are also waiting. I think if you look at from an H1B perspective, we don't have any reliance on H1B because we are able to hire local talent, so that is not going to impact us. In terms of client decision making, we haven't seen any shift. I think it's still too early for us to exhibit any view of the clients to change , any of their behavior in terms of the decision cycle times.

Asha Gupta :

Thank you, Sandeep. We have next question from the line of Jasdeep Walia.

Jasdeep Walia:

During your previous remarks, you mentioned that you have implemented GenAI to deliver some services to your clients. So how has been your experience? What kind of productivity gains were you able to achieve? And with respect to that, what do you think will be the deflationary impact of AI on your sales going forward?

Kapil Jain :

Jasdeep, it's difficult, it's not the productivity. See productivity, people were talking about in olden days, right? It's more in terms of effectiveness on a BPAAS . If let's say you were charging a client X dollar of Z, because of technology , now, how are you charging a fraction of X? Those are the discussions we are having not like at 20 FT Es and now I can deliver with 18. I think the discussion has moved to a very different level and a lot of work that we do impacts the business and involves a lot of domain .

So, I think to quantify that what is the benefit of productivity? It's not like if you ask me, what is the incremental value we have been able to add to the clients, which is reflected in our pipeline, which is reflected in our growth momentum. That's I think is what we are focusing on as opposed to driving productivity. Because the business that we are in , clients are looking at, can you reduce my risk? Can you ensure that I am compliant with the regulation? Can you help me increase my sales? Can you help me increase my product launches? Can you help me get better, right ? today if I have X number of SKUs, can you get me to 10x? So, I think if I'm able to deliver that by using technology and bring that alpha, that's what clients are looking at us.

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7 Jasdeep Walia :

Got it. So basically , GenAI as of now has broadly helped you increase your pipeline with your clients, is that would be the correct understanding?

Kapil Jain :

I wouldn't say just GenAI alone, I'm saying technology , GenAI , domain - a combination of all this together is a unique value proposition which has helped us to enhance our pipeline and the ACV of the deals.

Asha Gupta :

Thank you , Jasdeep. We have next question from the line of Rahul Jain from Dolat Capital.

Rahul Jain :

I just wanted to understand how our onshore delivery mix is working. If I see the number of people that we have onsite versus our total strength of based delivery staff , it is much smaller number versus the contribution from the onsite. So , is it that a significant amount of subcon is happening in the onsite market or any other reason to reconcile that?

Srinivasan Nadadhur :

So one is that the onshore staff that we have are , for the most part, they have consulting skills. So , they are

also problem solvers. They are providing much higher value typically than what you'll see in an offshore agent. So , the billing rates are definitely much different when you adjust for these skill difference. And that explains most of the difference between the head count and the revenue. It is also difficult for us to find good quality resources onshore. So, our subcontracting is also higher on shore . So, there is both reasons are in play. I would say the first one is the more meaningful reason.

Kapil Jain :

And Rahul, just to add to what Srini said, we also keep a healthy mix between subcon, and employees and we monitor it very closely and we believe that we are in that range, given the projects and the work we are delivering for our clients. And we always have the option to bring subcons as an employee. And hence, it's also the portfolio view that we take.

Rahul Jain :

Right. So just to Srini's your remark of you know, average profile of those would be much better. But a basic thumb rule of 3x on a like to like basis and slightly more because of better service mix is that the right way to look at that number to understand what should be the ideal billing rate in global market?

Srinivasan Nadadhur :

I'll have to look at that number in more detail, but maybe I will come back to you offline .

Rahul Jain :

Sure. And the reason of getting into this is to understand that how much margin of this could be because our understanding from other companies is that generally onsite, third party is significantly premium in terms of manpower cost or is it more a leverage for us because of the volatility in the requirement of the talent mix or till the time we scale it up, we might have to be dependent on such an arrangement ?

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8 Srinivasan Nadadhur :

So, Rahul just to answer the question which I said, I'll come back, the onshore rate for us is actually more like 3.5 x, 4x. Obviously , the subcontractors are more expensive and therefore, we are very judicious about when we use them and how we use them. And it really depends on a case-to-case basis and how much growth are we supposed to deliver and whether the client has urgent requirements that we are trying to fulfill at very short notice. So , we engage subcontractors when we feel that there is really a necessity for us to do that.

Rahul Jain :

Right, of course, I understand. And last bit for Kapil, of course, you alluded your response to Sandeep's question, but still, it would be just a thought that if you are able to refine that band slightly more when we announce it in the Q4 or any subsequent period, because it gives a very wide point as you could understand that it may operate. I'm sure you now will have a much better grip on that investment versus revenue potential versus what you might have for your quarters back. So that's just a thought.

Kapil Jain :

So, Rahul, if I heard you correctly, you are saying for us to revisit the EBITDA guidance, which currently we are giving between 24% to 28%. Can we narrow that range is what you ask is?

Rahul Jain :

Yes, that's a small thing because I'm sure you have a much better handle than that and that uncertainty for quarter back , we could clearly understand because it's like your first few steps of gauging the situation. But I'm sure the way ACV has responded, the way we are investing, I think you have a far better understanding of it in terms of what would be the two end of it. So that's what the thought. Thank you.

Kapil Jain :

Sure Rahul, we will consider your request.

Rahul Jain :

That's it from my side.

Asha Gupta :

Thank you, Rahul We have next question from the line of Jalaj Manocha from S van Investment.

Jalaj Manocha :

Thanks for the opportunity. Sir, I have one question particularly with regards to the deal win. Has there been a change in the tenure per se of the of the

deal wins or the nature of the deals we are winning as such indeed. So , let's compare them a few quarters back ?

Kapil Jain :

Sorry, what are you saying? Has there been a change in the tenure?

Jalaj Manocha :

Yeah tenure, the nature of the deals ?

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9 Kapil Jain:

I think some like small, but I wouldn't say that there has been a directional shift in the tenure of the deal. There has been marginal increase in per deal , per ticket size but not something which is substantial to talk about.

Jalaj Manocha :

Okay. And nothing per se the pipeline also the as in the short -term deals are getting more of discussions around the short term is nothing of that sort ?

Kapil Jain :

No, it's not changed in either direction . So broadly, I would say it's neutral to positive, not only that there are more short -term deals .

Jalaj Manocha :

Okay. And just one more point, if I were to check looks like the BPAAS as a practice, there has been a sort of degrowth , or the pace isn't as great as the company's average growth rate. So how should I understand this? Is it by choice or the offering or the acceptance is reducing in the market or there is some client specific issue there?

Kapil Jain :

No, I don't think there is any client specific issue or there is any lesser acceptance. I think we are revisiting in terms of how we would like to report for FY26 onwards because like I said, if you look at how the street reports on digital revenue or B PAAS , every of our services we are using underlying technology, every service kit that I have an underlying technology, either deployed at the client site or our employees are using it to deliver that alpha to the clients. So , in that sense, I can say 100% of our business has its digital and has like akin to B PAAS, but we were very conservative in the way we were reporting B PAAS . So, we will revisit the definition. It doesn't concern me in terms of that number is going up or down. What we are looking for is, am I using technology to deliver value to the clients along with the domain that I have? And as long as that is there and that allows us to win the deal, that's really what our focus is on.

Jalaj Manocha :

Understood. And could you talk a little more about the discussions we are having in the digital vertical specifically? Because I guess there was some client specific issue or the slowdown per se in some specific pockets there.

Kapil Jain :

I think on the overall digital, like as I said, we are having discussions with clients in terms of how do we make them more efficient, effective, how we can help them grow their top line, how we can help them stay more relevant by having a higher and a better product mix that they are selling to their end customers. How we can help them on their campaign operations, how we can help them get better ROI

on their marketing spend, how we can help them on their customer journeys and reduce the friction points. So, what we are beginning to see is which I alluded earlier also on the cross sell, some of these services are resonating well, outside of the digital industries that we were traditionally selling them to, and it's still very early days, but I think we are cautiously optimistic in taking some of our digital service kit into other industry verticals.

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10 Jalaj Manocha :

Understood. Thanks a lot, Mr. Kapil.

Asha Gupta :

Thank you, Jalaj. We have next question from the line of Gokul Maheshwari. Please go ahead.

Gokul Maheshwari :

I just wanted to understand that of the three verticals which you are present in, the objective of hiring sales leadership was to get better to sell these products to your clients, cross sell etc. Have you been making any pricing changes to accelerate this growth rate or what you were charging, you are charging the same?

Kapil

Jain :

Gokul, we always have said that we have to look at total cost of ownership. It's not like price for FTE or because I'm the cheapest cost provider and hence I should get the business. No client gives business because of cost, it's a value game and particularly in the services that we are offering to our clients. The sales team, I think you asked two questions. One was on the pricing. So, I think yes, we are pricing efficiently and in terms of what will help us win the deal. But we're not seeing any downward pressure on the pricing because tech, we are pricing, tech people domain the block and then pricing it efficiently and effectively.

To answer your first question on the sales team in terms of how we are hiring and who we are hiring. See, we have a lot of capability that exists within the organization from a domain perspective, practice perspective, we are hiring people who are a little more generalist and who can take our services across the client segment along with the people and capability that already exist within the organization.

Gokul Maheshwari:

Okay. So, in that context, if you are assuming you're successful, in terms of the investments that you're doing that brings in more business and there is better cross sell, which is pretty evident given the growth in the pipeline in the last few quarters. Logically speaking, over time, your profit should grow faster than your sales. Once you get the benefits of the operating leverage for the investments made. I'm not putting on a number but more just as a broader direction from the next two to three year perspective.

Kapil Jain :

Absolutely. I think if you look at two to three years point of view, Gokul, we do expect the bottom line to have a better gradient than the top line, right? That's what we are also working towards.

Gokul Maheshwari:

Great, sir. Thank you and all the best.

Asha Gupta :

Thank you, Gokul. We have next question from line of Nitish Rege from Chrys Capital.

Nitish Rege :

My question is on the EBITDA margin. Now the majority of our investment phase is done. Should we start seeing an increase in operating EBITDA? I'm talking about EBITDA excluding interest income, eClerx Services Limited

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11 EBIT DA margins over there from Q4 and FY26?

Kapil Jain :

Nitish, I wouldn't agree [with] that. See we are not a mature business that all investments are done and now grow up. So, you have to see, are you putting us as a mature business or a growth business now? So, I wouldn't say that all investments are done. We spoke about the new centers that we have opened up. We are exploring opening up another center as well. So, we will continue to invest for growth for us to stay relevant for our clients and that will continue to happen. And however, like as I have said, we will ensure that we operate in the margin band that we have given you. I have also noted the request that you guys have asked us, and we will continue to be sequentially positive on EBIT DA and the bottom line will be higher than the top line.

Nitish Rege :

And what kind of growth are we envisaging, doubling the revenues in around 4 to 5 years from here?

Kapil Jain :

I think Nitish, it's a little difficult to predict 4 to 5 years in terms of what the outlook would be. But I think yes, we are working towards accelerated growth, firing from all cylinders and also cross sell the franchise we have of our clients and delivery is very strong, strong referenceability. But to predict 4 to 5 years depends upon a lot of macroeconomic factors which are beyond our control.

Nitish Rege :

Got it. And just a suggestion, could we start giving our operating EBITDA margin guidance, that would be quite helpful because you know to compare with other peers?

Kapil Jain :

I think, Nitish the guidance, we have given a band and like as I was telling earlier because of the small book and high volatility that we encounter, we have traditionally not given guidance both on the top line and the bottom line.

Srinivasan Nadadur :

Nitish, I think what you want is for us to give the guidance on operating EBITDA and not EBITDA including other income.

Nitish Rege :

Yes.

Kapil Jain :

No, what I'm saying is, even for operating EBITDA, Nitish because of the volatility that we have in our business. At this stage, we are not looking to give quarter on quarter guidance. We have given you a broad range and we will revisit the request that you guys have made that when we come for our full year results, whether we can look at giving you a smaller band than what we have given.

Nitish Rege :

No. The request was that if we can give an operating EBITDA band as a full year margin, removing the other income.

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12 Kapil Jain :

Okay. For the full year, you're saying instead of the full year EBITDA, can we give an operating EBITDA? Yeah, that's something we will revisit and come back to you in our next earnings call.

Nitish Rege :

Okay. Thank you and all the best.

Asha Gupta :

Thank you, Nitish. We have our next question from the line of Sameer Dosani from ICICI Pru MF.

Sameer Dosani :

Sir, any color on what's happening on partnerships and alliances, that is also one of the focus areas. If I remember correctly from your strategy presentation, any updates on that?

Kapil Jain :

We are continuing to work on it, Sameer, but nothing substantial that we would like to report currently. And as and when we have some developments, we will inform you.

Sameer Dosani :

Okay. Also want to know like our sales and distribution expenses are at same at 12% to 13% range, which is same as last year. So , what is that? We have made investment in that this number should have has gone up or are we think it will go up from here on?

Kapil Jain :

Sameer, if it had gone up and we would have gone below FY'24 then you would have said, what have you guys done? So jokes apart. I think we do expect the S &M to be in the range in which you are seeing it currently. So , we don't expect it to go up.

Sameer Dosani :

Okay. No, if it's required for the business, I mean, it's your prerogative actually . Thanks.

Asha Gupta :

Thank you, Sameer. We have next question from the line of Girish Pai.

Girish Pai :

Okay. The commentary on GenAI seems to be a little circumspect. So , do you think you're investing enough in GenAI capability building? Because a lot of your peers seem to be waxing quite a bit on that. So, I was just wondering whether you're investing enough.

Kapil Jain :

Girish, yes, we are investing in GenAI , Agentic AI. So , we are investing, we are taking use cases. What I said was there is investments in GenAI, there is investments in enhancing our product in bringing in GenAI. We are also investing and have built our Agentic AI platform. What I said was that we are not seeing deals in that area or monetization of the investments and efforts that's going in. In terms of direct

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13 that look, you have won X million dollars in GenAI business. Are we seeing the value lever in the pipeline or winning additional businesses because of the underlying technology? The answer is yes. So , I hope I have answered your question.

Girish Pai :

Okay. Regarding budgets for 2025, since we're close to end of January. What are you hearing from your clients for 2025?

Kapil Jain :

I think the budgets , we are hearing neutral to positive momentum. I think if you see in financial markets, a lot of our clients have delivered excellent results on the street. I think what they are worried about is the policies and that's what they are cautious about. And whi ch is why I think there is a think tank in every company that is workin

g in most of our large clients, to understand, analyze the impact of the current administration and the policies it will have on their businesses. So that's really on one side, the tailwind is that the results were very good and the headwind is the policies and what some of the surprises can come from there. So that's really what we are seeing. And I think it's a little too early because it's just about 10 days from the time the new administration has come in.

Girish Pai :

My last question is on your financial market's clients, a lot of them have operations in India through the GCC format. Are you working with any of these GCC s setups?

Kapil Jain :

Yes, we work and collaborate with all our clients GCC. So that's an opportunity and we are in a unique position to work and the value they see in our coexistence is huge.

Girish Pai :

And the collaborative work you're doing with the GCCs , how much would that be of your financial market's revenue?

Kapil Jain :

It's not collaborative work. The work is like in terms of they see us as a value player in terms of the services they are entering and the services we are providing. It's not that like there is a Venn diagram in terms of where there is an intersection, that intersection will be very small. That's what you were asking. But I think the clients, the GCC and us co -exist in the ecosystem and there is a value for the three players to exist.

Girish Pai :

So, you're not directly doing any business with GCCs.

Kapil Jain :

We are doing very little. But it's not like that GCC is a separate entity. It's a like clients see ing GCC as an extension of themselves. They see our ODC as an extension and the three co -exist in a n equilibrium manner.

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14 Srinivasan Nadadhur :

I think if your question G irth is whether we are directly contracting with the GCC. That's not the case. I mean, our preference is in any circumstance would be to directly contract with the client entity, which is US or UK based.

Asha Gupta :

Thank you, Girish. We have a follow up question from the line of Sandeep Shah from Equirus .

Sandeep Shah :

Sir, just on the Agentic AI. You said you have developed one platform. So , is it still in a pilot phase or in terms of production phase? And if it goes into production phase, what is our savings we are able to generate for the client?

Kapil Jain :

I think it's not at a stage where we can comment in terms of the savings we will be able to generate for our clients. As you know, we had our Roboworx platform, which was an RPA platform. We have enhanced its functionality and build the Agentic AI platform on that. And we have called it Roboworx CogniFlows. And I think the use cases that we will be working on are on internal, like in terms of shared services functions to see how we can enhance value as well as on the digital side, we would be leveraging it. It's not at a stage where we are like saying that this is the level of productivity we can

deliver to our client because I think see the difference, Sandeep in the way we sell our services versus the other players is that we are not selling Agentic AI as an offering that look, I'm giving you Agentic AI, I'm giving you BPO, I'm giving you technology, I'm giving you, I'm giving you change. Our ability to bring it all together and sell it as a service is the unique value proposition that we deliver and that's what resonates well with our clients. So, I think it's difficult to answer your question in terms of exactly how much productivity benefit we can get.

Sandeep Shah :

Okay, thanks. Sir, generally we speak that roll-offs are 15%, 20% of the top line whether that range remains same or further increase, decrease and why I'm asking is now the AC V of new business roughly on a yearly basis, 30% of the top line. So, 30% minus 15% or 20% we can still achieve a double

le digit

kind of a growth CAGR in the coming years. Is it a fair way directionally in terms of thought process?

Kapil Jain :

So Sandeep, you asked two questions. One is we are not seeing any substantial change in the roll offs in around what your number you said 15% to 20%. And in terms of to answer your second question, yes, if the pipeline continues to be in the range in which it is and like I had mentioned earlier, we are cautiously optimistic about it then yes, the way you are looking at it is the right way to look at it.

Sandeep Shah :

Okay. And sir last question, if I could. You mentioned pressure in the cable and wireless business. So, can you explain what kind of a pressure is it more like a competitive pressure or it's a client specific pressure?

Kapil Jain :

It's across the industry, see telecom industry has been going through a tough time, right. Because most of the technology cost is declining exponentially and all of us as subscribers want to pay, want higher eClerx Services Limited

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15 bandwidth and pay lower cost. And that's the challenge that all tech companies are facing and they're trying to reinvent themselves by looking at more as a tech solutions provider as opposed to just being a cable provider or a tech company or a telecom company. I think in terms of the subscriber shift that is happening because of the price competitiveness is what that's not a particular client of ours that they are facing. It's an industry wide phenomenon. So, they are doing efforts on client retention and ensuring that the client churn does not happen.

Sandeep Shah :

Okay. Thanks, and all the best.

Asha Gupta :

Thank you, Sandeep. We have next question from the line of Girish Pai.

Girish Pai :

Thanks for the opportunity again. Kapil, I just want to pick your brains on Agentic AI, not so much on eClerx question but an industry question. Does Agentic AI mean that reliance on software packages kind of go down say Salesforce or any ServiceNow any of those kind of packages now.

Kapil Jain :

When you say reliance, what do you mean?

Girish Pai :

Usage of these packages. Do you think that is going to go down or rather it's going to be more customer application development which is going to come to the fore?

Kapil Jain :

No. I think to answer your question, I think wherever applicable, like if clients have already deployed sales force or copilot, they will want to leverage that and use it as opposed to building, to build custom built applications because it's easier to build on the top of what already exists. The foundation layer, the pipelines is already all built in. But where salesforce or CoPilot, Micro soft is not there, then obviously you would build custom applications. But I don't think that because of Agentic AI, the usage of these software will come down, but I'm not an authority in this area, but that's my personal view.

Asha Gupta :

Thank you, Girish. We have next question from the line of Jalaj Manocha.

Jalaj Manocha :

So, Kapil just one point on to if I were to look at this utilizations of the staff delivery staff in particular, since the past three, four quarters, they have been on a decline and still we have been adding people. So has there been a shift actually the way the way delivery is being done right now as we are keeping bench on the higher level right now or how should I understand this?

Kapil Jain :

So I think Jalaj, our utilization in Q2 was higher, but what we have reported in Q3 is in line with our medium to long term average, are we investing and bringing people ahead of the demand when we see, So as not to cannibalize any top line growth, the answer is yes, but it's not that utilization is lower
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16 because there was a lot of investments that were made for the demand because I think it is in line with our medium

to long term average.

Jalaj Manocha :

Got it . And one last question, margins I know there's been a lot of discussion , and you have given us the direction of 24% to 28%. But the investments until when do you see that they'll continue in the system. So, sales and marketing eventually will start to show up in revenue. So as a percentage that start to fall, but other investments in the delivery or the other guys tech side, when do you feel that they'll keep the margins as a drag down, and what sort of timelines are you seeing? I'm not asking for the next quarter or something. Maybe you can talk about the next year or somewhere in '27. When do you see the impact coming in?

Kapil Jain :

So, like I said, we are a growth business until such time we see growth, we will continue to invest in the business. And we will stop investing when we see growth momentum coming down and I hope that doesn't happen. So , we will continue to invest in the business till such time we are seeing growth by expanding into new geographies, bringing new capabilities, new offerings. Like I said again, to stay relevant for our clients and also to all the stakeholders that we deliver to.

Asha Gupta :

Thank you, Jalaj. As there are no further questions, I would now like to hand over the call to Sriniv for the closing remarks.

Srinivasan Nadadhur :

Thank you , Asha. Thank you everyone for joining the call today, and we'll see you again next quarter.

Kapil Jain :

Thank you, everyone.

Asha Gupta :

Thank you, everyone. Have a good day, and you can disconnect now.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2025

eClerx/SECD/SE/2024/052

May 21, 2025

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended March 31, 2025

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on May 15, 2025 with respect to the financial results of the Company for the quarter/period ended March 31, 2025.

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
VP-Legal & Company Secretary
F8538

Encl.: as above
eClerx Services Limited
May 15, 2025
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eClerx Services Limited
Q4FY25 Earnings Conference Call

May 15, 2025

eCLERX MANAGEMENT:
KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:
BAIDIK SARKAR - UNIFI CAPITAL
DIPESH MEHTA - EMKAY GLOBAL
GIRISH PAI - BOB CAPITAL MARKETS
MANIK TANEJA - AXIS CAPITAL
MIHIR MANOHAR - CARNELIAN ASSET MANAGEMENT

SANDEEP SHAH - EQUIRUS SECURITIES
VARUN BANING - MANULIFE INSURANCE
VIKAS KHEMANI - CARNELIAN ASSET MANAGEMENT

eClerx Services Limited
May 15, 2025
2 Asha Gupta :

Hi everyone, good day and welcome to the Q 4 FY25 earnings call of eClerx Services Limited. Please note that this webinar will be recorded.

To take us through the results, and to answer your questions we have with us, the top management of eClerx represented by Kapil Jain - Managing Director and Group CEO and Srinivasan Nadadhur - Chief Financial Officer. We will start the call with brief opening remarks by Kapil, followed by Srinivasan, who will be sharing the financial update and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is mentioned on this call that gives any outlook for the future, or which can be construed as forward-looking statement must be viewed in conjunction with the risk and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with the SEBI and subsequent annual reports which you can find on our website.

Having said that, I will now hand over the floor to Kapil. Over to you, Kapil.

Kapil Jain :

Thank you, Asha, and good evening, everyone.

I'm pleased to share the highlights of our performance in FY25 Q4 and full year. Last year, around the same time, I laid out a three-pronged strategy which revolve around strengthening sales operations, mining existing clients, winning new logos, and enhancing our market positioning. We have made good progress on all these three fronts. We have also elevated our visibility through analyst recognitions and a new industries service aligned go-to-market approach.

Now coming to numbers, we reported strong revenue growth in Q4. Operating revenue was USD 104.9 million, up 4.2% sequentially. In INR terms, Q4 operating revenue was INR 8,983 million, up 5.2%. Margins came in stronger as well. EBITDA for Q4 was INR 2,505 million at a margin of 27.3%, up 9.8% sequentially. PAT for the quarter was INR 1,522 million at a margin of 16.6%, up 11% sequentially. For the full-year revenue was USD 397.6 million, up 12.3% over FY24 in dollar terms. EBITDA was INR 8,946 million, up 6.4% and the PAT of INR 5,411 million was up 5.8% YoY.

Our deal wins for the quarter were USD 51 million. And for the full year, we did USD 140 million. Analytics and automation went up by 17% YoY. As we mentioned in the last quarter, we opened a new delivery center in Lima, Peru. We have also opened a delivery center in Cairo, Egypt. Operations in Lima have already commenced. These new centers will allow us to capture larger share of our existing client's wallet.

I would like to share some commentary and outlook about our three businesses. In BFSI, we see broad opportunities across large and small new clients, particularly in regulatory and compliance and change. Market volatility has increased due to the tariff and the uncertainty has increased client transaction volumes in some domains around our trading operations. Fashion & Luxury continues to remain under pressure with the US market underperforming and inherent weakness in the China market. HiTech, Manufacturing & Distribution remains positive. Clients' budgets are concentrated on digital transformation and customer experience programs. Tariff changes are consuming management bandwidth of our clients in Manufacturing & Distribution segment and may lead to some slowdown in decision making.

Momentum around new logo acquisition and cross-sell of customer service continues and our cross-sell strategy seems to be working well. We have also started delivering our care services from Manila and Lima, and as I mentioned a little while earlier, we will start shortly from Cairo as well. On technology, we see a continued interest in our productized service offerings of compliance manager and market

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3 intelligence.

Coming over to some of the recognition from our clients. We have been named as Partner of the Year 2024 by a leading Fortune 100 global media and telecom company. Additionally, we won four other awards at the same event. This extraordinary achievement is a testament to our customer -focused innovation, and exceptional service delivery.

The strong finish to the year gives us momentum for the next fiscal, and we are cautiously optimistic about our prospects for FY26. I also want to share that 2025 marks the 25th year of eClerx. I have completed two years here. As PD, Anjan, and I reflect on this journey, we feel immense gratitude to all those who have contributed to the firm's success.

eClerx is what it is today because of our people, our employees, our clients, our shareholders, and the community partners. We are thankful to our clients and partners for having placed their trust in us and for giving us the opportunity to be part of their journey and helping them stay relevant. We look forward to their continued support in the future.

Thank you, and over to Srini for a more detailed commentary.

Srinivasan Nadadhur:

Thank you, Kapil, and good evening everyone.

As Kapil mentioned, the performance this quarter has been strong on both the revenue and the margin front. In constant currency terms, operating revenue was up 4.4%, including other income total revenue was INR 9,165 million, up 4.7% sequentially. Other income for the quarter is INR 183 million primarily owing to apprentice benefits from government skill development initiatives. On QoQ basis, there was margin expansion in both EBITDA and PAT of about 130 and 90 bps, respectively. This was driven by the strong revenue uptake in the quarter and the reduction in G&A because of the lower rental and technology costs. There is a one-time reclass of 120 bps from delivery to S&D and so the right way to look at the QoQ figures is that S&D costs are flat while delivery is down by about 100 bps. EBITDA for the full year came in at 26%, which is right in the middle of our stated range.

From this quarter onwards, as you would have noticed in the investor presentation, we are reporting revenues in five industry

buckets: BFSI, CMT, Hi-Tech and M&D, which is a B2B facing business; Fashion & Luxury and Retail, which is the B2C facing business, and Emerging. We hope this will give investors a better view of the work we do. Please also note that the analytics and automation figures have been restated by removing revenue which we felt did not belong in this bucket.

Coming to other metrics, DSO is in the same range as the preceding few quarters. Staff utilization is the same as the last quarter. Client concentration has gone up to about 64% for top 10 clients. Seating capacity has gone up somewhat, with the new client facilities in Lima and Cairo. Exit head count has increased by 4% to 19,400 and attrition is at 24%, which is par for the course.

Thank you, everyone, and with this we conclude our prepared remarks. We can now move over to the Q&A. Over to you, Asha. Thank you.

Asha Gupta:

Thank you, Srinivasan. Thank you, Kapil. We will now open the floor for Q&A session. We have first question from the line of Mihir Manohar from Carnelian Asset Management.

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4 Mihir Manohar:

Thanks for giving the opportunity and congratulations on great set of numbers. Kapil, actually, wanted to understand on the deal win size, I mean, \$50 million of deal win for the quarter. I mean, need to understand more granular details or is it, let's say, coming from concentrated accounts? How to understand that and which area is driving this deal win? I mean, is it customer support, is it capital markets, is it regulatory, how to understand that?

Kapil Jain:

So Mihir, I think for the quarter, the deal win, like I said, it's \$51 million and for the year it is about \$140 million. The wins are around our key focus areas, which is compliance, customer operations because here we see larger opportunities, both onsite and offshore. And in terms of FY26, we definitely expect YoY to do better. I think we don't look at QoQ numbers. We are looking at medium to long term. And the directionality, like I said, the strategy which we laid out is working well both on cross sell, upsell and mining our existing accounts.

Mihir Manohar:

Sure. Is there, I mean, more concentration on these deals or is it spread out?

Kapil Jain:

There may be some like with a few clients, but I think overall, if you look at like we have said in the past, don't look at quarterly number to see a trend. If you look at on a yearly basis it's fairly well spread out.

Mihir Manohar:

Sure, understood. Fair point. Just on customer operation side, I mean, would the margins be similar to the company levels or should one see some, given the fact that this is, I mean, largely a commodity part of the piece. So how to understand margins for customer operation versus rest of the business?

Kapil Jain:

Yeah, so Mihir, we don't disclose margin at an individual vertical level, like I had said, that our margin we will continue to maintain in the zone 24% to 28%. I know you guys have requested us to narrow the range. We revisited it, but we'll continue to guide between 24% to 28% for FY 26. At a portfolio level, we will manage that margin and also show a sequential growth on EBITDA and PAT.

Mihir Manohar:

Sure, fair point. Just one last question on this. Is this coming from existing client or is this from new clients?

Kapil Jain:

It's coming from both existing and new, which is what I said in the beginning that the strategy that we had laid out to mine existing client for cross-sell services as well as open new logos is working well.

Mihir Manohar:

Understood, sure. And just on the Trump administration side last time during Trump 1.0, we had seen a couple of accounts resorting to insourcing. Do we see that challenge during the Trump 2.0 administration? Any clarification around that? Any customer interaction around that would be helpful.

I.

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5 Kapil Jain:

So far, we haven't seen anything, Mihir.

Mihir Manohar:

Sure, that's it from my side. Thank you very much.

Asha Gupta:

Thank you Mihir. We have our next question from the line of Manik Taneja from Axis Capital.

Manik Taneja:

Thank you for the opportunity and congratulations on the steady performance. My question was on two things. If you could talk about the very solid growth that we've seen in our top five client base over the course of FY25, and how should we be thinking about our emerging client growth because that

continues to remain very subdued, as well as the fact that there is very little movement when I look at your client metrics across different buckets. So that's question number one.

The second question is that, typically, our hiring tends to give us a good perspective of near -term growth. And if I look at the hiring for the quarter is possibly the highest in almost five, six quarters. So , should that be an indicator of how we are expecting our near -term sequential growth to trend?

Kapil Jain:

So, if you look at our top 5 and top 10 clients, they are Fortune 100 companies, and I think if you look at our productized services kit, many of them are relevant for our existing clients and the way we have organized ourselves now around industry and services and capabilities is resonating well with the clients.

As far as your question that how the client mix changing in the three buckets, there is a very concerted focus effort to grow accounts outside of top 10. Obviously, because the base is smaller, we are looking at absolute growth and we are measuring and monitoring that. And with the cross -sell initiatives and with some of the changes, a greater focus, we do expect that that will yield positive results. Even if you look at year-on-year, this year versus last year are \$0.5 million and above clients outside of top 10. Average revenue per client has increased. It's increased marginally, so nothing to write home about anything, but there is a very concerted focus on growing that bucket. But , it's not to say that we will not grow in top 10 because these are all Fortune 100 companies and these are large clients with very strong credit history and there are a lot of our service offerings that are relevant in those clients.

Manik Taneja:

Sure. And the second question was for Srini. Srini, I think you mentioned in your opening remarks that there's some amount of reclass from cost of revenues to S&M expenses, and that's the reason why S&M seems to have jumped up. If you could talk about some of the sales and marketing investments that you're doing, because if I look at the head count metrics that you disclosed, that number after increasing in between essentially is once again back to where we were last year. So , if you could talk about how we are thinking about some of the investments on this side.

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6 Srinivasan Nadadthur:

So yes, some of the head count changes are purely because of performances and realignment between what Kapil's focus areas are, and we do expect that as we try to double down on growth, that number should go back up again. I think you had also asked about hiring for the quarter. So directionally, you are right. In the last few quarters, generally, our head count and revenue growth are broadly in line.

Manik Taneja:

And that natural trend should hold through to FY26 as well. That's the sense that you're giving us.

Srinivasan Nadadthur:

Yeah, hopefully, yes.

Manik Taneja:

Sure. Thank you, and all the best for the future.

Asha Gupta:

Thank you Manik. We have our next question from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta:

Thanks for the opportunity and congrats for steady quarter and strong execution. First question is about,

I think, in your

one of the question -answer, you said you expect FY26 to be better than FY25. I just want to confirm whether we make that statement in terms of full -year growth.

Second question is about the role of trends. Are we witnessing any change in the role of trends, compared to, let's say, when we started FY25?

Third question is about sales effectiveness. If I look at our business development team, remain fairly stable, while our deal intake has materially increased in this year, almost over 50% is growth. So, if you can help us understand what is driving it and whether it is because of a couple of chunky deals which explains it and that performance is likely to reverse when you don't have those chunky deal or there are some structural changes which is happening ?

Kapil Jain:

Dipesh, in the first question, you wanted to understand what I said what ACV of the deals for the full year, we delivered \$140 million. We expect to show an increase in the ACV of the deals for the full year for FY26. That's point number one.

Second question was, on the role of trends, we have not seen any adverse, so I think it's around the same number. So , neither we are seeing a higher or a lower trend on the roll offs. So that's your second question.

And sales effectiveness, I think what's driving it is, like I said, right, in terms of the cross -sell opportunities that we had identified the one eClerx team that we are driving is resonating well with the clients on the back of our strong delivery. So , if in a particular service kit, our delivery is strong and we're trying to talk to the client for another productized services, that's resonating well with our clients and hence more rigor on sales, reviews, planning is what is helping us bring in higher momentum in the sales organization.

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7 Dipesh Mehta:

Just on FY'26 and FY'25 comparison which you give it is for deal intake not for revenue growth?

Kapil Jain:

No, for ACV of the deals.

Dipesh Mehta:

Understand. And in a way it partly reflect s your pipeline likely to be similar or better than let's say when we started FY25. That is the right way to understand it?

Kapil Jain:

Yes, we are continuing to build the pipeline. So FY26 pipeline is better than when we started in the FY25.

Dipesh Mehta:

Understand. And last question, can you help us understand how many new logos which we might have added in FY25 and similar number, let's say, if you can draw it for FY24 ?

Kapil Jain:

We don't report that number. I think we are looking at the client buckets which we have laid out in three segments, top 10, greater than \$0.5 million, and the rest. And like I said to the previous question, when Manik was asking, there is a concerted focus to grow outside of top 10. We don't see from a client concentration 64%, 65%. We will continue to grow in our top 10 as well, because I think there is still a lot of opportunity that exists in our top 10 clients, with the service offerings that we have and the relevance that we have for these clients. Did I answer your question, Dipesh.

Dipesh Mehta :

Yes, it does. Thanks.

Asha Gupta:

Thank you Dipesh. We have our next question from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah:

Thanks for the opportunity and congratulations on a very strong execution on most of the aspects. So just wanted to understand looking at the TCV wins which are showing a solid trend and the growth on an organic basis, is it fair to assume that it is more coming through wallet share increase within our clients, or it is you believe the outsourcing demand is increasing in an uncertain macro?

Kapil Jain:

I would put it as a former, but I think it's as you know and when there is uncertainty, clients like people shy away in making decisions. Any volatility on either side. I think it's more driven from our existing client

s and capturing a larger wallet share.

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8 Sandeep Shah:

Okay. And just the continuation of Dipesh's question, your outlook for FY26 better than FY25 is more on ACV of new deals, correct?

Kapil Jain:

Yes, that's correct.

Sandeep Shah:

And sir, you also made a comment that there is no major significant change in the roll off s. So, in that scenario with a higher order book in FY25, that can even translate into better growth than what we reported in FY26 ?

Kapil Jain:

Sandeep, I'll lay out the assumption that if the time series of the deals that we closed in FY25 stays exactly the same in FY26 then the answer is yes. But it may not happen some like the momentum that we had in FY25 versus FY26 when you close, exit in Q1 versus Q4. That's really, I think what will also determine the YoY growth.

I think in terms of FY26 like I have said in the beginning, I want to reiterate the same thing. On margins we are giving a band of 24% to 28%. I know you guys have requested us to narrow the band. There's a reason why we have chosen to stay in the band because we are looking at growth opportunities. We are opening up new centers that we have opened up in Lima and Cairo, and initially, as and when you open a center, there will be some headwinds on the margins. Second is we would show sequential growth on EBITDA and PAT, and third, is we will be in the top quartile of the industry growth. These are the three things I had said, and we continue to maintain, which also gives us the confidence that the strategy that we laid out at the beginning of last year is working well, so we are not making any changes, minor tubes here and there, but we are not changing the overall direction in which we are heading.

Sandeep Shah :

Thanks for the detailed answer. Just a few questions. Any status update in terms of how are we progressing in GenAI and Agentic AI both on a reactive and proactive basis? What I mean by reactive is the client asking for productivity gains, or do you still believe they are in the phase where investment will lead to additional demand related to adoption of GenAI and Agentic AI or you believe that we have to keep passing on some productivity gains back to the clients ?

Kapil Jain:

So, Sandeep, I think we have never shied away in passing any productivity gains to the clients because I think, we never shied away from cannibalizing our revenue if technology is, as I said in the previous calls, is our biggest differentiator. There are services that we deliver on the back of our IP, where we are leveraging our own IP which we are enabling with GenAI and making it more and more relevant. So that's the one bucket. Second is on the pure tech analytics data revenue that we are seeing greater traction. And on the third bucket where we are working off client systems where we are looking at Agentic AI and also looking at change opportunities. Whenever we are able to give client productivity, it's not like we are seeing a massive ask. Because we are not selling tech and ops or services separately. A large portion of our book is around our productized services where we are using our IP and working on the client systems where we are using Agentic AI and trying to stay ahead of the curve.

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9 Sandeep Shah:

Sir, a nonlinear productized service revenue would be how much percentage of total?

Srinivasan Nadadthur:

I think BPaaS is about 19% or 20% that you will see on the metric slide. But that's one of the metrics that I also mentioned earlier that we may reconsider and decide to revise how we are showing it. We are looking at seeing how we can show this productized services metric which we believe is a better indicator of the impact that our own technology has on our book. So that metric may get replaced with something more relevant for our business.

Sandeep

Shah:

Okay. The last couple of questions on the margin. So, this year you said FY25 it would be between 24% and 28%, and we actually ended up at the midpoint. And this strategy bearing fruits, is it fair to assume there would be more operating leverage opportunities in FY26 versus FY25 and it could be slightly better if not lower in terms of the margin?

Kapil Jain:

Sandeep, like I said, there will be tailwinds and headwinds. The tailwinds would be like you said, we may get some benefit of the operating leverage, but I've always said that we are a growing business, and we are focusing on driving profitable growth. The headwinds would be the new centers that we have opened. As you know, any new center that we have opened, will take time to deliver profitable growth. And despite that, we are saying we'll maintain the same band as we had laid out last year.

Sandeep Shah:

Okay. And just a last question, Srini sir, the nature of this losses in the investment at a fair value basis, INR 13, 14 crores, what is the nature of this investment? What are the underlying assets where we had such a considerable loss in a one quarter?

Srinivasan Nadadthur:

So actually, this pertains to a long-term loss that was eligible in [FY] 2016-17 that was eligible for carry forward and set off, you know as the IT laws allow for about eight assessment years and that was going to expire on March 31. And we had made long-term investments with the perspective to offset against those capital losses, and when we actualize, the gain is recorded in other income, but the accrued fair value of this investment in the startup or guidelines is reversed in the other expenses.

So, in the investor PPT we have netted these gains because that is the right way of looking at it but that accounts for the difference between what is reported on the console P&L versus what we show on the PPT.

Sandeep Shah:

Okay, and this nature of investment and mutual fund, FMP or liquid fund?

Srinivasan Nadadthur:

That is correct, yes.

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10 Sandeep Shah:

Okay, thank you. I will come in the follow up if I need. Thanks , and all the best.

Asha Gupta:

Thank you , Sandeep. We have our next question from the line of Baidik Sarkar from Unifi Capital.

Baidik Sarkar:

Kapil and Srini, congrats on a great set of numbers. At a very broad level, and actually this is a continuation of Sandeep's question. We know for a fact that there is a bit of cost deflation on delivery models given the progression of Agentic AI, right, especially in our areas of transaction processing and service delivery. So , I'm just trying to understand, given the absolute growth of ACVs we've had in Q4. Could you perhaps help us understand what the new business really entails in terms of does it have a higher element of volume which is offset by an even higher element of AI, or are these traditional projects which are, automation and people led? I'm just trying to understand the composition of the new events that you might have had, gentlemen.

Kapil Jain:

I think it's not volume growth which could, like you said, on the Agentic AI side, it's related to change, it's related to migration projects. And it's across a broad spectrum of our services and across clients.

Baidik Sarkar:

Right. So , I would be right in assuming that the mix of projects that you might be winning is not very different in terms of the traditional people -led and automation -led delivery models, right? I mean, there is no change in that underlying ?

Kapil Jain:

Yes, no significant change to see a trend, Baidik.

Baidik Sarkar:

Right. And in terms of your comment on the pipeline for FY26 being better than FY25, what's the genre of these? Are these vendor con solidation led transactions that industry is seeing around cost optimization or perhaps would there be newer areas of outso

urcing that clients are opening up to in terms of process automation and in terms of efficiency? I'm just trying to understand the nature of pipeline that's building up which kind of gives you this kind of optimism.

Kapil Jain:

So Baidik, I think it's a combination of all the two things that you said. Both in terms of clients looking at more efficiency, a stronger delivery partner, as well as new areas.

Baidik Sarkar:

All right. Thank you, gentlemen. All the best.

Asha Gupta:

Thanks Baidik. We have our next question from the line of Dipesh Mehta from Emkay .

eClerx Services Limited
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11 Dipesh Mehta:

Thanks for the opportunity again. Kapil, I think last year in May also I asked you this question on the first year of your operational management kind of thing. You said four-year strategy, revenue growth, top quartile, and EBITDA margin higher. I asked about EBITDA absolute growth. Can you help us understand, let's say, are we confident about top quartile revenue and absolute EBITDA growth in this four-year journey of ours? I mean at EBITDA margin I think, we already have a healthy margin compared to peers. I am referring to, let's say, this year we did 15% kind of revenue growth, 6% EBITDA growth. I'm referring four-year journey when we complete, are we confident it will be top quartile EBITDA growth also?

Kapil Jain:

I think, like I said, we are comparing ourselves because in terms of our margin range will be 24% to 28%. And revenue percentage, we will be in the top quartile growth, in absolute revenue terms we will show a growth. I cannot comment whether we will be in absolute EBITDA growth in the top quartile or not. I think you have to look at three metrics and then make a decision on that basis.

Dipesh Mehta:

Okay. Second question is on the deal ACV side. As far as I remember, our definition is it includes net new, it doesn't include renewal.

Srinivasan Nadadhur:

Yes. That's right.

Dipesh Mehta:

Okay. Can you provide some color around the vertical kind of thing? So, let's say this quarter, it is a fairly strong deal intake. How it is, whether it is broadly across vertical or one, there is a skewness to some extent? And, last question is about Europe. I think Europe remain fairly weak this quarter, but some of that weakness is not visible in, let's say, Fashion & Luxury. So, if you can provide, let's say, what led to sizable weakness in Europe?

Kapil Jain:

I think if you look at bulk of our growth has come from financial, BFSI and CMT segment and our CO, customer care business, we are beginning to see growth in Hi-Tech and M&D as well. So that's the commentary on the overall growth and the Europe, and the CLX business we spoke about on high-end fashion and luxury that that continues because the clients there also are struggling in delivering their top-line growth because of the US and China overall macroeconomic environment.

Dipesh Mehta:

Okay. Is it possible to, let's say, reconcile the vertical mix which you provided versus the three other bucket earlier which you used to report financial market, digital, and customer operation from the five vertical you provided, if you can provide some sense. I understand about, let's say, digital might be into multiple buckets. So, if you can provide some sense, I want to understand those things?

Srinivasan Nadadhur:

So broadly, the services that we do for investment banks, which is client life cycle and trade life cycle which we used to call as the financial markets that will be broadly speaking in BFSI. Again, broadly, the customer operation, the CX business services that we used to deliver, that has the majority overlap eClerx Services Limited

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12 in CMT, but that may not remain for a long time because we're also now selling CX services outside of CMT, but historically that would be the mapping. Then the rest

of the digital business you can think

about as a combination of Hi-Tech and M&D, Fashion & Luxury, Retail, Emerging and so on.

Technology is across all five of these. A gain, to correct myself, what we used to call 'digital' is also present in the services that we have been providing to BFSI and CMT verticals.

Dipesh Mehta:

Understand. So digital is across and other thing I think you provided some sense. Thanks.

Asha Gupta:

Thank you Dipesh. We have our next question from the line of Sandeep Shah from Equirus .

Sandeep Shah:

Thanks for the opportunity again. Sir, in terms of your commentary on TCV entering FY26, about pipeline better versus what we had at the start of the year last year. Is it fair to assume then TCV growth can be similar versus what we have seen in FY25 and quarterly the TCV can have a rate of \$50 million plus or minus, or because \$50 million is much higher than the earlier quarter, so one should not extrapolate ?

Kapil Jain:

Sandeep, like I said, we are looking at building a franchise which will deliver value to our clients, shareholders, and all stakeholders in medium to long -term basis. For full year, we delivered ACV of \$140 million. I said we are optimistic to deliver a higher number on the ACV for the full year. Quarter-on-quarter, they can be aberrations. That's really the comment I made and I'm repeating the same thing in terms of how we view our business and franchise.

Sandeep Shah:

Fair enough. And just a question in terms of short term, most of your peers have spoken that the micro - led uncertainty impacted demand starting from March 2025 . Is it fair to assume 1Q we can have some headwind on the growth despite better pipeline, and generally, correct me if I'm wrong, 1Q is seasonally a soft quarter for us, which can have an impact even this time because of the macro issue ? So, is it fair to assume that way, or do you believe because of the order book 1Q will also have a growth momentum similar to last few quarters?

Kapil Jain:

I think we are cautiously optimistic for Q1. Q1 does see some headwinds because of the wage hikes and other things on the margin front, and I think that's the visibility we have because of , like you said, overall macroeconomic environment and the volatility that we are seeing.

Sandeep Shah:

Okay, thank you.

Asha Gupta:

Thank you Sandeep. We have our next question from the line of Girish Pai from BOB Capital.

eClerx Services Limited
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13 Girish Pai:

I just want to ask did 4Q play out the way you anticipated or was it stronger or weaker or how did it play out before the beginning of the quarter, you must have had certain expectations ?

Kapil Jain:

I think it was in line with our expectations, Q4. So , in terms of how it played out , the only thing I would say is the dollar -rupee volatility was not something that was, as you know, like from INR 87, 88, it went down to INR 84, 85. That was the only element that sort of came as a surprise, but otherwise things were as what we had expected.

Girish Pai:

Okay. My second question is regarding seasonality or 1H versus 2H, or the four quarters, will there be the growth is going to be smooth across the various quarters or the two halves, or could there be some seasonality in this?

Kapil Jain:

Girish, with the overall volatility in the market, the overall macroeconomic factors, the geopolitical uncertainty, there could be quarter -on-quarter aberrations that are hard to predict and give a view on. I think full year, we are confident on ACV, and I like I said, a pipeline at the start of this year is higher than what it was at the start of last year.

Girish Pai:

Okay. And the salary increase s this year, will the quantum and the spread in terms of the number of people who kind of get the salary increase. Is that going to be the same like what we had in FY25?

Kapi

I Jain:

Around the same, but Srini, you want to comment on that .

Srinivasan Nadadhur:

Increase is about the same, but the number of people obviously more.

Girish Pai:

Okay. My last question is around GCCs. I mean, everybody seems to have a GCC strategy. Anything that you would want to kind of spell out from your side?

Kapil Jain:

Yeah, so, Girish, as you would know, we have clients who have GCCs and it's not either or. We exist along with GCCs , and they see us as a strong partner. So , we are also looking at growing our GCC footprint and we're also looking to invest in that area by bringing in people in India who can solely focus on the GCCs.

Girish Pai:

And would your GCC revenue be like in the high -single -digit to low teens kind of number or a higher number?

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14 Kapil Jain:

Girish, we report client revenues, not GCC. So , depending upon the vertical that we laid out, the five vertical Srini spoke about, depending on which vertical the client falls in, it will fall in there.

Girish Pai:

Okay. Thank you.

Asha Gupta:

Thank you Girish. We have our next question from the line of Mihir Manohar from Carnelian.

Mihir Manohar:

Thanks for giving the follow up. Just on the deal win side, I mean, broadly wanted to get an understanding. This financial year there has been a very good growth in deal wins. I mean, how is productized services helping us on the deal win side? Some use cases, I mean, two or three problem solutions around that , I mean some key solutions that we are delivering using the productized services, that will be helpful.

Kapil Jain:

Like I said, the compliance manager, market intelligence, ROI for CMO, so there are different set of use cases we can highlight , and which are helping our clients to stay relevant. I had mentioned this in the initial few calls that we operate on both sides of the equation, helping clients on the revenue side in

terms of how you are spending , your marketing dollars, how you're running your campaigns, how you are enhancing your customer experience, removing friction points, as well as on the traditional outsourcing, which is on the cost side of the equation. And on both the sides , we have our IP that we use to deliver our services. So , I hope that answers your question, Mihir, in terms of the sort of deals that we are seeing. And our strong delivery is also giving us the momentum in terms of our existing clients.

Mihir Manohar:

Okay, sure, understood. So , it's not that out of \$140 million some specific deals are coming from productive services. It's the case that across all the conversations, productive services are becoming an integral part of the conversation itself, right?

Kapil Jain:

Yeah . See, what we are trying to do is we are selling in orthogonal circles around technology , consulting and ops, and that's the unique combination we bring to our clients. So , it's not like you're selling them in a discrete manner.

Mihir Manohar:

Understood, sure. That's it from my side. Thank you very much.

Asha Gupta :

Thank you Mihir. We have our next question from the line of Varun Bang from Manulife Insurance.

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15 Varun Bang :

This is Varun from Manulife Insurance. So , couple of questions. Firstly, one of the focus areas for us was to make business more predictable. How do you see progress on that front and directionally, how it is evolving?

Kapil Jain:

So, Varun, I think, are we better off than where we were, when last time when we had lost the client, the answer is 'yes'. As you know, I think, in last year or the year when we had one of the clients that rolled off, we were able to rebound back much more quickly than we have done in the past. So , from that perspective, I think the predictability is increased, but as you know, this will take time fo

r me to

say that look, are we there where we need to be? Maybe not, but are we better off? The answer is 'absolutely yes'.

Varun Bang :

Got it. And on the pricing perspective, incrementally, are we still pricing at some discount or lower rate to improve our win rate? Some thoughts on pricing would be helpful.

Kapil Jain:

No, we are not seeing any like lower rate. We are competitive depending upon the deal, depending upon the market, depending upon the solution relevance. So , it's difficult to comment on a deal -by-deal basis, low or higher, but we are competitive in the markets and geographies and services that we operate in.

Varun Bang :

Okay. And lastly on capital allocation, would we continue with the buybacks , or we'll focus on distributing cash t hrough dividend now given that there's no difference between the two from taxation perspective ?

Srinivasan Nadadhur:

Yeah, we will take a decision on that later in the year, but as you currently know, there is no difference.

Varun Bang :

Got it. Thanks.

Asha Gupta:

Thanks Varun. We have next question from the line of Vikas Khemani, Carnelian Asset Management.

Vikas Khemani:

I want to understand slightly more, I mean, not from quarter perspective, but more directionally. Basically, you are considered KPO but your margins are very much like in the today's companies like data analytics and you know those kind of companies. So do you find overlap in some sort of your business mix somewhere with those companies, like some sort of Latent or Fractal or something, or do you see any kind of overlap or across, I'm just trying to get direction of the business future here. And secondly, how is it sort of use of, or role of AI is going to add or create an opportunity or threat to your business? Those are the two broad questions.

eClerx Services Limited
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16 Srinivasan Nadadhur:

I'll take the first one and yeah, we do come across pure play analytics companies once in a while, especially when we are pitching our analytics services, so in the technology and analytics space also in and around the Martech, marketing places. So, there is some overlap of the services that we provide.

Vikas Khemani :

So how big that business would be in that sense currently for us and how would that growth profile would be there in that right now?

Srinivasan Nadadhur :

About 20% is what it is, I think 18% or 20% it is, what we reported analytics and automation, I would say, is broadly overlap.

Vikas Khemani:

That's where you will see a lot of growth, and is that a fast-growing area for us?

Srinivasan Nadadhur:

In this year, it has grown. The year before I think it contracted a little bit.

Kapil Jain:

Because Vikas, I think there are this is a discretionary spend, but we have high focus on growing this area and we have made some investments also, at the front end as well as at the back end, on this area data analytics. So, if the market continues, and there is discretionary spend, I think we are optimistic that we will see growth.

The second question that you asked that GenAI and Agentic AI, do we see this as an opportunity or threat? I have, in the previous calls also, I've said that I see this as an opportunity because of productized services. We are enhancing our product maturity and ingesting GenAI in all our products. We are not shying away from cannibalizing our revenue and passing on the benefits to the client as and when required, so I see this as an opportunity and not a threat.

Vikas Khemani:

No, as you see, like you said that you are passing on benefit to the client. So, let's say if a client was using INR 100 of services from you and that today you are delivering at INR 80, does that benefit come back to you in form of additional business either on data analytics or some other side? Is that also you're seeing as a trend?

Kapil Jai

n:

So, that's what I'm saying, we are looking at building a medium to long term franchise. It may not happen that INR 100 becoming INR 80 and in the same quarter, INR 80 will become INR 110 or INR 90, but over a medium to long term, absolutely if either not with that client but with some other client because you have a very good use case where you have said that you were delivering it for INR 100 and you passed on the INR 20 benefit to the client.

That's the trust you're building and building a medium to long -term franchise. So absolutely, like I said, wherever required and it's there, we will not shy away in cannibalizing our revenue and passing on the benefits. And there are different models depending upon who's investing in driving that efficiency, eClerx Services Limited

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17 driving that productivity between the client and us, and depending upon how do you the gain share and so on and so forth.

Vikas Khemani:

What explains to some of the leading data analytics companies margins so poor vis -a-vis yours, any sort of perspective on that would you have ? Because of course they have decent revenue, but margins are like pathetic.

Kapil Jain:

I think, because I can't comment you should ask them.

Vikas Khemani:

I am saying would you have some perspective on that? I'm not asking on it. I mean, I don't know, I'm just trying to understand because you're also building that business and you are damn profitable, right? You deliver the margins which are like exceptionally good, better than some IT companies.

Kapil Jain:

Thank you, Vikas, and which is what I am saying that everything we do, we try and leverage technology to amplify human potential and they are not discrete. Our ability to blend it and deliver services to the client is where we differentiate ourselves.

Vikas Khemani:

You referred products in your business. So , is that high operating leverage kind of products do you have for you to use for delivering to your client? I mean, could you give some ideas around that, some thoughts around that?

Kapil Jain:

So, we are not a products company, so it's not we are selling our products as SaaS, but I think our ability like compliance manager in the area of regulatory and compliance market 360 for competitive intelligence, these are some of the products that helps us differentiate and provide a compelling value proposition to our clients, and that's really what we are doing in terms of taking our value proposition use cases to our clients and that's really what is making us stay relevant.

Vikas Khemani:

When you have those kind s of platform , or whatever as you call it, you replicate to other clients, but that would give you a bit of an advantage in getting a customer, but would that also better margin profile? I mean, does that give any operating lever in some sense?

Kapil Jain:

Absolutely. See, like I said on the pricing side, we are competitive in the industry we operate in. The operating leverage comes in from our ability to bring technology in everything and whatever we are doing.

Vikas Khemani:

Perfect. Thanks.

eClerx Services Limited
May 15, 2025
18 Asha Gupta:

Thank you Vikas. We have our next question from the line of Sandeep Shah.

Sandeep Shah:

Thanks for the opportunity again. So just a strategic question, what percentage of our revenue would be voice centric, and what percentage within voice -centric business where we have migrated from a traditional way of delivering voice related delivery vers us new way of delivering the same through automation? And do you expect this contribution to go up or go down in the next two to three years?

Kapil Jain:

I think as we will grow like in terms of percentage , it's like in terms of it's difficult to predict where it will go but we see relevance in our existing clients, both on voice and chat and also clients experimenting

with us on technology or the new way voice is getting delivered, so we are part and parcel of where clients are doing some of these experiments and because of the trust that we have built on the back of our strong delivery.

As I said in the opening remarks with one of the large CMT clients, we won a trusted Partner of the Year , and we won four other awards. So that's really what is helping us on our care programs on the voice , chat and our ability to give insights from voice , chat and the data that we have access to.

Sandeep Shah:

Okay. So , Srin, sir, in earlier quarter you have described voice centric being 6% to 7% of the top line. Do you believe that concentration is more or less the re only, or it has come down or gone up?

Srinivasan Nadadhur:

Should be about that. It should be part of CMT business. So yeah, I think that's about fair.

Sandeep Shah:

So 6%, 7% of the total business.

Srinivasan Nadadhur:

Yeah.

Sandeep Shah:

Okay. And last related question, Kapil, sir, with that 6% to 7%, do you see a risk of cannibalization more in that piece of business versus the 90%, 95% of the business which is not good?

Kapil Jain :

I don't see cannibalization, Sandeep. Like I said, if the re are clients leveraging technology, we are in the mix of what clients are doing, so I don't anticipate , like with one client, there may be some shrinkage because of technology or because of new way of doing, but overall at a portfolio level, I don't see it getting cannibalized because the market, I think on the voice as well as on chat is big enough.

Sandeep Shah:

Thanks. All the best.
eClerx Services Limited
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19 Asha Gupta:

Thanks Sandeep. We have our next question from the line of Girish Pai.

Girish Pai:

Just wanted to understand how much is the discretionary versus non -discretionary part of your business?

Srinivasan Nadadhur :

70% is non -discretionary, 30% is discretionary.

Girish Pai:

Okay. I'm also curious about your setting up delivery centers in Lima and in Cairo. What drove this decision to you to set it up in a Latin American country and in Africa? Was it decided by demand? And how will margins pan out when we deliver from these particular centers?

Kapil Jain:

So Girish, it was a combination of client demand as well as overall attractiveness of the location, right, in terms of it's not like we have set up a greenfield facility and then waiting for the client to come so it was on the back of client and then we assess overall supply -demand situation , overall attractiveness of the location and basis on that we make a decision. Like I said in the beginning, yes, in, short term, there would be margin pressures as we open up new centers. Any new center will take time to deliver profitable growth, and which is why the range that we have given is what we have given, and we are not narrowing the band between 24% to 28%.

Girish Pai:

No, but at a mature stage, would the margins from these delivery centers be lower than that from India?

Kapil Jain:

Yeah, it may be lower, but at a portfolio level we'll be able to balance the portfolio mix.

Girish Pai:

Okay. And just from the onsite -offshore mixed perspective, I think we had shifted more towards onsite over a period of time. Is that trend going to continue?

Srinivasan Nadadhur:

I'll take that. I think if you're talking about from a longer -term perspective, like the last 7 -8 years, yes in last 10 years I think it is moved from 10 % to 20 %. In the more shorter -term, it is sort of between 19% and 21%, and we don't expect any significant movement from this figure of around 20%.

Girish Pai:

Okay, fine. Thank you.

Asha Gupta:

As there are no further questions, I will hand over the floor to management for closing remarks.

eClerx Services Limited

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20 Kapil Jain:

Thank you, everyone, and o

nce again, we are very excited and thank you for the support and confidence that you have laid in us and it's exciting times as we are celebrating our 25th year. And thank you all for your support.

Srinivasan Nadadhur:

Thank you.

Asha Gupta:

Thank you, everyone.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2025

eClerx/SECD/SE/2025/092

July 30, 2025

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended June 30, 2025

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on July 25, 2025 with respect to the financial results of the Company for the quarter/period ended June 30, 2025.

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
VP-Legal & Company Secretary
F8538

Encl.: as above
eClerx Services Limited
July 25, 2025
1

eClerx Services Limited
Q1FY26 Earnings Conference Call

July 25, 2025

ECLERX MANAGEMENT:
KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:
AASHRAY VASA - NIPPON AIF
DEBASHISH MAZUMDAR - SVAN INVESTMENTS
DIPESH MEHTA - EMKAY GLOBAL
GIRISH PAI - BOB CAPITAL MARKETS
JALAJ MANOCHA - SVAN INVESTMENTS

MIHIR MANOHAR - CARNELIAN ASSET MANAGEMENT
PRATIK DHARMSHI - UNION MF
REHAN SAIYYED - TRINETRA ASSET MANAGERS
SANDEEP SHAH - EQUIRUS SECURITIES
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES
VIKAL GUPTA - INDIVIDUAL INVESTOR

eClerx Services Limited

July 25, 2025

2 Pratik Jagtap :

Hi, everyone. Good day, and welcome to the Q1 FY26 Earnings Call of eClerx Services Limited. Please note that this webinar will be recorded.

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by Kapil Jain, Managing Director and Group CEO; and Srinivasan Nadadhur, Chief Financial Officer. We will start the call with brief opening remarks by Kapil, followed by Srinivasan, who will be sharing the financial update, and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is mentioned on this call that gives any outlook for the future or which can be construed as forward -looking statement, must be viewed in conjunction with the risks and uncertainties that we face. The se risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

Having said that, I will now hand over the floor to Kapil. Over to you, Kapil.

Kapil Jain :

Thank you, Pratik, and good evening, everyone.

We are pleased to share the highlights of our performance in FY26 Q1. It was a good quarter on both the revenue and margin fronts. Operating revenue for Q1 was USD 109.2 million, up 4.2% sequentially and 17.1% YoY . In INR terms, Q1 operating revenue was INR 9,346 million, up 4% sequentially and 19.5% YoY . Margins came in stronger as well, despite the impact of the annual wage increase, which we see in Q1. EBITDA for Q1 was INR 2,346 million at a margin of 24.8%, down 6.3% sequentially, but up 25.3% YoY . PAT for the quarter was INR 1,417 million at a margin of 15%, down 6.9% sequentially, but up nearly 27% YoY .

Our deal wins were at \$32 million for Q1. We are happy to note that Analytics and Automation went up 6% over the previous quarter, stronger than the firm growth rate and that emerging client growth has outpaced top 10 client growth. Growth has been broad -based across all our verti

cals, other than Fashion

and Luxury segment. On the new centers, we have recently opened our Lima operations, which went live this quarter, and operations in Cairo will be going live in Q2.

I would like to share some commentary and outlook about our businesses. On BFSI , clients in that segment have reported strong results on the back of high volatility. There are broad opportunities across large and small clients, both new and existing. We are working on several interesting KYC client onboarding opportunities with new c lients as well as expansion of existing clients. These opportunities are a mix of tech, data and operations.

On the Fashion and Luxury [segment] , there has been no change in the outlook from the previous quarter. This segment continues to remain weak with U.S. market underperforming, weakness in China and appreciation of the euro. Both Hi -Tech and M&D and our Emerging businesses grew strongly in the last quarter, and the outlook remains broadly positive. Our Market Intelligence platform and tech services are resonating well with clients.

On Communication, Media and Telecom, we see good traction on both new logo wins and in cross -sell of CX services, omnichannel services that we provide. We will leverage the new delivery centers to grow footprint with both existing and new clients. Clients continue to remain focused on cost control and operational efficiencies.

On Technology and Analytics services did well in Q1. We see interest in our productized services offerings around compliance, compliance manager, market intelligence and in low -code/no -code
eClerx Services Limited

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3 services.

I'll now cover some of the brief awards and recognitions that we have received this quarter. We have been included in the Leaders Quadrant of Everest Group's Financial Crime and Compliance Operations Services Peak Matrix Assessment 2025, a recognition that demonstrates our commitment to delivering innovative and effective compliance solutions to our clients.

eClerx Chief Technology Officer, Sanjay Kukreja, has been honored as the Evangelist 100 by the Chief Security Officer Award, CSO100 by Foundry and IDG Inc. Company for his outstanding leadership in driving technology transformation and fortifying cybersecurity strategy.

eClerx has also been honored with the prestigious Financial Express CFO Award, FE CFO, in the Medium Enterprises Services segment, underscoring the company's commitment to financial discipline, risk management, sustainable growth and having the highest set of corporate governance.

As many of you know, learning and development forms the foundation of our delivery model. Six months ago, we introduced a cutting-edge Gen AI training course in collaboration with the Technical University of Munich, one of the world's top universities in computer science and engineering. I am proud to share that as a result of this initiative, 8,000 employees have successfully upskilled, which represents roughly 40% of our employee count. We are also upskilling the entire technology team on GitHub Copilot in line with our CTO's vision to drive 25% productivity gain by leveraging AI code generation tools.

FY26 has started on a positive note, and we will continue to build on this momentum. We are grateful to our clients and partners for having placed their trust in us and for giving us the opportunity to be part of their journey. We look forward to their continued support in the future.

Thank you, and over to Srini for more details.

Srinivasan Nadadhur :

Thank you, Kapil, and good evening, everyone. I will provide some additional detail on our performance this quarter.

So, as Kapil mentioned, the performance this quarter has been strong on both the revenue and the margin fronts. In constant currency terms, operating revenue was up 3.3% sequentially and 16.4% YoY. Including other income of INR 105 million, total

revenue was INR 9,451 million, up 3.1% sequentially and 17.7% YoY. On a QoQ basis, there was margin decline in both EBITDA and PAT of about 250 and 160 bps, respectively, owing to the annual wage hikes and the impact of the new delivery centers. This is lower than the decline usually seen and was achievable, thanks to the strong top line growth in BFSI and CMT Offshore, enabling us to hire at the bottom of the pyramid.

You will notice that we have added a couple of slides, one on key performance indicators and the second on balance sheet metrics, which show a long-term view of our performance in a graphical format. And we hope that you find these slides useful.

One thing that I'd like to call out on this slide is the net operating cash flow of INR 223 million and the EBITDA conversion metric, 9.5% in Q1, are much lower than usual. There are a couple of reasons for this. Number one is that DSO has gone up from 80 days to 86 days. This is because of system and process changes in some of our large clients, resulting in invoices being held for some time. These are clients with whom we have tenured relationships, and I want to emphasize that there is no risk to collections. The second reason is that we made a large contribution to our gratuity fund based advice from our auditors. The contribution is tax deductible, and the returns are tax-free, and this will reduce our liabilities in future. Without these 2, the Q1 net OCF would have been higher than that of last year. Another point to note is that we pay annual bonuses in Q1. So Q1 in general does tend to be lower than eClerx Services Limited

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4 Q2 to Q4.

Coming to the P&L, I had mentioned last quarter about a reclass of 120 bps from delivery to sales. So that reclass, last quarter had resulted in a higher S&D cost last quarter, 14.1% of revenue and excluding that, the Q1 S&D of 12.3% is roughly down about 60 bps QoQ. D&A as a percentage of revenue has gone down, as happens every Q1, because of the recalculation of WDV in the new financial year. And on the other key metrics, top 10 concentration has reduced by 1%. We have added about 750 seats in

our Airoli facility in Navi Mumbai. Attrition at 18% is lower than Q4 and about the same as Q1 of last year. Staff utilization is down by about 0.5%. And I have already touched upon DSO earlier.

So that concludes our prepared remarks. We can now move on to the Q&A. Back to you, Pratik.

Pratik Jagtap:

Thank you, Srinivasan. Thank you, Kapil. We will now open the floor for Q&A session. We have first question from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah :

Congratulations on a great execution, both on revenue margin as well as employee addition. Just the first question, sir, is there a seasonality in the ACV booking from Q4 to Q1? Though on YoY, we have done well, but do you believe the decline Q oQ is seasonal and may continue in future? Or there are some delayed decision making?

Kapil Jain :

Sandeep, thanks for the question. As I had mentioned in the last quarter as well, QoQ there will always be some amount of volatility up or down. If you look at full year ACV of last year, we did roughly about \$140 million. We expect to do higher than that on a full year basis.

Sandeep Shah :

Also, some commentary about roll -off, it continues at the scale of 15%, 20% of the top line?

Srinivasan Nadadhur :

Yes, about the same, there is no significant change in roll -off percentages.

Sandeep Shah :

Okay. And last few things. In terms of employee addition being robust, so that implies we also have a healthy growth visibility at least in the near term. Is it the right way of looking at it?

Kapil Jain :

Yes. Sandeep, I think we do see client demand and the overall strategy that we have laid out for the company is working well in terms of service line capabiliti

es and the verticals that we have created.

Sandeep Shah :

Okay and just last 2 questions, Srini, generally, Q1 margin is lower for wage hikes. But if we compare the full year margin versus Q1 margin, it improves by 3 % to 4% points. So , in this scenario, do you believe this time we could be near the upper end of the comfort guidance of 24%, 28% in this year?

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5 Srinivasan Nadadhur :

We don't know. The year has just started, and it's possible that we may want to invest more in the business if we see margins trending up. So , I mean that is the decision that Kapil and the executive team will take during the course of the year.

Sandeep Shah :

Okay. And the last question, last year the buyback was concluded in the second quarter. So , when we come out with the Q2 results, mandatory period of 12 months would have been completed. So, in a fair scenario, one can expect the buyback can be considered by the Board in the near to medium term?

Srinivasan Nadadhur :

It's possible, yes.

Pratik Jagtap:

Thank you, Sandeep. We have next question from the line of Mihir Manohar from Carnelian Capital.

Mihir Manohar :

Congratulations on the great set of numbers. Largely wanted to understand on the margin side. Generally, 1Q is a period where we have 200 or 300 basis points kind of drop in margins. But however, this time that is not the case. If you could quantify the headwinds and tailwinds for margin on a Q oQ basis for this quarter, that would be helpful.

Srinivasan Nadadhur :

Yes. So roughly about 250 bps has come through because of wage hikes, and about 20 has come because of the new delivery centers that we have opened. On that, we were able to recoup margin because of the strong growth, especially offshore and as I mentioned, when the growth happens in a couple of our areas like BFSI and CMT, we are able to replace at the bottom of the pyramid, which results in the overall wage cost going down.

Mihir Manohar :

Understood, sure. Second question was on the DSO side. I mean, you mentioned systems and processes, some change in some of the clients. What is this change exactly? And for what part of the business is this change happening? And will we revert back to our original number?

Srinivasan Nadadhur :

So, some of our clients want to change the processes and their internal system that they use for tracking purchase orders. While they are migrating to the new system, some of our invoices are on hold. This is in a couple of our BFSI clients and a couple of our Retail and Emerging clients. And DSO, you want to talk about it?

Kapil Jain :

Yes. I think definitely this year, the DSO moved from 80 to 86. We do expect it to bring in line with what it has been on average in the previous quarters between 80 and 82.

Mihir Manohar :

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6 Understood, sure. Third question was just on the GitHub Copilot. So , what number of people are broadly we trying to train on GitHub Copilot and trying to drive productivity?

Srinivasan Nadadhur :

The Technology team is about 1,700. So , I would expect that maybe about half of them will be doing pure technology work and the other half may be doing analytics kind of work. So rough assumption is about 60% .

Kapil Jain :

Also, I think the work that we do on the technology side, broadly, we classify in services that we are rendering on top of our IP and there our technology team that's working on the same. If they are able to get trained on GitHub, you can realize the productivity immediately, because that's something on our infrastructure, on -prem, and we are able to realize the productivity.

Technology folks that are working on client systems where we are delivering services of the client systems or we are providing low -code/no -code or doing tech work. There even if we are trained to a

pply

that productivity is a function of clients' infrastruc ture, security and other parameters. So, I would take 25% of 60% of 1,700 as the number. Immediately, I think what we are looking at is people who are working on the back of our IP, that's something is, yes, we will see benefits as we move along.

Mihir Manohar :

Understood, sure. And lastly, on the margins on Analytics division, does Analytics have higher margin for us versus the company average?

Srinivasan Nadadhur :

At a gross margin level, the percentage gross margin is lower, but the dollar gross margin is higher.

Pratik Jagtap :

Thank you Mihir. The next question is from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta

Two questions from my side. First about the Emerging client revenue, if I look at it, after relative softness for previous quarter, largely because of Fashion and Luxury related and digital spend where you indicated some softness. But this quarter, it bounced back. While your commentary remained largely similar around that Fashion segment. So , if you can provide what is driving growth in Emerging client this quarter? That is question one. And how do you expect that momentum to continue in coming quarter?

Second question is about sales and distribution. Partly you indicated about the reclassification, but even adjusted for reclassification it is down. So , if you can provide some sense how one should look at the sales and distribution investment going forward?

Kapil Jain:

I think growth in Emerging clients is a function of a few things. One is average deal size going up, our ability to sell more services to our existing set of clients, cross -sell, upsell that I spoke about. In terms of high -end Fashion and Retail, I think what you're seeing margins is on account of the constant currency, I think we still are cautious on that segment of business. And what was your last question?

eClerx Services Limited

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7 Dipesh Mehta :

Sir, sales and distribution even adjusted for reclassification is down, when I look sequentially as well as YoY perspective. So how one should look at it as a percentage of revenue going forward?

Kapil Jain:

I won't look at QoQ like I said, we will continue to let go of the bottom performers, continue to hire at the top end, continue to hire where we see growth momentum either across service lines, vertical, geos. So, I wouldn't look at a trend line QoQ . On a yearly basis, we should be around the number that we had last year.

Dipesh Mehta :

Understood. And last question is about overall demand scenario perspective. Let's say, from the beginning of year, considering the way deal pipeline shape up happened as well as quarter 1 performance, are we more confident about growth acceleration or you think things are largely stable? So, if you can provide some context compared to where we started versus now?

Kapil Jain:

We are cautiously optimistic, Dipesh, in terms of what we are seeing. Like I said, our overall strategy is working well in terms of cross -sell, upsell, as well as in the financial services space, compliance, KYC seems to resonate well. We have recently been acknowledged by Everest on the Peak Metrics . I think all these things definitely are the tailwinds that we have. But overall macroeconomic environment continues to be volatile and hence, we are cautiously optimistic.

Pratik Jagtap :

Thank you, Dipesh. We have next question from the line of Shradha Agrawal from AMSEC.

Shradha Agrawal :

Congratulations on another great quarter. Two questions. Last quarter you had indicated that the pipeline for FY26 looks better than what it was at the beginning of FY 25. So , with strong conversions coming through this quarter also, do we still have a stronger pipeline compared to what it was at the end of FY25?

Kapil Jain:

Yes, Shradha, pipeline continues to

be strong. As I was mentioning that our deal sizes have gone up, which is taking longer from a conversion point of view, which is why Q1 you saw a decline over Q4. But YoY there is a growth. And like I said, that on the ACV basis for the full year, we do expect to do higher than what we did in FY25.

Shradha Agrawal :

Right and in terms of GCC, IT companies at least have specific GCC approach now, and they have carved out business units to focus on GCC as a focus area. So , what is our strategy around GCC? Are we doing anything different now compared to what historically we have done around that space?

Kapil Jain:

So, Shradha, we have been working with GCCs from the very beginning. I think every client we work with has a GCC in the financial services sector. So , for us this is an opportunity, and we have a dedicated eClerx Services Limited

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8 team as well. I think it's just doubling down on what we were already doing to capture market share from the GCCs.

Shradha Agrawal :

Sir, last question, what drove a very strong growth in our Analytics and Automation practice this quarter?

Kapil Jain:

There were a couple of things. One is, again, on the Analytics, MarTech, and some of the other capabilities that we have, our ability to cross -sell, upsell that into a wider set of clients. Second is we have made a structural change to bring Analytics and Technology under one umbrella. So that was other reason. So, we are able to bring in a more synergistic view for the clients across Data Engineering, Analytics, Insights. And it's broad -based across capital markets, financial services clients, hi -tech and customer operations.

Shradha Agrawal :

Right. And sir, last question, I know you had not commented on revenue growth guidance for FY26, but you had indicated that the deal ACV number would be higher. But given how we've started off the year, and given the kind of hiring momentum that has happened in the quarter, would you be comfortable in saying that on the revenue growth as well, FY26 could be better than FY25?

Kapil Jain:

Shradha, I won't comment on that. I think what I can say is because, as I said, there are a lot of macroeconomic uncertainties that we are living in. Definitely, [in] Q2, we are confident of showing sequential growth over Q1 and then we will give the further guidance as and when we meet in the Q2 earnings call.

Pratik Jagtap :

Thank you, Shradha. We have next question from the line of Vikal Gupta an Individual Investor .

Vikal Gupta :

Congratulations for yet another fantastic quarter. So , my question is, when the results are coming so fantastic, don't you think that are looking for revising the guidelines to the upside? Or is it too early to comment on that? And the second question is, in the near future can we see that consideration for the

bonus share?

Kapil Jain:

Yes, so I'll take the first question, and let Srini answer on the bonus share. As I said, we don't give guidance for the future. What we have indicated is that pipeline is robust. We have seen sequential growth in Q1. And Q2 we are reasonably confident to deliver sequential growth.

The margin guidance we continue to maintain between 24% to 28%, despite opening up 2 new centers, one in Cairo, one in Peru. And as you know, when you are opening a new center, it takes time to break even. So, I think we are not going to change the guidance on our EBITDA and margin front, and sequential increase in EBITDA is what we have said. So, I'm continuing to maintain the same guidance.

Srinivasan Nadadhur :

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9 On the bonus, it is something for the Board to decide. And we are, of course, cognizant of the fact that we want more retail investors to participate, and therefore, we would like for the share price at least from a psychological standpoint to be in a certain

low range where people can actively trade. And therefore, when the time is right, we will propose it to the Board, and I'm sure the Board in their wisdom will take the right decision.

Vikal Gupta:

And my main idea was request for the bonus share for making more availability in the market and the liquidity for the retail shareholders.

Pratik Jagtap

Thank you, Vikal. We have the next question from the line of Girish Pai from BOB Capital Markets.

Girish Pai :

One of the running themes in this result season has been vendor consolidation that most companies have been talking about. What has been your experience with regard to that?

Kapil Jain:

Yes, we have seen vendor consolidation and in larger clients where, as I had mentioned that our delivery continues to be strong, backed by productized services and technology. So, if anything, we have benefited from the consolidation in the industry.

Girish Pai :

Okay. Can you give us an outlook vis -a-vis verticals and the service lines that you have, especially Retail and the Consumer -oriented side of the business, how is that kind of working?

Kapil Jain:

Sorry, I said that the growth this quarter, except the high -end Fashion and Retail, was broad -based. On Financial Services, we see healthy demand and outlook, and so is also true on the Communication, Media and Telecom. Hi -tech and M&D also we see a growth in Q1 and as well as in Emerging markets. So, except for high-end Fashion and Retail where we are still seeing some headwinds, which I mentioned in my opening remarks, we see positive momentum across all of the 4 verticals.

Girish Pai :

Any outlook on how order inflow is going to look like in the coming quarters?

Kapil Jain:

The ACV as I said, QoQ, is a little difficult in terms of the timelines. What I'm saying is that we are reasonably confident to close the year higher than what we closed our ACV in FY25.

Girish Pai :

Between H1 and H2, which will be a stronger half?

Kapil Jain:

I'm hoping that H2 should be stronger than H1. But like I said, there is a lot of overall macroeconomic
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10 uncertainty, which we are living under. We will give you a better outlook when we meet in Q2 earnings
call. I have already mentioned about Q2.

Pratik Jagtap :

Thank you, Girish. We have the next question from the line of Rehan Saiyyed from Trinetra Asset
Managers.

Rehan Saiyyed :

As most of the questions were already answered, so I am left with 1 or 2. Yes. So , my first question is
regarding this, sir, can you share an update on new client wins in North America and Europe and the
pipeline visibility from these geographies? If you could please put some light on this?

Kapil Jain:

Rehan, we don't give client names. As I said, our pipeline is robust across U.S. and Europe, and across
verticals that I just mentioned, and pipeline remains healthy.

Rehan Saiyyed :

Okay. So you have tell that majority of your client concentration coming from the U.S. and Europe
markets, right? Am I right, sir?

Kapil Jain:

That's correct.

Rehan Saiyyed :

My second question is on the Cap ex side, sir, what was the Cap ex plan for this upcoming year going
forward? Could you just mention the numbers?

Kapil Jain:

Srini will you take that?

Srinivasan Nadadhur :

Number we don't usually mention, but our Cap ex is led by demand. So , demand for facilities and
demand for computing equipment. So , to the extent that we see growth in the business, the Cap ex will
follow.

Pratik Jagtap :

Thank you, Rehan. We have the next question from the line of Jalaj from SVAN Investments.

Jalaj Manocha:

First of all, congrats on a great set of numbers. So sir, I had a few set of questions. First question was
around AI, the general discussions around it. What verticals or service line

s are supporting us in terms
of the offerings? And where is it impacting us negatively? Because there is a lot of noise around BPM
businesses being negatively impacted by AI, because the operational work is getting replaced. So how
are we using it to our favor? Could you put some light around it?

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11 Kapil Jain:

Okay. So Jalaj, as I had mentioned that the productized services that we provide, which are on our IP, for example, compliance manager in the KYC space, we are extensively using Gen AI for client outreach, entity summarization, and some of the other functionality that we provide.

On the quality audit function that we provide on the Care side, we are using Gen AI for speech to text, sentiment analysis, and providing insights. The insights that we provide, our clients are using it to drive elimination and automation and because of our superior delivery, we are net gainer in terms of the overall top line, right, in terms of the numbers. Also we are also looking at passing on some of the benefits that we are getting in terms of the work that we are doing by bringing in GenAI, Agentic AI into the products that we use to deliver the services, some of those benefits we are passing on to the clients.

In terms of Agentic AI, we are leveraging our Roboworx platform that we have, where we have integrated our Agentic AI framework, and we are building on top of the entire ecosystem that we have. We are using it as an opportunity because we understand the domain. We have underlying technology, our IP on which we are delivering services, and we have the process knowledge. So, if you bring it all together, I think it's a n opportunity for us and yes, industry is there, but those are like traditionally the models which has gone on a seat model. But I think the services that we are providing is an integrated offering across tech, domain and process.

Jalaj Manocha:

Understood. Makes sense. Fine, sir. That answers it. My second question was around, if I look at the Europe numbers quarterly, there was some abrupt fall last quarter, and it has recouped now. So, I'm talking about the run rate. It is running in \$16 million quarterly run rate in the Europe geography. It had gone to \$14 million levels, and now it is back. So, were there some changes we did? Or was it a one-off? How should we understand what is the reason behind it?

Srinivasan Nadadhur :

There is a reduction in CLX in Europe. So, most of our European revenue is based on CLX. Are you looking at euro numbers or are you looking at USD figures for the Europe geography?

Jalaj Manocha:

I'm looking at the USD numbers.

Srinivasan Nadadhur :

So then that is the effect of the currency depreciation of the USD against the euro. So, if you look at constant currency numbers, I don't know whether you'll be able to work that out, but Europe is largely flat for us and that is largely driven because of this weakness in the CLX business.

Jalaj Manocha:

Okay. So, any plans or any focus area specifically on the Europe geography?

Kapil Jain:

Yes. In terms of U.K. and Continental Europe, we do have plans to invest in sales hunting capability. And as and when we find the right leadership, we will continue to invest in Continental Europe and U.K.

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12 Jalaj Manocha:

Okay and verticals would still continue to be same?

Kapil Jain:

Yes.

Jalaj Manocha:

Got it. And sir, my last question was around specifically BFSI. So we were talking about predominantly, we have been working in B2B so far, a flavor of it. So, there were some discussions that we were trying to get into B2C vertical of the banking. And specifically, it looks like the numbers have been very strong, the growth numbers in banking. So could you put in some flavor from where has the growth come in? And ha

Is there been something we have been able to crack on the B2C part also of the business?

Kapil Jain:

So, the growth, I would say, predominantly has come from the institutional side, which is B2B. However, we have made some inroads and success on the consumer side as well on B2C in certain areas. We do hope to continue our focus on the consumer side as well.

Jalaj Manocha:

So currently, it's not a sizable part.

Kapil Jain:

As the overall size of the business, you're right. But I think it's good to see that we have had some success on the consumer side of the banking as well.

Jalaj Manocha:

Got it. And just an extension of you also been mentioning one part of banking, banks reporting better numbers because of the volatility in the markets. So, what attribution of our growth would go to or would be due to the volatility in the markets? Because I understand that we do a lot of processing of back-end derivatives also as a part of our offering. Has that also been helping the growth in our banking vertical or something else?

Kapil Jain:

Yes. Some of it is attributed to the growth in the volatility that we have seen. But I think I would only ascribe a small percentage to that.

Pratik Jagtap :

Thank you, Jalaj. We have a follow-up question from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah :

Kapil, just your qualitative and expert view regarding Capgemini announcing acquisition of WNS, especially during times where people have a concern that BPM can be impacted more through GenAI and Agentic AI. So, do you believe what has driven this? And second, do you believe this may create a competitive pressure, may not be near term, but in the next 3 to 5 years?

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13 Kapil Jain:

I think Sandeep, I would suggest the best people to answer this question is Capgemini who has acquired WNS. And only time will tell. I have told you our strategy, how we are using GenAI, Agentic AI, and how we are able to bring in technology domain and process layer altogether. I wouldn't want to comment on the competition.

Sandeep Shah :

Okay. And just a second question, when you apply the Gen AI or Agentic AI in customer live projects, how the budget shapes up post that for you as a particular vendor with that client? Does that lead to better outsourcing because of the saving in other areas or how to look at it this as a whole budget within the client once you execute the GenAI and Agentic AI?

Kapil Jain:

What I'm saying is that the products that we have, which we are leveraging to deliver services to our clients, we are enabling them GenAI and also now Agentic AI, right? So there, as I was telling you, it's on-prem on our infra, and I'm able to deploy Gen AI, Agentic AI and get the benefit and pass some of that benefit to the clients. It is helping, a, both on the efficiency side as well as effectiveness side because that's allowing me to deliver a better outcome for the clients because my agent is now able to focus in enhancing the overall experience as opposed to looking at data and bringing data together. Because lot of traditional tasks we are using our productized tools and which are enabled by Gen AI. So those are the 2 reasons which are helping us both, enhance the experience, efficiency and effectiveness.

Sandeep Shah :

Okay. And just last thing on a lighter note, sir. When you are cautiously optimistic, you are delivering mid-teens or higher growth. So once macro recover, I think Street may expect more than 20% growth. All the best.

Kapil Jain:

Thanks for letting me know the Street expectation, Sandeep.

Pratik Jagtap :

Thank you, Sandeep. We have the next follow-up question from the line of Girish Pai from BOB Capital Markets.

Girish Pai :

I just want to dig a little deeper into the GCC situation. So, you've been saying that you've been working with GCCs for a very long period of time. What would be the percentage exposure as percentage of your total revenue now? If you can give that number, would it be mid, high single-digit type?

And has the work changed over the years? I mean, what you're doing now, can you compare that with what you were doing for the GCC 5 years back? And the other thing with GCC's in-sourcing threat, how has that played out for you in the last 5, 10 years that you've been working with GCCs?

Kapil Jain:

So, you asked 3 questions. One was the percentage of revenue. When you said percentage of revenue coming in from GCC versus the clients, like the same client from U.S. or Europe?

eClerx Services Limited
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14 Girish Pai :

No. As a percentage of the total turnover, how much is coming from GCCs?

Kapil Jain:

We don't count in terms of revenue that is coming from GCC. We count revenue on client index vertical and geography-wise. When I said we were already collaborating with GCCs in ops, KPO, if you look at, we are working with clients in financial services space, which majority of them have a GCC in presence. So, we are collaborating, cooperating and working along with GCC and delivering the value to our clients. That gives us an edge to leverage the GCC. I think the question that was asked that a lot of SIs have created a separate unit vertical. So, we also have a dedicated team to sell into GCCs now, which is what I said that we are building on top of what we already existed from a collaboration point of view in GCCs. Did I answer your question?

Girish Pai :

I think 2 other questions regarding the kind of work you do now versus, say, 5 years back on the GCC side?

Kapil Jain:

The work that we do today versus 5 years back, obviously, we have moved up the value chain because repetitive task, which is there, it has either got eliminated or automated either by client or by us. So, the

nature of work, the complexity of work has increased.

The nature of work with GCCs, as I said, I think it goes back to the previous answer that I gave that we are not differentiating that, look, this is the work specifically I'm doing for GCC or for the client. It's like what we are delivering it as a service.

And we have created a dedicated team. So, the nature of work, the only thing I would add is we are also working on the technology side with GCCs, which, let's say, 5 years back, we may not have been working.

Girish Pai :

Insourcing. In -sourcing threat, have you seen episodes of in -sourcing happening? And how have you handled it?

Kapil Jain:

We haven't seen that in terms of except I think when in Q3 of '24, one of the clients that we were working with, did look at in -sourcing. But other than that, we have not seen that impact.

Girish Pai

Okay. My second question has to do with margins and the impact of Gen AI on margins. You said you keep some of it and then you pass on some back to the client. So, does that help in the overall context of margins, does that help?

Kapil Jain:

I think it's difficult to say whether it's margin, we are looking at the overall top line and bottom line. And then we take a business call along with the client in terms of what are the benefits we would pass on to the client. And I think it's a discussion that we have with the clients and then we make a call. It's eClerx Services Limited

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15 not like you would only look at margin. We'll also look at what is the value we are bringing to the client? And are we helping them get better? Are we helping them enhance their end user experience, retention of their clients. And in a holistic manner then we take a call.

Girish Pai :

No, I'm asking in recent quarters, has Gen AI helped you add to the margins that you have now?

Kapil Jain:

We don't look at in terms of whether Gen AI has helped. I t

hink from an overall perspective, what we are looking for is, am I staying relevant for the client? Am I helping clients to stay in compliance with the regulators and the jurisdiction in which they are working from, our compliance and KYC practice that we have. To say whether Gen AI has helped me on the margin, I think we cannot quantify. But I would think that GenAI and our technology ability is helping us both on the top line as well as on the margin.

Pratik Jagtap :

Thank you, Girish. We have the next question from the line of Aashray Vasa from Nippon.

Aashray Vasa :

Congrats on the results. Sir, I was of the opinion or, correct me if I'm wrong, macro uncertainties impact KPOs and BPO or our offerings slightly lesser than IT services. But you have kind of mentioned twice about macro uncertainties. Is it just delay decision making, more roll offs, just any color on that, how to connect the strong performance of our company over the last few quarters versus the macro uncertainties that you are kind of seeing?

And just second question on the gratuity transfer, Srini, sir, just when was this last done I know you called out the auditors mentioned it but this. Can you give any more color on that or is it just a regular practice time to time?

Kapil Jain:

Aashray, I'll answer the first question, and I'll pass on to Srini for gratuity. I think we are not seeing any increased uncertainty from an overall macroeconomic environment. However, and which is what is making me say that we are cautiously optimistic. You don't know what you don't know. In terms of the actual thing is the only thing we have experienced is a delayed decision-making, which you're right. Other than that, I think, like I said, on Q2, which is short-term, we are optimistic to show QoQ growth. Beyond that, we will let you know as we meet in the next earnings call. Does that answer your question?

Aashray Vasa :

Yes, sir.

Srinivasan Nadadthur :

So, on the gratuity, we had applied to shift our gratuity from LIC to HDFC way back in 2019. And then COVID happened and somehow that application got lost, we lost track of it. And when the auditors brought it up, then we realized that this hadn't been completed. And we did that process, we got it approved and we got the fund approved, transferred and then we made a big payment in this quarter. For the last 4, 5 years, we've been paying as we go. So, this is a significant contribution that we have not made in the past.

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16 Aashray Vasa :

Okay. Understood. So, I mean, the cash conversion will again be back to our normal range going forward.

Pratik Jagtap :

Thank you, Aashray. We have the follow-up question from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta :

I think partly you answered, but I will just try to get more detail about the delay in decision making because you said we expect a full-year deal, ACV, to be better. Now earlier is better for revenue conversion in that year. The delay in deal closure obviously has implications for future growth, not in the immediate period. In that context, I just want to understand whether delay in decision-making could have some bearing on your growth expectation for the current year? Or do you think things are fairly stable and it is as per plan kind of thing?

Kapil Jain:

So Dipesh, as I said, we don't comment QoQ for full year, we expect, and as you would have seen we have shown growth on ACV on a YoY basis. If you look at Q1 of last year versus Q1 of this year, we have shown growth. Sequentially, yes, we have declined. We continue to expect the same momentum as we had last year across the quarters. So, we don't see a major change in the overall mix. And that's all I can comment at this point in time. And in addition to that, I've also said that we are expecting a higher ACV than what we

delivered in FY25.

Dipesh Mehta :

So, sir, let me ask it slightly differently, whether this delay in decision-making is an area of concern for you, which could have some bearing about plan or you think it is broadly stable in last 3, 4 months, nothing unusual?

Kapil Jain:

The delay in decisioning is happening. As of now, I'm not concerned with the delays that are coming. However, if there is a further delay in clients' decision-making, yes, that can have an impact. But as of now, we don't see the delay, whatever has happened will impact the trajectory that we are on.

Pratik Jagtap :

Thank you, Dipesh. We have the next follow-up question from the line of Jalaj from SVAN Investment.

Jalaj Manocha:

Sir, with regards to the margins, I wanted to understand one thing. So, while you had joined in post that, there was a discussion around margins being under slight pressure because of the investments which we were trying to make. Would it be fair to assume that we have made those investments and from now this higher margin should be a new normal?

Kapil Jain:

So Jalaj, like I said in my previous earnings call, we are a growth business INR 400 million growth business. So, we'll continue to invest in the growth and margin guidance we have given will stay
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17 between 24% to 28%.

Jalaj Manocha:

Okay. So, I just wanted to understand, has the investment phase been over or it's a continuous process for us. That was the agenda I wanted to understand.

Kapil Jain:

Investments will continue. We'll continue to invest to drive the top line growth in the business.

Jalaj Manocha:

Okay. More so from a perspective of propensity of those spends they would have reached to a certain level. That was the directionally I wanted to understand. And then have we reached to a threshold of where the incremental spending would not be as much as required?

Kapil Jain:

When you say as much as required, meaning? Whatever is required, we will continue to invest to drive the top line growth. But as long as we are delivering through the guidance that we have given on the sequential growth, on the top line growth that we will be in the top quartile of the competitors etc. We'll continue to invest in the business. And if we are not, then investors should be concerned that why are we delivering a higher margin, why are we not investing for growth.

Jalaj Manocha:

Just trying to understand the intensity, but that answers. And sir, just one more question with regards to M&A. Sir we are sitting on a decent amount of cash right now. And every few years, we have been doing a few tuck-ins. So what are your thoughts around the M&A? Are we looking actively and any spaces we are specifically looking out for them?

Kapil Jain:

Yes, we are looking. We have a dedicated senior person who is focusing on M&A. However, we are very clear, we are not going to do an M&A to just get the top line revenue. We need to look at adjacent areas, which is what we are looking at, and bring in synergistic value, either on the service capabilities that we have or on the client access. And as and when we find the right opportunity, and obviously, the valuation has to be right, we will consider it and look at it. So, we are absolutely looking at inorganic and M&A assets on a continuous basis, but we will only do it when it makes right sense for us.

Debashish Mazumdar :

Hi Kapil, this is Debashish. Just a follow-up on the acquisition point. So if I see the history of eClerx, every 3 to 4 years we used to do a comparatively larger size acquisition as compared to the size that we used to operate into. And largely, we use those acquisitions to enter into either new geographies or completely new verticals or completely new capabilities. So just trying to understand what would be your

strategy? Your strategy would be a tuck-in acquisition or kind of acquiring a larger sized company to get into a new business altogether? So that is the agenda of this question.

Kapil Jain:

So Debashish, whether it's a tuck-in or larger size, I'm more focused on the other attributes. If I acquire a company, can I deliver an alpha basis, either the capabilities that I'm delivering to the client or the vertical access that I have access to, the clients have access to, right? So, either it enhances my capability

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18 side or it enhances the client access that I can take a new capability and take it to the client, right? So that's the synergistic value.

Is it both top line and bottom line accretive? Can it continue to give me the growth. If I am delivering the growth that I'm delivering, it should deliver an alpha on the growth that I'm delivering. And third is the valuation has to be right. So instead of size, whether it's a tuck-in or a large-sized acquisition, these are the attributes or framework on which I'm evaluating the assets on the acquisition side.

Pratik Jagtap :

Thank you Jalaj & Debashish. We have the next question from the line of Pratik Dharmshi from Union MF.

Pratik Dharmshi:

I Apologies if I'm repeating this question, I was slightly delayed in the call. How should one see Gen AI to impact our business or we benefiting out of it? How should one see the overall scheme of things, Gen AI for us?

Kapil Jain:

So Pratik, like I have said in the previous earnings call, as well as I think this question was asked earlier as well, we see this as an advantage given the way we deliver services to our client. And we are embedding Gen AI in our domain-specific applications, IP that we use to deliver services, be it KYC, Compliance Manager, QA 360 that we are bringing in to deliver services to the clients. And this will help deliver value to the clients on efficiency, effectiveness as well as enhance overall experience.

Pratik Dharmshi:

Got it. And just a second one on hiring trends, we have seen incremental net hirings at our end, which is contrary to what we have seen with other IT names. So how should we see hiring trends evolving, considering we have a strong ACV? It's a precursor basically that this should continue to be robust going forward?

Kapil Jain:

As I said, for Q2, we are reasonably confident to show sequential growth. Beyond that we will give more color on Q3 and Q4. There was also a question on H2 versus H1, which I answered. If you look at companies that have delivered 3% to 4% growth QoQ I think the hiring is in line with the demand that we see as well as the expansion that we are seeing in the new geos.

Pratik Jagtap :

Thank you, Pratik. We have next question from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah :

Sir, just wanted to understand what can go wrong in your consistent growth journey over the last 8 quarters despite the weak macro? And this question is outside macro concern, what other things which can go wrong in terms of, A in terms of client-specific issue and B in terms of any technology-related risk?

Kapil Jain:

Sandeep, it's like a Johari window. I don't know, I don't know. So, what can go wrong, I think there are

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19 things that I can have control on. So , I think we are focusing in terms of what we have to do to drive the growth, continue to drive value for our clients, continue to stay ahead of the curve from a technology point of view. In terms of what can go wrong is like in an infinite set of outcomes. I don't want to comment in terms of what can go wrong. But I can comment in terms of what we are doing and what our focus is and what our strategy is.

Sandeep Shah :

Okay. And sir, last thing, when you took a control as a CEO, you also

highlighted one of the area of investment would be larger deals. If it requires some investment in the larger deals, we won't shy out to do that. Any such deals are shaping up in the pipeline?

Kapil Jain:

There are a mix. I won't comment on specific deals. But yes, I continue to maintain what I had said that we will not shy away in investing for our clients, with our clients on deals and which I also mentioned earlier that some of the benefits that we are getting due to bringing technology, Gen AI, we are not shying away from passing that on to our clients.

Pratik Jagtap :

Thank you, Sandeep. As this was the last question, I will hand over the floor to the management for closing comments.

Kapil Jain:

Thank you, everyone, for your continued support. And as you know, this is our 25th year of existence, and we are celebrating it in a big way. Thank you for all your support for all these years and look forward to meeting you in the next quarter.

Pratik Jagtap :

Thank you, everyone. Thank you, Kapil and Srin.

Kapil Jain:

Thanks, Pratik. Thanks Asha.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2025

eClerx/SECD/SE/2025/133

October 30, 2025

BSE Limited
Corporate Relationship Department,
Phiroze Jeejeebhoy Towers,
25th Floor, Dalal Street,
Fort, Mumbai - 400 001 National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
Block G, Bandra - Kurla Complex
Bandra (East),
Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended September 30, 2025

Scrip Code: BSE - 532927
NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on October 27, 2025 with respect to the financial results of the Company for the quarter/period ended September 30, 2025.

This is for your information and records.

Thanking you,

Yours truly,
For eClerx Services Limited

Pratik Bhanushali
VP-Legal & Company Secretary
F8538

Encl.: as above
eClerx Services Limited
October 27, 2025
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eClerx Services Limited
Q2FY26 Earnings Conference Call

October 27, 2025

ECLERX MANAGEMENT:
KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO
SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:
ABHISHEK BHANDARI - NOMURA SECURITIES CO. LTD.
ABHAY JOSHI - BARODA BNP
DIPESH MEHTA - EMKAY GLOBAL
MANIK TANEJA – AXIS CAPITAL

RAHUL JAIN – DOLAT CAPITAL MARKET
SANDEEP SHAH - EQUIRUS SECURITIES
SAMRAT SAMANTA - INDIVIDUAL INVESTOR
SHRADHA AGRAWAL - ASIAN MARKETS SECURITIES
SIDDHARTH VORA – HSBC MUTUAL FUND
SUMUKH U - KORMAN CAPITAL
VAMSHI KRISHNA – KOTAK SECURITIES
VIKAL GUPTA - INDIVIDUAL INVESTOR

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2 Asha Gupta :

Hi, everyone. Good day, and welcome to the Q 2 FY26 Earnings Call of eClerx Services Limited. Please note that this webinar will be recorded.

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by Kapil Jain, Managing Director and Group CEO; and Srinivasan Nadadhur, Chief Financial Officer. We will start the call with brief opening remarks by Kapil, followed by Srinivasan, who will be sharing the financial update, and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is mentioned on this call that gives any outlook for the future or which can be construed as forward -looking statement, must be viewed in conjunction with the risks and uncertainties that we face. The se risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

Having said that, I will now hand over the floor to Kapil. Over to you, Kapil.

Kapil Jain :

Thank you, Asha , and good evening, everyone. Hope all of you had a good festive holiday and a good Diwali.

We are pleased to share the highlights of our performance in FY '26 Q2. It was an excellent quarter on both the revenue and margin front. Operating revenue for Q2 was \$115.5 million, up 5.7% sequentially. In INR terms, Q1 operating revenue was INR 10,049 million, up 7.5% sequentially. Margins also came in stronger. EBITDA for Q2 was INR 2,983 million at a margin of 28.8%, up 27% sequentially. PAT for the quarter was INR 1,832 million at a margin of 17.7%, up 29% sequentially.

For FY '26 H1, our USD operating revenue is \$225 million, a Y -o-Y growth of 17%. In INR terms, H1 operating revenue is INR 19,394 million, up 20% Y -o-Y. PAT for H1 was INR 3,249 million, up 29% against H1 of last year.

Deal wins for Q2 were \$46 million. Analytics and automation is up 6% over the previous quar

ter,

slightly higher than the firm growth rate. The non -top 10 clients was stronger than the top 10 client growth. Growth was exceptionally strong in the emerging business because of operations go live for a couple of clients in the F &A subsegment. Growth was also strong in CMT and HiTech, while BFSI grew modestly.

I'd like to share some commentary and outlook about our industry verticals. On BFSI, we see broad opportunities across core, intermediate, and small new clients. We continue to have conversations in the CLC space, but also in onshore consulting, tech deliv ery, and low code, no code services. Fashion & Luxury continues to remain under pressure. The Q3 revenues of top fashion houses have declined or stayed flat and analysts believe the industry is near the bottom of the downturn and that things should stabili ze going forward. Both HiTech and our emerging businesses grew strongly in the last quarter, and the outlook remains positive. In HiTech, client spend is concentrated on transformation and customer experience programs to reduce cost and improve CSAT, growt h in emerging was on the back of wins in finance and accounting and order management.

In our digital services and market intelligence products, we are seeing an increase in deal sizes and improved win rates supported by sharper value positioning and client ROI narratives. Revenue quality seems to be improving, and we are focusing on longer -term deals.

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3 CMT, growth has been strong because of go-live of the Cairo Center as well as in other offshore locations. Egypt is shaping us well. It showed up top quartile performance just four months into production, which, continues to reflect our strong delivery and we are seeing preliminary interest from other clients for Cairo as a location.

In technology and analytics, we continue to see traction in compliance manager and Market360, which are our two core products, and are having new conversations on agentic AI.

A brief on awards and recognition during the quarter. We were recognized as a leader and star performer in Everest Group's Capital Market Operation Services PEAK Matrix. Our deep domain specialization investments in modular automation and GenAI adoption were highlighted as key differentiators. We were also recognized as a major contender in Everest Group's Marketing Services PEAK Matrix. Buyers recognized us for [our] transparency, flexibility, and proactive relationship management across complex marketing transformation programs. We have been recognized as a great place to work, GPTW. This recognition, driven entirely by employee feedback, underscores our commitment to our greatest assets of people. It recognizes our leading practices in employees' well-being, learning and development, fostering collaboration and connection, DEI, talent acquisition and onboarding.

FY'26 H1 has been strong, and we will continue to build on this momentum. Pipeline continues to be strong. We expect that Q3 margins will not be as strong as Q2, given that the INR has appreciated recently. We express our sincere appreciation to our clients and partners for placing their trust in us and for the opportunity to contribute to their success. We look forward to continuing our collaboration in the future.

Thank you, and over to Srin for more details.

Srinivasan Nadadur :

Thank you, Kapil, and good afternoon, everyone. Let me provide additional color on our quarterly performance.

Just to recap some of the revenue and margin numbers, the constant currency operating revenue was up 5.4% sequentially and 16.3% year-on-year. Including the other income of INR 303 million and aided by the INR depreciation, total revenue was INR 10,352 million, up 9.5% sequentially. On a Q-on-Q basis, EBITDA margin expanded by 400 bps. If you look at the breakup of this increase, and looking at EBITDA, excluding t

he other income, the margin expansion has been about 270 bps, 200 bps of which came from FX and about 60 bps from delivery, primarily due to utilization and the shift in the onshore/offshore mix and 10 bps from G&A. The net operating cash flow at INR 3,137 million and the EBITDA conversion metric at 105% have shown a sharp improvement over Q1. If you recall, the Q1 operating cash flow was low because of 3 reasons: Number one, the increase in DSO from Q4 to Q1. Number two, the additional contribution to our gratuity fund and number three, the payment of annual bonuses. The improvement in DSO to 76 days this quarter and the absence of the other two factors has resulted in an increase in OC F.

Coming to the other key metrics, 90 clients now contribute \$0.5 million or more in revenue. Utilization is up by about 2% as the people hired in Q1 became billable through the course of Q2. Top 10 concentration has reduced by 0.5%. We've added 400 seats in Pune. Attrition at 20% is up as compared to Q1, and this is usually the case after the annual pay hikes and bonuses. And lastly, I touched on DSO just a while earlier, it is currently at 76.

So, as Kapil mentioned, at this time, we expect Q3 margin to be not as strong as Q2 because FX is the primary contributor to the margin expansion in Q2 and the rupee has appreciated since. However, there is no change in the overall margin outlook. We do expect margin to remain in the 24% to 28% range for the year.

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4 The Board has approved a buyback of INR 300 crores, and this will be put up for shareholders' approval in the coming weeks. Please note that the promoters and the promoter group will not participate in this buyback. Thank you, everyone.

And with this, we conclude our prepared remarks. We can move on to the Q&A. Back to you, Asha.

Asha Gupta :

Thank you, Srinivasan. Thank you, Kapil. We will now open the floor for Q&A session. We have first question from the line of Abhishek Bhandari from Nomura Securities .

Abhishek Bhandari :

So, I have two questions. First is on the growth and margins. So now in this quarter, as you mentioned, on margins, you had 200 basis point tailwind from currency. Do you have any special project which was kind of one -timer in Q2 growth? That's one.

Secondly, Srin, if I look at the currency number also compared to Q1, it doesn't look like rupee has appreciated too much against dollar. So, what makes you say that we would not have similar improvement? I mean, do you mean to say that even the current margin levels will have a downside from the current number of 22.7%. Improvement possibly is not there because the depreciation won't come. But are you confident of sustaining the current margin levels at EBIT level?

And my third question is on the buyback. I'm a little curious to understand what made you come up with the share price of INR 4,500 when the date on which you declared your results, the closing share price was closer to INR 4,400. So , if you can explain the math behind how the Board and the management thinks in terms of premium being assigned to the buyback price?

Srinivasan Nadadur:

I think from September 30, the INR is appreciated by about 0.5% and that's the only reason that makes us feel that margin performance may not be as strong in Q3 as in Q2. There may be some investments that we may make on analytics and technology, and maybe some on the sales side, but those couple of reasons are the only things that we are considering at the moment.

On the buyback, the SEBI regulations are that the buyback price that we announced is a minimum price. So we are not allowed to go below that, but still the price can be increased after the shareholders' approval is received and the final price is then determined after receiving the shareholder approval. So , bear in mind that this price is announced to

the floor and it's not a ceiling.

Kapil Jain :

Abhishek, yes, there weren't any special projects that have led to the growth in Q2.

Abhishek Bhandari

Could you give value to it in terms of percentage contribution to the growth?

Kapil Jain:

No. I mean, there wasn't any one -time projects that led to the growth in Q2.

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5 Abhishek Bhandari

Okay. Kapil, if I can just extend on that question. So , if you look at your first half growth rate, we are now tracking closer to 17% year -on-year reported growth, 16% in constant currency, which is significantly better than what we had in the last year. And our ACV of deals wins also have improved dramatically in the last few quarters. So can we think mid -teen to be a new growth level for the company, in the near to medium term.

Kapil Jain :

Abhishek, the strategy that we have put in place around one eClerx - cross sell, upsell I think is reflecting well in terms of the overall numbers and is resonating also well with the clients. We recently concluded our client event in New York to commemorate and thank our clients on the 25th anniversary.

Yes, H1 has had a strong quarter, and we continue to be cautiously optimistic for Q3 and Q4. As we have indicated in the past for the forward guidance, we don't give that, but I think, and I also mentioned

that yes, we want to be in the top quartile of the segment that we operate in , in terms of growth . So, we will continue to aim for that.

And on the ACV , I had also mentioned, I think let's not look at quarter on quarter because there may be abbreviations in Q -on-Q, but overall yearly number that we declared last year, which was I think close to about INR140 million, INR142 million. We are confident of delivering a higher ACV number this year compared to what we delivered last year.

Abhishek Bhandari:

Great. Thank you, Kapil and Srin. I'll come back in the queue.

Srinivasan Nadadhur :
Thank you.

Asha Gupta

Thank you, Sandeep. We have next question from the line of Manik Taneja from Axis Capital.

Manik Taneja :

Congratulations for the very steady performance in the current quarter. I actually wanted to get your thoughts around the growth construct between top 10 customers and the so -called emerging customers. In the course of recent quarters, one has seen a significant improvement in growth trajectory from emerging customers, coupled with some improvement in client metrics at the bottom of the pyramid. Is that a journey that we are far more confident about in terms of even both for the near term and medium term, as we move towards broad basing the business? That's question number one.

The second question was with regards to margins, but you have already clarified that there is some investments that you think about and some recent currency depreciation. But are there any other notable margin headwinds?

And the third one, historically, you've always listed that our near -term hiring essentially is an indicator of our confidence in growth. Should we consider the 1,000 -odd people addition that we saw in second quarter as an indication of how we should be thinking about in terms of third quarter or fourth quarter growth? Those would be my questions.

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6 Kapil Jain:

Manik, thanks a lot. I think, yes, in terms of the top 10 and non -top 10 and emerging, as you see, the concentration has only improved by 0.5% point despite showing a good growth in non -top 10 and emerging, which we will continue to do and focus upon, which is also what I had said earlier that the service kit that we have, coupled with strong delivery tech domain resonates well, and we have an opportunity to cross -sell, upsell outside of our core 10 clients. And we will continue to grow in top 10 as well, but there's an opportunity for us to grow out

side. So you'll continue to see that phenomenon.

In terms of hiring and the growth, like I said, I think Q2 has been an exceptional quarter, both on the growth and margin front. We are absolutely confident showing Q -on-Q growth. And I wouldn't want to comment on the quantum of growth, and that's really what we are focusing on.

Srinivasan Nadadhur :

And your third question on, are there any other factors that may affect margin performance is, to our knowledge, no.

Manik Taneja :

Sure. And if I can just get your thoughts around the growth outlook across each of the industry segments in terms of how do you think which industry segments lead on growth over the next 12 to 18 months compared to what will probably be sort of a drag on a relative basis.

Kapil Jain :

Manik, we see growth potential and prospects across all our industry segments, starting from BFSI, communication, media and telecom, Hi -Tech, manufacturing, industrials. The only exception, I would

say, is high -end fashion because there, I think our client s are facing headwinds. And with the overall macroeconomic conditions, tariffs and other things, though some of the analysts are predicting that this is the bottom. I think that's the only segment that we are watching closely. Rest of the segments, I think , we are optimistic in terms of the growth prospects.

Asha Gupta :

Thank you M anik. The next question is from the line of Shradha Agrawal from AMSEC .

Shradha Agrawal:

Congratulations once again on a very strong quarter. Two questions from my side. Sir, any indication on how many new clients would we have added in the last 2 years, since the time you've taken on board?

Srinivasan Nadadhur:

We generally don't share that number, but there has been a fair number of addition in the last couple of years.

Kapil Jain:

Yeah. And I think it's also what we are expanding and it's like for different industry verticals our focus is different and some industry verticals, the focus is to add new clients and some industry verticals, we have a long tail. So , the focus is to grow and expand and take our services, that are relevant for those client segments. So that's really what we are focusing on, Shradha.

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7 Shradha Agrawal:

And looking at this from the perspective that in the emerging segment, the revenue by industries which we disclose in the emerging segment, we've been showing very strong growth numbers. So , is it led more by the new client addition that we've been doing in the last few quarters?

Kapil Jain:

In emerging, yes. It is a mix of both, growth in existing client as well as new addition. But as you know emerging segment is also small. And being a small number, absolute numbers tend to reflect on a higher growth trajectory. So that's also one of the re asons I'd like to highlight, but it's a combination of both existing as well as a new client in emerging segment.

Shradha Agrawal :

Right. And if I recall, right, I think we had also created a large deals focused team around some quarters back. So what has been the success so far and what has been the increase in deal sizes that we've seen in the last few quarters ?

Kapil Jain:

Shradha , overall we are seeing, I would say good amount of success in large deals as well as average deal sizes, but we don't report like what was the average deal size, like I said, it's only been four or six quarters and we want to continue on the journey of larg e deals as well as increasing the size of the deals and looking at our service offerings in terms of how we can solve the client problem and bring an integrated service offering to help solve clients' problem as opposed to looking at in a siloed m anner, and the one eClerx like in terms of how do we look at client's problem and then bring different varied pieces of our capabilities together is something that w

e are continuously driving on.

Shradha Agrawal :

Right. And so just one bookkeeping question, though I know it's very short -sighted to look at it on a quarterly basis, but BPaaS has remained just flattish for us this quarter. So , anything to call out there?

Kapil Jain:

No, I think I had mentioned this in the prior quarterly conversations that I've had with you guys that BPaaS is not really relevant as far as the metric is concerned. Now you will ask me as to why we are still reporting it. I think we are still grappling in terms of how we should report it because everything we do has a blend of technology, or either through our own IP or we are bringing in low code, no code, when we are working off client systems or third-party software.

I think, to me what is important is in terms of are we staying relevant and are we adding value to our clients and are we bringing technology and enhancing the human potential. So as long as that is continuing, I think I'm comfortable. So, it's nothing to worry about on the BPaaS numbers.

Asha Gupta:

Thank you, Shradha. We have next question from the line of Sandeep Shah from Equirus Securities .

Sandeep Shah :

Yeah. Thanks very much, and congratulations on a very strong execution on many fronts. So, the first question is, I think the consistent growth journey has been also tightly correlated with the consistent eClerx Services Limited

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8 uptick in the ACV, the new business order intake. So, with so many good closures and increased consistency. Do you believe still the pipeline looks good and this can be further accelerated, or do you believe replenishment could take time because of the macro issue?

Kapil Jain:

Sandeep we are confident, yes, we are cautiously optimistic. There are macroeconomic issues that have many factors that are outside of our control, but our pipeline is robust and strong, and our client segments that we operate in, I think there was a previous question on the view on the industry segments we operate in, continues to be strong.

Sandeep Shah :

Okay. And the reason for the consistent improvement in the ACV is it the strong pipeline or is it the deal win ratio which is leading to this kind of a consistent improvement?

Kapil Jain:

I think it's a combination of both, Sandeep in terms of continuing to build the momentum, more rigor, focus, as well as improving the win rate and increasing the overall size of the deal, right, because that's also important. So, all these factors have contributed to increasing the size of the overall ACV Q1.

Sandeep Shah :

Okay. And sir, any quantitative color you can give on the pipeline both on Q-on-Q and Y-o-Y?

Kapil Jain:

Our pipeline continues to be healthy, and we are seeing a robust pipeline, both on Q-on-Q and Y-on-Y. I think pipeline is one thing. I think it's the conversions that matters. And like I said in the previous question that overall, in terms of ACV for the year, we are confident of delivering a higher ACV number than what we delivered for full year last year.

Sandeep Shah :

Yeah, thanks. last couple of questions. In your growth journey since you took control, there has been a solid performance consistency. So, what according to you can go wrong in terms of breaking this journey both on micro and macro side?

Kapil Jain:

I think that's a good question, Sandeep, in terms of what can go wrong. There are a lot of things which can go wrong, right, in terms of I think we are trying to de-risk the business. As you saw, the top 10, non-top 10 growth that is a continued focus. But I also highlighted that despite a sharp growth in non-top 10, the concentration has only reduced by 0.5 % point s.

From a micro perspective, from inside what we are doing, I think, as I was telling in my opening remarks, I mentioned in Cairo, in just four months, we are in the top quartil

e of the players that we compete with for similar services with similar clients. So, I think on the internal side, we have done very well in terms of delivery, onboarding new clients, in terms of bringing tech domain , onboarding talent in a short span of time. So from a micro perspective, I don't see a challenge from an internal eClerx perspective. I think whether it's shared services, delivery teams, international locations, the client servicing group is all working fine.

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9 From a macroeconomic perspective, I think there are a lot of challenges, right, in terms of trade, tariffs. So that I think it's a little difficult to comment in terms of what all , and they would be more industry - wide as opposed to just on us is the view I have. I think that's how I would like to put it.

Sandeep Shah:

Okay, thanks. And the last question, in terms of any further update on GenAI, agentic AI, either as a tailwind or a headwind, and any increasing demand from the clients who are giving you projects in terms of the pricing as well as renewal of the existing contract where they are demanding higher productivity gains?

Kapil Jain:

I mentioned about the client event that we had, and I was reflecting on how we started when we started. In 2000, when we started the company, we were helping clients when the entire world was moving from brick -and-mortar to digital shelf. We were helping c lients to build their digital shelf, enhance their overall customer experience, enhance customer journeys by removing friction points. That's how the company started 25 years back.

So, I think it's very difficult to say that, look, what are you seeing because technology is ingrained. When we were 200 people, 20% of people we had hired just on tech to enhance human potential and enhance our overall value proposition to the clients. So that's one aspect.

So, it's difficult to disintegrate tech, ops domain. I think our strength lies in the concentric circle of bringing tech domain and ops together. So that's one point. And all the underlying IP that we use to deliver services to our clients, as I had mentioned , we are enhancing its functionality step by step by bringing in GenAI. So that's, I think, whether it's Compliance Manager, Market360, I had mentioned in the opening remarks. And I think that we will continue to do and like I had said in the earlier ca lls that we see this as an opportunity because of our delivery has always embedded technology in how we deliver to our clients.

I hope that answers your question. But we haven't seen any shift in the client as on to answer your specific question on gen AI. Some of the clients I have spoken to, large HiTech clients, they have mentioned that "we consider you as a transformation partner and not an outsourcing partner ". So that's all I can say. So , everything we do, we are bringing in tech, GenAI and low code, no code, agentic AI in how we are delivering to our clients.

Asha Gupta :

Thank you, Sandeep . We have the next question from the line of Dipesh Mehta from Emkay Global .

Dipesh Mehta :

So just want to get a sense on the emerging industries. Emerging industries contributed one fourth of the incremental revenue on a YoY basis. Can you provide some more detail which subsegments are supporting growth there? That is question one. And how you expect to, let's say, scale up some of those subsegments going forward, which may become, let's say, 5% - 10% of revenue on its own in the next three years?

Second question is about the productivity of business development employee s. If I look at it in the last two years, it is almost 30% a job. Obviously, it is one of the strong kind of point of view. But if you can provide some sense of what we are doing right in there, which is driving improvement in productivity of business development of employees and whether there is further steam I

eft where you can increase
it further without adding much of the headcount.
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10 Third question is about emerging. I'm referring to the number which we report below \$0.5 million kind of account. It remained largely flattish. Whether we are pulling tail account rationalization where we don't see scope, we are focusing less on them and eventually those accounts we are exiting, which may be visible if you can give some sense about total account which we used to have versus now.

And last is about roll off. If you can provide any trend change compared to prior quarter. Thank you.

Kapil Jain:

Thanks, Dipesh. I don't know if I remember all the four questions, but let me start. Roll -off, we haven't seen a change in the trajectory. I think we have stated that 15% to 20% is what we have seen. So that continues in the same range. There isn't a positive or negative momentum there.

As far as emerging industries and one fourth of the incremental revenue coming in from there and subsegments, I think, yes, the focus is on emerging industries. And it's taking the same capabilities that we have for delivering to large clients, Fortune 100 , Fortune 500 clients, which are leaders in their industry segments into our emerging clients because the narrative there is if we are able to deliver to larger clients, it gives an opportunity to deliver to our emerging set of clients. So that we will continue.

Will we bring a sharper focus in some segment and let go of tail clients? I think I would say yes to the first question . Yes, we will continue to give sharper focus as far as sales business development is concerned on clients that we pick and we see a potential where we have a strong relationship. The client is looking for transformation and capabilities that we have to offer. So yes, we will continue to focus on that.

And as regards to your BD cost on sales cost, that's a focus that we had laid out. However, we will continue to invest in hunting profiles because we have a lot of capability that is sitting onsite close to clients. And I think we'll continue to invest in hunting so as to continue the momentum on growth because as you will understand, as the overall numbers will increase, we have to continue to show the same growth, we'll have to continue to add more hunting profiles. I think we are very strong on capability domain people, and that's really what clients like about us. And we have to continue to hire on the hunting and BD side to continue the momentum.

Dipesh Mehta :

Just one follow -up on emerging industries. Can you name some of the industries where, let's say, specific investment which we envisage?

Kapil Jain:

I think more from the industry, we would invest in the capability side like F &O, order management, customer service. So those are the segments . So, offerings that have potential to be taken across industry segments is what really we are focusing on, on the emerging segment. HiTech, and the core industries that we are focusing on, we'll continue to build momentum there.

Dipesh Mehta :

Understand. And last question on M&A. If you can provide, I think, some of the horizontal capability investment which you indicated, whether M&A would be also on those lines or M&A would be more vertical focused. Thank you.

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11 Kapil Jain:

I think M&A would either be capability focused, which is on the horizontal axis, or in a vertical focus, where we have a white space of a capability that we are strong in. And that gives us a jump start. And so that's really where the focus on M&A is. So , either it needs to strengthen our capability and ideally in an industry segment where we are not present. So that's an ideal mix so that where we are strong on the industry axis , but the capability has a potential, but we are strong on

the capability in an other industry segment. So that's an ideal place where we are looking for the M&A.

Asha Gupta :

Thank you, Dipesh . We have next question from the line of Samrat Samanta an Individual Investor.

Samrat Samanta :

Thank you for taking my question. My question is BFSI contribution has moderated to 41.4% from 43.2% last quarter. Is this mix structural or cyclical? And how do you see BFSI growth shaping up?

Kapil Jain:

So, we are confident. Like I said, in BFSI segment, our clients have done well on their businesses , and on the quarterly performance. Overall, we see good momentum in the BFSI segment. These are quarterly aberrations so I wouldn't read too much on the quarterly aberrations. Year-on-Year, we will continue to see growth in BFSI segment as well.

Asha Gupta :

Thank you, Samrat. We have the next from the line of Sumukh U from Korman Capital .

Sumukh U :

Hi, thanks for the opportunity. Sir, my question is, what is the reason or key differentiator for eClerx to have such high EBIT margin at 27% compared to your peers. And your utilization rate is at 75%. So , does that mean there's still further room for margin expansion given 80% to 85% is the general industry benchmark in utilization? And also 650 is your onshore headcount. That translates to about 3% of your headcount. This is relatively very less. So , is there anything different with your business model or quite the numbers?

Kapil Jain:

We didn't hear your all your questions clearly, but we'll take the one that we heard. So , the first question is, what is the key differentiator which makes our margin high at, let's say, 26% to 28%, a key differentiator. And then there is a second question that I'll take which is on utilization, which is, is there further room for utilization to improve ?

I think our differentiator is in terms of, like I mentioned, tech, our ability to bring in tech in everything we do and as well as domain. I think all my direct reports bring in domain. I think that's really what the reason is for our better margins on the EBITDA. I had given a range of 24% to 28%, and we are confident to stay in this range for the full year.

Srinivasan Nadadhur :

I'll take your second question, which is I think you asked whether there is IT companies seem to operate in the 80% to 85% range and whether our utilization can go up to that percentage. So, I don't think it is eClerx Services Limited

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12 fair to compare us with IT companies. In operations, we need to carry a bench. So , if you look at historically, 12 to 15 quarter performance, we would be in that 73% to 78% range. So that's where we will continue to operate in.

Sumukh U:

Sir, your onshore headcount is at 650, which is about 3% of your headcount. So , this is again very less compared to your peers , any light on that? Is there any difference in your business model, delivery model?

Srinivasan Nadadhur:

Since we are a n ops service provider , our requirement for onshore headcount is lower, so we don't have a lot of onshore presence, doing coding and other kind of work.

Kapil Jain:

And I think Sumukh, like we take a portfolio approach. So, in terms of consulting, change business, these numbers, as we will continue to grow, we have to maintain a healthy mix and as we are expanding into new centers between onshore and offshore. But currently, we think that 3% is a good number. Can it increase in subsequent quarters? Yes, it can. And we will take a portfolio view again in terms of consulting and as well as in terms of how the overall operating model between on-site, offshore and the new centers that we are building.

Asha Gupta :

Thank you, Sumukh. We have the next question from the line of Vikal Gupta an Individual Investor.

Vikal Gupta :

Yeah, hi. Good afternoon, and congratulations on a fantastic number this year again. And my question

remains the same as I requested last time. How and when you are going to consider for the bonus for this so that it becomes more available to the small shareholder like us?

And second is, you declared the buyback at INR4,500, but the share price is INR4,700 today. So, are you going to revise the number? Or what are you going to do on that?

Srinivasan Nadadur :

So, second question first, I think the Buyback Committee will take a decision based on what available information at that point of time. And noted your question on bonus. I guess we'll put it up to the Board and they will decide. I guess the buyback has to pass, after that.

Vikal Gupta:

All right. Thank you very much. I will keep repeating this question until we get the bonus.

Asha Gupta:

Thank you, Vikal. We have the next question from the line of Vamshi Krishna from Kotak Securities .

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13 Vamshi Krishna :

Yeah. Actually, really strong quarter, both on execution as well as deal wins. Kapil, if you can just highlight the composition of deal wins and maybe some flavor on what the client priorities are across various verticals? And were there any large deals which created some lumpiness in the deal wins this quarter?

Kapil Jain:

Yeah. Vamshi, yes, there were some large deals in the deal wins that we have reported for Q2. In terms of the clients, I think how we bring tech to deliver the overall value, that continues to be the ask as well as how do we quickly get into steady state. As I gave an example in Cairo, within four months of our launch, we are in the top quartile. I think that gives a lot of comfort in terms of our ability to scale and take the delivery that consistently we have been delivering from India and few on-site locations as we expand into new geographies. So, does that answer your question? Because your voice was not very clear. So, if I have missed anything, then please you can ask.

Vamshi Krishna:

I was just asking on the client priorities between, say, vendor consolidation or some of the discretionary projects, if there is any change in that ?

Kapil Jain:

No, client priorities, I think, in terms of enhance retention, enhancing customer experience on communication, media and telecom continues, cross-selling their products. So that continues to be there

and how do you bring in the technology and customer service, customer operations, so that continues to be there. On the financial market side, it's ensuring clients are, from a regulatory compliance perspective, that we are helping them stay relevant and meeting the regulatory time lines. So that's on the financial market side.

On the HiTech, as I mentioned, it's more on the improving CSAT, cost of defects and some of those things. So, I think, yes, the priorities are more in terms of how we can get time to market early. So that's one in terms of whether it's getting into steady state, whether in terms of delivering on enhancing the NPS or retention or cross-sell, and how do we deliver that using tech. So that continues to be the ask. But different industry segments have different priorities. But broadly, yes, it's centered around tech, how do you bring tech to amplify human potential, how do you get quick time to market some of the priorities that we see.

Vamshi Krishna:

Just on CM T, I think you seem to be quite positive on CM T, and that has been doing fairly well for us. So, it then seems to be different from the perspective that there can be some risk from AI adoption in these particular services that you offer here. So just trying to understand, is it more of wallet share gains against some of the larger vendors? Or are you participating in some of the new opportunities and new clients in horizontal service offerings?

Kapil Jain:

Vamshi, it's both. In existing clients, it's a wallet share gain

and looking at newer areas outside of our customer service. So that's on the existing clients. And we are also pitching in with new clients in CM T as well as non-CMT.

eClerx Services Limited
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14 Vamshi Krishna:

And finally, on the furloughs, what do you expect for furloughs this quarter?

Srinivasan Nadadhur:

No, we don't have any impact. We don't have many IT guys doing it.

Asha Gupta:

Thank you, Vamshi. We have the next question from the line of Abhay Joshi from Baroda BNP.

Abhay Joshi:

Congratulations on the great set of numbers. Just want to understand the rationale behind the buyback offered. Like is it some kind of capital allocation policy because the share price is at all-time high. And just to understand the reason behind why we are opting for the buyback because it is not very preferred because of taxation and all. So, I just want to understand the rationale behind it.

Srinivasan Nadadhur:

Right. So firstly, the price itself, as I mentioned earlier, that is a floor. So, the price can go up if the committee decides that it needs to go up.

The second is you are right, it is part of the capital allocation policy that at any point of time, over, let's say, 12 to 18 months period, we would like to return 50% of cash back to shareholders if it is not required for use by the company.

And third, in terms of buyback versus dividend, for the individual investor, it makes no difference, right? In fact, I would argue that a buyback is slightly more advantageous in the sense that it gives you a choice whether you want to participate in the buyback or not participate in the buyback. And you also get the benefit as an individual investor of setting off the capital loss that you have when you acquired the share. And from a stock perspective, it improves the EPS. And therefore, I would argue that buyback is somewhat more advantageous than dividend, although it takes longer to execute.

Asha Gupta:

Thank you, Abhay. We have the next question from the line of Sandeep Shah from Equirus Securities .

Sandeep Shah:

Yeah, thanks. Srini, just a question on capital allocation. This time, the buyback size seems lower versus the earlier buyback, and it could be lower than 50% kind of a payout ratio. So, is it fair to assume the dividend could be slightly higher than INR 1 as a policy which we announce every year?

Srinivasan Nadadhur:

I think if you look at the factors which go into the buyback, it is a function of the buyback that has to be paid out from the stand-alone. So, if you look at the stand-alone, it depends on how much cash the stand-alone has and the net worth of the stand-alone because there is a calculation based on net worth of the stand-alone entity. So that puts a ceiling on how much we can return back to the shareholders. So that is the primary consideration.

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15 Sandeep Shah:

Okay. Any commentary on dividend. Can it be higher than INR 1?

Srinivasan Nadadhur:

I guess we'll take a call because FY25 dividend, I think we paid it over last quarter. We'll take a call when it comes to FY26 at the end of the year.

Asha Gupta:

Thank you, Sandeep . We have the next question from the line of Rahul Jain from Dolat Capital.

Rahul Jain:

Thanks for the opportunity. Congratulations on a very strong execution. Most of my questions has been answered. Just trying to understand your thoughts on growth in different manner. Just if you could share your perspective that the way you were situated six months back at the end of Q4, whatever may be your thought process for this year, how is it panning out on those thought process? Is it any better than what you were thinking 6 months back? Or this is just the execution that has happened just in light of your thought process? Any color on that would be helpful.

Kapil Jain:

Rah

ul, our overall strategy that we have laid out in terms of cross-sell, upsell, One eClerx, we participated in analyst rankings. We were recognized in some of the analyst rankings. We revamped our website, strengthened our overall marketing engine. So, all those things enhanced our overall sales engine, more rigor, more focus. So those were the input vectors that we have put in.

In terms of the expectations, I think it's in line with what we had expected in terms of the overall trajectory. But Q2 exceptionally has been strong because, obviously, we didn't expect the dollar rupee to give us a 200 sort of tailwinds. And the growth this quarter has been exceptionally strong. It's not on account of any onetime projects or special projects that we executed for Q1. What we are doing, I think 6 months and quarter-on-quarter, like I had said, the quarter-on-quarter numbers gives us an indication that the overall strategy in medium to long term will yield good shareholder returns is what I think that gives the conviction.

Can there be quarter-on-quarter aberrations? The answer is yes, because we are operating on a small base. Quarter-on-quarter, aberrations can be there. But what overall strategy we are resonating with the clients, we are talking to existing clients, new clients, taking our capabilities that were never presented to our existing set of clients. All those are resonating well.

I hope I answered your question, Rahul, in terms of what we have thought six months back versus what we are doing now. I think it's just giving us confidence because when we were sitting there, yes, we had

planned for it. But we didn't plan that this is what the growth numbers and all that stuff. But I think we had planned that our overall cross-sell, upsell, client relevance, tech will continue to resonate. And that's yielding up the results.

Rahul Jain:

Right. Thanks for that color. From a vertical point of view, you mentioned in your opening thoughts that luxury is something where possibly there is some bottom out that has happened. So, what do you think is going to drive the momentum in that space? Because clarity in terms of consumer demand definitely is not one area which could be an easy pick in that space. So, what is driving that confidence?

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16 Kapil Jain:

No. I think what I had mentioned was it's not I'm saying that for us, it has hit the bottom. I'm saying that from our clients and the analysts who track luxury as a segment believe that it may have hit the bottom and the trajectory is looking positive from now on because our work has a strong correlation on the overall client growth and client environment is what I think we believe in Q3 usually for luxury in fashion and retail because Q2 holidays in Europe and other things is usually a softer quarter compared to Q3.

So that's I think, but we are watching that segment. And in my opening remarks I said, and I think one of the questions that was asked is that we see good momentum across all our industry verticals, but we are cautious about the luxury segment.

Rahul Jain:

Right. And just last bit, and my apologies if this has been already answered. Just trying to understand your margin thought process from a more near-term to medium-term perspective. We've been in the entire band that you have highlighted in the past. Is it that we have a much stronger situation now versus, let's say, four, five quarters back, both in terms of how some of these things have played out to your strategy. Do you think a much narrower band could be something where you would be operating from a 12 to 36 month perspective? Any color on that would be helpful.

Kapil Jain:

Rahul, I think the reason we have given a band between 24% to 28% is that it gives us flexibility in terms of doing what is right for the business, what is right for our clients from a medium to long-term perspective.

We don't want to not do things that are right from medium to long term. Because of a smaller base, the moment we give you a narrower band, I believe that we will be constrained in investing in growth and investing in the future, which will help us stay relevant from a medium to long-term perspective. And hence, we have consciously chosen to give the band as what we have given as 24% to 28%.

Rahul Jain:

Sorry to harp on this aspect. But I think one of the reasons that you've been highlighting is that you have an upfront sales and marketing investment, which may or may not necessarily give you the right outcome. And that's why the margin band could take that kind of hit and, of course, the uncertainty around. So, I think since we have done so well I understand that you want to keep that flexibility on a quarterly basis. But on an annualized basis, you think the operating margin band would be much tighter, although on a quarterly basis, it may hover in the 24% to 28%?

Kapil Jain:

Rahul, I think the reason I'm saying that is, and you don't have to be sorry for asking the same question. It's your job to ask the question. I think it's not just the sales and marketing investments that has a bearing on the margins in terms of investing for future growth, hiring ahead of the demand curve, opening new centers, investing in the new centers. All these have bearings on the margin front. And I think we will continue to give the margin guidance in 24% to 28%. If we believe that there is a reason to change and give a narrower band because I think you guys have been asking for this, we will inform you accordingly. At this stage, we think that the band that we have given is the right band and our balance between what is right for the business and what's the indication that we have given to you all.

eClerx Services Limited
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17 Asha Gupta:

Thank you, Rahul. We have the next question from the line of Siddharth Vora from HSBC MF.

Siddharth Vora:

Congrats on strong set of numbers. This thing, which you have highlighted, that the margins largely showed very strong performance based on currency. So, should I assume that these benefits get passed on at the end of one year when contracts re-set or something? Or these benefits stay with you?

Srinivasan Nadadhur:

No, sorry. It has nothing to do with the contract. Contracts are denominated mostly in constant currency.

Siddharth Vora:

So, then these benefits are there, right? It should be in the numbers. So then when we say 24% to 28% is the annual guidance for a particular currency, if the currency has gone to INR 88/- or mid - output, your band slips up naturally? Or how will you look at it?

Srinivasan Nadadhur:

I think that is one factor there, but there are other investments also that we look at. And if the margin has moved up significantly, then we may decide to preempt or bring forward some of those investments.

Siddharth Vora:

Sure. And the customers do look at the currency depreciation then?

Srinivasan Nadadhur:

We have quite sophisticated buyers, right? As we mentioned, a lot of them are Fortune 100, Fortune 500 clients. So, they are certainly aware of where the currency is and what that means for us.

Asha Gupta :

Thank you, Siddharth. As this was the last question, I will now hand over the floor to the management for closing comments.

Kapil Jain:

Thank you, everyone, for your continued support and active participation. And thank you all. Good luck. Thank you.

Srinivasan Nadadhur:

Thank you, everyone.

Asha Gupta :

Thank you, everyone. Thank you, Kapil and Srinivasan. With this, we conclude the eClerx Services Ltd Q2FY26 earnings call.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2026

eClerx/SECD/SE/2026/0 19

February 4, 2026

BSE Limited

Corporate Relationship Department,

Phiroze Jeejeebhoy Towers,

25th Floor, Dalal Street,

Fort, Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, Plot No. C/1,

Block G, Bandra - Kurla Complex

Bandra (East),

Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing

Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended December 31, 2025

Scrip Code: BSE - 532927

NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on January 29, 2026 with respect to the financial results of the Company for the quarter/period ended December 31, 2025.

This is for your information and records.

Thanking you,

Yours truly,

For eClerx Services Limited

Pratik Bhanushali

VP-Legal & Company Secretary

F8538

Encl.: as above

eClerx Services Limited

January 29, 2026

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eClerx Services Limited

Q3FY26 Earnings Conference Call

January 29, 2026

ECLERX MANAGEMENT:

KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO

SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS:

DIPESH MEHTA - EMKAY GLOBAL

GIRISH PAI – BOB CAPITAL MARKETS

MANIK TANEJA – AXIS CAPITAL

PULKIT CHAWLA – B&K SECURITIES

RAHUL JAIN – DOLAT CAPITAL MARKET

SANDEEP SHAH - EQUIRUS SECURITIES

S. RAMESH – INDIVIDUAL INVESTOR

VAMSHI KRISHNA – KOTAK SECURITIES

eClerx Services Limited

January 29, 2026

2 Asha Gupta :

Hi, everyone. Good day, and welcome to the Q 3 FY26 Earnings Call of eClerx Services Limited. Please note that this webinar will be recorded.

To take us through the results and to answer your questions, we have with us the top management of eClerx represented by Kapil Jain, Managing Director and Group CEO; and Srinivasan Nadadhur, Chief

Financial Officer. We will start the call with brief opening remarks by Kapil, followed by Srinivasan, who will be sharing the financial update, and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is mentioned on this call that gives any outlook for the future or which can be construed as forward-looking statement, must be viewed in conjunction with the risks and uncertainties that we face. The risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

Having said that, I will now hand over the floor to Kapil. Over to you, Kapil.

Kapil Jain :

Thank you, Asha , and good afternoon , everyone.

We are pleased to share the highlights of our performance in Q3 FY26. It was a good quarter on both the revenue and margin front. Operating revenue for Q3 was \$121.7 million, up 5.4% sequentially. In INR terms, Q3 operating revenue is INR 10,703 million, up 6.5% sequentially. Margins have also been strong. EBITDA for Q 3 is INR 3,075 million at a margin of 27.9%, up 3 .1% sequentially. PAT for the quarter is INR 1,920 million at a margin of 17.5%, up nearly 5% sequentially.

For 9MFY26, the USD operating revenue is \$346.5 million, a YoY increase of 18 .4%. The corresponding INR figure for operating revenue is INR 30,097 million, up 22% YoY , while PAT for 9 months of the year is INR 5,168 million, up 33% YoY.

Deal wins for Q3 were \$45 million. Analytics and Automation is up 10%, which is healthy. In this quarter as well, growth in the non-top 10 clients was higher than top 10 client growth . Top 10 client concentration is at 60%, down from 62% to 64% in the prior quarters. Growth in the F &O subsegment continued, and this has

as resulted in strong growth in the emerging business. Growth was also strong in Hi-tech and M&D. Fashion and Luxury showed an increase from the seasonal low of Q2, while BFSI and CMT experienced modest growth.

I would now like to share some commentary and outlook about our businesses. On Financial Services, we see opportunities across core and new clients on operations and change. We have now started working on AI projects across some of our larger and mid-tier clients. Analysts covering Fashion and Luxury report that the industry might have bottomed out. Industry outlook for 2026 is low single-digit growth. Both Hi-tech and M&D showed strong growth in Q3. In Hi-tech, client spending is directed on transformation programs to automate and improve client satisfaction. There is significant focus on Agentic AI for self-healing services for consumer and business computing. Growth in M&D was driven by new wins and expansion across key focus clients. In this business, we see opportunities in both eClerx Services Limited

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3 DataOps and Market Intelligence. Our Emerging businesses grew strongly in the last quarter, and the outlook remains positive. We saw expansion in F &O and order management services in existing clients. On the Communication, Media and Telecom, our expansion into new delivery centers is resonating well with clients. A couple of our existing clients have signed up for Cairo operations. So , in the near term, we will start servicing multiple clients out of our Egypt center. We are continuing to upsell and cross-sell on the back of strong delivery, commitment to innovation and insights and strategic relationships.

In Technology and Analytics, we continue to see momentum in our suite of products, both with new and existing clients. On the Data and AI front, we have won deals for Agentic AI deployments with a few clients and continue to run pilots with all clients across the board. The technology and operations teams are working closely with clients for adoption of Agentic AI.

A brief on the awards and recognition during the quarter. In the last quarter, we were elevated to Gold status in the Adobe Solution Partner Program for the Americas region. This achievement places us among an elite group of Gold partners globally, underscoring our growing relevance and credibility and execution strength within the Adobe ecosystem. We were recognized as a major contender in Everest Group's Intelligent Process Automation Peak metrics. This recognition highlights our rapid advancements in Agentic AI driven by Roboworx CogniFlows, our enterprise-grade Agentic Automation platform. We also won the Bronze Award in the operational excellence category at the seventh ASQ South Asia Team Excellence Awards for a project from our Customer Experience vertical.

FY '26 has been strong, positioning us well for continued long-term growth. While near-term volatility is inherent in our business and may result in Q4 being softer than the first 3 quarters, underlying demand

remains healthy. Our pipeline continues to be robust, supported by sustained and meaningful engagement with clients. As always, we are here because of our clients, employees and partners. We sincerely thank them for their trust, dedication and collaboration and for the opportunity to contribute to shared success. We look forward to continuing our journey together in the future .

Thank you, and over to Srini for more details.

Srinivasan Nadadhur :

Thank you, Kapil, and good afternoon, everyone. Let me provide additional color on our quarterly performance.

So quickly recapping some of the revenue and margin numbers. The constant currency operating revenue is up 5.5% sequentially and 20% as compared to Q3 of FY '25. Including other income of INR 313 million in the quarter, total revenue is INR 11,703 million, up 6.4% sequentially and 22% YoY. Net operating cash

flow was INR 2,536 million, and the EBITDA conversion metric is at 82%. On a Q-o-Q basis, EBITDA margin is down 90 bps, while it is up 190 bps compared to the same quarter of last fiscal. Increase in sales and distribution variable payouts and higher travel and marketing costs are the major contributors to the Q-o-Q margin decline. Utilization has been higher in Q3, leading to a 30 bps improvement in delivery cost and there is minor improvement in G&A as well.

On the other key metrics, as Kapil already mentioned, the top 10 concentration is down 60%. DSO has moved up by about 2 days to 78. Utilization is up by about 1.4%. And we've added 400 new seats in Chandigarh. Attrition is at pretty much similar levels compared to Q2. On an administrative note, we eClerx Services Limited

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4 completed the buyback process in January, and 625,000 shares were extinguished as a result. And the Board has approved 1:1 bonus, which will be put up for shareholders' approval in the coming weeks.

Thank you, everyone. And with this, we conclude our prepared remarks, and we can now move on to the Q&A. Back to you Asha.

Asha Gupta :

Thank you, Srinivasan . Thank you, Kapil . We have first question from the line of Manik Taneja from Axis Securities .

Manik Taneja :

So first of all, congratulations on the very steady performance that you continue to sustain through the last 7 quarters. I just wanted to get your thoughts around 2 things. If you could talk in detail about our Analytics business in terms of what's the broad revenue split across industry segments? And is there a sort of a budget flush that you typically see in that business in third quarter given what we have essentially at our end in history for about 11, 12 quarters only. So , if you could talk about that aspect.

And the second one is with regards to the significant improvement that we are seeing across our client metrics as well as our emerging client base. How are you thinking about some of these aspects from a go-forward standpoint? Those would be my questions.

Kapil Jain :

So Manik, I'll answer the second one . I'll let Srini to answer first one and then I'll add on. So , on the second question, I think on the emerging markets, as I had said, the opportunity that we have in front of us is upsell, cross -sell and the service kit that we have. And that's, I think, resonating well. And whatever we have seen is in line with what we had laid out about 10, 11 quarters back in terms of the strategy. And I think we are beginning to see the benefits of the strategy that we have laid out. So , I think in terms of whether it's emerging markets, finance accounting, customer operations, new center expansion, it's resonating well, both cross -sell as well as upsell.

Manik Taneja :

Great. If you could also talk about the emerging client base because when I'm looking at your client metrics, over the course of last 12 to 18 months, we've seen a steady increase in terms of our number of US\$1mn plus, US\$3mn plus and US\$5mn plus customers which is very heartening to see given the challenges that we used to historically see on this front. Do you think this is largely driven by the

inherent focus on cross -sell and upsell? Or is this some element of new customer, new logo acquisitions as well ? And if you could provide some vertical specific color to this progression?

Kapil Jain:

So Manik, it's a combination of both, new customer acquisitions as well as cross -sell and upsell . And there is a concerted strategy to grow clients in each segment, and there is a high focus for the same.
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5 What was your second question?

Manik Taneja :

The second question was related to if you could give us some vertical specific color in terms of the progression that we are seeing on client metrics. Is this specific to some industry segments that we are

doing very well in being able to drive higher share of revenues from this customer base or this is more broad -based?

Kapil Jain :

So, growth across industry segment is broad -based and as well as on the capability sets that we have. Obviously, the deal sizes are larger in Finance and Account customer operations. So there, we are seeing a higher growth because of the inherent nature of the deal ACV values. But I think it's across the board we are seeing. And we are seeing, for example, in our trade life cycle, we are seeing on the chain side, Agentic side in terms of trade settlement exception management, we have developed solution on the back of Agentic AI. We are working on pilots with some of the clients. So , I think the overall new client addition, cross -sell, upsell, we are seeing across . It's more broad -based than being restricted to 1 or 2 industries.

Manik Taneja :

And Srin, you can answer the first question that I had.

Srinivasan Nadadhur :

The kind of services that we do in Analytics, I would classify them into 3 broad areas. One is Customer Analytics, which is if a customer is coming to a website, then what is their propensity to buy, what is the typical journey of a customer through a website. The second is Product Data Analytics, which is what kind of products are selling, what are the gross margins of these products, what products should be pushed more, and that applies to across geographies, what is selling more, what is selling less. And therefore, how to help product data owners to decide what products should be in stock more or get more in stock as compared to other products. And the third is Pricing Analytics. So how does our clients' product compare in terms of pricing other metrics to their competitors' products. And therefore, is there any significant difference in those pricing and that, therefore, help clients take decisions on how to price their products effectively to make the most use or capture the most share of customer wallet. Because this area had its genesis in what was earlier known as our digital vertical, a lot of the work that we do currently faces Hi-tech. We do work for M&D i.e manufacturing and distribution as well and some amount of work for Retail as well. I think in the last year, 1.5 years, we have also started doing work for the BFSI segment.

Manik Taneja :

Great. And the last one from my end. While you did allude to the fact that you would expect Q4 growth to be slightly lower than what we've seen through the course of the last 3 quarters. In the past, our headcount addition for the current quarter seems to be a good indicator of near -term growth. Is that the way we should be thinking about our Q4 growth?

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6 Srinivasan Nadadhur :

There is a strong correlation, right, given that 80% of our work continues to be FT E.

Asha Gupta :

Thank you Manik. Next question we have from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta:

A couple of questions. First, I think in the quarter 1 earnings call, we indicated about plan to have 20 % productivity improvement using AI tools. So just want to understand what the progress is we have seen so far in terms of using AI to drive productivity improvement ? Second question is about the emerging industries. Now you gave some of the clarity, but just want to understand how broad -based is the growth, whether a few clients are driving bulk of the growth there? And which industries we are seeing more traction, which can, let's say, we start reporting maybe in a couple of years down the line? So , if you can provide some color specific to emerging industries. And last question is about deal intake. Can you give some sense about how the nature of deal wins is changing for us compared to 12 months back? We report ACV, but if you can give some sense about changing size of the deal and te

nure of those deals?

Kapil Jain :

So, on the emerging markets, like I said, the growth is broad -based. And we continue in terms of the ACV wins, the average deal size has gone up in terms of what we were winning, let's say, 12 months back versus the current deal size. And we are very positive in terms of the overall outlook and the pipeline that we have. There will be, as I had indicated in the past, quarter -on-quarter aberrations. But on a medium to long -term basis, I think we have said a few things. And we'll continue to deliver on those in terms of growth in the top quartile of the peer segment that we operate. EBITDA margin between 24% to 28% and EPS and EBITDA growth sequentially . So, I think that continues to be the same. In terms of industry segments, I think given our size and scale, there are opportunities across the industry segments as well as the capability sides.

Srinivasan Nadadhur :

And on the productivity improvement through AI, generally that we've seen that in most pilots, pilots progress to production only when there is significant productivity improvement. And typically, clients have this gating criteria between 15% upwards. So , all the projects that we've seen make it to production to have this kind of productivity improvement metric.

Asha Gupta :

Thank you Dipesh. We have next question from the line of Sandeep Shah from Equirus Securities.

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7 Sandeep Shah :

Congrats on the great set of numbers. Sir, just wanted to understand if I look at the top 5, top 10 client contribution on revenue, though it has been doing well, but there is a softish growth. Anything to call out it's a quarterly aberration, any large client -specific issue you foresee in any of the verticals which may have some impact even in the coming quarters?

Kapil Jain :

No, Sandeep, nothing extraordinary. I think it's just that the outside of top 5, top 10 clients have grown. So that's the reason, but there's nothing to call out which is extraordinary.

Sandeep Shah :

Okay. And sir, in the fourth quarter, I agree on a high -growth base, there could be quarterly aberration. But anything structural to call out? Or is it fair to assume that the growth in Fashion and Luxury picks up in third quarter may normalize in the fourth quarter. So , it's more a quarterly aberration or something else to read out?

Kapil Jain :

No, I think, Sandeep, like I said, it's quarterly aberration. I had said that medium to long term, we see a positive demand outlook, and we are cautiously optimistic. And the reason I'm using cautiously

optimistic word is because of the overall geopolitical, overall macroeconomic environment. But this is just a quarterly aberration and nothing to do with medium to long-term outlook.

Sandeep Shah :

And sir, average of 9 months ACV has been improving versus average of 4 quarters ACV earlier years. So, is it fair to assume this will still have an upside potential and which makes you remain positive on the medium-term outlook?

Kapil Jain :

Sandeep, I had said in Q2 that overall ACV of the deal closures that we will do in FY25 - 26 will be higher than what we did last year, and I continue to maintain I'm confident of delivering on the same.

Sandeep Shah :

And sir, in one of the examples where you said in one of the trade products you are doing a pilot in terms of the Agentic AI. So, what is an experience in terms of cannibalization of the revenue because we generally do on a proactive basis. So, I do agree for the same project, ACV could be lower but is it leading to client giving you more IT budget because you are putting some saving on the existing spend. So how is the experience whenever you do a pilot on the Agentic AI? If you can give us separately for voice and non-voice.

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8 Kapil Jain :

Sande

ep, overall, I think it's a little too early to give a long-term view where it will head out. I think the good thing is that our value proposition, tech-first IP-owned BPO/KPO work that we do for our clients is giving us opportunity on the Agentic AI and whatever is the latest and greatest on the technology front when with both large clients as well as small clients, and we are working on change, cutting-edge technology. So that's the positive side. Now in the pilots that we have done, we haven't seen any cannibalization or any impact. I think we see it as a positive opportunity because it gives us an opportunity to go and influence outcomes in areas which are outside of the work that we are currently doing. However, like I said, this is the adoption and these pilots are very new. So, there isn't a history to say what the outlook would be in 12, 24, 36 months. However, like I said that I see this as an opportunity given our domain process tech-first mindset that we have been driving, and we have been delivering for the last 25 years.

Sandeep Shah :

And just last couple of bookkeeping questions to Srin. Sir, this time the new labor code impact despite we have higher offshore spread looks lower. So how to read that? Is it one can expect that this charge can increase on a going forward basis? And second, fourth quarter margins are generally flat or improving. So, do you believe with growth now consistently coming, it's a time to reap benefits on the margin through operating leverage and the band of 24% to 28% could shift to more towards midpoint to the upper end?

Kapil Jain :

Sandeep, the labor code, I'll let Srin answer. On the margin, like I said, we'll continue to invest in terms of on tech, AI, on sales. And at this stage, I think our view is that 24% to 28% is what we would like to maintain as the overall guidance for the margin, given that our commitment is to deliver top line growth in the top quartile, and we'll continue to deliver sequential growth on EBITDA and EPS.

Srinivasan Nadadur :

And on labor code, I think the impact for us is low because for most designations, our basic was already at that 50% mark, which is what is required by the new definition of wages. So, we did not have to do a lot of [changes] and the revised impact was not significant.

Sandeep Shah :

And anything to call out on the fourth quarter margin in terms of headwind tailwind?

Kapil Jain :

There is some CapEx that may happen in Peru. There is something that we are working on Mohali, which may be Q4 or Q1. So , there is some investment, but there may be investments on the people front as well. So , I think we will do what is necessary for the business.

eClerx Services Limited
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9 Asha Gupta :

Thank you, Sandeep . We have next question from the line of S. Ramesh , an individual investor .

S. Ramesh:

Congratulations on your good results. So , if you look at your industry split, there is an increase in the emerging segment compared to last year, third quarter, fourth quarter has been steadily increasing even from the first quarter. So , what are the constituents of this emerging segment? And is this trend likely to continue, especially because your BFSI segment is kind of dropping off? And is it something intended? Or is it something based on how the market is moving? And how do you see it moving in the next 1 or 2 years?

Kapil Jain :

Ramesh, we are looking at our portfolio of industries and clients that we service in the industries. So , in terms of one particular segment , in terms of emerging markets of Financial Services, CMT, HiTech, Fashion and Retail, I think at a group level, we believe that there is a good demand, and we are seeing a good in terms of deal conversions and pipeline. The industry -wise split, I think there will be some volatility, as I've said, because of the size of the portfolio and

the size of each of the industry verticals.

And emerging markets is small, so volatility will be higher. So , it's difficult to comment on specific industry like emerging markets, what we will see quarter -on-quarter. Directionally, medium to long term, yes, emerging markets will continue to grow, and that will be there.

S. Ramesh:

As a follow -up, in terms of your margin guidance, what will be the levers that will help you achieve the EBITDA margins you're expecting in future? Will it be top line growth? Or do you also see some operating leverage?

Kapil Jain :

It will be both, Ramesh. I think top line growth has to come because if growth doesn't come, we won't have anything left to manage the margin on. So , I think growth absolutely is a determinant and so will be the operating leverage efficiencies that we bring in.

Asha Gupta :

Thank you, Ramesh . We have next question from the line of Pulkit Chawla from B&K Securities.

Pulkit Chawla :

Congrats on a great set of numbers. Kapil, my first question is to you. Your ACV numbers have been quite good for the last 4 -odd quarters. Just wanted to understand where are you actually winning these deals from? Is it from competition? Are clients now so r of becoming more open to outsourcing? Or where exactly are these deals coming from? Second, Sridhar, for you. I mean, if you just understand what eClerx Services Limited

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10 the margin work for this quarter is, your selling and distribution expenses have increased quite a bit this quarter. What has that got to do with? Yes, that's it for me.

Kapil Jain :

So Pulkit, I think in terms of we are seeing consolidation of suppliers. So, a, we are winning if there is a consolidation opportunity. I think on the back of strong delivery tech -first IPO, we are absolutely

gaining market share whenever there's a consolidation opportunity. And our ability to also new clients because I think we work with Fortune 100, Fortune 500 clients. So that also is helping us. So that's where the ACV is coming from broadly, both upsell, cross-sell and addition of new clients.

Srinivasan Nadadhur :

In terms of the margin walk, the increase in S&D is mainly on the account of two reasons. One is the increased provision for bonuses and variable payout, and that's because of the strong performance on top line and bottom line ; and a little bit of increased spend on travel and marketing. So , in terms of split, I think it would be about 75 bps for the first and 25 bps for the second. That is a little bit offset by reduction in 20 bp s reduction in G&A and maybe a 30 bp s reduction in delivery costs going to higher utilization. I trust that answers your question.

Asha Gupta :

Thank you Pulkit. Next question we have from the line of Vamshi from Kotak Securities.

Vamshi Krishna :

Kapil, so first for you. So maybe can you just share an outlook in BFSI between TLC and CLC? I believe CLC has been a little muted for some time now. And what would lead to recovery there? Second, in terms of deal ACV, last couple of quarters, it has been fairly robust, but the near-term commentary suggests some caution. So , is it a function of the deals being long gestation deals with slower ramp-ups? Or are you seeing higher roll-offs than normal?

Kapil Jain :

Vamshi, I didn't understand the first question on TLC versus CLC. Can you just repeat?

Vamshi Krishna :

Can you maybe just share the outlook within the BFSI between transaction and customer life cycle.

Kapil Jain :

Okay. So , I think on the client life cycle, compliance, KYC, the crime and compliance space, we are seeing good demand across our existing clients as well as new clients as well as opportunity to drive efficiency cost takeout with Agentic AI and Tech, right? On the trade life cycle, we are seeing more on the change side and opportunity. So , I think the op

portunities on both segments as well as on loans. And

we are also looking at adjacent areas. Like when we are winning new clients, it's not just these 2

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11 segments, which we have traditionally been operating, we are also looking at other buying centers in Financial Services. And that's where the cross-sell, upsell comes in, right? So that's on one front.

In terms of the gross sales and the ACV that we have reported, quarterly aberrations are there. I think Q1, Q2, Q3, if you look at, we are at about \$126 million and Q2 was slightly soft on ACV. And I think those quarterly aberrations will be there, but it's nothing to do with a higher roll-off percentage or deals taking longer or in terms of getting into steady state and so on and so forth. Nothing of that sort.

Vamshi Krishna :

Got it. And then for you, Srini, so looking at the spot rates and hedge futures, it appears that there could be elevated losses at least in the next few quarters. So , is there a plan to maybe have a relook at your hedging strategy? Or is the book more or less kind of fixed?

Srinivasan Nadadhur :

So yes, we don't plan to look at it at least in the near term. I think that the strategy is programmatic for a reason and relooking at it may just lead to move away from hedging into speculation. So near term, no plans.

Asha Gupta :

Thank you, Vamshi . We have a follow-up question from the line of Sandeep Shah.

Sandeep Shah :

My question got answered. Thank you.

Asha Gupta :

Thank you, Sandeep . We have next question from the line of Girish Pai from BOB Capital Markets .

Girish Pai :

I see that your business development people number has remained almost constant for the last 8 quarters. So, are you kind of underinvesting in sales and marketing?

Kapil Jain:

No, Girish, I think what we have done is, a, we have instituted a very robust performance management system. So , we have added a few people, but we have also seen repurpose some of the people. So that's one. Second is, I think we are not shying away from hiring good sales guys, which is what we are looking at. And as I had mentioned earlier that we will continue to invest in BD resources, sales as well as in the AI and the Technology segment. So that continues to be our investment focus.

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12 Girish Pai :

Okay. And on the Tech Services head count, that's kind of doubled in the last 24 months from approximately 1,000 people to about 2,000 people. What exactly do these people do? I mean, what skill sets do they bring to the table?

Kapil Jain :

So on the Tech side, I think some of it is also reclassification because Analytics business, we combine under Tech and Analytics as one portfolio. So , some of the increase in the number you're seeing because of that. And it's 3 broad areas , one is in terms of people who are working on our own IP and continuously enhancing our service kit service offering and the value proposition that we bring to the client. Second set of people are working on change on the third -party client ERP, homegrown client systems. And the rest of the people are working on traditional demand on the IT projects. So broadly, this would be the classification of the team. And obviously, there is an Analytics team that we had combined with the Tech.

Girish Pai :

Right. My last question is regarding your top 10 clients. Just want to understand the nature of these clients. Have they been top 10 for the last 2, 3 years, I mean, has that list been static for the last 2, 3 years? And if that is the case, have they asked for any productivity pass back on an annual basis? And has expectations on this front gone up? And how have you handled that?

Kapil Jain :

I think the composition of top 10, they have not stayed same. So , there are additions in the top 10. And so that

's answer your first question. On the second one, see, productivity is if you are purely doing FTE and "bum -on-a-seat" model. The value proposition comes in from the Analytics insights that we bring in our QBRs in our client interactions. And the gain is beyond like give me 10% productivity improvement, 5% productivity improvement, 8% productivity improvement. I think the question is what is the business value you are adding? I think there was a question on Analytics and Insights. Now if I'm able to go ahead to the client and say, we have got client testimonials where they are saying that we have been working with suppliers for long, and we have never got sort of insights and the savings from fraud that we have been able to save from what you guys highlighted just by working with us for less than a year. So , I think you have to up the game and see how technology, analytics, business insights, ops, bringing it all together is the value proposition that we bring to the client. And to answer your specific question, no, we have not seen it because the clients are seeing the overall value proposition. Like there are some asks from the client if they are facing headwinds and things like that,

we have always stood alongside with our clients. And in long term, that has always paid us in terms of clients are in need, then we have supported. But it's not like give me 10% productivity improvement because we have been giving that continuously, the value proposition, whether it's productivity, whether it's insights, in terms of whether it's in terms of adding value on the revenue side, enhancing customer experience, reducing fraud losses, reducing credit losses, disputes. So, I think that continues to be the value proposition. I hope I've answered your question.

eClerx Services Limited
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13 Girish Pai :

Yes. So, I just want to squeeze in my last question is regarding medium-term growth outlook. We've had macroeconomic challenges in the last 12 months and maybe a little earlier than that. Do you think growth can remain at these levels or accelerate over the next 12 to 24 months? Customers have kind of got used to the geopolitics and the macroeconomic challenges over the last 12 months. Do you think growth can accelerate or can remain at these levels?

Kapil Jain :

So, I think as we don't give any forward guidance on the growth. I think what we are saying is that depending upon in the segment we are operating, we see good demand, pipeline is strong. We have said we will stay in the top quartile of our peers in terms of growth. That definitely we see continuing. In terms of absolute numbers, percentages, whether we can do more, if the overall industry does more and the top quartile does more, yes. If the overall industry and the top quartile is lower, then we'll try and stay ahead of the curve is what our aspirations are.

Asha Gupta :

Thank you, Girish. We have next question from the line of Rahul Jain from Dolat Capital.

Rahul Jain :

So, since you are almost 2 years into your 4-year plan, so is there a new set of steps that you want to bring it at this point to enhance or sustain the momentum that we are having? We've been talking more about the sales team addition and stuff like that. But what about the newer segments that we were also aiming? Or is there any other gear shift that we are making other than the hiring part of it?

Kapil Jain :

Rahul, I think we are continuing, like I have said that we will look at adjacent areas. So, for example, we have started looking at that. We have said that on Finance and Accounting, we were traditionally on the SME segment, we will look at mid-tier and large clients as well. There, we have had some success. We said that we would look at in terms of how do we take the Customer Experience, Customer Service business across our client portfolios, we are beginning to see some traction.

MarTech that we deliver

for the clients, traditionally, we were delivering for one industry segment. We are seeing traction across the industry segments, whether CMT as well as Financial Services. So, as we are going on our strategy, we are making progress in terms of what are the adjacent areas where we can look at. At this stage, whatever strategy we had laid out 2 years back, and the momentum we are seeing and the success, I think it's a little too early to change the direction which we had set out. We will continue on the same path, continue to execute on the strategy that we had laid out. And probably, I think 12 months would be the time to revisit. And it's not that we have kept this and it's getting dust on the shelf. We are continuously looking at areas, adjacent areas, opportunities but I think to take a refresh and a relook would be probably in 12 to 18 months' time frame. Right now, I think we see enough and more opportunities on the plan that we have laid out.

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14 Rahul Jain :

Okay. That's pretty helpful. Just one bit more. On the Agentic Solution deal that we have got, I just wanted to understand how the competitive landscape here is shaping up? Are there in-house team as well as a very different set of competition coming in when it comes to these kind of deal or these are your traditional peers who are coming with the newer version, which is the Agentic version?

Kapil Jain :

I think we are seeing the Agentic AI and the pilots that we are seeing are in areas where we are currently working, and we bring in domain expertise , right? So those are the areas that are of strength to us. So , it's not like we are going and saying that, look, we can implement Agentic AI across the board. And like I said, this is relatively in terms of implementation, pilots, execution. It's still a little too early to say that what is the dollars that we are getting in revenue, what are the benefits that clients are seeing. There is a lot of promise behind the technology, but there's also a thinking that the overall growth will accelerate for the clients that we service if technology was to come in as a force multiplier. So, I hope that answers your question. I think in terms of giving the competitive landscape and all that, I think it's a little too early to talk about the same.

Asha Gupta :

Thank you, Rahul . We have next question from the line of Vaishnavi. She is facing challenges in the voice, and that's why she has put her query on the chat. I'll just read out.

So, her question is, can you please highlight the demand outlook in the U.S., particularly within the BFSI segment? And are we witnessing any client bring the services in-house rather than outsourcing with adoption of AI? And second question is, can you also please highlight the reason for low growth in Q4, as you have mentioned?

Kapil Jain :

First is the demand environment in the U.S. especially in BFSI. So overall demand environment in the U.S. for Financial Services, the clients are doing very well. Financial Services has done well. If you look at the overall sector, banks, institutional clients, they have declared very positive results. I think the momentum is good. So , we see a positive demand outlook. We don't see a concern on the demand side in Financial Services. Second was on Q4 numbers. I think that's a quarter-on-quarter. Like I had said in the previous calls and earlier in today's call as well that there can be a quarter-on-quarter volatility because our numbers are small. \$120 million, \$130 million quarterly revenue base, there is likely to be a volatility, and that could be a quarter-on-quarter aberration, but medium to long term outlook continues to be positive. And we are confident in staying in the top quartile from a growth perspective on a YoY basis. I think there was one more question. Was there any other question Asha?

Asha Gupta :

So, there was one more asking do we have any client bring these services in-house rather than outsourcing?

eClerx Services Limited
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15 Kapil Jain :

No, we haven't seen any trend because of technology. There could be a strategic reason, a small process, but no, nothing which is worrisome to say that there is clients are bringing the value proposition that clients see with many of our clients, we co-exist with their GCCs. So , we are not seeing that trend.

Asha Gupta :

Thank you, Kapil. Thank you, Srini. As there are no further questions. I'll hand over the call to you for closing remarks .

Kapil Jain :

Yes. Thank you, everyone. Thank you for your continued support, and we look forward to speaking with you in the next quarter.

Srinivasan Nadadhur :

Thank you everyone .

Asha Gupta :

Thank you, everyone. Thank you, Kapil and Srini vasan . With this, we conclude the eClerx Services Ltd Q3FY26 earnings call.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: May 2026

eClerx/SECD/SE/2026/071

May 19, 2026

BSE Limited

Corporate Relationship Department,

Phiroze Jeejeebhoy Towers,

25th Floor, Dalal Street,

Fort, Mumbai - 400 001 National Stock Exchange of India Limited

Exchange Plaza, Plot No. C/1,

Block G, Bandra - Kurla Complex

Bandra (East),

Mumbai – 400 051

Dear Sir/Madam,

Sub: Compliance under Regulation 30 of the Securities & Exchange Board of India (Listing

Obligations and Disclosure Requirements) Regulations, 2015

Reg.: Transcript of the earnings call - financial results for the quarter/period ended March 31, 2026

Scrip Code: BSE - 532927

NSE – ECLERX

Pursuant to the provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Transcript of earnings call held on May 14, 2026 with respect to the financial results of the Company for the quarter/period ended March 31, 2026 .

This is for your information and records.

Thanking you,

Yours truly,

For eClerx Services Limited

Pratik Bhanushali

VP-Legal & Company Secretary

F8538

Encl.: as above

eClerx Services Limited

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eClerx Services Limited

Q4FY26 Earnings Conference Call

May 14, 2026

ECLERX MANAGEMENT:

KAPIL JAIN – MANAGING DIRECTOR AND GROUP CEO

SRINIVASAN NADADHUR – CHIEF FINANCIAL OFFICER

CONFERENCE CALL PARTICIPANTS :

ABHISHEK BHANDARI - NOMURA SECURITIES

CHINMAY NEMA - INDIVIDUAL INVESTOR

GIRISH PAI - BOB CAPITAL MARKETS

JIMIT GANDHI – EMKAY GLOBAL

PRITESH CHHEDA – LUCKY INVESTMENTS

RAHUL JAIN - DOLAT CAPITAL

ROHIT THORAT – AXIS CAPITAL

SANDEEP SHAH - EQUIRUS SECURITIES

SHUBHAM SATAVASE – AMSEC SECURITIES

VARUN BANG – INDIVIDUAL INVESTOR

eClerx Services Limited

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2 Asha Gupta :

Good day, and welcome to the Q4 FY '26 earnings call of eClerx Services Limited. Please note that this webinar will be recorded.

To take us through the results today and to answer your questions, we have with us the top management of eClerx, represented by Mr. Kapil Jain, Managing Director and Group CEO; and Mr. Srinivasan

Nadadhur, Chief Financial Officer. We will start the call with brief opening remarks by Kapil, followed by Srinivasan, who will be sharing the financial update, and then we will open the floor for Q&A session.

As usual, I would like to remind you that anything that is mentioned on this call that gives any outlook for the future, or which can be construed as forward-looking statements, must be viewed in conjunction with the risks and uncertainties that we face. These risks and uncertainties are included but not limited to what we have mentioned in the prospectus filed with SEBI and subsequent annual reports, which you can find on our website.

Having said that, I will now hand over the floor to Kapil. Over to you, Kapil.

Kapil Jain:

Thank you, Asha, and good afternoon, everyone. Welcome to our Q4 and full year FY '25 -'26 earnings call. I'm pleased to share our results and reflect on a year that despite real macro headwinds, delivered some of the strongest numbers in eClerx's history. Let me start with the full year.

FY '26 operating revenue came in at USD 469 million, up 17.9% year-on-year in dollar terms and up by 22% in INR terms at INR 4,217 crores. EBITDA grew 29% to INR 1,153 crores, with margins expanding meaningfully. Net profit rose 30% to INR 706 crores, and EPS increased 33% post bonus issue. These numbers reflect durable operational leverage built over several years.

Q4 operating revenue was USD 122 million, up 17% year-on-year, with 0.6% sequential growth. INR revenue for the quarter was INR 1,135 crores, up 24% year-on-year. Operating EBITDA for the quarter came in at INR 2,841 million, at a 25.7% margin, up 2.8% sequentially. Q4 PAT stood at INR 1,894 million, at a 16.7% margin. Margins held up well despite the softer sequential revenue growth, a

testament to the discipline we have built into our operating model. New deal wins for Q4 were USD 46 million, reflecting steady momentum and a strong signal of client confidence in our capabilities going into FY '27.

FY '24 and FY '25 were years of deliberate prioritization, deciding where to concentrate our investment and making some disciplined bets. In FY '26, we began to see those decisions translating into measurable outcomes. Analytics and automation is now a USD 90 million book. That is a significant milestone, and this area will continue to attract focused investment and management attention.

On AI, we made substantial internal and client-facing progress this year. We secured our first large-scale Agentic AI win in Q4, with deployments planned for Q1 FY '27 and thereafter. We launched an agentic data sourcing platform, attracting strong interest from large banks. Our AI-native orchestrator for KYC case management is live across multiple client systems. Internally, a substantial number of employees are now using Roboworx, Cogniflows, our Agentic AI platform, across HR, administration, eClerx Services Limited

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3 and help desk functions. We have trained more than 3,000 employees on Agentic AI and vibe coding. We are building an AI-fluent organization from the inside out.

On the Adobe relationship, we are seeing solid expansion across banking, retail, and M&D clients, a partnership that is maturing into a meaningful growth engine. Let me give you a quick readout by vertical.

CMT delivered an excellent Q4, with sequential growth exceeding 7%. We are adding new inbound sales capabilities, and geographic diversification conversations are gaining real traction, with client expansions exploring into Manila, Cairo and Fayetteville. We are closely monitoring the proposed NPRM on offshore call restrictions and maintaining active dialogue with clients on contingency planning.

BFSI had a softer quarter, and a couple of engagements were down, the consulting work that we were doing, but the pipeline is encouraging. We have signed and are ramping up a European bank on client life cycle work, and conversations around KYC, financial crime compliance, and AI-led transformation are progressing well.

High-tech, M&D, and retail, client budgets in Hi-Tech remain focused on transformation, automation, and customer satisfaction, which plays directly to our strengths. The first Agentic AI deployments in Q4 were won here. M&D and retail had a softer Q4, but the pipeline across both new and existing accounts is strong.

On the emerging business, which is led by finance & accounting, we have delivered strong growth across three consecutive quarters. The Personiv brand continues to carry strong recall among SMBs seeking F&A automation.

Fashion and Luxury had a sluggish year, but our CLX business is expected to return to growth in H1 FY '27, supported by new GenAI wins at a key client, as well as what we are seeing as some positive green shoots in the fashion and luxury industry segment.

Top 10 client concentration has come down to 59% from 63% to 64%, a healthy sign of portfolio diversification that reduces concentration risk as we scale.

A few recognition highlights - we were named a representative vendor in the Gartner Market Guide for Digital Shelf Analytics for our Market360 solution, a strong external validation of our analytics-led commercial capabilities. We were recognized as a category leader in the Chartis Risk Tech Quadrant for customer life cycle management for corporate and investment banking, notably in our very first

participation. Market360 also won the analytics and BI category at the E-Commerce Germany Awards, and we won three awards at the Asia Pacific TV Awards for Innovation and Talent Development for the third consecutive year.

Geopolitical uncertainty and macroeconomy

pressure remain part of the operating landscape. We are not immune to those dynamics, but long-term demand for our services remains firmly intact, and our pipeline is strong, underpinned by deep client engagement and a growing set of opportunities across verticals.

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4 We enter FY '27 with conviction. Our balance sheet is healthy. Our talent is deep and increasingly AI-capable. Our client relationships are strengthening, and our strategic bets are beginning to compound. None of this happens without the trust our clients place in us, the commitment our people bring every day and the strength of our partner ecosystem. I'm grateful for each of those relationships, and we remain deeply mindful of the responsibility that comes with them. Thank you. Over to Srinivasan.

Srinivasan Nadadur :

Thank you, Kapil, and good evening, everyone. Just to reiterate what Kapil mentioned at the beginning of his remarks, and as you would have noticed in the presentation, we are now showing both operating EBITDA, which is excluding other income and EBITDA, including other income. We will probably gradually shift our commentary to refer to the operating EBITDA metric, which, as many of you have pointed out, is a more meaningful number to look at. I will recap some of the revenue and margin numbers.

So, in constant currency terms, the operating revenue is up 0.5% sequentially and 17% for the full year. Including other income of INR 281 million, total revenue is INR 11,354 million, up 3.1% sequentially and 23% for the full year. The net operating cash flow for the quarter is INR 2,833 million, and the OCF-to-EBITDA ratio is at 90%. Operating EBITDA Q-on-Q is down 15 bps because of higher headcount addition and increased travel costs during the quarter. This was partially offset by lower G&A costs and a marginal reduction in SME. Overall EBITDA, including other income, is down 42 bps, while full year EBITDA has expanded by 132 bps.

Utilization in Q4 is 74%, lower than the eight quarter high of 76.5% that we saw in Q3. CapEx is up in Q4. This is primarily due to investments in computers and networking equipment. On the other key metrics, as Kapil already mentioned, the top 10 concentration is down to 59%. DSO is at 81%. Attrition at 21% is marginally up as compared to Q2 and Q3, but lower than what we've seen in the past.

In FY '26, we generated INR 8,729 million of cash from operations and a free cash flow of INR 7,560 million, 33% and 41% higher than the previous year. The OCF-to-EBITDA ratio is 75%, the highest in the last 5 years.

Just to conclude on an administrative note, the bonus issue was effective in March. The Board has proposed a dividend of INR 1 per share. Please do note that wage increments are effective April 1.

Thank you, everyone. With this, we conclude our prepared remarks. We can move on to the Q&A.

Asha Gupta :

Thank you, Srinivasan. Thank you, Kapil. We have the first question from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah :

Congrats on good execution despite tough macro. Just wanted to understand, last year Q 4 was a very good exit on the run rate of the revenue, plus the order book on a Y-o-Y basis last year has grown at 50%. This time, we are exiting slightly at a softer revenue growth, with almost 23% -24% growth in new ACV. So, in this scenario, do you believe FY '27 growth momentum would be lower versus FY '26?

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5 Kapil Jain :

Sandeep, two things. Like I had said, quarter-on-quarter volatility, given the size of the business, will exist. I think what I had said was that for the full year, we will be in the top quartile on the growth and 24% to 28% on EBITDA, and we will show a sequential growth in EBITDA. For FY '27 also, we are saying that we will be in the top quartile of the growth. In terms of whether it will be lower or higher,

I

think I wouldn't want to comment at this stage.

Sandeep Shah :

Just further to that, you very well called out Q4 being softer in the Q3 call. But now, you believe Q 1 can bounce back in terms of growth trajectory, and that could be true across Q 1 to Q4?

Kapil Jain :

So, like I said, our pipeline is strong, Sandeep, and our ACV conversions that we have reported are healthy. And quarter-on-quarter aberration may be there. But I think given a good ACV closure in Q4, we expect that it should definitely be better than what we did in Q4, if you look at the sequential growth. Beyond that, I think I wouldn't want to comment. However, I would like to reaffirm that on the full year

basis, we are confident of delivering growth in the top quartile.

Sandeep Shah :

Last question, then I will come in the follow-up. You said in Q4, we had one of the large Agentic AI deal, which seems in consumer and retail, but you won it in Q4 FY '26. You believe revenue ramp-up may start from Q4 FY '27. Is it the right way of looking at it?

Kapil Jain :

I think that is the right way. However, we are seeing good traction on Agentic AI across our industry segments. We are building capability, investing in upskilling our employees. And domain, as I had said earlier, that I see this as an advantage, (a), because of domain; and (b), because of products that we bring in to deliver our services, which we are making Agentic AI-enabled, I think these are beginning to see traction across all industry segments.

Asha Gupta :

Thank you Sandeep. We have the next question from the line of Girish Pai from BOB Capital Markets.

Girish Pai :

Just wanted to ask you, Kapil. Was Q 4 softer than you had expected at the beginning of the quarter?

That's point number one. Second, is the margin guidance for the next year similar to that of FY '26?

Kapil Jain :

So, on margin, yes, we would like to retain the same guidance between 24% to 28%. I think it was in line with what we had expected, and which is what we had told you guys during our Q3 results. So no, it was not a surprise for us.

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6 Girish Pai :

On this Agentic AI project that you mentioned, you said the deployment is going to start from Q 1. From a commercial structure structuring perspective, how is this different from the normal contracts that you're currently executing?

Kapil Jain :

So, this is we are helping clients on Agentic AI deployment in terms of areas where clients are asking us to come and help bring the efficiency effectiveness in the work that we are doing. So, it's more in terms of what are the outcomes, how you are delivering. And I think in some of the clients, we have a pole position as far as Agentic AI deployment is concerned. So obviously, this field is also scaling up. So, we see that the fact that we have the pole position, the client trusts us. We have delivered well, I think goes in line. The contractual nature is not very different in terms of what the other contracts have been.

Girish Pai :

So, is this not outcome-based? And is there a positive angle or a negative angle, in the sense that it should deliver better numbers?

Kapil Jain :

See clients on Agentic AI because of the benefits, clients who are confident, and I think in conversations with clients, they feel only 1/3 of the large corporates, Fortune 2000 companies will get this right.

Clients who are confident in achieving the outcome are not keen in sharing the outcome. So, in certain areas, yes, we are committing on the outcomes. So different operating models exist. In certain cases, on Market360, yes, we are committing on outcomes. In Compliance Manager, KYC, we have reduced the cost of refresh, let's say, by 50% because we have brought in Agentic AI. For this Agentic AI deployment, that specific project that I called out, it is not linked to outcome or positive or negative influence.

Girish Pai :

Cou

ple of my last question is regarding your AI capabilities. On the advanced AI capabilities that you have, be it from a domain skill perspective or from an IP perspective or from a technology angle, which are the things that you've kind of developed in the last, say, 12 to 18 months, which you can kind of call out and say these are very specific to advanced AI?

Kapil Jain :

So, domain was always core and central to us. And we always use technology to deliver and have human in the loop. So, we have products like our Compliance Manager in financial crime and compliance space; Market360 in digital commerce space, where we have enabled them around the AI. And that's seeing a lot of traction with the clients because it's completely outcome basis in terms of how we are able to price it.

Then there are other set of IP that we have where we are saying native, where we have created an orchestration layer, and that's the second bucket.

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7 So, I think on all 3 dimensions, we have made progress. And we are beginning to see traction and having discussions, like as I was saying, across all the verticals that we have on this. But in terms of revenue, in terms of what percentage, I think that's still small.

As I had said, we were having POCs, we were having pilots. Now they're converting into meaningful

projects. We hope and continue to make progress and get the share of the wallet as clients spend more and more money on this space.

Asha Gupta :

Thank you Girish. We have next question from the line of Jimit Gandhi from Emkay Global.

Jimit Gandhi:

My question is that the roll-offs are generally in the band of 15% to 20% of revenue. So how do we expect this to change due to AI or any potential deflation due to AI?

Srinivasan Nadadhur :

So, we don't think that number is going to meaningfully change because AI is another productivity tool, and it takes time to implement. I think benefits also come with time. So, the 15% to 20% that we see rolling off every year is because of projects that were short term to begin with. Most of these are projects that were short term to begin with, and they come to a natural conclusion. And an AI project, if it is short term, will be of a similar nature as well. So, we don't see that number changing much.

Jimit Gandhi:

In terms of headcount addition, so we had a good headcount addition this quarter as well, while the revenue movement is a little soft, right? So, are we engaging any sort of future deals? Or what is the attribution we are having at this time in terms of the headcount addition versus revenue movement?

Kapil Jain :

Jimit, like I said, we expect Q1 definitely to be better on a sequential basis than what we had in Q4, and that's also reflected in the headcount that you have noticed in Q1. And I think healthy pipeline, ACV conversions in Q4 were good. So, we are confident and our services, adjacent capabilities are resonating well with clients. So, like I said, for the full year, we definitely expect to be in the top quartile.

Asha Gupta :

Thank you Jimit. We have next question from the line of Rohit Thorat from Axis Capital.

Rohit Thorat:

So, my first question is on subcon expenses. Your subcon expenses as a percentage of revenue have seen a significant increase on a sequential basis, and currently, it is at a multi-quarter high level. So, what is driving the increase in subcon? And how should the trajectory go over the next few quarters?

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8 Srinivasan Nadadhur:

Yes. Thanks for that question, Rohit. So, there is a reclassification of some expenses from business promotion into subcon in this quarter, which is for the full year, which is why that number is appearing high. But on a BAU basis, if we exclude that, then there is no meaningful change. I mean, it is pretty much in line with revenue. Our use of subcontractors is also

judicious, and we expect it more or less to grow in line with revenue and not faster.

Rohit Thorat:

My second question is on sales and marketing cost. So last quarter, when the sales and marketing cost went up, you said that you had made provision for variable pay, due to which it had gone up. However, this quarter also it has stayed flat on a Q-on-Q basis. So, have you made provisions for variable pay this quarter as well?

Srinivasan Nadadhur :

This quarter, we have tried up for what the actual variable pay was. So, the provisions have been a little less than what it was in Q3. And going forward, it will be the fresh financial year. So, provisions that we will make at the beginning of the year typically tend to be a little conservative and then they come closer to actuals as the year progresses. I hope that answers your question.

Asha Gupta :

Thank you Rohit. We have next question from the line of Sandeep Shah.

Sandeep Shah:

Kapil, just as you are gaining traction in the Agentic AI, is there an instance where you were executing a process on a traditional input base that you have now transformed into Agentic AI? So how does ACV, TCV is changing? And at the EBITDA level or gross margin level, is it margins also changing? If you can give us some example, it will help.

Kapil Jain :

Sandeep, these are not mutually exclusive things. See our biggest advantage, and I've been saying this, I think if you look at these in discrete manner, agentic, tech, domain, IP, process, headcount, I'm sure companies who are looking at it in that manner will never get it right. If you can bring all of these elements together and deliver to an outcome, Agentic is not like some secret sauce that I have to bring it and blend it with all what I'm delivering. And client has to see the benefit and value in the delivery, like risk reduction, operational efficiency, operational leverage, effectiveness, overall experience. We won several awards, as I had indicated in Q3 with a few of our clients.

So, I think the secret sauce is a service provider who can bring it all together and deliver that alpha is what clients are looking for. And I think we feel confident that we have that ability in the service offerings that we offer to our client and in adjacent areas as well. So, I hope I answered your question

because I think it's very difficult to break like in the way you are asking in terms of discrete components.

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9 Sandeep Shah :

Is it possible to share some scale up of Agentic AI revenue or it's too early, and right now it's immaterial?

Kapil Jain:

It's a little too early. See, the point is if we have to stay relevant for clients' business, and get clients' mind share, right, in terms of the share of the wallet. Now as long as we are seeing Agentic AI, we are having conversations across the verticals and we are beginning to see tangible revenue, it's a good sign that clients are recognizing our ability and are confident on our ability to deliver to the work that they are giving us.

Sandeep Shah :

Just in terms of frontier AI model, will we be partner to them , or we may be competitors to them through our tools, frameworks and products?

Srinivasan Nadadhur :

So, we will be using their tools, and this is what we are doing. We'll be using their models. We are not a competitor in the traditional sense that we have no models of our own , we are trying for partnerships, but I think it's a little early for us to announce anything on that front.

Sandeep Shah :

Last two questions on the bookkeeping and financial streams. So , when I look at your outstanding hedges, it looks like even in FY '27, we would be materially lower than the spot rate because of the hedging which we have done. So , in that scenario, the upside through FX on a Y -o-Y could be limited. Is it a fair assumption and it could be higher in FY 2028?

Srinivasan Nadad

hur :

That is fair. So , as you noted, most of our hedge book is probably at INR 89 or something like that for FY '27.

Sandeep Shah :

Correct.

Srinivasan Nadadhur :

So yes, any upside will be limited. We don't fully hedge the book. We hedge about 80% of the U.S. dollar receivables. So , we will be able to capture some of the FX depreciation up, but obviously not a lot.

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10 Sandeep Shah :

Last thing, this year, on the cash flow, we have spent almost INR 250 crores in buying shares through the ESOP Trust. So is it we are creating a pool which will help us to create ESOP incentives for these leaders to perform. So , is it the right way to look at and that is where INR 250 crores has been deployed in this year where we are buying from the market and keeping in the ESOP Trust?

Srinivasan Nadadhur :

So, the mechanics are right what you're saying. The trust does buy from the market and add to its inventory. But this is not something that we have started this year. This FY '22 scheme has been in place for four years. Before that, there was a 2015 ESOP schemes, which has been in place since 2015. So , we've been doing this for about 10 years.

I think the reason why it shows up or maybe you have noticed it is because, a, the amount is big because when the trust buys from the market, they pay the market price. And as you know, from April to December, the market price climbed up quite a bit, right ? So, to acquire the fixed quantity, the trust had to spend more. Whereas there were years, for example, in 2016 to 2019, because part of the ESOPs which were linked to performance, they were not vesting. So , the trust requirement itself was low.

Asha Gupta :

Thank you Sandeep. We have next question from the line of Rahul Jain from Dolat Capital.

Rahul Jain :

To your comment on the CLX business, where you see slightly better thing going forward. So , is it led by existing customer trying to open up spends? Or is it also led by some newer client addition in the segment?

Kapil Jain :

I think it's predominantly with existing clients, because as you would see , some of the large high -end fashion and retail companies have declared , like what I would just say that it is like some early green shoots that we are seeing. I'm a little cautious on high -end fashion and retail, but its large percentages are from existing clients, Rahul.

Rahul Jain :

On the BFSI side, what part of the subsegment where we think things should continue to do well from this point? And is there a specific area where you see some bit of compression to happen because the commentary for the BFSI in general has been pretty mixed across players?

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11 Kapil Jain :

Rahul, I think the FCC is an area where I think we have a pole position and we will continue to do well. I think it's also driven from a regulatory environment. So, like in terms of if regulators increase or decrease what they want of the banks and financial institutions, that can have an effect on the overall spend. So that's something that we will continue to see evolve. I think if you were to ask me, and then we are beginning to see adjacent areas to whatever we were doing on the trade side. Securities life cycle is where we are seeing some traction.

Rahul Jain :

Just one small request. Last year also, the way we started our commentary and the way where we ended the year, it was a pleasant surprise, of course. But again, we've been talking in a way where it is kind of do not give you a very good color while you are giving an optimistic thought in general. So, if you guys could consider at least giving a broader band just like you're giving it for the margin. So, one could have imagined or worked out better because we started the way it was more looking like we are trying to indicate a very different number, but we did far better than that. It's always

good to have that. But

nevertheless, a band, even a broad band in case if we don't want to constrain ourselves to a very small guidance base, even that would be of great help. Just a suggestion, if you could consider it.

Kapil Jain :

Sure, Rahul. We will look into it.

Asha Gupta :

Thank you Rahul. Next question we have is from the line of Shubham Satavase from AMSEC securities.

Shubham Satavase:

I just have one question regarding AI deflation. So, how much AI deflation is the company building for the FY '27?

Kapil Jain:

Shubham, we are using AI as a differentiator to win the business. And it's not like a separate revenue stream or an inflationary or a deflationary business. Like Srinu was saying, we don't expect any higher roll-offs. So, 15% to 20% is what we see. And overall growth, we are confident of delivering in the top quartile because the overall size of the market where we are relevant is huge, like Compliance Manager, one of the things I had indicated in the previous calls that we see opportunity of this offering outside of financial services. And we are beginning to see traction there. So, there are many things, I think cross-sell, upsell, growing outside of top 10 accounts, looking at adjacent areas. All the things that we had laid out when we had formulated our strategy, I think are yielding results with a very strong execution mindset and control on costs, because I think things are changing so rapidly. So, my view is that from the financial performance that we have delivered for the full year in FY '25-'26, is an indicator of strong execution and strategy paying the benefits.

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12 Asha Gupta :

Thank you Shubham. We have next question from the line of Girish Pai from BOB Capital.

Girish Pai:

I just wanted to know what was the margin walk for FY '26 versus FY '25? What are the various drivers of margins? And the wage hike, will it be similar in terms of impact for FY '27 versus FY '26?

Srinivasan Nadadhur :

Yes, the wage hike impact in Q1 will be similar. So typically, about 300 to 350 basis points. The margin walk from 25% to 26% roughly is that on delivery and support employees cost, it was broadly flat.

G&A and S&D costs is where most of the margin improvement showed up. So, G&A was about 80 bps lower. This is primarily because of facilities cost, about 40 bps there, and other costs about 20 bps, and maybe tech about 10 bps or so. Selling and distribution cost is contributed to another 20 bps. So that in total, I think, is the sort of 120 bps or so expansion in operating EBITDA.

Girish Pai :

What about the Forex impact ?

Srinivasan Nadadhur :

Let me get back to you on that. I would have to look at it separately .

Girish Pai :

Right. For FY '27, do you think growth is going to be even across various quarters? Or do you think H1 is going to be stronger than H2 or vice versa?

Kapil Jain :

I think at this point, Girish, like I said, Q1, we expect to be stronger than Q4. Quarter -on-quarter volatility may continue I think in Q1 , because like in terms of timing of closure, so you close a deal in Q2 instead of Q 1 because it got pushed over to Q2 for some reason. So those aberrations will continue. I wouldn't want to comment which half will be stronger, whether H1 or H2. We do expect Q1 definitely to be stronger than Q4. Overall, like I said, we are confident whether this deflationary on AI and whatever, that we'll be in the top quartile. I know Rahul has mentioned that can we give a band? We'll consider it. But I think we compare in the overall industry macroeconomic environment, I think it's a good benchmark to have to be in the top quartile of the peer segment.

Girish Pai :

Right. You mentioned you won a decent -sized Agentic AI project. Was this a competitive situation? And what was the reason behind your win, so to speak?

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26

13 Kapil Jain:

I would say strong delivery, domain expertise , and client connect would be the top three reasons. And yes, it was competitive. We operate in a competitive landscape, so yes.

Girish Pai :

Are you seeing any new competition, any new AI -first start -ups with lean teams , kind of trying to enter the competitive scenario that you are in right now?

Kapil Jain:

I think there are a lot of AI start -ups are coming in. I think every day, I'm sure there are start -ups that are coming on AI because this is a hot field. Are we seeing any impact of those start -ups in our client conversations, in the pipeline and conversions? We haven't seen that in a meaningful way.

Girish Pai:

Right. I think you mentioned something like USD 90 million being the data and analytics number for the year. Will this be a big growth driver for you in FY '27 and FY '28?

Kapil Jain:

Tech and analytics are a focus area for us. So , we expect that it has to grow faster than the company growth, which has been the case this year, and we'll continue to aspire for that. And yes, that's the aspiration.

Girish Pai:

Lastly, any color from a vertical standpoint as to what will drive growth for you in FY '27, which will probably outperform your company growth or underperform company growth?

Kapil Jain :

We are cautiously optimistic on all the four verticals , given the client conversations that are happening. Like I said, high -end fashion and retail is something that I would be a little cautious about . The other one, high - tech is something that I think we are optimistic and we should see higher growth. I think that's really where I would like to leave in terms of growth across the vertical s.

Asha Gupta :

Thank you Girish. We have next question from the line of Chinmay Nema , an individual investor .

Chinmay Nema :

Two questions from my side. Firstly, if you could give some perspective or on -ground sense about how you are seeing the client expectation changing with respect to either the headcount per project or billing rates, basically what you are seeing in new contract negotiations or in renewals?

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14 Second question is, among the four verticals, which segments are more susceptible to AI -led automation, and then which parts of business are better insulated?

Kapil Jain:

I don't think we have seen any meaningful change in, let's say, this quarter or last quarter or quarter before than what we have seen in the past. Because I think, a, we are being also very proactive in terms of deploying tech AI wherever we can. We are lo oking at AI across four broad spectrums, client conversations around our products, which I spoke about Compliance Manager, Market360 and our other tools, which are AI -native, which is the entire products. Our own employees, which I commented in my opening remarks that 15,000 people are using Roboworx Cogniflows for internal. So how we are deploying AI for our internal work.

Fourth is the operational efficiency , proactively that we are looking to and I think what technology is doing is because coding is getting democratized. So , you don't need someone who understands the coding. So , people who understand the domain can write the prompts, build the code, take the value proposition to the client. And clients are seeing value in that. So , I think this headcount is a very like race to the bottom that how many head counts productivity. I think you have to move the game beyond headco unt and productivity to value that you're able to deliver.

If you look at our client book and the marquee clients that we service, they see value in what our ops/domain teams are able to do by using these technologies. And in certain cases, the clients have opened up and they are opening up for their own users, they're allowing us to use those as well, because of the alpha that they see our teams can bring by working with them.

em.

So I know I've given you a long -winded answer, but it's not like black and white, right, in terms of that you can make it like in compartment. And I think AI is AI. The value comes in when you are delivering the end outcome in conjunction with the clients, in collaboration with the clients and the entire ecosystem that's working in delivering that outcome. You're not operating in an isolated manner.

Chinmay Nema :

If you could also take the second question?

Kapil Jain:

I think services -wise, like the industry and the market expected the customer operations piece to have the highest impact. We have seen the call volumes, chat volumes coming down, but we have captured market share from our competition because of the strong delivery, and we have grown despite the call volume and chat volume shrinking. So that's one piece on this entire thing. The entire creative space is grown, which is where I think we have won some projects, I think almost 12 or 18 months back, we had inducted our CTO, Sanjay, into the Board of CLX because we saw this coming and we thought that it will be a good he will be able to drive technology innovation and all that.

On the FCC space, I think it's the product where we are injecting AI and we are making it AI -ready. So, so that's really where we are seeing them ourselves saying that, look, and that's resonating well with the clients. So, I think from the service kit that we have is where we would say that the impact of AI is.

And I think we take a lot of pride on our delivery.

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15 We get the job done. We are looking at F&A, where we started with SMB segment. We won a large client, and we are in discussions with them on technology, AI -led transformation. So, I think I see this as an opportunity as opposed to it as a threat to us. And we are not shying away in cannibalizing our own revenue. There are instances where whether it's client paid or our own investment, we are in here for long term. And clients know that we are not in a business of charging for headcount and FTEs.

Asha Gupta :

Thank you Chinmay. We have next question from the line of Pritesh Chheda from Lucky Investments .

Pritesh Chheda :

I just wanted to check on the guidance that you have given for FY '27, if you could reiterate that.

Kapil Jain:

So, what we are saying is that we will be in the top quartile of growth in FY '27. We would be in the EBITDA range of 24% to 28%. I know some of you have asked that can we narrow that range. We looked at it, but we want to continue with the same band between 24% to 28%. I also said that our Q1 will be stronger sequentially than what Q4 has been over Q3.

Pritesh Chheda :

When you say top quartile, it's relative to what?

Kapil Jain :

Like the peer segment that you compare us with, we would be in the top quartile growth on the operating revenue.

Asha Gupta :

Thank you Pritesh. We have next question from the line of Varun Bang , an individual investor .

Varun Bang :

More from a 2 - 3 year perspective, I want to understand how do you see the overall direction of eClerx across 3 – 4 business verticals in terms of growth, competitive positioning and our preparedness for the changes that we are seeing?

Kapil Jain :

I think directionally, like I said, I am cautiously optimistic across all our industry segments. Financial services, we are looking at adjacent areas in addition to what we are currently servicing, and we are beginning to see traction in that. We are seeing new client additions and clients that can give us meaningful growth. For FCC, we are seeing growth within financial services as well as outside of financial services.

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16 Our Market360 product on digital commerce, average deal size, let's say, now we are targeting Fortune 1000, even a bigger segment of clients around retail, CPG industry, so that's resonating with

us, our QA360

quality audits that we do, the market offering. So overall, I think basis the industry and the service offerings we have, I think we are good.

We are also beginning to look at in terms of what are the adjacent capabilities that we need to start building, which will help us stay relevant beyond 2 to 3 years as well. So, I am optimistic in 2 to 3 years'

time frame. It's difficult to say in terms of like, yes, can there be an AI disruption? I think no one has a view on what the end state would be. All we know is that there will be a lot of money that will get spent, and we want to take wallet share of the money that will get spent in this area.

Varun Bang :

What are the challenges or, let's say, execution risks that you foresee from a near - to medium -term perspective, whether around pricing or disruption of technology or talent or competitive intensity , if you can share some perspective ?

Kapil Jain:

I think like this NPRM guidelines on the contact center, I know NASSCOM has also gone and lobbied with the U.S. Congress, if that becomes a rule that telcos and cable companies can only outsource a certain percentage of work and certain percentage of work has to stay within the U.S. could pose a challenge. Like I said, we are discussing with our clients. It's at initial stage, but if it becomes a law, then that could have some impact. If regulatory environment like it became very stringent for financial services and banks overall regulatory environment, then it eased out, became stringent. So , we will be getting a new Fed Chairman. Now depending upon what happens on the overall regulatory environment, that can have an impact.

I think we have to be nimble and agile and there will be pockets of opportunities . So we may have to move with basis what the overall external environment is and see how we stay relevant. And I think our ability because, A, of our size, B, because of our tech domain process, start-up mindset, I think we believe that we are able to pivot very quickly. So , I think that's the other overall challenge. I think overall competitive environment and industry, I think unless from tomorrow, we see something new coming in, AI, like as I said, we are investing. No one knows the end outcome, but we are ourselves investing, building capabilities, deploying it wherever relevant. And that's where we are on this journey.

Varun Bang :

From a capital allocation perspective, should we expect the focus to remain on buybacks? Or do you expect dividends becoming a relatively better option?

Srinivasan Nadadhur :

No. Buybacks will continue to remain the preferred option.

Asha Gupta :

Thank you Varun. We take the next question from the line of Abhishek Bhandari from Nomura Securities .

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17 Abhishek Bhandari :

I just had one question, Kapil. Last year, you had indicated that the deal bookings for FY '26 would be better than FY '25, which actually turned out to be true. This year's deal bookings are up almost 24%, if I look at trailing 12 months. Do you have any similar thoughts for FY '27 in terms of deal bookings? Should one assume USD 40 million to USD 50 million is now a new run rate on the quarterly booking side? Or you can give an annual thought around it?

Kapil Jain:

I think, Abhishek, it's a good question. We are aspiring and working towards increasing by showing a year-on-year growth on the bookings. I think it's a function of a lot of factors. I think on accrued revenue, I can give you, which is what I have said that on the operating revenue, we'll be in the top quartile on the bookings. Our aspiration is to definitely show year -on-year growth, but it's a little difficult to predict because we showed a 24% growth. And we are working towards showing an increase on Y -on-Y on the bookings as well.

Abhishek Bhandari :

Just a related question is many IT companies have started saying that

in the bookings, they started seeing

the deflationary impact of AI. So , for like -to-like, for same amount of work, the bookings probably are not reflecting the reality. Are you also seeing a similar thing where the deflation in the contract value is running possibly higher than the usual levels, and that may be a reason why you're shying away from definitely saying that FY '27 bookings will be better than FY '26?

Kapil Jain :

Some of it maybe, Abhishek, I wouldn't say deflationary pressures because of AI, but the competitive landscape like I think that was to the previous question. So , a combination of that may put some deflationary pressures. And I think it's a little slightly early to say what sort of impact on technology, it's very clear, right? Because like as I was telling you, the coding has become democratized. I think you need a lot of domain and functional expertise. So , I think on the BPO/KPO and productized services where we operate, I think, yes. And we are taking proactive proposals as well, which have AI built in where we are committing to outcomes. We are committing to bringing productivity transformation. So, yes, there could be some deflationary pressure. It's not that I'm shying away. It's a little difficult to predict. And like what you were saying last year, yes, we said we were coming out of, I think, around \$130 million, \$140 million number. And this year, we are at about \$170 million. Like I said, our aspiration is to grow the ACV number. And all of us are working hard to see how we deliver on that aspiration.

Asha Gupta :

Thank you Abhishek. We will have just one last question from the line of Sandeep Shah from Equirus Securities .

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Just any comments regarding Anthropic's yesterday announcement of the launch of Claude for the small business, where they are saying it would be a packet of connectors and workflows that integrate with the AI assistant across 15 ready -to-run workflows around finance, operations, sales, marketing HR. So , such kind of an announcement is a competitive threat or we can work alongside Anthropic for helping clients to run such kind of a process with the Anthropic tools?

Kapil Jain:

I think it's the latter, Sandeep. And SMB segment predominantly is where we service our F&A business. And we think that we can work with the client relationships that we have and the client connect that we can work alongside with Anthropic to deliver to the outcome.

Sandeep Shah :

Okay. So , my basic understanding is that whenever Anthropic announces such kind of a tool, it's not just plug and play. There has to be a lot of foundational work which enterprise clients have to do to make an optimal use of the tool, right?

Kapil Jain:

Sandeep, I think it would be best to ask Anthropic what they have in mind and talking to enterprise clients. I can tell you on our side, how we are engaging with the clients and the client conversations we are having with them.

Asha Gupta :

With this, we conclude this call. I will now hand over the call to management for the closing remarks.

Kapil Jain:

Thank you, everyone, and thank you for your support . I look forward to meeting all of you in our next quarter in Q1.

Asha Gupta :

Thank you, everyone. This concludes Q4 FY '26 earnings call of eClerx Services Limited.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.